

60th

*Anniversary
Commemorative Volume
of the
Central Bank of Sri Lanka*



CENTRAL BANK OF SRI LANKA
60 | growth & stability
1950 - 2010



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The views presented in these papers are those of the authors and do not necessarily indicate the views of the Central Bank of Sri Lanka.

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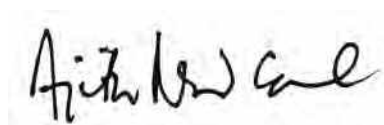
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Message from the Governor Central Bank of Sri Lanka

The 60th Anniversary of the Central Bank of Sri Lanka is celebrated at a historic time, both nationally and internationally. Nationally, because we are at a time of growth and stability, the founding pillars of economic prosperity. Internationally, because the founding pillars of the world economic system such as free markets and credit systems have been shaken by history's worst global financial crisis with the central banks across the world being seriously challenged to maintain stability.

Over the past 60 years, the Central Bank of Sri Lanka has consistently endeavoured to ensure macroeconomic stability, and function as an institution that is sensitive to the needs of the people. The Bank has also taken the necessary steps over this period as the authority on monetary management and the regulator of the financial system to achieve price stability and financial system stability and thereby contribute to the prosperity of Sri Lanka. At the same time, the Bank has facilitated the expansion of the financial system and helped improve financial inclusiveness. Significant improvements have also been effected in many other aspects of Bank's activities, such as currency management, foreign exchange management, public debt management and the management of the Employees' Provident Fund.

This publication effectively captures the challenges faced, trials endured and silent victories recorded by the Central Bank of Sri Lanka in this long and exciting journey, while also documenting important events and developments in the different aspects of the economy. I am confident that this compilation would provide an informative account of the past sixty years of the Sri Lankan economy and the Central Bank of Sri Lanka.



Ajith Nivard Cabraal
Governor

August 2011

Preface by the Chief Economist and Director of Economic Research

The Central Bank of Sri Lanka as well as Sri Lanka's economy has both seen rapid changes over the last sixty years. In a fast developing world, it is essential that we stay abreast of the new developments to reap maximum benefits for the country and safeguard it from the possible peril that could befall us. Over the past sixty years, the Central Bank of Sri Lanka has continued to be a dynamic institution, which guided Sri Lanka's economy with skill and competence, to the brink of emerging as a rapidly developing economy in South Asia, where it stands today.

This publication, issued in commemoration of the 60th year of establishment of the Central Bank, presents a collection of 20 articles on the evolution of the Central Bank as well as its lasting contribution in numerous fields to the socio-economic development of Sri Lanka.

The Long March of the Central Bank – 60 Years of Central Banking in Sri Lanka takes you through the evolution of the Central Bank of Sri Lanka since its establishment in 1950, touching on the key events that changed the course of central banking in the country. In January 1996 the Central Bank of Sri Lanka faced a test of strength only a few other institutions in the world have undergone...and even fewer have successfully overcome. *Rising from the Ashes – The Central Bank's Remarkable Recovery from the Terrorist Attack* is a narrative of the Bank's experience of recovery and determination to rise to greater heights.

One of the toughest challenges faced by any central bank is to ensure stability in the economy. *Stability in the Midst of Uncertainty* recounts the episodes of turbulence faced by the Sri Lankan economy and the measures taken by the Central Bank to bring about stability.

The conduct of monetary policy is the exclusive prerogative of a central bank to ensure price stability in a country. *Evolution of the Conduct of Monetary Policy in Sri Lanka* presents the various aspects of the conduct of monetary policy in Sri Lanka and the progressive measures taken by the Central Bank to enhance its effectiveness over the years.

The Central Bank is also entrusted with the task of maintaining stability in the domestic financial system. *The Role of the Watchdog – Strengthening Financial Regulation in Sri Lanka* is an account of the continuous modifications carried out in the approach to regulate the financial system of the country in a bid to keep abreast of the ongoing changes both locally and internationally.

Efforts taken by the Central Bank to stabilise the domestic financial markets since its inception and the lessons learnt in the process are captured in ***Surviving in White Waters – Stabilising Domestic Financial Markets***.

Determining the Exchange Rate – Exchange Rate Regimes in Sri Lanka traces the various exchange rate regimes adopted from time to time by Sri Lanka to suit the macroeconomic environment and outlook at the time.

The Central Bank of Sri Lanka has played the lead role in introducing innovative systems to modernise the payments and settlements system of the country over the years to augment the effectiveness of the country's financial system. Such initiatives by the Central Bank are presented in ***Payments and Settlement – Evolution of Sri Lanka's Payments System***.

Notes and coins used in Sri Lanka have an interesting history behind each of them. ***Currency Issued by the Central Bank of Sri Lanka*** reveals many interesting details about each of the currency series issued by the Central Bank, up to the latest series issued in 2011, as well as a historical account of the minting process, which would be particularly invaluable to the numismatists in Sri Lanka.

Economic development of the country brought about a greater inflow of foreign exchange, raising the foreign exchange reserves to unprecedented heights in recent years. The enhanced stability in the external front thus established enabled a change in Sri Lanka's foreign exchange regulations from a period of rigid controls to a more relaxed position while management of the reserves also proved to be more challenging. ***From Control to Facilitation – Exchange Control Liberalisation*** gives the sequenced liberalisation implemented by the Central Bank while Managing Sri Lanka's Foreign Reserves presents the challenges faced by the Bank in managing the country's growing reserves.

Changing Lanes – Pursuing a Liberalised Economic Policy is a brief account of Sri Lanka's experiences in moving towards economic liberalisation. ***Sri Lanka's External Trade Relations*** presents the various approaches to international trade during the episodes of outward looking and inward looking policies pursued over the last 60 years. The gradual opening up of Sri Lanka's economy and our broadened inter-linkages with the world in terms of both trade as well as capital and financial flows are presented in ***Expanding Horizons – Integration with the World Economy***.

Managing the Public Debt gives an account of the steps taken by the Central Bank, categorised by instrument, to efficiently and effectively manage the public debt of the country, which is an agency function entrusted to the Central Bank. In 2007 Sri Lanka took a decisive step in public debt management by issuing its debut sovereign international bond. Encouraged by the reception for the Bond, several other issues followed in 2009-2011. ***Sri Lanka Steps into International Capital Markets*** is an account of the country's experience of tapping international investors.

Central banks rely on a host of information to design policy measures and gauge their effectiveness. The needs are more pronounced for the central banks of developing countries as a broad range of socio-economic data are required to facilitate their policy formulation. The Consumer Finances Survey is a longstanding survey conducted by the Central Bank of Sri Lanka to fill in this lacuna. ***Consumer Finances Surveys Conducted since 1953 – What the Data Reveal*** is the statistical embodiment of Sri Lanka’s growth story.

Special Attention to Special Needs – Central Bank Focuses on Regional Development is an overview of the Central Bank’s efforts at promoting financial deepening amongst the rural masses in a bid to promote economic growth. Although this is a step away from the conventional operations of a central bank, the efforts have yielded commendable results.

The prospects for development of the North and the East were hampered for decades by the protracted civil conflict, which underscored the urgency of restoring normalcy in the region following the resolution of the conflict. ***Renaissance of the North and the East*** reviews the measures taken by the government to revitalise the North and the East and the catalytic role played by the Central Bank to fast track the process. In conclusion, it presents the challenges faced by the authorities in uplifting livelihoods in these areas and ensuring sustainability.

The Central Bank has also been entrusted with managing the EPF, the country’s largest provident fund, owned by nearly 13.3 million persons employed in the private and semi-government sectors. ***Providing Social Security through the Employees’ Provident Fund*** gives a description of the Central Bank’s dedicated efforts of prudently managing the Fund to ensure maximum retirement benefits as well as other benefits for the betterment of its members.

Sri Lanka’s economy showed substantial changes since the end to the three decade long conflict in mid-2009. The ensuing period was characterised by greater stability in the macroeconomy, repositioning Sri Lanka on a path to attaining high growth. ***Recent Trends in the Emerging Economy of Sri Lanka*** presents the changes undergone by the economy since 2009, touching on the near term prospects for the country.

I thank the Governor and the staff of the Central Bank for their good wishes and support. I would also like to thank the staff of the Central Bank of Sri Lanka who contributed to this publication by sharing their expertise with much enthusiasm and eloquence in the chosen subject areas. I am sincerely grateful to Dr. D. S. Wijesinghe, former Deputy Governor of the Central Bank of Sri Lanka and Dr. Koshy Mathai, Resident Representative of the International Monetary Fund in Sri Lanka for reviewing all articles presented for publication. A committee comprising Mrs. Swarna Gunaratne, Dr. Chandranath Amarasekara, Ms. Cheika Hewagama, Mrs. Anandika Hettiarachchi, Ms. Bhagya Senaratne, Mr. Waruna Wickumsiri and Mr. Chathura Kulawardena co-ordinated the preparation of the final draft. An editorial committee composed of Ms. Cheika Hewagama, Ms. Kanchana Ambagahawita, Mr. Navin Perera (Economic Research Department),

Mr. Yohan Samaratunga (Public Debt Department), Ms. Prasangi Dayaratne (Information Technology Department), and Ms Sumudu Gunasekare (International Operations Department), assisted in the preparation of the final draft. Mr. D.D.M. Waidyasekera, President of Sri Lanka Institute of Taxation, also provided useful editorial suggestions. Special thanks are due to the Director and staff of Communications Department for assisting in the publication. Mr. Darshana Narampanawa (Central Bank Printing Press) designed the publication, cover design was prepared by Mr. Kasun Priyashantha (Communications Department) while Mr. Rohana Liyanapathirana (Communications Department) provided the photographs. Mr. Vajira Karunatilake, Manager, Central Bank of Sri Lanka Printing Press and his staff executed the task of printing.

K D Ranasinghe

Chief Economist and Director
Economic Research Department

August 2011

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The Long March of the Central Bank- 60 Years of Central Banking in Sri Lanka

Mrs. C. Premaratne
Assistant Governor

The day 28 August 1950, marked the dawn of a new era in the economic and social development history of Sri Lanka. The year witnessed the birth of a great institution called the Central Bank of Ceylon¹ with the strong expectation that it would contribute to the prosperity of the country and raise the welfare of the people. Immediately after independence, the political leadership realised that uplifting the economic status of the country and its people should go hand in hand with economic independence and the Central Bank was set up to establish financial autonomy. This was a ray of hope for Ceylonese people who were grappling with low per capita income, high level of absolute poverty and rising unemployment. The Central Bank of Sri Lanka (CBSL) was statutorily empowered under the Monetary Law Act No.58 of 1949, equipped with all the necessary instruments to manage financial conditions of the country and was expected to bring prosperity primarily by maintaining stability both in prices and the financial system.

In 2010, the CBSL completed 60 years of its service to the nation. Its journey of six decades has been highly challenging but rewarding with many fulfilling outcomes. Political developments, technological advancement and developments in economic theory and practice caused the role of the CBSL to evolve and mature. There were also several important lessons learnt. The CBSL experienced some of the great ups and downs of the Sri Lankan economy while grappling with episodes of economic turbulences, global shocks, domestic shocks, civil war, terrorist attacks

¹ The name 'Central Bank of Ceylon' was changed to 'Central Bank of Sri Lanka' on 31 December 1985.

and natural disasters. During these six decades, Sri Lanka has experienced a modest average annual growth of 4.4 per cent and an annual inflation rate of 8 per cent. By end 2010, average inflation stood at 5.9 per cent and the country was moving towards a high growth trajectory. Reflecting the strong potential of the economy subsequent to the ending of the internal conflict, the Sri Lankan economy recorded an impressive growth of 8 per cent in 2010. Per capita income of the country reached a level of US dollars 2,399 in 2010 compared with US dollars 120 in 1950 promoting Sri Lanka into the middle income category. Living standards have improved considerably with the poverty headcount ratio reducing to 8.9 per cent and the unemployment rate declining to 4.2 per cent. The CBSL played a pivotal role and led the economy in achieving all these impressive outcomes by creating right monetary conditions conducive for people to create more wealth, maintaining a robust financial system, building and developing financial and debt securities markets, managing volatilities in money and exchange markets and adopting latest technology and best international practices in the financial spectrum. In fact, throughout the period, the CBSL maintained its credibility and earned public respect through its admirable record of work.

Commissioning of Central Bank of Ceylon

Looking back at the time of the establishment of the CBSL, the country remained predominantly rural and peasant agriculture was the main source of employment. The financial system was rudimentary and fragmented. At independence, all monetary matters in Sri Lanka were handled by a Currency Board system. Under this system money supply had an automatic link with the foreign exchange earnings; the amount of currency issued expanded when the balance of payments of the country was in surplus and contracted when it was in deficit. Hence, though it provided an automatic adjustment to balance of payments, the Currency Board mechanism did not have the flexibility required by the authorities to accommodate the growing needs of the expanding economy.

Considering all the above and also influenced by the intended setting up of central banks in Korea and the Philippines, the first finance minister of independent Ceylon, Mr. J. R. Jayawardena requested assistance from the Federal Reserve Bank, USA to set up a Reserve Bank in Ceylon in 1948. In response, Mr. John Exter, an eminent economist of the Federal Reserve Bank, USA who had been associated with establishment of central banks in Korea and Philippines was sent to the country. He was requested to frame proposals for a draft constitution for the Reserve Bank for Ceylon. The Monetary Law bill, prepared on the basis of the recommendations made by John Exter, through his report known as the “Exter Report” was presented to the Parliament in 1949. Diverse views were expressed by the House of Representatives. Overall, the Exter Report was greatly admired considering its clarity, directness, succinctness and sustained relevance to the subject matter. Some however, were doubtful about the effectiveness of the Central Bank and some House Representatives enunciated that “Minister of Finance is in danger of putting too great value or overestimating its function as it is not equipped with the required other infrastructure and

institutional setup”. In contrast, several members stated that “it was much more important than even the Independence bill”. Amidst all these, the “Central Bank of Ceylon” was established in 1950.

John Exter, as the first Governor of the Central Bank of Ceylon clearly spelt out the rationale for the establishment of the CBSL. He strongly emphasised that the Central Bank is a necessary condition for future prosperity and the Bank’s contribution must necessarily be a long run contribution. Further, he explained that the Bank does not itself produce goods and services, and it cannot directly get involved in economic activities. The Central Bank’s only weapon is to print money (fiat money) or create credit. Hence, the prime responsibility of the Bank is to create the right monetary conditions for maintaining price stability or creating an inflation free environment conducive for people to take a medium to long term view and create more wealth. In a stable monetary environment, which is conducive to create real wealth, the task of the government and the private sector is to take appropriate measures for the same. The CBSL was also empowered to examine and supervise commercial banks in order to strengthen the banking system, which would in turn enhance flow of credit promoting expansion of economic activities. John Exter believed that such powers will prevent banks from engaging in unsound practices and protect the depositors from bank failures. Meanwhile, Exter also believed that the CBSL could support efficient handling of public finances by acting as the government’s fiscal agent, banker and financial adviser. Since the CBSL was regarded as the most trustworthy and capable agent of the government, somewhat non central banking functions were also assigned to the Bank both at the time of establishment and later on. Among those were the implementation of exchange control regulations, management of the Employee’s Provident Fund, public debt management, financial intelligence unit (FIU), etc. On the whole, as stipulated in the Monetary Law Act, the Bank was expected to maintain monetary stability, preserve both internal and external value of the rupee and to initiate actions for promoting growth and employment and full development of resources within the Sri Lankan economy. In fact, the tasks assigned to the newly established Bank were extremely challenging, as such targets were not necessarily seen compatible and harmonious at all times.

Role of the CBSL in Managing the Economy

Monetary Policy in the Early Era

When the Bank started business in 1950, the economy was favourably placed with an external assets portfolio sufficient to finance 12 months of imports, surpluses in the trade account, the current account, and the overall balance of the balance of payments (BOP) and the budget deficit and debt containing at around 4 per cent and 16 per cent of the gross domestic product (GDP), respectively. Fixed exchange rate system was maintained and the Sri Lankan Rupee was pegged to the Sterling Pound. The challenge ahead was to achieve high growth while maintaining stability in the domestic economy. The first challenge the Bank had to face was the Korean boom, which threatened the Sri Lankan economy in several ways. The sharp rise in export prices in

1949 and 1950 in the context of the Korean war resulted in large balance of payments surpluses requiring the Bank to sterilise the expansionary impact of higher export proceeds to avert inflationary pressures. The CBSL used conventional monetary measures such as raising SRR on demand deposits, credit controls and to a limited scale, open market operations. The efforts were reinforced by adopting unconventional policy measures, and commercial banks were allowed to invest their foreign exchange working balances abroad so that the monetisation of proceeds were postponed until the domestic economic situation was free of a threat to stability. Despite these efforts to contain the expansion in aggregate demand, external assets declined by 43 per cent in 1953 due to the fall in export income, adverse terms of trade and increased level of imports. The creation of huge domestic purchasing power through expansionary fiscal deficits funded by the Central Bank, high consumption expenditure of the government and reluctance of the people to get readjusted to a normal expenditure pattern even after the boom subsided were the key reasons for the deterioration in the external position. The situation was relieved to a certain extent with the tea boom, which occurred in 1954, improving government finances and generating budget surpluses in 1954 and 1955. The CBSL issued its own securities for the first time in 1956 to mop up excess liquidity.

In the next few years, the Bank had to face a serious challenge posed by the expansionary fiscal policies associated mainly with large food subsidies, the deficits arising from which were mainly financed by the banking sector. The budget surplus enjoyed in 1955 turned out to be a deficit by next year and it rose up to 6 per cent of GDP by 1959. The Bank pointed out the danger of inflationary financing and repeatedly advised the government to curtail excessive subsidies on consumption, which led to large budget deficits. The CBSL finally took a bold decision in 1959 to raise the Bank rate to reflect true cost of borrowing in the wake of escalating budget deficits and deteriorating BOP situation, despite differences of opinion between the Ministry of Finance and the Monetary Board. By the end of the decade, the Korean war surplus, which was sufficient to finance about 12 months of import requirement of the country dwindled away creating a severe BOP crisis mainly due to the sharp increase in import expenditure. Nevertheless, the country remained committed to its fixed exchange rate arrangements and monetary policy measures were not strong enough to arrest the situation. The effectiveness of monetary policy measures during the first 10 years was impeded by the continuous reliance on expansionary fiscal policies and the government pressure to maintain a low interest rate policy as evidenced by the directives issued in 1959 by the government to reduce the Bank rate revoking the decision of the Monetary Board. In a nutshell, Sri Lanka lost a valuable opportunity, which could have laid a foundation for sustainable growth by an appropriate interest rate policy in coordination with a set of appropriate fiscal and exchange rate policies.

Monetary Policy in a Controlled Regime

In the next 17 years, macroeconomic management was severely threatened by two key factors i.e., (a) worsening balance of payments situation resulting mainly from low growth in exports and failure to diversify the export structure and (b) high fiscal deficits associated with increasing

subsidies on food, health and education, which were financed by the banking sector. The key set of policy measures adopted by the government in this environment was strict exchange controls, import substitution, reliance on the domestic sector and gradual expansion in the size of the public sector. In keeping with the government policies, the focus of monetary policy had to be placed both on stability and development objectives. This made the task of the CBSL more difficult as the two objectives conflicted with each other. Throughout the period, the Bank had to make concerted efforts to deal with severe BOP crises that resulted in a sharp fall in external assets while financing escalating fiscal deficits associated with increasing subsidies, which in turn affected the BOP. In the meantime, the CBSL, with a view to achieving the development objective had to provide subsidised credit to priority areas through refinances, thereby building such concessionary credit schemes permanently into the monetary policy structure. Strict exchange controls and low production created a scarcity of goods while inflationary financing of fiscal deficit and concessionary refinance schemes added fuel to inflation. Throughout the period, the budget deficit remained at 5-6 per cent level but sprang to 8 per cent by 1976.

The Bank adopted a restrictive monetary policy stance with some concessions throughout the period and a conducive environment for market oriented monetary management did not exist. Thus interest rates were not effective as an instrument of monetary policy and the CBSL had to depend largely on direct control measures such as credit controls and credit ceilings including imposing credit controls on non essential imports. Throughout the period, the Bank was very critical of the policies of the government of that time and the measures implemented to the detriment of the country and its people. In a nutshell, the CBSL found it difficult to operate effectively in a highly controlled restrictive and regulated economy. The monetary policy adopted during this era was a mixture of concessions, subsidies and controls giving short term solutions to emerging macroeconomic problems. The outcomes were a continuous expansion in the money supply, which reached to 34 per cent by 1976, the highest recorded deficit in the budget since 1950, a sharp fall in foreign assets to a level sufficient for financing 3 months of imports, which were heavily controlled through regulations, economic growth as low as 3 per cent and a shortage of goods with suppressed inflation through price controls.

Fostering Growth and Maintaining Stability in a Liberalised Environment

In 1977, Sri Lanka significantly departed from the closed economic policies and introduced policies to liberalise the economy. There was a fundamental change in the policy spectrum from the narrow objective of import substitution through extensive controls to an outward looking export oriented industrial development programme. The main features of the new policy included greater reliance on the market system for resource allocation, abandoning of import and exchange controls, harnessing of private foreign capital, etc. The year marked a significant milestone in

the history of the Central Bank, as it took leadership in driving the economy into the new era by setting appropriate monetary and exchange rate policies, establishing new institutional, legal and financial infrastructure and setting the right environment for investments.

The most significant reform was the readjustment of the exchange rate mechanism. Sri Lanka maintained a fixed exchange rate system through the 60s and most of the 70s with a rigid system of exchange controls. The Rupee was first devalued by 20 per cent in 1967 and supplemented with even a more depreciated exchange rate for nontraditional exports and non essential imports under a system of dual exchange rate in 1968. With the suspension of the convertibility of US dollar for gold in August 1971 by the United States, the rupee was linked to the US dollar, allowing the parities against other currencies to be determined on the basis of their cross rates with the US dollar in international foreign exchange markets. Sri Lanka moved from a hard peg to a single currency, to a basket peg in May 1976. The exchange rate system was changed to a crawling peg system in 1977 allowing it to reflect changes in macroeconomic fundamentals with the intention of making the exchange rate more realistic.

In monetary policy spectrum, policy was strengthened by improving scope, coverage and the strategy. The Bank redefined the monetary aggregates used for the policy purposes to take into account innovative instruments and practices introduced in the banking system. First, in 1980, the definition of money supply was broadened from the narrow definition of M_1 to M_2 by including the time and savings deposits of the public held with commercial banks. Second, the entire strategy of monetary policy was refined by applying appropriate instruments to influence and target monetary indicators more effectively. Third, the bank commenced preparing an annual monetary programme on a quarterly basis, which was compatible with the projected basic macro variables such as BOP, budgetary outcome, growth rate, and inflation in the country. The programme facilitated the use of monetary policy instruments in a more effective manner in order to maintain the monetary base at a desired level.

The CBSL was instrumental in developing the money market particularly with the aim of successful implementation of the Open Market Operations (OMO). Repurchase facility was introduced for the first time in 1993 to absorb excess liquidity in the market and reverse repurchase facility was introduced in 1995 to provide liquidity on overnight basis and thereby containing the excessive volatility in the market. Money brokers were allowed to operate while new features were added to the market by establishing a secondary market for Treasury bills in the Central Bank. More importantly, the interest rates were allowed to move freely in the market in response to demand and supply forces thereby facilitating monetary policy transmission mechanism, promoting investments, encouraging savings and discouraging wasteful expenditures.

During the first 20 years since 1977, the thrust of the monetary policy was placed on achieving both stability and development objectives. The key challenges were to tame overheating of the growing economy and address huge BOP deficits experienced throughout the period partly

due to external shocks. The challenge was intensified by expansionary fiscal deficits cropped up by the internal conflict, which started in the early 1980s and aggravated in 1983, 1987, 1992, and 1996. Most of the time, the CBSL had adopted a rigid monetary policy stance to address all these issues by using conventional direct monetary policy instruments while at the same time continuing with development oriented refinance schemes extensively for priority sectors. Recognising the limited effectiveness of direct instruments, the emphasis was shifted to open market operations from mid 1984 and the bank issued its own securities to mop up the excess liquidity in the economy and the bank was successful in controlling monetary expansion in many instances. In order to make the implementation of monetary policy more effective while improving the government debt securities market, the bank took major steps during 1985-1999, especially opening the discounting and rediscounting window for Treasury bills at the CBSL and thereby encouraging secondary market for Treasury bills and introducing weekly auctions and long maturities for Treasury bills, introducing Treasury bonds, reforming primary dealer system introduced in 1992, etc. Meanwhile moving towards more liberalisation in 1994, having completed the removal of restrictions on current international transactions, Sri Lanka accepted obligations under Article viii of the IMF articles of Agreement.

The year 1996 is marked as a grey year in the history of the Central Bank. The most devastating and horrendous bomb explosion destroyed lives of 41 officers and made the bank totally uninhabitable. The commitment, dedication and tireless effort made by the staff enabled the bank to restart its business the following day and rebuild the shattered business confidence within a very short period. Immediately after this event, the Bank had to deal with the Asian crisis, which took place in mid 1997 but the bank was fared well in handling economic affairs compared to most of its peer countries.

Maintaining Economic and Price Stability in a Turbulent Environment

With the dawn of the new millennium, the Bank had to face a series of external as well as internal turbulences. In 2001 there was a sharp fall in external reserves as a combined effect of recession in the world economy, which severely reduced external trading activities, frequent terrorist attacks, which sharply curtailed tourism and business confidence and unfavourable weather, which resulted in a fall in domestic output. Having carefully considered this evolving condition, the Bank took a vital decision and moved in to an independently floating exchange rate regime in 2001 enabling a turn around in the reserve loss by opening another channel to absorb the burden of external shocks. Despite an initial volatility that was short lived, the shift to a floating exchange rate system was well managed and supported by high interest rates and prudential measures on forex transactions issued to the authorised dealers. With the market gaining experience under the present exchange rate system, by adjusting policy rates gradually, rates of interest in the market were brought to their lowest by 2003 supported by improved macroeconomic environment, and prudential measures were relaxed gradually and withdrawn over time.

With the shift to a floating exchange rate regime, the exchange rate could no longer serve as a nominal anchor for monetary policy. Consequently, highlighting an important shift in the monetary policy strategy, the CBSL placed greater emphasis on reserve money, which became the operative target in the overall monetary programme, in pursuing the final objective of the price stability. In fact, with the financial market becoming more stable while strengthening economic and price stability, the bank introduced a system of Active Open Market Operation in 2003. This enabled the Bank to actively manage liquidity, to maintain interest rate stable within a corridor formed by its Repo and Reverse Repo rates while signalling a change in the monetary policy stance by shifting the corridor and thereby to attain its monetary policy targets more effectively.

Tsunami in December 2004 posed another challenge to the Bank in the conduct of its monetary policy. In recognition of the importance of keeping the banking system well liquid to ensure smooth operations and deal with any contingency, the Bank released liquidity quite liberally and even suspended the absorption of liquidity through daily auctions under OMO for a limited period. In fact the Bank took precautionary measures and kept the payment systems open to meet any contingency. A special scheme was also implemented to assist people and businesses affected by Tsunami in their rehabilitation and reconstruction efforts. Under the circumstances, this accommodative policy stance had to be adopted despite rising pressures as indicated by higher monetary expansion and rising inflation.

On the whole, the Bank has adopted a tight monetary policy stance since the beginning of the decade and was able to maintain inflation at single digit level until end 2004. In 2005 the inflationary pressures started to rise in particular due to supply related factors such as escalating oil prices in the international market and unfavourable weather conditions prevailed. In the meantime, the internal conflict that had ravaged the country for almost 3 decades reached a critical juncture by this time requiring a huge magnitude of resources and imposing severe pressure on banking system. The Bank had to be mindful of its responsibility in a war environment but recognised the need to maintain a balance between containing demand pressures and accommodating pressing requirements of resources. Accordingly, the Bank was rather conscious in adjusting its policy rates, but tightened its monetary policy stance gradually by imposing quantitative restrictions on access to the Central Bank funds by commercial banks and primary dealers and introducing a penal rate of interest for access beyond the limit.

The year 2008 will be remembered as one of the most difficult and challenging year in the CBSL history. Achieving of both objectives, economic and price stability and financial system stability, were severely threatened by unprecedented global shocks. Despite the tightened monetary policy stance adopted over the last few years, inflation accelerated to the highest ever recorded level owing to the impact of food and energy crisis in the global economy in 2008. However, the lagged impact of the tight monetary policy was observed since the latter part of the year and inflation sharply dropped from 28.2 per cent in June 2008 to 7.6 per cent by end February 2009 with the improvement in supply side and tumbling food and energy prices with slowing down in global economy.

The financial crises that emerged in the USA in 2007 intensified and turned into a global finance turmoil in September 2008. The turmoil triggered a sharp reversal of capital flows, resulting in a loss of 50 per cent of external official reserves as foreign investors, owing to their own liquidity constraints liquidated their investments in government securities. The country also had to settle certain liabilities arising from petroleum imports and certain other imports as liquidity in international financial market virtually dried out with the financial crisis. The Bank was prepared to face the situation as it built up reserves when foreign investments were flowing into the government securities market, but as decline in reserves continued, measures were taken to obtain liquidity including commencing dialogues with friendly nations for SWAP arrangements and negotiations with the IMF for a Stand-By Arrangement (SBA). With the ending of the war in May 2009, there was a sharp improvement in investor confidence, which was further supported by the approval of the SBA facility in July 2009 and the fact that investors were able to liquidate their investments even at the peak of the financial crisis without incurring any losses. In fact, financial inflows commenced even before the approval of the IMF facility. There were inflows in large volumes even for long term Treasury bonds and the country was successful in floating its second sovereign bond in 2008 at a very competitive rate. While maintaining stability in the domestic foreign exchange market, measures were also implemented to ensure stability in the money market, as the rupee liquidity drained with the outflow of foreign exchange. Accordingly, the market liquidity was maintained by reducing SRR from 10 per cent to 7 per cent by end February 2009 in three steps and by acquiring as and when deemed necessary government securities both at the primary issues and in the secondary market. The implementation of these measures was supported by the gradual decline in inflation and inflation outlook as observed since late 2008. The decline in inflation, lower interest rates and renewed investor confidence contributed to the robust performance of the equity market, which became one of the best performing stock markets globally today. Undoubtedly, this remarkable recovery in the Sri Lankan economy was bolstered by the conscious, timely and coordinated policy efforts made by the Bank during these years.

Improving Transparency and Managing Expectations

In early years, central banks did not recognise the importance of sharing information particularly, those pertaining to policy decisions with the general public and always maintained secrecy. Conducting monetary policy was a mystery to the public. However, central banks around the world have become noticeably more open and transparent over the past fifteen years with the realisation of the importance of managing expectations in achieving their objectives. In line with this trend and the best practices adopted by other central banks during last decade or so, there has been a shift toward more transparency and openness in operations of the central banks while enhancing the predictability of its policy stance. As an integral part of making its monetary policy decisions and operations more transparent, the Bank appointed a Monetary Policy Committee to review the monetary policy stance on regular intervals and make recommendations to the Board and commenced issuing a monetary policy statement on

an advanced release calendar, following the monetary policy review by the Board, announcing the monetary policy decisions and underlying macroeconomic conditions. The decision making process pertaining to monetary policy has been further streamlined by appointing a Monetary Policy Consultative Committee made up of various stakeholders drawn from the private sector and academia, to independently review the Bank's monetary policy actions and make suitable recommendations to the Board. With the objective of enhancing the policy predictability by keeping the public informed in advance, the Central Bank commenced announcing its Road Map for Monetary and Financial Sector Policies in January 2007. The communication strategy has been further strengthened through regular and occasional press releases on important economic developments and issues, Governor's speeches in various forums on economic affairs and public lectures and seminars.

As Promoter and Regulator of the Financial Sector

Over these 60 years, the CBSL has continued to preserve the soundness, efficiency and stability of the financial system while acting as a promoter and regulator of the financial sector. When the Central Bank was established in 1950, the banking system was in a rudimentary state with one domestic bank and some 10 foreign banks. None of these banks were lending outside their traditional spheres of activity and the emphasis in their business was largely on financing commerce and trade. The expansion in the banking sector especially branch expansion started with the establishment of Peoples Bank in 1962, an initiative of the CBSL. With the liberalisation of the economy in 1977, the CBSL took the leadership in thriving financial sector by way of building institutions and financial infrastructure, strengthening legal and regulatory framework, allowing market determination of interest rates and opening areas for the private sector participation. Encouraged by this new initiatives, foreign banks entered in to the Sri Lankan market while the domestic private sector was also encouraged to start commercial banking, creating a competitive environment in banking industry. Almost all banks started Foreign currency banking units (FCBUs). Financial market was further strengthened by introducing new types of financial institutions such as Money brokers, venture capital companies, merchant banks, unit trusts etc. The Bank was instrumental in setting up of certain large financial institutions such as Development Finance Credit Corporation (DFCC), National Development Bank (NDB), National Savings Bank (NSB), to undertake specific banking functions, which were subsequently brought under the regulatory authority of the Central Bank as licensed specialised banks. In summary, over these 60 years, type of institutions, instruments, range of services, and the geographical coverage of the financial sector expanded significantly. The financial system has been evolved from a rudimentary financial system to a highly diversified system, from highly controlled to a system that functions with great market orientation, from a highly fragmented to a more consolidated system. Today Sri Lanka has a dynamic, vibrant and technologically advanced financial sector with 22 commercial banks, 14 long term financial institutions, 35 Finance companies, 74 Leasing companies and other entities such as Merchant/Investment banks, Venture capital companies, Mortgage banks etc.

The CBSL has the sole authority of regulating and supervising the financial system in Sri Lanka. However, in early decades the need for extensive supervision of banks was not felt as the degree of complexity remained modest. The Banking Act No. 30 of 1988 strengthened regulatory powers of the CBSL in ensuring smooth functioning of the financial system safeguarding the interest of depositors. Meanwhile, a legal framework for regulating finance companies was enacted giving powers to the Central Bank to regulate and supervise finance companies in 1980. During 1986-88 there were failures of a number of finance companies and the Bank intervened to address and build confidence in the industry. A new Debt Recovery Law was enacted to make the banking system more viable while, a Credit Information Bureau was established in 1990 to share information with banking institutions to establish creditworthiness of prospective borrowers.

With the rapid integration of the Sri Lankan economy with global financial markets, there is a potential threat to the financial system from financial turmoil in other countries. Further, money laundering, terrorist financing, pyramid schemes, unauthorised finance entities etc. have enhanced the severity of the threat. Having recognised these challenges and in line with the international best practices, the CBSL introduced new regulatory standards based on international guidelines provided by the Basel agreements in 1998. Supervisory and regulatory framework was further evolved in the recent decade with the introduction of prudential guidelines in the area of capital adequacy, liquid assets, loan loss provisioning and single borrower limit and the prudential regulatory framework has been evolved from a compliance-based approach to a risk based approach, limiting risk concentrations and requiring financial institution to establish strong risks control systems.

The year 2008 witnessed the implementation of a major policy initiative to strengthen the risk management system in banks with the adoption of pillar one of the Basel II capital adequacy standards. The implementation of the direction on corporate governance was a further milestone in this respect. The preemptive measures taken over the past years in the financial system and the enhanced risk management infrastructures placed the financial system on a strong footing to absorb the impact of the recent global financial turmoil. Meanwhile, the financial crisis originated from the collapse of the US sub prime mortgage market quickly spread throughout the financial markets in advanced as well as developing countries in 2008. This has had adverse effects at varying intensities on developing countries depending on their interaction with global economy. In the case of Sri Lanka, because of the fact that the capital account has not been fully liberalized and that many local banks did not trade in complex financial instruments, the direct impact of the global financial crisis on the financial sector was minimal. However, towards the end of 2008 a crisis leading to a run of deposits was triggered in relation to Seylan Bank PLC (SBP) due to the contagion effect of the collapse of one of the companies of the Ceylinco Group, the Golden Key Credit Card Company Ltd. The sudden withdrawal of deposits resulted in a significant deterioration of the liquidity position of the SBP. As SBP is a systemically important bank, any failure of the bank to honour payments would have had a ripple effect on the entire financial system, perhaps causing a systemic crisis.

The Central Bank took immediate action to resolve this situation. First, the resolution framework that was already in existence was activated by the Bank to respond to the situation in order to avert a potential danger to the stability of the financial system. The key strategy adopted by the Bank was to revive SBP through rebuilding customer confidence. The bank appointed a new Board of Directors to SBP, and allowed all employees to continue their work without interruption. Managerial assistance was provided through Bank of Ceylon and rupee liquidity was accommodated under the Central Bank Reverse Repo window. The depositors were assured safety of their deposits and SBP was requested to raise capital of around Rs. 3 billion to further strengthen capital management and operations of the bank. The actions of the CBSL to rebuild customer confidence on the bank resulted to improve capital adequacy and liquidity levels of the bank significantly. The bank has successfully overcome the crisis and a year later recorded a healthy financial performance to build a sustainable business for the future. The timely and speedy action of the CBSL halted a crisis in the SBP and enabled the bank to safeguard the interest of all stakeholders without incurring public funds or any mode of nationalisation as occurred in many developed countries.

In 2008/2009 there was a crisis in the non banking sector that spurred from the loss of public confidence in shadow banks which were either unregulated or less regulated. The crisis was confined to a few companies and the common features of affected companies were excessive exposure to the real estate sector, unauthorised deposit taking, weak risk management, imprudent related party transactions, unethical business practices, negative capital, accumulated losses, etc. Similar to the case of SBP, the CBSL adopted a specific resolution mechanism to promote customer confidence and rehabilitation of businesses of those institutions. The Bank was of the opinion that no public funds to be used as the crisis was due to the lapses of the directors and managers. The specific measures implemented were appointment of managing agents, ceilings on total deposit liabilities, stimulus package to raise funds using their marketable assets, removal of executive powers of directors, appointing a panel of experts to advise the business companies on business restructuring, strengthening regulatory framework relating to RFCs, etc. As a result of these measures, affected companies were able to rebuild their businesses with new capital and strategic investors.

In 2010, the regulatory and prudential framework of the financial sector was further strengthened with emphasis on capital enhancements, improvements to cooperate governance and risk management infrastructure in financial institutions. A financial safety net for depositors was introduced in 2010 with the implementation of the CBSL operated mandatory deposit insurance scheme for banks and finance companies to protect small depositors. In view of the deficiencies in the existing law a new law, for the regulation of finance businesses has been finalised to combat unauthorised deposit taking entities and to upgrade regulation of finance companies. The Banking Act is also being amended to enable consolidated supervision of banking groups with new provisions for mergers and acquisitions and bank resolution measures.

As a Debt Manager

The Bank as an agent of the government played a crucial role in improving government debt management over the 60 years. The CBSL initiated vital steps in developing the Government securities market as it is essential for raising required resources at lowest cost with a minimum risk and also for better liquidity management. In particular over the last 20 years activities in the market was greatly facilitated by introducing new market instruments such as Treasury bonds (1997), Sri Lanka development bonds (2001), Treasury bills with multiple maturities (1989), etc, while market structure was strengthened by introducing secondary market for Treasury bills (1981), weekly auction system (1986), accredited Primary dealer (PD) system (1992), which was further improved as a dedicated PD system (2000) and Electronic bidding system (1998), etc. In addition, a comprehensive and modern depository, delivery and settlement system that facilitates the issuance and settlement of debt securities improving market efficiency was in place since 2004. Initiatives were taken to develop a secondary market for Treasury bills by introducing discount and rediscount windows at the CBSL. The CBSL's decision to open the Treasury bill and bond market for foreigners in 2006 and 2008, respectively, enhanced the depth and breadth of the debt securities market. The CBSL was instrumental in getting country Credit Rating in 2005 and at the height of civil war; the CBSL raised US dollars 500 million through its debut sovereign bond issue in the international market in 2007. The subsequent sovereign bond issues in 2009 and 2010 were even more successful and enabled better rearrangement of the public debt portfolio.

Accommodating Special Needs

Since early 60's, the CBSL has involved in addressing abject poverty in rural areas, supporting government policies. Having recognised its responsibility towards underprivileged groups, the bank actively engaged in designing and formulating rural credit schemes and providing subsidised credit through refinance schemes. The Medium and Long Term Credit Fund (MLCF) was introduced in 1964 to provide refinance for agriculture as well as industrial activities on a relatively long term basis while these efforts were strengthened by introducing credit guarantee schemes in 1974. The CBSL directly involved in regional development activities by instituting RRDBs in 1985 while the Rural Banking and Staff Training College was set up in 1980 mainly for capacity building. In 2004, the CBSL played a vital role in rebuilding Tsunami affected people by providing concessionary credit schemes. Considering monetary implications, although the CBSL's direct refinancing has been reduced to a minimum in the recent decade, the CBSL is still involved in donor funded credit delivery process and capacity building as an agent of the government. All these years, the Bank was instrumental in building of institutional infrastructure and system development required for promotion of credit delivery in the regions. The Bank took the leadership in instituting the Development Finance Corporation of Ceylon, People's Bank and National Development Bank while opening its own branches in Matara (1980), Anuradhapura (1982), Matale (1985) and Jaffna (2010). Since 2009, the CBSL has become actively involved in uplifting living conditions and improving financial inclusion in the Eastern and Northern region.

Modernising Central Bank

Over the 60 years, the CBSL has been modernised in many ways. At its inception, the Bank commenced its operations with 250 people and five departments. The bank has now grown in strength to 26 departments and 1,500 people to accommodate its expanded roles. In early 2000, the CBSL embarked on a special modernisation programme with the objective of creating a lean, modernised and efficient central bank by upgrading its systems and procedures, governance systems and by establishing a core financial infrastructure required for an evolving bank. After several years of discussions and deliberations the MLA was amended in 2002 and the amendments focused on the Bank's objectives, expanding its governing Board and the powers of delegation, increasing the flexibility and effectiveness of monetary policy and exchange rate policy, improving payment and settlement system and strengthening the regulatory role of the bank. Before 2002, the bank had multiple objectives such as maintaining domestic monetary values, presenting the stability of exchange rate, the promotion of a high level of production, employment encouragement, real income and promotion of the full development of the productive resources of Sri Lanka. However, the bank realised that this achievement of multiple objectives was not easy as such an objective could be in conflict or be inconsistent. Hence, the bank focused on two key objectives namely price stability and the financial sector stability since 2002. The departure from the multiple objectives helped the bank to focus on key areas of central banking, which has also been advocated by international best practices. The size of the Monetary Board was expanded to have more representation of the private sector. The decision making process was strengthened with the establishment of the Monetary Policy Committee, Financial System Stability Committee, and the Audit Committee. The Bank adopted the International Accounting Standards for the Central Bank to have acceptable disclosure policy. The Bank introduced technologically advanced Real Time Gross settlement system (RTGS) in 2003, strengthening the payment and settlement system while eliminating undue risk exposure of the Bank in an end day net settlement system. Sri Lanka was the first country in South Asia to introduce such an advanced Payment and Settlement system. Government securities market was modernised and made more efficient by issuing securities in scripless form in a Scripless Securities Settlement system (SSS) with a Central Depository system (CDS). The SSS and CDS known as LankaSecure is linked to the RTGS to handle the fund settlement part of securities transactions to ensure the safety of investors in government securities, by effecting transactions on Delivery vs Payment basis and maintaining records of all transactions.

Conclusion

The Central Bank of Sri Lanka has completed 60 years of fruitful operations while facing enormous challenges in preserving monetary and financial stability. The long journey will continue but the CBSL is likely to face unforeseen and unpredictable challenges, and also unprecedented opportunities. Sri Lanka is entering into a high growth path but in a more globalised environment over which the CBSL has little control. The recent financial turmoil

has clearly demonstrated the uncertainties and dilemmas of macroeconomic management in a globalised world. It was clearly evident that because of the interconnectedness of the financial markets, external developments influence domestic macroeconomic conditions in a complex, uncertain and unpredictable manner and central banks need to deepen their understanding of these interactions. The challenge for the CBSL is to better understand the interplay of global factors and domestic variables, and develop appropriate strategies and policy alternatives to handle the macroeconomy while building confidence internationally as well as domestically. Sustaining the low inflation and managing expectations will be the most challenging task in the monetary policy front. The bank will have to look for an even more appropriate monetary policy framework to well focus on the core objectives of price stability by moving away from the present system of targeting monetary aggregates, which could be less appropriate eventually in a modern financial system with a range of innovative instruments. In line with practices in other central banks, the communication strategy needs to be further developed as greater predictability can be of great help in shaping market expectations in line with the stance of monetary policy. With increased globalisation, financial sector stability is to be bolstered effectively and systemic oversight must be strengthened notably. As clearly evidenced by the recent global financial turmoil, the CBSL should have a more forward looking assessment of the risks to financial stability. Supervision has to be strengthened in line with the best international practices as the financial markets and products are evolving rapidly. Improved corporate governance in financial institutions is a must to ensure that the general public has confidence in the financial system. Improving independence and accountability of the CBSL operations is crucial in building public confidence in the CBSL policies, which is essential in meeting the Bank's policy objectives effectively. Finally, capacity building of the institution itself is a challenge and committed, dedicated and well prepared staff is essential to take up these future challenges and for the CBSL to become a more dynamic and credible Bank contributing to prosperity of the country.

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2

Rising from the Ashes – The Central Bank’s Remarkable Recovery from the Terrorist Attack

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The Day of Deadly Attack

It was 31 January 1996, a Wednesday. With the dawn of this business day, the Central Bank of Sri Lanka (CBSL), the intellectual power house and the heart of the financial sector of the economy, was awaking to another busy day of hard work to provide a stable economic environment and professional guidance for the nation to strive for prosperity.

As the day was growing, all departments of the Bank with specific responsibilities were warming up for the day: to execute international payments and settlements, to provide liquidity to the economy through the banking system, to raise required funds for the government Treasury, to monitor and supervise banks and other registered financial institutions to ensure financial system stability, to conduct the monetary policy to maintain price stability, to provide economic advice to the government for better economic management, to collect data and information and to attend to other services demanded by the nation from the Bank. As usual, people were flocking to the cash



counters with busy cashiers to meet their needs with respect to cash and payments. Commercial banks were busy with both withdrawing and depositing cash to match their liquidity requirements to cater to the needs of the economy. The entire financial sector was gearing up for yet another day with the pulses of the Central Bank operations providing life and strength to the entire economic system.

The day was still young, and every pulse of the Bank was moving with its usual busy rhythm when suddenly it was disturbed with sounds of firing bullets around the CBSL premises. Some of those inside the building, without knowing exactly what was happening, were peeping through the windows with curiosity. Those who were outside the building were terrified with what they were observing. LTTE terrorists were trying to enter the Bank premises with a lorry laden with a huge load of explosives to destroy the heart of the country's financial system with the aim to paralyse the whole economy. Fortunately, they were not successful in entering the lorry to the Bank premises, thanks to the barriers constructed during late Dr. H N S Karunatilaka's Governorship. Had they been successful, the story would have been a horribly different one, perhaps written by another writer. To the horror of all, the deadly bomb exploded outside the Bank premises around 10.50 in the morning with a trembling thunder that shocked the entire Fort area.



Rescuing the Affected

The shock was felt in a radius of many miles. A dead silence prevailed for a moment, as all were numb with the shock. Then, those who panicked with the shock and feared that more severe disasters were imminent started screaming. However, those who were courageous and able to manage themselves to face the situation guided the frightened colleagues to the rear exit doors and attended to take the wounded to hospitals soon. A stream of people with cuts, wounds, and blood stains was seen climbing down through the emergency exits to move to safety, fearing that the whole building would be caught in fire, explode, and collapse soon. Despite an imminent danger to their lives, there were many brave sons and daughters of the Bank who dared to go into the building to search, if any of their colleagues or visitors were trapped in and to help them out safely. The Governor of the Central Bank at the time of the incident, Mr. A S Jayawardane, in an interview with the writer, remembered those brave officers with gratitude and commended that "they did everything possible to rescue the affected including their colleagues, and by the time the rescuers came from outside, most of the affected had been removed to safety and sent to hospitals".

It is worth mentioning that there was no central coordination of the rescue operation, and everyone who felt the need of their service offered it in whatever way they could. Some officers were seen driving bank vehicles loaded with affected colleagues rushing them to hospitals. Since all the entry and exit gates at the ground level were blocked with rubble, the wounded had to be brought through narrow stairways at the back of the building, a difficult task. Some were injured so badly that the rescuers could not even touch them and hence, they were brought down in window curtains, as stretchers were not available at the time. Some of those who are still in the bank cannot even remember how they did it. “It is our inherited spirit that energised us there, nothing else I can think of”, one officer claimed proudly. True, we should be proud of our being able to save our affected colleagues to get medical attention soon, failure of which could have registered a much higher fatality rate.

However, the attack left 41 CBSL officers and several visitors dead, 8 CBSL officers totally blind, 11 CBSL officials partially paralysed, and few hundreds wounded, some badly. The estimated financial cost of the physical destruction was enormous.

They All were Wrong

There is no doubt that the terrorists would have celebrated their victory of destroying the heart of the financial sector and paralysing the entire economic machine to peril the entire nation enabling them to move few extra miles to reach their dreamed kingdom, had their expectations been materialised. In terms of strategic objectives, this attack has parallels with the September 11 terrorist attack on the World Trade Centre in New York, as terrorists, in general, illusively believe that the heart of an economy and its strength lie in physical structures, especially of the financial system, of the economy. The LTTE terrorists at that time had attempted a series of attacks on the key economic centres of our economy, while many more targets were in their planned future attacks. Among all their targets the Central Bank attack could have been considered their master piece, as the Bank has been the power house of the entire economy both in terms of managing the economy in turbulent times in all fronts and assisting the government to mobilise financial resources to finance its projects. Accordingly, the terrorists had many reasons to celebrate their attack, had they achieved their strategic objective.

They would have been assessing: how our nation would be humiliated and condemned by the world for failing to honour international payments and settlements and for defaulting in servicing our foreign debt, how the whole economy would come to a deadly standstill with the collapse of the entire financial system, how the government would run out of money with the collapse of borrowing programmes, how the destruction of the database of the nation’s largest provident fund, Employees’ Provident Fund, would also have created public unrest against the government, and all in all, how the entire Sri Lankan nation would be stranded in chaos in all fronts. Had this happened, the terrorists would have been able to claim their victory. Had anyone expected a similar situation by undermining the strength of our spirit and our resilience to shocks, they all were wrong.

Rising from the Ashes

Sri Lanka is a nation with a hidden spirit that has always surprised others with her resilience and revival in crisis situations. During the pause of dead silence that prevailed after the explosion those hidden spirits invigorated the forces and kept them in motion to rejuvenate the affected heart of the economy. While the brave officers of the CBSL were attending to the immediate task of rescuing affected colleagues and sending them for medical treatment, the place had to be protected from possible further attacks and from opportunists who could attempt to exploit the situation to loot. Accordingly, the whole area was brought under the control of security forces and declared a restricted zone. The immediate business task was to address the public confidence with respect to the operations of the Bank and ensure that financial sector operations were intact. Immediately after attending to the needs of that crucial time, it was decided to resume operation of the Central Bank from the premises of its own Centre for Banking Studies (CBS) at Rajagiriya the very next day, and accordingly, a public announcement was made through media that all financial operations of the Bank would be available to meet the public requirements. The Central Bank officers who were not affected physically were also requested to report for duty the next day at CBS at Rajagiriya.

On Thursday, 01 February 1996, all officers who were not hurt at the previous day bomb attack at the head office flocked at CBS by early morning. They all were prepared with high spirit, enthusiasm, and determination to bring the Bank back on her breath and feet soon and resume operations to make her presence felt to the nation. The spirit of this sense of responsibility and the commitment had even amazed some observers abroad. The Governor, Mr. A S Jayawardena, at a discussion with the writer, at the time of writing, on his experience in the aftermath of the attack quoted a CEO of a foreign bank who paid him a visit of solidarity saying that “I cannot believe that your officers reported for duty the very next day. Had this happened in my country, people would not have even thought of reporting to work for weeks”. “Our strength is that spirit” Governor commended with a high sense of gratitude.

At the special assembly that morning, the Governor, briefed the eagerly waiting workforce about the plans ahead for revival of the Bank, while attending to the needs of the affected ones. Accordingly, the department heads were to arrange task forces with their officers to resume their duties in whatever ways possible. A special task force was formed under the welfare department to look after the welfare of those who were affected and their loved ones, and to attend to funeral arrangements of the deceased. Since the new location had limited space to accommodate all officers, some of the employees were requested to stay at their homes and kept them on standby and to be called to duty at short notice.

According to the priorities at that moment, the international obligations were to be attended to first. Even without prior instructions, officers who were responsible for handling international transactions had come with whatever information accessible to them to resume their work. Some

officers had managed to grab whatever important documents they were working with at the time of explosion when they left the Bank premises for safety after the bomb and such documents were very useful for speedy resumption of work. Institutional memory of the experienced officers was an invaluable wealth of information in making required payment and settlement arrangements. Accordingly, on the very next day of the attack all counterparties in the network of international payments and settlement were contacted. All of them were already aware of the situation and were even prepared to offer whatever possible support for the speedy recovery of the Bank. Some foreign banks offered their support to settle due international obligations that were to be attended to immediately. Some were so generous and caring to write off certain dues in appreciation of the sound and long standing cordial relationships the Sri Lankan nation had established for generations. Governor Jayawardena was proud in saying “we did not default in any of our foreign obligations, which is a verdict to our resilience to adjust to any contingent situation.”

Public Debt management was another area of priority. The weekly Treasury bill auction was disrupted due to the bomb explosion, as it was to be conducted on the same day. The Bank was able to avert any shortage of funds for the government by arranging the auction on the very next day in collaboration with the officers from the Treasury and primary dealers. All other financial transactions with respect to government fiscal operations were resumed with similar arrangements to the credit of the responsible officers with high degree of commitment. Currency operations with commercial banks were started from the Treasury building while public counters were opened with the help of the two state banks. The establishment of the EPF database with physical and electronic records relieved the members of the fund that their life savings were secured. The nation could take a breath of relief that the worst was over.

The timing of the bomb posed another challenge to the Bank. It was the time that all key departments of the bank were geared to the preparation of the comprehensive analytical report with policy prescriptions for economic management, the Central Bank Annual Report, 1995. The entire project had to be revamped from ground zero, as the entire data base and work in progress had been destroyed by the fire that erupted following the bomb. Compared to the usual time period of one year under normal circumstances, the officers had only less than three months to establish the data base and redo the entire report to be submitted to the Minister in charge of the subject of Finance by 30 April 1996, which was a statutory obligation under the Monetary Law Act. Exceptional skills, experience, and indefatigable commitment of the human wealth that the Bank can be proud of, made it by having the report ready on the due date. Notably, one senior officer of the Bank proudly said “it was the best report the Bank had produced ever, as it was prepared with a new and better structure, and more importantly, it was completed with the least facilities at disposal.”

Governor Jayawardane, while appreciating the invaluable contribution of all officers to revive the Bank operations, finally said “it was only the loss of one day’s business and we were able to bring all the functions of the Bank into normalcy in a surprisingly shorter period of time”.

This is a victory that all Sri Lankans and their friends can claim for, as they all were together in their hearts and minds to see the fast recovery. The banking community including fellow central bankers worldwide deserves a bouquet of our appreciation for being with us throughout our recovery process.

Then, Now, and the Way Forward

The expectations of the terrorists in detonating that deadly bomb was to fuel a vicious force to exert complete destruction to the nation. However, the far reaching skillful vision of the Bank was able to see it otherwise; it envisaged the dawn of a new era through the dark tunnel of destruction enabling it to engineer the disastrous situation to fuel a virtuous force that could invigorate the Bank to face the challenges ahead. Accordingly, the recovery of the Bank was not just restoration of its operations to the state before the bomb; it transformed the entire operational structure to suit the new era with increasing globalisation. The destruction was transformed into an opportunity to remove the constraints and rigidities of the existing structure for the required change. Finally, the recovery process gave birth to a new working environment and culture.

Once the CBSL premises was ready after a complete renovation, with a facelift to the ill fated old building and added two new wings, it stood as a modern Central Bank equipped with a conference hall of international standards named to honour the Bank's founding Governor, late Mr. John Exter, complete IT environment with intra and international networks, and a working environment with all types of modern facilities including a fully equipped research library of the modern world, where knowledge commands.



To mark this historic turning point of the Central Bank a statue has been erected to honour not only those courageous sons and daughters of the Bank, who made a noble sacrifice on that day, but also to honour those who laboured through their blood, tears, and sweat to bring her breath back and to help her stand on her feet to serve the nation. The “Weera Samadhi” (the Statue of Courage), stands as the symbol our gratitude.

When modernisation of the physical structure was in the formation, a complete overhaul of the administrative structure also was in progress. The restructuring process that emerged with the revival has culminated in the overall Central Banking operations being structured under five main clusters by now. The management structure was also aligned accordingly with clear demarcation

of responsibilities and execution powers. A comprehensive strategic plan with lucidly articulated vision, mission, and the values that guide the operations and the way forward of the Bank is in place. The progress of the operations with respect to achieving the goals and the effectiveness of the strategies as stipulated in the set goals is under continuous review. The strategic plan is annually reviewed with a five year time horizon to meet the challenges in the changing business environment. A risk management committee conducts continuous evaluations of the risk profile of the Bank and implements mitigating measures following international best practices. The activity based budget plan has streamlined efficient and effective financial management. A business continuity plan is also in place to face any contingent situation to ensure continuation of its operations under any eventuality.

A comprehensive human resource management programme has been established under the Governorship of Mr. Ajith Nivard Cabraal along with the infusion of new blood at all categories of officers. It has been designed to fill the identified human resource gaps and to elevate the human capital stock of the Bank and its quality in line with the expanded scope and increasing sophistication of the operations of the Central Bank’s new business model. The need for continuous training with enhanced knowledge and skills in all fronts and at all levels to meet the challenges in a dynamic business environment is given due attention with required financial resources. The entire operation of the Bank has been repositioned to face the challenges of the new era and to deliver prosperity to the nation that has awakened with renewed expectations by seeing the dawn of lasting peace following complete eradication of terrorist menace. The nation will undoubtedly enjoy the fruits of this transition for generations to come.

All in all, the Central Bank of Sri Lanka, which revived from the deadly terrorist attack and turned the destruction into a foundation for continuous change and progress to suit a new era and face challenges of a dynamic business environment with increasing sophistication stands today with heightend might, influence, and glamour, than ever over the entire Sri Lankan economy. Now, the Bank is geared with a clear vision to serve the vibrant economy emerging in the new era.

Our Legacy

Terrorists attacked the physical structure of the Central Bank of Sri Lanka, but they failed to find and touch her heart of eternal spirit to bounce back with enhanced vigour. Every year on 31 January, all of us in the Bank flock at “Weera Samadi” not to weep, but to honour our lost heroes and also to remind ourselves of the purity of our spirit and the strength of our steel that were tested on that day. It is the day of reawakening to move forward to build a strong economy for the nation to prosper in all fronts.



The remarkable recovery of the Central Bank of Sri Lanka from the deadly terrorist attack proved that rising from the ashes is not confined to the mythical bird, the Phoenix; we can make it a reality, if we have a far reaching vision, courage to transform destruction into an opportunity and a committed team of workers with gratitude to their bread winner.

That is the legacy we are leaving behind for the generations to come.

3

Stability in the Midst of Uncertainty

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During the past 60 year period, Sri Lanka faced numerous internal and external shocks. Some were positive shocks, most of which were short-lived, while the majority were negative, originating from both external and internal factors, and sent waves of destabilisation through the entire economy. These adverse shocks affected many macroeconomic variables of the country, including economic growth, inflation, exchange rate, balance of payments (BOP), budget deficit as well as the stability of the financial system and created periods of economic uncertainty, particularly among economic agents in taking various decisions and undertaking various activities.

The economy faced two key positive shocks in terms of export commodity price increases during the 1950s. While the Korean War significantly raised international rubber prices during 1950-52, the tea prices in the international market increased significantly during the 1954-55 period, thereby improving export earnings, creating a surplus in the BOP and leading to a surplus in the budget due to the increased revenue from exports related taxes. Another significant positive shock was seen in the 1976-77 period with the increase of tea prices in the international market. The adverse external shocks were in many areas, including the decline in export prices, increase in import prices of commodities, including the price of crude oil, and financial market related developments. The internal shocks were mainly in the form of an internal conflict, political uncertainties and natural disasters. In those circumstances, policy makers and authorities also faced uncertainty in their courses of action. In order to deal with these types of adverse shocks,

policy makers and authorities, including the Central Bank of Sri Lanka (CBSL), introduced various policies and measures to address uncertainties and maintain stability considering pros and cons of the possible responses. The remainder of this article attempts to summarise the highlights of such adverse events during the past 60 years.

BOP Crisis in mid-1960s

Since 1957, Sri Lanka's external position continued to worsen and needed corrective measures. The government and the CBSL introduced various measures to stabilise the external position, including the introduction of stringent import and exchange restrictions. However, there was a BOP crisis in mid 1960s, triggered mainly by low export prices and a high volume of imports. In order to maintain export competitiveness and induce an adjustment to BOP, Sri Lanka devalued the rupee on 22 November 1967, and a dual exchange rate system was introduced involving a Foreign Exchange Entitlement Certificate System (FEECS) with a partial liberalisation of imports.

First Oil Price Shock during 1973-74

The increase in international oil prices led the country to implement various measures during this period. Given the rapid increase in oil prices, import controls were further tightened to keep the external payments situation under control. The impact of the price increase was passed on to the domestic consumers. Consequently, the consumption of all petroleum based products decreased, and the increase in export proceeds of petroleum based products were partially used to subsidise domestic consumption. Sri Lanka received the support from the International Monetary Fund (IMF) under the Scheme for Compensatory Financing for Export Fluctuations while the suppliers' credit facilities were also obtained to face the situation. The gradual recovery of the tourism industry, which was interrupted by the state of civil unrest in 1971, too helped bring in foreign exchange to the country. Meanwhile, inflation increased considerably, which was mainly addressed through government subsidies and price controls.

Second Oil Price Shock during 1979-80

The significant rise of international oil prices resulted in an increase in the import bill on intermediate goods in the 1979-80 period. As a result, the trade deficit increased significantly and the current account recorded huge deficits. The BOP in 1980 turned negative after a period of continuous surpluses since 1975. Given the deteriorated external situation, the IMF, in January 1979, approved an Extended Fund Facility (EFF) for a three year period from 1979 to 1981 to support Sri Lanka's BOP position.

Internal Conflict during 1983-2009

The internal conflict, which prevailed for more than 26 years since 1983, is one of the most severe shocks experienced by Sri Lanka, which led to uncertainties in every corner of the country. The conflict resulted in severe losses in terms of invaluable human lives, human suffering and

displacements. The infrastructure and the economy in the North and the East were severely destroyed and investment and other economic activities in the entire country were adversely affected, decelerating economic growth significantly. The government had to incur a significant cost in terms of defence expenditure, creating pressure on all macroeconomic variables. Although successive governments made various efforts to end the conflict, it was only in May 2009, the government was able to end the conflict comprehensively. The successful conclusion of the conflict is a result of a well planned and focused attempt with strong and unwavering commitment on the part of the government.

Gulf Crisis in 1990

The economic performance of Sri Lanka was affected by the Gulf crisis in 1990, although the period of high oil prices it caused was relatively short. Increased oil prices adversely impacted the oil import bill and the BOP. In particular, the expenditure on petroleum imports in 1990 rose by about 46 per cent over the previous year. The domestic prices of petroleum products were increased on two occasions in August and November 1990, and were subsequently revised downwards with the stabilisation of international oil prices. The inflation rate, which was relatively high in 1989, accelerated sharply in 1990 mainly reflecting the impact of higher oil prices.

Asian Financial Crisis in 1997-98

The Asian financial crisis, while having a significant impact on the global economy and created uncertainties in the international markets, had no significant impact on the Sri Lankan economy. The 1997 Annual Report of the CBSL reported that "...The recent improvement in Sri Lanka's macroeconomic conditions, the maintenance of some capital controls, the low exposure to short-term foreign debt, enhanced surveillance of financial market activity and a rise in short-term interest rates towards the end of the year helped to maintain a reasonable degree of stability in the domestic financial market in a highly volatile and uncertain external environment and to avoid a contagion effect of the East Asian crisis...". In 1997, the economy grew by 6.4 per cent while it was a moderate rate of 4.7 per cent in 1998. The inflation rate remained at a moderate level of 9 per cent, the budget deficit declined to 7 per cent of GDP in 1998 and the BOP recorded surpluses with current account recording lower deficits. The 1998 Annual Report of the CBSL reported that "...Survival in a sea of turbulence became an achievement and the Sri Lanka economy could be deemed to have fared reasonably well during the biggest crisis it faced since 1930s".

Multiple Shocks in 2001

The economic performance in 2001 was significantly affected by various shocks and uncertainties. The 2001 Annual Report of the CBSL reported that "... An unfavourable global economic environment, exacerbated by domestic uncertainties, made 2001 a very difficult year for the Sri Lankan economy". The shocks included: (i) the slowdown in the global economy reducing the

demand for Sri Lankan exports causing a deterioration of external trade activities, which was deepened following the September 11 terrorist attack in the USA; (ii) the prolonged draught, that declined agriculture output, increased domestic food prices and reduced hydro power generation resulting in power cuts; (iii) the terrorist attack on the Katunayake International Airport, which disturbed economic activity, weakened investor confidence and led to the imposition of a war risk premium; and (iv) political uncertainty that postponed reform. As a combined outcome of these major factors, the economy recorded a widespread negative growth of 1.5 per cent, the first time in the post independence period. Inflation increased to double digit level, budget deficit increased to above 10 per cent of GDP and the external position weakened. A BOP crisis was imminent, and the depletion of official foreign exchange reserves and the severe pressure on the exchange rate to depreciate, displayed the inability of a central bank to pursue multiple objectives simultaneously. Monetary policy was tightened and prudential measures were imposed to ensure financial market and financial system stability.

However, as a result of the measures taken by the government, the CBSL and various stakeholders coupled with other positive developments, the economy recovered since 2002. Accordingly, economic growth rebounded into the positive territory, inflation declined, external position recovered and the budget deficit declined. In particular, the country made progress in exchange rate management by graduating into an independently floating exchange rate regime in January 2001 towards further market orientation of the exchange rate.

Tsunami Disaster in 2004

Sri Lanka was severely affected by the Indian Ocean Tsunami disaster in December 2004. The 2004 Annual Report of the CBSL reported that ... “Tsunami caused extensive damage along more than two thirds or over 1,000 km of the coastline.... About 31,000 human lives have been lost, over 4,000 persons are reported missing and nearly 550,000 were left homeless. Coastal infrastructure and public and private property in the affected areas were damaged while economic activities, mainly fishing, tourism, trading and small scale industries, have been damaged. The total damage is estimated to be around US dollars 1 billion (4.9 per cent of GDP)...”. The CBSL ensured that the market remained liquid and stood ready to deal with any interruption to the payment system. The recovery from this huge natural disaster needed a strong and coordinated effort. Financing needs for reconstruction were estimated at US dollars 1.5-1.6 billion and included upgrades in the power, water, and transportation sectors. It was expected that the reconstruction efforts would exert pressure on the BOP and the fiscal situation. Economic growth was initially to be lower than the original projections. The significant financial and material support received in various ways by bilateral and multilateral donors, private institutions and general public helped overcome the situation, while the CBSL took steps to avoid excessive appreciation of the rupee. Inflation remained subdued through prudent monetary policy measures and by the favourable developments in aggregate supply. The stability of the financial system was strengthened through improved supervision and regulations. Meanwhile, economic growth was better than initially expected.

End of the Multi-fibre Agreement (MFA) in 2005

From the beginning of 2005, the MFA, which governed the international trade in textile and apparel through a system of quota, was abolished. The increased international competition in the quota-free market environment resulted in some major firms taking measures to increase their competitiveness through enhancing productivity, focusing on high value products and upgrading human capital, design and marketing skills. Many players were well prepared to deal with the situation, although small and medium enterprises displayed increased vulnerability.

Commodity Price Increases during 2006-08

The rising petroleum and commodity prices in international market threatened the achievement of price stability during the 2007-08 period. The adverse impact of these price increases negated the favourable impact that arose from the demand management policies implemented by the CBSL to a considerable extent. The 2007 Annual Report of the CBSL reported that “... It was disappointing for the monetary authority to observe the negation of the demand management efforts by external price shocks and supply side shocks, despite tighter and more disciplined monetary policy stance maintained by the Central Bank”.

The external price shocks particularly came from the international petroleum prices, which rose to unprecedented levels by end 2007. The discontinuation of the fuel subsidy given to oil distributing companies by the government since July 2006 to reduce the fiscal cost of subsidies helped the government to reduce the impact of high oil prices on its fiscal operations. The removal of the subsidy had a one off impact on headline inflation which would dissipate over time but the long-term impact would be positive with the removal of financing needs of the government. However, the CBSL was concerned on the potential second round effect of the prices which would lead to lasting inflation, hence a further tightening of monetary policy took place.

The world food prices, especially the prices of staple foods, increased sharply in 2007 and a considerable part in 2008 after showing initial signs from late 2006. The Global Food Price Index (2002-2004=100), compiled by the Food and Agricultural Organisation (FAO), reached the peak of 214 by June 2008, recording an year-on-year increase of 44 per cent. Reflecting the severity of the impact of commodity prices increase, including oil, the point-to-point inflation increased to 28.2 per cent in June 2008.

The government dealt with the world food crisis in many fronts, including the use of tax policy to provide concessions, continuation of the fertiliser subsidy, and introduction of policy stimulus to promote agriculture, while reinforcing the government's national programme “Api Wawamu – Rata Nagamu” (Let us grow – Let us develop) to improve domestic agriculture. Due to the tight monetary policy stance of the CBSL, coupled with the healthy domestic supply side conditions and the sharp decline in international commodity prices from around mid 2008, inflation decelerated to 14.4 per cent by end 2008.

Twin Crises during 2008-10

The most challenging shock that created a significant uncertainty in the country's recent history was the global financial crisis and the subsequent global economic recession. Since September 2008, the global economy passed through its deepest financial and economic crisis since the Great Depression in 1930s. The primary impact of the global financial crisis on Sri Lanka was minimal as the country's capital account was not fully liberalised and many local banks did not trade in collateralised debt instruments. Also, Sri Lankan financial institutions had only a small relationship with those foreign institutions that were severely affected during the financial crisis. The prudential regulations helped limit foreign exposure of banks and this limited exposure shielded the domestic financial institutions from the primary impact of the global financial crisis.

However, Sri Lanka experienced a second round economic impact due to the global economic slowdown and liquidity crunch in the global capital market. The impact of the financial crisis led to a large scale flight of capital due to withdrawals of foreign investments in Treasury bills and bonds by the foreign investors since last quarter of 2008 at a time of great uncertainty, which continued until March 2009. The 2009 Annual Report of the CBSL reported that "... On the external front, Sri Lanka continued to be impacted by the spill-over effects of the global financial and economic crises... The sudden withdrawal of capital by foreign investors resulting from adverse global conditions placed an enormous strain on the country's foreign reserves and the management of liquidity."

As a result of the declining global demand, foreign trade of the country was affected adversely. The decline in foreign inflows forced the government to rely on domestic financing, particularly for infrastructure development projects already commenced. Tourist arrivals declined significantly, reflecting the impact of the crisis on many tourism generating countries. However, as the price of commodities, such as oil, declined, the narrowed trade deficit had a favourable impact on the BOP though the country registered its highest level of trade deficit in 2008. Total inward remittances in 2008 were lower than expected. The external current account recorded a significant deficit of 9.3 per cent of GDP while the BOP turned into a deficit of US dollars 1.2 billion in 2008 after 3 continuous years of surpluses. The country's reserve position declined to US dollars 1.8 billion by end 2008. The continuation of the outflow however, resulted in a significant decline in foreign reserves to US dollars 1.2 billion by March 2009. The unemployment rate, which declined to a minimum level in 2008, increased again during the first half of 2009 due to the closure and/or the downsizing of some firms as a result of the global recession.

Economic growth decelerated gradually reflecting the significant decline in international trade and decelerated domestic economic activity. There was a notable decline in the real output to 1.5 per cent in the first quarter of 2009. Despite the low interest rate environment, the growth in credit to the private sector declined significantly in 2009, mainly due to the lack of demand for loans as a result of the slowdown in economic activity and the cautious approach

to lending adopted by banks amidst the uncertain environment. FDI indicated a decline as against the continuous increase recorded in recent years. Meanwhile, the fiscal sector suffered seriously with a significantly declined revenue due to the decline in imports as the country's tax base significantly depended on imports. This resulted in a higher budget deficit increasing the borrowing requirement.

This situation created uncertainties about the sustainability of the country's economy and hence, the authorities and policy makers had to respond by taking decisions with calculated risks. Accordingly, the CBSL and the government implemented coordinated and timely actions to deal with this situation.

Measures adopted by Sri Lanka

The policies that Sri Lanka pursued even before the eruption of the financial crisis and the fact that Sri Lanka's financial institutions did not trade in collateralised debt instruments, helped to minimise the direct impact of the financial crisis, particularly on the domestic financial system. Sri Lanka has been introducing prudential policies from time to time, drawing from industry best practices worldwide. Many of these policies were in line with the Basel I and subsequently the Basel II Accord, which Sri Lanka adopted to strengthen financial sector stability.

Policies that were implemented before the global financial crisis include the imposition of single borrower limits, necessity for obtaining entity rating for commercial banks from an approved credit rating agency, imposing general provision on performing loans and advances, making credit ratings mandatory for issues of all varieties of debt instruments, which exceed a certain limit, limiting commercial banks' foreign borrowings, taking measures to formalise bank supervision activities and to educate banks on the management of risks, stringent enforcement of corporate governance directions, restricting foreign ownership of Treasury bills and bonds, re-capitalisation of state banks by the government to build up public confidence in state banks, gradually building up official reserves and investing external reserves with highly rated international instruments and secure institutions.

When foreign investors were liquidating their investment in government securities, the CBSL considered that it was prudent to provide foreign exchange to the market to meet the demand and maintain exchange rate stability. In order to face such situations, the CBSL had built up its reserves when the exchange rate was floating, and adopted a number of prudential measures to ease the pressure on the exchange rate to depreciate. Accordingly, all licensed commercial banks were directed not to effect any pre-payments of import bills and obtain a 100 per cent margin on the import value for any letters of credit (LCs) opened for selected categories of imported items, while raising the existing margin deposit requirement for the importation of motor vehicles to 200 per cent. Further, forward contracts for the sale and/or purchase of foreign exchange was limited only for a period up to 180 days, and several prudential measures to limit the demand for

credit for certain non-essential categories of imports were introduced with a view to preventing excessive volatility in the domestic foreign exchange market. Meanwhile, the CBSL continued to provide US dollar liquidity with a view to mitigating excessive volatility in the domestic foreign exchange market, which resulted in a shortfall in rupee liquidity. The rupee liquidity concern was addressed by reducing SRR, purchasing Treasury bills and continuously providing liquidity through Reverse Repos, which was facilitated greatly by the declining trend observed in inflation.

When the foreign reserve position became a difficult issue, particularly in early 2009, the uncertainty about the country's external position increased and many predicted a significant BOP crisis and the collapse in the entire economy. Nevertheless, identifying the importance of addressing uncertainties and achieving stability, the CBSL took a number of initiatives to strengthen the external position. These included the arrangement of swap facilities with central banks in the region to build up the reserves, execution of promotional programme on Treasury bills and bonds among the Sri Lankan Diaspora and migrant workers to encourage them to invest in Sri Lankan government securities, payment of a bonus interest on interest earned on NRFC and RFC deposits to encourage repatriation of foreign exchange earnings by Sri Lankans abroad and passing of an amendment to the Inland Revenue Act by Parliament to provide tax concessions on foreign income and profits earned through providing services to non-residents. In order to build up reserves to comfortable levels as those that prevailed in mid 2008 and build up investor confidence, a Stand-by Arrangement (SBA) facility with exceptional access was requested from the IMF. Subsequently, the IMF on 24 July 2009, approved a 20-month SBA facility of US dollars 2.6 billion, which is equivalent to 400 per cent of the country's current quota, to strengthen Sri Lanka's reserve position.

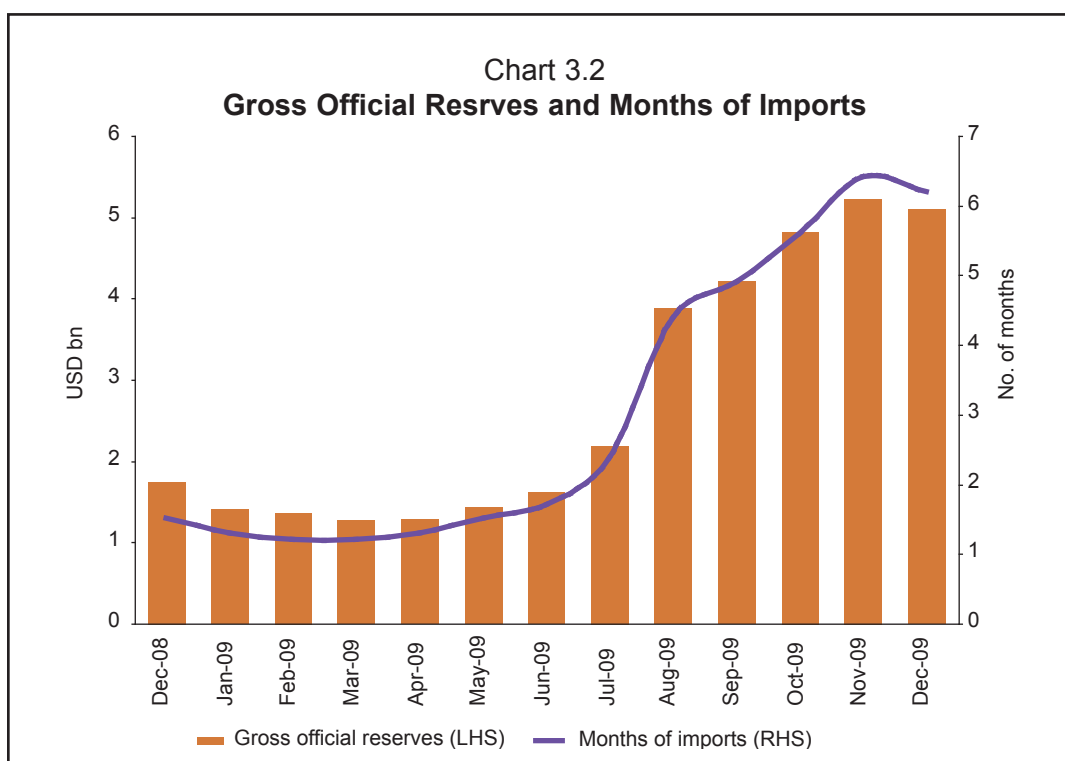
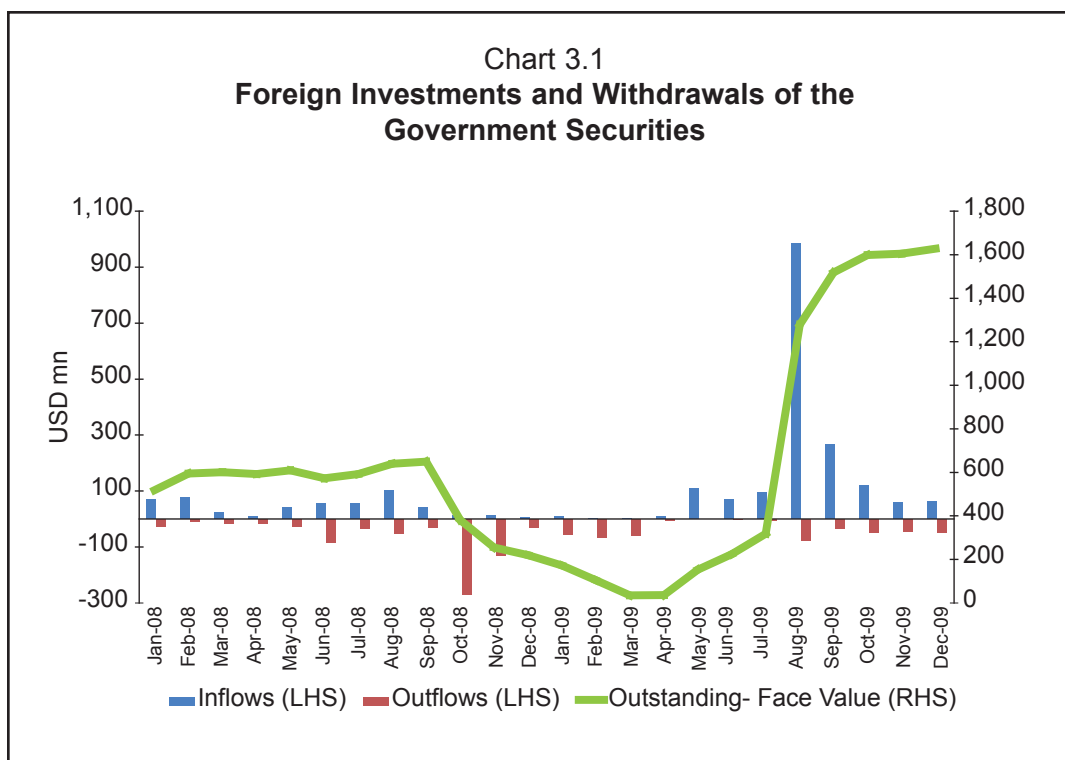
The government also introduced a Rs. 16 billion stimulus package to help the industrial sector to withstand the deteriorating external environment. Sri Lanka had taken the decision of passing-through the oil prices early. Meanwhile, the absorption of foreign exchange to strengthen foreign reserves continued.

In order to strengthen the financial sector, a number of measures were introduced, which included resolving the distress situation of a commercial bank that threatened financial system stability, safeguarding registered finance companies and restoring public confidence in the entire financial system with the timely intervention of the CBSL, and containing the emerging bubble in local financial markets by taking pre-emptive measures.

The communications policy of the CBSL was also influential in restoring confidence against uncertainties. As 2008 and 2009 were extremely challenging years, the CBSL gave high priority to the communication of its policy actions with a view to aligning the expectations of market participants with the policy stance of the CBSL and improving the efficiency of the monetary policy transmission mechanism. Hence, the communication activities of the CBSL played a pivotal role in managing expectations and speculations of different stakeholders. In particular, the communication activities were intensified to arrest the possible crisis situation while maintaining high standards and accuracy.

Summary of Major Adverse External and Internal Shocks Faced by Sri Lanka

Period	Type of Shock	Remarks
Mid 1960s	BOP crisis	The BOP crisis was triggered by low export prices and a high volume of imports. In order to maintain export competitiveness, Sri Lanka devalued the rupee on 22 November 1967. A Foreign Exchange Entitlement Certificate system was introduced in 1968 in an attempt to ease the pressure on BOP.
1973-74	First oil price shock	The BOP was adversely impacted and exchange control restrictions were tightened further. Inflation increased sharply.
1979-80	Second oil price shock	BOP and domestic prices were impacted adversely.
1983-2009	Internal conflict	The country had huge losses in terms of human lives, human suffering and economic benefits that could have been achieved during the 26 year conflict period.
1990	Gulf crisis	Sri Lanka was affected by the Gulf crisis in 1990, although it caused relatively a short period of high oil prices.
1997	Asian financial crisis	As the country's capital account was not fully liberalised, there was no significant contagion effect due to this crisis.
2001	Multiple shocks including prolonged drought, attack on Bandaranaike International Airport, September 11 attack in the USA and other issues	Sri Lanka moved to an independently floating exchange rate regime in January 2001. The economy recorded a negative growth for the first time in the post independence history.
2004	Tsunami disaster	The impact in terms of the loss of human lives, and damage to infrastructure and livelihoods was huge and the reconstruction and rehabilitation needed significant effort.
2005	End of Multi-fibre Agreement (MFA)	Larger firms were able to shape their industry with global trends. However, small and medium enterprises became vulnerable.
2007/2008	International commodity price increase	The commodity prices, including oil and food, increased to unprecedented levels causing point-to-point inflation to increase to 28.2 per cent in June 2008.
2008/2009	Global financial crisis	The investors in government securities wanted to withdraw their investments and the government made the due payments in full, without any default. Foreign exchange reserves depleted to a minimum level.
2009/2010	Global economic recession	As a consequence to the deceleration in domestic economic activities and international trade related activities, economic growth in 2009 slowed down. However, with the end to the internal conflict in May 2009, the economy recovered strongly since the latter part of 2009, which is still continuing.



The end to the prolonged internal conflict in May 2009 resulted in a significant turnaround of many uncertainties that prevailed in the economy. The new post-conflict environment, which had been established in the country with peace, is characterised by lower uncertainties and improved confidence about the future of the country. This has been complemented by the appropriate monetary and fiscal policies, aimed at further strengthening the newly gained improvements. The peaceful environment has been instrumental in improving investor confidence and particularly instrumental in improving the country's external position.

Conclusion

Sri Lanka has been able to maintain stability in the midst of uncertainties caused by adverse shocks that it had to face from time to time during the last 60 year period. The country has been able to achieve an average growth rate of 4-5 per cent during the last 6 decades while improving living standards of the people considerably. Among the many shocks, the most critical and challenging was the twin crises during the 2008-2010 period. When taking measures to avoid uncertainties and stay strong, the way Sri Lanka responded, particularly to the global financial crisis, reveals a number of lessons for small economies like Sri Lanka. The strengthening of the economy in good times and creating space for future flexibility, developing ability to move quickly and decisively, reading early signs of vulnerabilities in major economies, practising "Long Termism" instead of "Short Termism", using several policy initiatives and implementing them simultaneously, central banks working closely with the political authorities, and being conscious of the law of unintended consequences are among them. These would be important lessons to follow in the future as well when dealing with uncertainties to achieve stability.

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Evolution of the Conduct of Monetary Policy in Sri Lanka

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Overview

On the 28th of August 1950, the Central Bank of Ceylon¹ was established to succeed the Board of Commissioners of Currency as the monetary authority of independent Ceylon. The powers of the Board of Commissioners of Currency were limited to the automatic issue of Ceylon rupee notes and coins against an equivalent value of assets in foreign currency, and the converse process of retiring such notes and coins whenever the Board was required to pay out of its foreign exchange reserves. In contrast, as a central bank, the Central Bank of Ceylon could issue currency and create deposits against foreign as well as domestic assets. In addition, a central bank also has the power to control the expansion and contraction of credit granted by commercial banks and other financial intermediaries. These powers are vested with a central bank by law, given the significant role of money in an economy and hence the need to influence and control money circulating in the economy. Accordingly, with the establishment of the Central Bank in August 1950, Sri Lanka gained monetary sovereignty.

Conduct of monetary policy by the Central Bank to influence and control monetary conditions in the country has changed over the past sixty years in step with the progress of the country's economy, and in particular, with the progress of the financial sector. While the set of

¹ Later, on 31st December 1985, the Bank was renamed the 'Central Bank of Sri Lanka'.

monetary policy instruments and procedures adopted by a central bank constitutes its operational framework, in the case of the Central Bank of Sri Lanka, the procedures adopted for the conduct of monetary policy have undergone significant change over the past sixty years. Monetary policy instruments used by the Bank include policy interest rates, open market operations, statutory reserve ratios, and moral suasion. Direct control of interest rates and credit has also been exercised by the Bank in the past, from time to time. However, the Bank's reliance on market-based policy instruments has increased considerably during the last two decades. In the meantime, as is the practice globally, communication is increasingly used by the Bank to manage inflation expectations of the public and thereby reinforce its monetary policy.

The principles governing the operations of central banks globally have changed in keeping with the evolution of monetary economics as well as in response to significant economic events. Global trends in central banking, in turn, have naturally had a bearing on the shaping of domestic monetary policy. Streamlining objectives of the Central Bank of Sri Lanka in 2002, to maintaining economic and price stability, and financial system stability, demonstrates that the Central Bank of Sri Lanka has moved in step with the progress of modern central banking.

Monetary Policy directed at securing Monetary Stability and Economic Development

Since its inception until 2002, the Bank was guided by multiple objectives. As the authority responsible for regulating and administering the monetary and banking system in Sri Lanka, the Central Bank was charged with the responsibility of regulating the supply, availability, cost, and international exchange of money, so as to secure the following objectives: (a) stabilisation of domestic monetary values; (b) if there has been a determination of the par value of the Sri Lanka rupee, the preservation of the par value of the Sri Lanka rupee and the free use of the rupee for current international transactions; (bb) if there has been no determination of the value of the Sri Lanka rupee, the preservation of the stability of the exchange rate of the Sri Lanka rupee in relation to foreign currencies; (c) the promotion and maintenance of a high level of production, employment, and real income in Sri Lanka; and (d) the encouragement and promotion of the full development of the productive resources of Sri Lanka. In designing monetary policy, greater weight has been placed by the Central Bank on stabilising domestic monetary values during certain periods while at other times, the development objective has received greater weight.

During much of the period since the Bank's establishment till the mid-1950s, markets were liquid, owing mainly to the favourable performance of exports and the resulting inflows of foreign exchange. In 1956 therefore, the Central Bank issued Central Bank securities for the first time, for the purpose of mopping up excess market liquidity, given that its holdings of government securities were not adequate for conducting open market operations. Thereafter however, balance of payments deficits coupled with increased government borrowing led to tight market liquidity

conditions by 1958, which compelled commercial banks to borrow funds from the Central Bank to meet their temporary liquidity requirements. While commercial banks were allowed to obtain funds from the Central Bank by rediscounting their holdings of Treasury bills, the Central Bank also lent funds to commercial banks against the pledge of government securities, at the Bank Rate, a policy interest rate that was extensively used by the Central Bank till the mid-1980s, along with the statutory reserve ratio (SRR)².

Economic development was given precedence in formulating monetary policy during the period from the late 1950s until the early 1980s. During this period, the Central Bank exercised direct control on credit as well as interest rates with the intention of directing resources to selected sectors of the economy, primarily with a view to promoting industrial growth and rural development, while maintaining monetary stability. During the 1960s as well as in the 1970s, until 1977, monetary policy instruments were used to support the policy of import substitution too.

Given the selective treatment of different sectors of the economy during the period from the late 1950s until the early 1980s, the Bank adopted a similar approach to managing inflationary pressures too. Accordingly, although the Bank rate and the SRR were raised in the early 1960s, when confronted with rising inflationary pressures, exemptions were made in respect of refinancing facilities made available by the Central Bank to commercial banks in relation to 'priority' sectors of the economy. Credit ceilings imposed in respect of 'non-priority' sectors as well as cash margins imposed on letters of credit in relation to selected non-essential imports were also among the monetary policy measures taken during the early 1960s, when inflationary pressures were rising.

In the mid-1960s, the Central Bank made available refinance facilities to credit institutions through its Medium and Long-Term Credit Fund, which was established in 1964, to augment the availability of long-term funds. During the period from April 1966 to November 1968, these funds were made available at 3 per cent for the promotion or development of industry or agriculture, although the Bank rate was at 5 per cent from 28th May 1965 to 6th May 1968, having been raised from 4 per cent, at which level it had remained since 13th August 1960. In the late 1970s and the early 1980s, the Bank acted in a somewhat similar manner in trying to control rising inflationary pressures following a significant expansion of credit. In view of rising demand pressures, since December 1979, refinance facilities made available by the Central Bank to commercial banks over and above a stipulated quota had been subject to a graduated scale of penal rates. The stipulated quota of refinancing facilities granted at the Bank rate consisted of general accommodation and export credit refinancing. With inflationary pressures intensifying, in April 1980, the Central Bank raised the Bank rate from 10 per cent to 12 per cent, while at the same time raising the penal

2 The statutory reserve ratio (SRR) applicable to demand deposits and the SRR applicable to time and savings deposits were unified in 1987. The SRR applicable to foreign currency denominated deposits placed abroad was removed in 1997. Since 4th August 2000, the SRR is applicable only to rupee denominated deposits.

rates from a range of 15 - 25 per cent to a range of 20 - 30 per cent. While this tight monetary policy stance was continued into 1981, in 1981, the amount of export credit refinancing made available by the Central Bank at the Bank rate was increased while its general accommodation at the Bank rate was reduced. In June 1981, the Central Bank raised the SRR in respect of both demand deposits as well as savings and time deposits, to bring down the level of excess market liquidity, while in August 1981, it raised the Bank rate by two percentage points to 14 per cent while at the same time raising the penal rates on Central Bank accommodation to commercial banks to a range of 21 to 30 per cent. However, export credit refinancing continued to be granted at 12 per cent, the level at which the Bank rate had been maintained before it was raised to 14 per cent. Further, while growth of total credit granted by commercial banks to the private sector was to be contained to 25 per cent in 1981, as per the National Credit Plan, which was introduced to guide the allocation of credit among different sectors, exports, along with industry, agriculture and tourism, were considered priority areas by the Central Bank when formulating the National Credit Plan for 1981, and hence were given special weight when allocating shares in total credit granted to the private sector and government corporations.

With the adoption of 'open economy' policies from 1977 however, the Central Bank gradually moved away from direct controls to market based tools of monetary policy. The Bank has also actively engaged in financial market development, that is, development of financial institutions, financial instruments, as well as payment and settlement systems. Nevertheless, the SRR applicable to deposit liabilities of commercial banks, which is administratively determined, continued to be a key monetary policy instrument used by the Central Bank to control inflationary pressures in the economy during the 1980s and early 1990s. Development of the domestic financial sector enabled the Central Bank to adopt open market operations as a key monetary policy tool from the late 1990s.

Broad Money - M_2

The 1980s saw a significant change in the parameters within which the Central Bank conducted monetary policy. While the Central Bank had monitored the movements of narrow money (M_1) for the purpose of formulating monetary policy since its inception until 1980, the Central Bank commenced compiling broad money (M_2) in 1980, to use as a guide for monetary policy decisions. M_2 includes currency and demand, savings and time deposits denominated in rupees, held by the public with commercial banks, whereas narrow money (M_1) includes only currency and demand deposits denominated in rupees held by the public with commercial banks. The decision to broaden the definition of the monetary aggregate used for monetary policy purposes was based on the fact that developments in the financial sector had resulted in savings and time deposits becoming more liquid. For example, the relaxation of restrictions on the withdrawal of funds from savings accounts had diluted the distinction between savings and demand deposits while facilities for premature withdrawal of time deposits and borrowing against the security of time deposit had rendered time deposits more liquid.

Monetary Targeting

A fundamental change with respect to the conduct of monetary policy during the 1980s was that the Central Bank adopted the monetary targeting framework for monetary policy. Accordingly, the Central Bank commenced preparing a monetary programme annually, which was to guide monetary policy. The monetary programme is prepared in accordance with the expected developments with respect to key macroeconomic variables, namely, the balance of payments, the budgetary outcome, gross domestic product (GDP) growth, and inflation. Following the determination of the average money multiplier (ratio of broad money to base money, i.e., reserve money) for the relevant year, a target for base money is stipulated, so as to achieve the targeted growth of broad money, which had been derived on the basis of the anticipated GDP growth and inflation during that year. Monetary policy is then conducted to maintain reserve money at the desired level.

The Central Bank continues to operate within a monetary targeting framework for monetary policy. The continued presence of a systematic link between broad money and inflation enables the Bank to do so. In the meantime, steps have been taken to continuously refine the monetary policy operations of the Bank within the monetary targeting policy framework. A policy decision taken in this direction in recent years was that, from 2008, targets for both broad money and reserve money are to be stipulated in terms of the annual average growth, rather than in terms of the growth as per the end-period levels in any two consecutive years concerned. This is a more disciplined approach to guiding monetary conditions in the country, as the impact of any temporary developments that could lead to short-term volatility in monetary aggregates is thereby largely eliminated.

Broader Monetary Aggregates - M_{2b} and M_4

Progressive steps taken by the Central Bank have enlarged the scope for disciplining the course of money and hence inflation in the country. From around the mid-1990s, the Central Bank commenced compiling monetary aggregates with a broader coverage, so as to capture the movement of money circulating in the economy with greater accuracy. The economic liberalisation that took place since the late 1970s and the parallel development of the financial sector warranted the coverage of a broader set of financial instruments in computing broad money. Accordingly, from 1996, M_{2b} , which includes demand, savings and time deposits denominated in foreign currency, held by the public with commercial banks, in addition to currency and demand, savings and time deposits denominated in rupees held by the public with commercial banks included in M_2 , has been used to guide monetary policy. M_{2b} reflects the operations of the offshore banking units (OBUs) of commercial banks in addition to those of the domestic banking units (DBUs) of commercial banks and the Central Bank, which are covered by M_2 . Meanwhile, in 1999, the Central Bank began compiling M_4 , that is, broad money computed on the basis of the financial survey, which has a wider coverage than the monetary survey conducted for the purpose of compiling M_{2b} . M_4 includes savings and time deposits held by the public with

specialised banks and finance companies, in addition to currency and demand, savings and time deposits denominated in rupees as well as foreign currency, held by the public with commercial banks, included in M_{2b} . While it is observed that the course of M_4 has continued to closely follow that of M_{2b} , mainly due to the fact that commercial banks continue to dominate the financial sector in Sri Lanka, the Central Bank continues to use M_{2b} to guide monetary policy. Accordingly, the monetary programme has also been prepared to guide the course of M_{2b} , since 1998.

The Policy Interest Rate Corridor

A further significant development during the 1990s was the introduction of the Repurchase facility by the Central Bank in October 1993. Accordingly, the Central Bank would enter into overnight repurchase agreements with institutions participating in the monetary operations of the Central Bank at the Repurchase rate, from October 1993, by way of absorbing excess market liquidity on an overnight basis. Given the large inflows of capital during the early 1990s and the accompanying build-up of excess market liquidity, the Repurchase rate was introduced to prevent a sharp fall in the overnight money market rates. Initially, the Repurchase rate was fixed at one per cent less than the weighted average yield on 3-month Treasury bills at the previous auction, given that the underlying securities involved in repurchase transactions are Treasury bills. Subsequently however, the Bank established the practice of setting the Repurchase rate taking into consideration such factors as the overall liquidity conditions in the market and other economic conditions.

In November 1995, the Central Bank introduced a reverse repurchase facility to stabilise call money rates, which showed a tendency to rise to unacceptably high levels in view of the prevailing shortage of market liquidity. Institutions participating in the monetary operations of the Central Bank could therefore borrow from the Central Bank on an overnight basis whenever they encountered a deficit in their funds required for daily operations. However, this facility was discontinued in January 1996, as it had not succeeded in stabilising market interest rates, partly due to structural weaknesses in the market as well as the limited amounts of funds offered. The reverse repurchase facility was re-introduced in November 1998, to make available funds to commercial banks and primary dealers, that is, participants in the monetary operations of the Central Bank, on an overnight basis. Following the re-introduction of the facility in November 1998, funds were made available at the Reverse Repurchase rate, without any limits on the amounts so lent, provided government securities were offered as collateral. The re-introduction of the facility served as an assurance to the market that stability in interest rates would be preserved. Since then, the Repurchase rate (Repo rate) and the Reverse Repurchase rate (Reverse Repo rate) constitute the benchmark floor and ceiling, respectively, for call money rates. Hence, these policy interest rates indicate the monetary policy stance of the Central Bank.

Legal Mandate and Institutional Framework for Monetary Policy

A noteworthy development in respect of monetary policy during the decade ending 2010 is the amendment to the Monetary Law Act by Parliament in December 2002. It redefined the objectives of the Central Bank of Sri Lanka as (a) economic and price stability, and (b) financial system stability, with a view to encouraging and promoting the development of the productive resources of Sri Lanka. As such, it gives greater flexibility to the Central Bank in conducting monetary policy.

In 2001, the Bank's Monetary Policy Committee was established, with a view to expanding the scope of policy discussions in relation to monetary policy. Its mandate is to review the Bank's monetary policy stance on a monthly basis and recommend to the Monetary Board the appropriate monetary policy measures to be adopted, given the outlook for domestic economic conditions. Subsequently, the Bank also began issuing monthly press releases on monetary policy decisions, in accordance with an advance release calendar. In 2007, the Bank established the Monetary Policy Consultative Committee, with a view to broadening its dialogue in relation to monetary policy with private sector agents. These measures as well as the launching of the 'Road Map' for monetary and financial sector policies to be implemented, at the beginning of each year, since 2007, have helped the Bank enhance its communication with the public in relation to monetary policy.

Implementing Monetary Policy - Active Open Market Operations

A significant development with respect to the implementation of monetary policy by the Central Bank was the introduction of active open market operations (OMO) in March 2003. Beginning March 2003, the Central Bank discontinued the standing facility for the outright purchase or sale of government securities, at its Discount and Re-Discount rates. Since then, the Central Bank would conduct auctions for the outright sale of government securities or Central Bank securities or the outright purchase of government securities, totalling a pre-determined amount, only if it considers it necessary to absorb or inject liquidity on a permanent basis, so as to maintain market liquidity at a level compatible with the targeted path for reserve money. Further, since March 2003, the Bank conducts OMO Repurchase (Repo) auctions or OMO Reverse Repurchase (Reverse Repo) auctions, if it considers it necessary to absorb or inject a pre-determined amount of liquidity on an overnight or term basis, in order to stabilise overnight rates in the call money market at a level considered appropriate within the policy rate corridor so as to be able to achieve reserve money targets. Meanwhile, to fulfil any further liquidity requirements, participating institutions could access the Bank's standing facilities for Repurchase and Reverse Repurchase transactions, which are made available at the Bank's Repurchase rate and Reverse Repurchase rate.

From around December 2006 till May 2009 however, the Central Bank deviated from the practice of conducting active OMO, with a view to quickly arresting the growing demand for credit and the use of the Central Bank's funds to feed the demand for credit at the time, given that monetary expansion was already too high and inflation was increasing rapidly. During this period, the Central Bank restricted access to its funds by limiting access to its reverse repurchase facility. During the period from January to March 2007, access to the Central Bank's reverse repurchase facility by banks was restricted to six times per calendar month, and subsequently, until August 2007, participating institutions were allowed to access this facility only three times per calendar month. In order to ease the considerable pressure on market interest rates, restrictions on access to the Central Bank's funds through the reverse repurchase facility were removed at the end of August 2007. However, in view of the mounting demand pressures in the economy, the number of times that participating institutions could access the Central Bank's funds through its reverse repurchase facility was restricted again from December 2007 and these restrictions remained effective until May 2009. Meanwhile, in 2008, the Central Bank tightened its monetary policy stance further by stipulating stringent targets for reserve money in terms of daily average reserve money, rather than in terms of end-period levels as has been the practice up to then. In addition, a penal rate of interest was charged by the Central Bank on its reverse repurchase transactions during the period from 3rd December 2007 to 21st May 2009, whenever participating institutions exceeded the stipulated number of times that they were allowed to borrow at the Reverse Repurchase rate. Also, while the Penal rate was in force, the Bank refrained from conducting OMO reverse repo auctions. These contractionary monetary policy measures resulted in domestic market interest rates rising significantly. Consequently, credit and other monetary aggregates decelerated markedly in 2008, thus helping prevent the second-round effects of sharp increases in international commodity prices at the time from becoming more broad-based. While the Central Bank was thus able to bring down inflation to manageable single-digit levels early in 2009, it therefore removed restrictions on access to its funds by May 2009. Meanwhile, as the average weighted call money rate, which was contained to levels below the Penal rate following its introduction, declined to levels within the policy interest rate corridor formed by the Repo rate and the Reverse Repo in March 2009, the Penal rate of interest on reverse repos was gradually lowered from January 2009 and removed in May 2009. Its removal reinforced the policy interest rate corridor.

Alongside the policy interest rates and OMO, the Central Bank uses the SRR as a key monetary policy instrument, to manoeuvre its monetary policy stance and market liquidity conditions. For example, the SRR was reduced on three occasions in the aftermath of the onset of the recent global financial crisis, to offset the sharp decline in liquidity in domestic financial markets. However, the SRR is no longer a frequently used monetary policy instrument, as the Bank now relies more on market oriented policy instruments such as the policy interest rates, which are reviewed monthly by the Bank, and OMO, to guide market liquidity conditions. Moral suasion meanwhile, continues to be a monetary policy instrument used by the Bank at its

discretion. The Bank rate, which is now applicable to lending by the Central Bank in its capacity as the lender of last resort, is also amongst the policy tools at the disposal of the Central Bank, but it is rarely in effect and does not necessarily reflect the monetary policy stance of the Bank.

Concluding Remarks

The Central Bank of Sri Lanka has taken progressive steps over the past years to increase its effectiveness in maintaining price stability and thereby create a stable macroeconomic environment that would foster economic growth and development. The Bank is now of the view that it should move from its current monetary targeting framework for monetary policy to an inflation targeting policy framework in the years ahead, so as to be able to maintain price stability on a more sustainable basis. However, there are several pre-requisites to be fulfilled before moving to an inflation targeting regime. Hence, the Bank will continue its efforts to strengthen the framework for monetary policy within which it operates, by way of progressing towards a more effective regime for monetary management.

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5

The Role of the Watchdog – Strengthening Financial Regulation in Sri Lanka

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Introduction

Economic prosperity of any country is dependent on a safe, vibrant and active financial system, and its financial institutions. A stable financial system will lead to sustainable development of the economy due to efficient channelling of financial resources for investment purposes, mainly through improved confidence. Hence, to promote investments as well as to harness the potential of the economy, a sound, efficient and trustworthy financial system is of paramount importance.

The financial system of a country plays the very important intermediation role of transmitting money between savers and borrowers and it consists of a set of closely interconnected financial markets, instruments, services, institutions and infrastructure. An efficient payment and settlement system, which enables the transactions in the financial sector to be cleared and settled on time, is another important component of a financial system. The regulator, which plays the important role of regulating and monitoring the system to ensure the stability, is considered an integral part of a financial system.

Financial system stability can be defined as the system's ability or resilience to withstand pressures from within and outside and continue to function smoothly. Why is the stability of the financial system important? Firstly, a stable financial system would create a trusted environment

to savers and investors. Secondly, it would help to attain the price stability objective through the transmission of monetary policy. Thirdly, a stable condition in the financial system would support investment and growth through efficient financial intermediation. Fourthly, a stable financial system would improve the distribution of resources in the economy efficiently and effectively.

Financial system stability does not happen automatically. It has to be established and maintained. The stability of the financial system depends on a combination of several prerequisites viz. (i) a stable macroeconomic environment, (ii) a well governed liquid and solvent group of financial institutions, (iii) an efficient financial market, and (iv) a safe and reliable payment and settlement system. These prerequisites are highly interconnected and an incident that affects only one area initially can subsequently have adverse implications for a range of other factors, eventually destabilising the overall financial system.

Financial institutions, which represent a major part of the system, are exposed to various risks in the processes of financial intermediation. The major categories of risk are – credit, liquidity, interest rate, foreign exchange rate, operational, legal, regulatory, reputational etc. As the financial markets grow in sophistication in terms of the instruments and the way in which these transactions are processed, the above mentioned risks tend to increase. Therefore, an independent institution to perform the watchdog's role to monitor and regulate these risks at micro and macro levels is needed for the development and the stability of the financial system. Hence, the Central Bank of Sri Lanka has been chosen to perform the abovementioned independent role.

A sound and a well governed group of financial institutions and a safe and reliable payment and settlement system can be achieved only through comprehensive laws and prudential regulations. Past experiences have proved that voluntary observation of prudential regulations does not work. Therefore, an effective supervisory framework is needed for mandating to ensure uniformity. Effective supervision would help to closely monitor all aspects of potential instability and to ensure enforcement.

Evolution of the Regulatory Regime of the Central Bank

“Banking is an economic activity which affects the public welfare to an unusual degree: it touches in one way or another, almost every phase of a country's economic life. Sound banking is essential to healthy and vigorous economic development. Supervision of banks helps to protect the public against mismanagement, bank failures, and loss of confidence in the banking system. It helps to protect depositors and stock-holders against loss and frequently enables bank directors and officers to manage the affairs of their banks more wisely and intelligently.”¹

The ‘Monetary Law Act No. 58 of 1949’ made it mandatory for the Central Bank to administer, supervise and regulate the monetary, financial and payment system of Sri Lanka. However, the financial regulations introduced by the Central Bank during the period from 1960 to

¹ John Exter's Report on the Monetary Law Act

1978 were mainly focused on commercial banks' rate of interest on advances, supply of credit to various sectors within the economy and adoption of monetary measures to conserve the foreign exchange resources available to the country for essential purposes. In addition, the Central Bank had played a key role in developing the financial markets during the period from 1977 to about 1985 by introducing foreign currency banking schemes, encouraging new foreign banks to open branches in Sri Lanka and establishing regional rural development banks.

Year 1988 has been a remarkable year for the regulatory regime as the Central Bank had been able to put in place and operate a procedure for the licensing of persons carrying on banking business for the regulation and control of matters relating to the business of banking through the implementation of the Banking Act No. 30 of 1988. In the same year, the Finance Companies Act No.78 of 1988 was also enacted to provide for the control and supervision of finance companies. Implementation of the Credit Information Bureau (CRIB) in 1990 and requiring all licensed banks and non-bank financial institutions to provide credit information and sharing same with the stakeholders of CRIB has been another regulatory measure that has helped in uplifting the regulatory regime of the country.

The Banking Act gave authority to the Central Bank to issue prudential regulations/directions to licensed banks for reasons to be stated in writing to any one or more of them regarding the manner in which any aspect of the business such bank or banks is to be conducted. In exercising the above mentioned powers, the Central Bank has been able to upgrade its regulatory regime in par with the international regulatory regimes and best practices by implementing several important prudential regulations to ensure that the conduct of an individual bank will not have implications on the stability of the overall financial system. Selected key financial regulations adopted by the Central Bank during the three decades from 1980s are summarised below.

- (a) **Maintenance of risk weighted minimum capital adequacy ratio (March 1989) –** Credit risk is the biggest risk exposure of a bank, which will have direct implication on the profitability, liquidity and solvency. Accordingly, the Central Bank, in line with the requirements laid down by the Banking Regulation and Supervisory Practices Committee, also known as the Basel Committee, has formulated these regulations directing towards assessing capital in relation to credit risk (the risk of counterparty failure) to assess overall capital adequacy of a licensed bank.
- (b) **Maintenance of liquid assets (April 1989) – Liquidity-** the ability to fund increases in assets and meet obligations as they become due - transcends the individual bank since a liquidity shortfall at a single bank can have systemic repercussions. Therefore, the Central Bank through these regulations made it mandatory for licensed banks to maintain liquid assets ratio, on an ongoing basis, over the prescribed liabilities.
- (c) **Suspension of interest on non-performing advances and classification of bad and doubtful debt for provisioning purposes (August 1997) –** Since there was no uniform practice observed by licensed banks with regard to the suspension of interest

accrued but uncollected on non-performing advances and classification of advances for provisioning purposes, these mandatory prudential norms were introduced to establish a common standard for income recognition and loan loss provisioning, which would be in line with the accepted international best practices.

- (d) **List of qualified auditors (April 1998)** – The Central Bank having regard to the need to ensure that experienced and qualified auditors are engaged in auditing accounts of licensed banks, has transmitted a list of selected qualified auditors to audit the accounts of licensed banks.
- (e) **Publication of audited annual accounts (June 1998)** – Since there was no uniform format observed by licensed banks with regard to the publication of their audited financial statements and minimum disclosure, the Central Bank has prescribed the form of the Balance Sheet and Profit & Loss Account together with minimum disclosure requirements in line with the Sri Lankan Accounting Standards for licensed banks to comply with.
- (f) **Limitation on ownership in share capital in banks (October 1988)** – In order to avoid licensed banks from being owned and controlled by a selected group of people and undue influence by such investors on the manner in which banking businesses are conducted, the Central Bank imposed limitations on maximum ownership in shares of licensed banks by individuals/companies and their close relatives/related companies individually or in aggregates to ensure soundness of the banking system.
- (g) **Single borrower limit (October 1999)** – The objective of these regulations was to limit accommodation granted to a single borrower to a predetermined level of capital funds of the lending bank with a view to avoid credit risk concentration of the bank and also by all banks to a single borrower.
- (h) **Customer due diligence – Know Your Customer procedures (December 2001)** – In order to prevent unchecked use of the financial system for money laundering and transactions related to terrorism and subversive activities, the Central Bank had issued these guidelines on customer identification at the time of opening an account for a prospective customer or before establishing a business relationship with a prospective customer or thereafter when there is a material change in an account operated. These guidelines are also expected to provide protection against possible frauds, and enable timely recognition of suspicious transactions and protect the bank from reputational, legal and financial risks.
- (i) **Code of corporate governance for banks and other financial institutions (June 2002)**
- In view of the growing concerns on financial instability resulting from inadequate corporate governance, the Central Bank felt that it was necessary to formulate a national consensus for corporate governance as one of the critical pillars of the national financial

architecture for economic development through improved performance of banks and financial institutions. With the financial assistance of the working group on corporate governance of the Commonwealth Secretariat funded by Commonwealth Fund for Technical Co-operation, the National Task Force on Corporate Governance in the Banking and Financial Sector constituted with eminent and influential professionals, was setup by the Central Bank in May 2001 as an initial step towards promoting corporate governance at national level.

The National Task Force on Corporate Governance in the financial sector had been able to put in place the above code of corporate governance. Even though the principles and guidelines set out in the Code of corporate governance were not intended to be treated as regulations, they were expected to be treated as standards of conduct by the financial institutions to maintain the integrity and stability of the financial system.

The publication issued by the Commonwealth Secretariat on “Review of Corporate Governance in the Banking and Financial Sector in Sri Lanka” (December 2000) suggested that the Central Bank of Sri Lanka lead the inauguration of a comprehensive national strategy in applying and promoting corporate Governance in a systematic manner.

- (j) **Inter-Regulatory Institutions Council (2007)** – In order to strengthen existing regulatory framework, monitor systemic risks of financial conglomerates and to facilitate consolidated supervision the Inter-Regulatory Institutions Council (IRIC) was setup. Current membership of IRIC includes representatives of the Central Bank, Insurance Board of Sri Lanka, Securities & Exchange Commission, Colombo Stock Exchange, Office of the Registrar of Companies, Institute of Chartered Accountants of Sri Lanka and Office of the Commissioner of Co-operative Development.
- (k) **Directions on mandatory corporate governance for banks (2007)** – In view of the importance of proper governance in banks for the overall banking sector stability, which is fundamental to the financial system stability, the Central Bank has issued directions on mandatory corporate governance to improve and sustain the corporate governance processes and practices of banks. The corporate governance processes and practices referred to in the above mentioned directions are deemed to be the management framework that facilitates the conduct of the banking business in a responsible and accountable manner. These mandatory corporate directions have been formulated based on eight core principles as follows:
 - (i) The board of directors should assume the overall responsibility and accountability for the management of affairs of the bank, i.e. conduct of business and maintenance of prudential risk management mechanisms, and safety and soundness of the bank.

- (ii) The composition of the board shall be in such manner that the element of independence and required skills levels are reflected in the overall strategic decision making process.
 - (iii) Only the persons deemed fit and proper to hold office as directors of a bank shall be appointed to the board.
 - (iv) There should be clear demarcation between corporate governance and corporate management so that the board members do not involve in day to day management of affairs of a bank.
 - (v) Overall strategic policy direction and governance should be the area coming under the chairman and the board whereas day to day management of business and risk rest with the chief executive officer.
 - (vi) In order to ensure strict oversight while maintaining impartiality, board is expected to appoint its subcommittees with specific terms of reference.
 - (vii) Transactions with related parties shall not grant such parties more favourable treatments than that accord to other constituents.
 - (viii) Information relating to the business and risk management of banks should be disclosed in a transparent manner so that the market discipline would be promoted.
- (l) **Asset bubbles and requirement for additional provisions (2006)** - With a view to bring about an extra capital cushion during the financial and economic stress and mitigating any possible threat to the banking industry and thereby the financial system, the Central Bank required licensed banks to maintain a general loan loss provision of 1% against performing loans and loans in the special mentioned category. This proactive measure of the Central Bank had proven to be a well thought prudential measure and had the desired effect on licensed banks during the global financial turmoil.
- (m) **Dealing with failed banks and finance companies (2008)** - Weak banks and non-bank financial institutions pose a continuous challenge for bank regulators worldwide. Bank failures cause huge indirect and direct costs to the economy. Such failures not only shrink economic values of assets and businesses but also jeopardise stability and public confidence in the financial system. Thus, the objective of these guidelines was, at best, to prevent the occurrence of weak banks or, at least, to reduce its harmful effects to the economy. On the basis of the experience gained in handling weak financial institutions in 2007 and 2008 the Central Bank has put in place a mechanism consists of the techniques for identifying weak banks and financial institutions, corrective measures to

turn around those institutions and resolution and exit strategies for such failed financial institutions on solo basis, based on “Supervisory guidance on Dealing with weak Banks” evolved by the Basel Committee on Banking Supervision.

- (n) **Risk management relating to foreign exchange business (2009)** - These directions have been issued to standardise and strengthen foreign exchange risk management guidelines in licensed commercial banks and increase their soundness, thereby strengthening financial system stability.
- (o) **Mandatory Deposit Insurance (2010)** - The Sri Lanka Deposit Insurance Scheme (SLDIS) was implemented to protect small depositors from failure of financial institutions, to promote small-depositor-confidence and in the interest of the overall financial system stability of the country. Under the provisions of the Monetary Law Act, SLDIS came into effect from 1 October 2010 with an initial capital of Rs.1.1 billion provided by the Central Bank. The members of SLDIS, i.e. licensed banks and registered finance companies, are required to pay annual premium ranging from 0.10% to 0.15% p.a. on a monthly/quarterly basis. SLDIS is distinctly separate from the Central Bank.
- (p) **Cap on interest rates (2010)** - In view of the slow progress shown by banks in reducing risk premia added to lending rates in response to the improved macro economic performance and stability since early 2009, the Central Bank required all banks to take urgent measures to reduce interest rates on housing loans and credit card advances to at least 14 per cent per annum and 24 per cent per annum, respectively, by end of October 2010. The Central Bank further required banks to reduce lending rates on other loans and advances by around 1-2 per cent per annum.
- (q) **Minimum capital requirement and cap on liabilities and profits for non-compliant finance companies (2011)** - The Central Bank has observed several issues in common relating to few non-bank financial institutions within two business groups during the period from 2007-2010. These common features had resulted in negative capital and accumulated losses in those companies. Having acted on time, the Central Bank made it mandatory for registered finance companies at all times maintain an unimpaired minimum capital. Further, regulatory sanctions, including cap on total amount of deposits and debt and prohibition of payment of dividend, until the minimum capital requirement is complied with, have been enforced against registered finance companies that have failed to ensure the compliance with the above requirement.

- Note:
- (a) Most of the early dated regulations have been revised or amended subsequently in line with domestic or international developments
 - (b) Financial regulations were initially aimed at the activities of banking institutions. However, with the failure of non-bank financial institutions in late 1980s, most these banking sector regulations were customised to develop a regulatory regime covering the activities of non-bank financial institutions.

Present Regulatory Framework

The Central Bank has been a continuous promoter of the development of the financial system of the country. Thus, the regulatory framework of the Central Bank, which has evolved over the past six decades, provides a comprehensive institutional setup for the three pillars of stability i.e. governance, risk management and compliance, in regulated banks and non-bank financial institutions and payment and settlement systems.

Governance is self-discipline. It is the process that facilitates the conduct of businesses of regulated entities, i.e. licensed banks and non-bank financial institutions, in a responsible and accountable manner so as to promote the safety and soundness of individual financial institutions, thereby leading to the stability of the overall financial system.

Corporate governance and corporate management are of critical importance for the smooth functioning of regulated financial institutions. The two are constantly depending on each other. Well-structured channels of communication, accommodation of valuable inputs from each are essential for efficient and effective functioning and growth of licensed financial institutions. While appreciating the significance of the aforesaid cohesive character of the governance and management, the regulatory experience of the Central Bank highlighted the urgent need for demarcating the areas of responsibility, authority and accountability of the governance distinct from that of the management. Further, it has been observed that governance and management stepping into each other's area has been a root cause of many malpractices developing, persisting and proving detrimental to the interest of depositors, creditors and other stakeholders. In view of the foregoing, the Central Bank has introduced the Mandatory Corporate Governance for licensed financial institutions in December 2007.

The Central Bank recognises the need for having in place a set of prudential norms covering major risks to ensure that individual financial institutions are not vulnerable to any of these risks. Therefore, a comprehensive set of prudential norms, covering all major risks, has been developed to be strictly adhered to by all regulated financial institutions. In order to ensure compliance with the above mentioned prudential norms on an ongoing basis by licensed financial institutions, the Central Bank has put in place a robust ongoing monitoring system (Continuous Supervision) based upon periodic regulatory returns submitted by regulated institutions. Additionally, a risk based statutory examination process has been in place to identify risks, manage these risks and assess the adequacy of resources to mitigate these risks and the compliance of licensed financial institutions with statutory requirements, applicable laws and regulations, internal controls and the standards of corporate governance. Matters relating to non-compliance with prudential requirements of weaknesses and deficiencies in the financial condition, controls and systems of financial institutions are brought to the notice of its Board of Directors, by the Central Bank to ensure that timely corrective action is taken.

Compliance relates to the need for regulated financial institutions to independently ensure compliance with applicable laws and prudential regulations of the Central Bank. The Central Bank requires compliance to emerge from an ongoing board-level engagement for execution of business processes designed to manage risks and to continuously benchmark against expected parameters/tolerance levels applicable for the entire industry, laws, regulations, international best practices, internal policies and procedures. Recently, the Central Bank extended its regulations relating to compliance to cover specific areas such as operations of money laundering and terrorist financing.

The financial regulations of the Central Bank only provide minimum parameters based on international best practices. Thus, financial institutions have the operational flexibility in evolving own more stringent parameters, compatible with the Central Bank's regulatory regime, their balance sheet profile and complexity of operations and expertise, to mitigate any potential adverse impact of the risk category under consideration.

Surviving in White Waters – Stabilising Domestic Financial Markets

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During the pre-Central Bank period, the financial system of the country was rudimentary and fragmented. Issue of Ceylon rupee notes and coins under the Currency Board System (CBS) was limited only to the extent of Indian rupees in possession or lodged with the Reserve Bank of India. This provided a self balancing mechanism to the balance of payments as any additions or reductions of reserves were accompanied by respective expansion or contraction of currency issues. As the financial market of the country was shallow and narrowly based, market activities were limited with low public involvement. Although the self balancing CBS seemed to have facilitated a reasonably smooth financial market during the pre independence era, the newly gained independence demanded a completely new monetary structure mainly on incompatibility issues.¹ The creation of the Central Bank was expected to provide the flexibility to achieve rapid and sustained economic expansion and the full employment of resources.

The influence of the Central Bank on the economic activities and financial markets of the country is not only through the basic functions entrusted upon it by the law but also through enormous powers that it has for liquidity creation almost at will. Since the inception, the Central Bank's ability to create money and liquidity in the system has had a significant influence on the financial market of the country. The measures adopted by the Bank to stabilise the financial

1 Between relatively rigid nature of the CBS and flexibility in the systems demanded by the newly gained status to maintain independent monetary policy to suit changing conditions and the needs of the new country.

markets in the country during the last 60 years resemble a closer relationship to the changing economic landscape and policies adopted in different economic regimes. This paper identifies and reviews the following specific periods, which reflect different approaches to financial market stabilisation in Sri Lanka: (a) Liberal Economic Era: 1950 – 1959; (b) Controlled Regime: 1959 – 1977; (c) Open Economy – Early Stage: 1977 – 1988; and (d) Open Economy – Mature Stage: 1988 – to date.

Market Stabilisation in Liberal Economic Era: 1950 – 1959

During its first decade since the establishment, the economic environment was reasonably liberal and the focus was more on economic growth with a reasonable level of price stability. Export growth, promotion of food production to substitute the dependence particularly on rice imports had been considered the main drivers of growth. The Central Bank relied more on conventional monetary policy instruments in achieving price stability. Since banking activities were limited to a wealthy few and conventional products, the real challenge was not emanating from the risk of instability in the financial market but was mainly from inadequacy of the system and initiatives to cater to widening needs of the economy and its agents.

The Korean War and the subsequent tea boom resulted in a massive accumulation of external assets by the country. The resultant monetisation had encouraged increased financial market activities and spending. A very high level of monetary expansion challenged the Central Bank with the threat of eroding the value of the Sri Lankan rupee. With excess liquidity, a potentially dangerous base for creation of excessive credit, the major thrust of the Central Bank was to have the appropriate policies in place to prevent the inevitable overheating of the economy.

Consequently, the country witnessed several changes to the Statutory Reserve Requirement (SRR), increased forward exchange (purchase) rates and introduction of working balance (exposure) limits on foreign currency operations of banks. Restrictions in the form of ceilings on commercial bank credit and the accommodations at Bank Rate were introduced in 1950 and revised on a few occasions during this period. The Central Bank went beyond the conventional policy measures and allowed commercial banks to invest their foreign currency balances abroad creating a corresponding temporary outflow to ease the impact on the rupee liquidity. Though the increase in external assets was temporary, the exchange rate was kept unchanged assigning the entire burden to be absorbed by the monetary policy. The resultant new excess liquidity in the market required the Central Bank to engage in a variation of open market operations by issuing its own securities. Despite these, efforts were visibly drawn on offering subsidised credit and new welfare programmes. Consequently, Korean War surpluses were sufficient only to finance import requirements of the country for a period of 13 months. By 1953, excess reserves of commercial banks had fallen to Rs. 26 million and the contraction in money supply allowed the Central Bank to reduce the SRR on demand deposits back to its original 10 per cent.

The period after 1955 witnessed a sharp fall in the country's external assets exerting a destabilising force on its Balance of Payments (BOP). Failure of the country to reinvest such surpluses in the productive sector aiming at sustainable economic development resulted in

evaporation of these surpluses leading to severe BOP problems later on. Low interest rates maintained seemingly to ease budgetary problems of the government resulted in negative real interest rates encouraging consumption and discouraging savings. In the absence of bank failures, volatile interest rates resulted from uncontrolled market liquidity and inconsistent economic policies became the main market de-stabilisers during this period.

Market Stabilisation in the Controlled Regime: 1959–1977

By 1959, Sri Lanka was experiencing its first post-independence BOP difficulties. There were large issuances of government securities due to the expanding budget deficit and liquidity position of commercial banks was insufficient to absorb them. The Central Bank absorbed a substantial portion of the Treasury bills issued by the government (over 80 per cent of the Treasury bills issued) in addition to providing temporary advances of 10 per cent of the estimated government revenue (Rs. 133 million in 1959) injecting substantial liquidity into the system. The Bank Rate was used by the Bank to contain the demand. However, there was an intervention by the government in an interest rate decision of the Central Bank for the first time in the history² in the wake of rapid increase in interest rates in response to its increased demand for funds. Under the circumstances, selective import and credit controls were introduced to abate the pressure on the external position³ and the country opted to draw Rs. 53.8 million from the International Monetary Fund (IMF) to face the deterioration in external assets.

Up to about 1962, the country had enjoyed a relative stability in price levels. However, the government borrowing through Treasury bills to finance its budget deficit continued unabated.⁴ The Bank rate continued to guide the market interest rates and central bank credit continued to be the major source of monetary expansion exerting upward pressure on prices. In this environment, SRR continued to be a major instrument of influencing the market demand though its application was not uniform⁵. New credit controls⁶ in effect for demand management resulted in deceleration in money supply leading to relative price stability again in 1966. However, the Central Bank's thrust on its development objective to drive agricultural production possibly to relieve pressure on foreign exchange for the food imports, reduction of interest rates on various refinancing facilities, etc. even in the presence of inflationary government financial operations, prior to allowing the economy to cool down to an appropriate level, seemed to have reignited a higher increase in the price level soon after in 1967.

2 The Government directed the Monetary Board to bring down Bank Rate from three per cent to two and a half per cent in 1959, the first and only time in history.

3 Import coverage in gross official assets of the country had fallen below three months of imports for the first time in the history of the Bank in 1961 and the decline continued till 1964.

4 By 1963 the statutory limit on Treasury bills was Rs. 1150 million while the amount held by the Central Bank was Rs. 1006.9 million and the budget deficit which stood at just Rs. 1.2 million in 1956 increased to Rs. 1366 million by 1972.

5 Different SRR were applicable for different types of deposit accounts while state banks were provided with preferential treatment.

6 Credit controls include restriction of bank credit to a pre determined level (e.g. loans for purchase of estates were limited to one third of purchase price of such assets) with the exception of credit granted to priority sectors.

With continued decline in the country's external asset position⁷, the Sri Lankan rupee was devalued by 20 per cent in 1967 and a system of multiple exchange rates through operation of Foreign Exchange Entitlement Certificates (FEECs) was introduced in 1968⁸. Liberalisation of imports under the new exchange rate environment resulted in a substantial increase in the demand for credit and the Central Bank continued with credit at subsidised rates⁹. GDP growth has witnessed its highest ever in the decade at 8.3 per cent. The impact of demonetisation of large value currency notes in 1970, though helpful in curtailing the monetary expansion, was short lived. Credit ceilings, increases in SRR and Bank Rate were visible in the subsequent period but subsidised credit by the Central Bank distorted the effective cost of credit and resource allocation continuously. Low increase in CCPI¹⁰(1.2 per cent) prompted the Central Bank of Sri Lanka (CBSL) to ease its monetary policy stance further in 1976. However, by that time money supply was showing a phenomenal increase¹¹. Consequently, monetary policy was further tightened by withdrawing the accommodation of vault cash of commercial banks in computation of SRR, a facility extended to ease the pressure on their credit creating ability.¹²

Market Stabilisation in the Open Economy – Early Stage: 1977-1988

With the opening of the economy in 1977/78, significant changes were introduced to relieve the economy from a host of administrative controls and inefficient resource allocation. Multiple exchange rates applicable under FEECs were abandoned and the Monetary Law Act was amended to introduce a managed floating exchange rate system. The Bank Rate was increased significantly to better align it with economic fundamentals while removing controls in market interest rates. Penal rates on CBSL accommodations¹³ were increased substantially. Preferential credit¹⁴ was rationalised with new interest rates at 15 – 25 per cent. Ceiling on credit to government corporations was withdrawn. As an incentive to foreign investments, offshore banking facilities were introduced to facilitate and complement the activities of export processing zones. The CBSL moved away from direct controls to market based tools to implement monetary policy.

7 Country's external asset position declined to an extremely critical level of little more than one month of imports at the end of 1966.

8 Under this scheme, a substantially depreciated exchange rate was applicable for exporters of nontraditional products and most other foreign exchange earners and for essential imports creating a multiple exchange rate system.

9 Bank Rate remained at five per cent but refinancing facilities by the Central Bank at rates as low as one and a half per cent had aggravated the preferential and directed interest rate structure which was misaligned (substantially lower) with the market interest rates while lowering the effectiveness of Central Bank actions.

10 Colombo Consumers Price Index that measures the level of increase in price levels i.e. inflation.

11 Money supply increased almost in three fold during 1973 – 1977 with bulk increase in 1976/77 with 34.9 % in 1976 and 29% in 1977.

12 This was introduced in 1962 to accommodate a fraction of vault cash holding by commercial banks and changed in 1968 to accommodate entire such holdings in SRR computations.

13 Penal rates are Interest rates higher than market interest rates charged by the CBSL for its accommodations to the participating banks beyond specified limits with a view of discouraging frequent request for such funding by the participants.

14 These facilities were provided under various refinance schemes of the CBSL. These rates were revised to align them with market rates and thereby minimise (or reduce) distortions in the interest rates.

Consumer inflation averaged at 26 per cent with domestic credit providing the main thrust in 1980 while recording a growth of 23 per cent in money supply and GDP growth of 5.5 per cent. Call money rates were as high as 25 per cent. Bank credit was set to govern through the national credit plan placing more emphasis again on directed lending. Entry of money brokers in 1982 added a new dimension to market liquidity, information availability, transparency, and transacting ease. Fiscal imbalances caused from ambitious long gestation investment without much regard to the domestic resource constraints had been the major contributor of financial market instability in the early stages of the new era. Public investments which averaged eight per cent during 1970 -77 had grown to 15 per cent in 1978-83.¹⁵ Financial Market development became an important part of the CBSL activity and development of new instruments and new institutions had a bearing on its decisions.¹⁶ Although continued aid flow and high export prices enabled the country to maintain a higher foreign reserve position during 1977/78, the government resorted to heavy borrowings abroad in the subsequent period. In 1983 a BOP crisis resurfaced compelling the country to resort to a temporary BOP support facility from the IMF.¹⁷

The low cost central bank refinancing credit continued throughout with exports related credit dominating (95 per cent) bank credit in 1984. The year 1985 recorded the lowest consumer price inflation after 1978, an achievement through tightening monetary policy mechanism, quantitative restrictions on accommodations at the Bank rate with gradually increased penal rate for accommodations beyond the given quota supported by fiscal consolidation though short lived. Irrespectively, the excess liquidity remained high due to newly imposed credit ceilings.

In terms of market activities, the capital market failed to reflect any significant growth. As such the activities of the share market were streamlined in 1984 under the Colombo Stock Exchange. Voluntary deposit insurance scheme introduced by the CBSL in 1987 to provide a safety net for the most vulnerable segment of the depositors of the regulated deposit taking institutions, received weak market acceptance for multiple reasons. Irrespectively of these developments, Sri Lanka experienced the first major instability in its financial system during 1986 – 1988 with the failure of a number of finance companies and this situation resulted in substantial strengthening of regulatory and legal framework.¹⁸

The liberalised policy package introduced in 1977 alone proved insufficient for achieving sustainable high growth. Weaknesses in the external sector due to non harmonised monetary and

15 Total investments had grown from 16 per cent to 28 per cent of GDP in respective periods.

16 Insurance companies, finance companies, specialised financial institutions such as merchant banks, venture capital companies, investment trusts, brokerages, etc as well as debt securities, OMO, structured instruments, technological development etc were all assisted in expansion of financial market activities.

17 A facility of SDR 100 million was launched in mid 1983. However, this was abandoned in 1984 after utilising only about 50 per cent of the committed funds as favourable international commodity price cycle rescued the country from the difficulties that prevailed. By this time the current account deficit had declined from 19.8 per cent to 3.6 per cent of GDP.

18 This has resulted in the introduction of the Banking Act No 30 of 1988 and the Finance Companies Act No 78 of 1988.

fiscal policies seemed to have reduced the flexibility in managing foreign reserves. Repetition of external shocks and resorting to IMF facilities testifies to the absence of willingness and commitment in making necessary structural adjustments, once the external situation normalised. Although the managed exchange rate released slightly lower pressure to foreign exchange market, significant volatility in the external reserve position and sporadic inflation increases caused significant volatility in the market interest rates.

Market Stabilisation in the Open Economy – Mature Stage: Post 1988

The period commenced with a severe BOP crisis that witnessed a sharp drop in foreign currency inflows and reserves. Although large increases in net credit to government (NCG)¹⁹ facilitated the temporary bridging of government expenditure gap in the domestic front, dwindling foreign reserves made local banks unwilling to open LCs even for essential imports as their foreign counterparts were refusing to honour them without specific foreign currency backing. In the midst of ongoing civil unrest, the local banks seemed to have exhausted all the available credit lines by then. The CBSL had to intervene and arrange several short term financing facilities from its counterparts on an uncovered basis by pledging its limited asset base to ensure continued flowing of at least essential imports to the country. In this environment, a broader reform agenda was needed to resurrect the falling economy. The country had resorted to Compensatory Financing Facility and Structural Adjustment Facility from the IMF to concentrate on much needed structural adjustments in the economy in 1988 and 1989.

Secondary market trading of Treasury bills was introduced to facilitate increased liquidity and ease of trading in government securities, an introduction that led to broader acceptance of government securities by the market participants. Technological and process improvements,²⁰ transparency of the transaction processes and information availability had provided broader support for increased securities market activities while being instrumental in reducing lead time in transaction processing and settlement, facilitating around the clock financial services. Divestiture of the ownership of state enterprises reduced inefficiencies in the fiscal front while reducing the pressure on BOP. Consequently, the period of 1988 - 1989 witnessed the first conscious effort to reduce the Treasury bill holdings of the CBSL and reduce the level of monetary financing.²¹ Slow growth in reserve money resulted from low government borrowing from the banking system (only Rs. 54 million in 1989) and the gradual improvement in the money market ensured the success

19 NCG by the CBSL increased by 34 per cent while that from commercial banks increased by eight per cent during 1988 alone.

20 Automated transaction processing, ATMs, plastic card technology (credit cards), cheque clearing (Sri Lanka Automated Clearing House-SLACH) and transaction processing were the significant introductions during the period.

21 The share of CBSL holdings in total Treasury bills outstanding declined from 88 per cent in January 1988 to 57 per cent in December 1988 while Treasury bills on issue increased from 15 per cent of GDP to 20 per cent of GDP during the period.

in Open Market Operations (OMO). Debt Recovery Act of 1990 ensured faster debt recovery but not without questions on fairness. Establishment of the Credit Information Bureau was a major step towards information integration and accessibility. The period witnessed the restructuring of a troubled bank and the country joining a global instantaneous transaction link.²² Creation of appropriate infrastructure for development and stability of the capital market were among the major contributions for market development during the period.²³

The period from 1990 to 1994 witnessed steady and continuing foreign exchange inflows to the country supported by buoyancy in commodity export prices, recovery of tourism, better utilisation of foreign assistance and structural adjustment measures adopted to improve economic performance. As a result, the external assets of the banking sector showed a significant improvement together with improved external reserves, BOP position and private investments. Credit control mechanism, which was in place since 1989, was eliminated while refinance facilities available from very early stage under the Medium and Long Term Credit Facility of the CBSL was suspended, removing impediments for the CBSL to rely completely on market based indirect instruments for monetary policy management. Expansion of SRR to cover foreign currency deposits and further revision to the SRR rate was helpful in bringing down inflation in 1994 – 95. By 1995, though private investment was high, escalating government expenditure resulted in a budget deficit of 10 per cent of GDP. The BOP reverted to overall deficit while showing a significant expansion in bank credit.

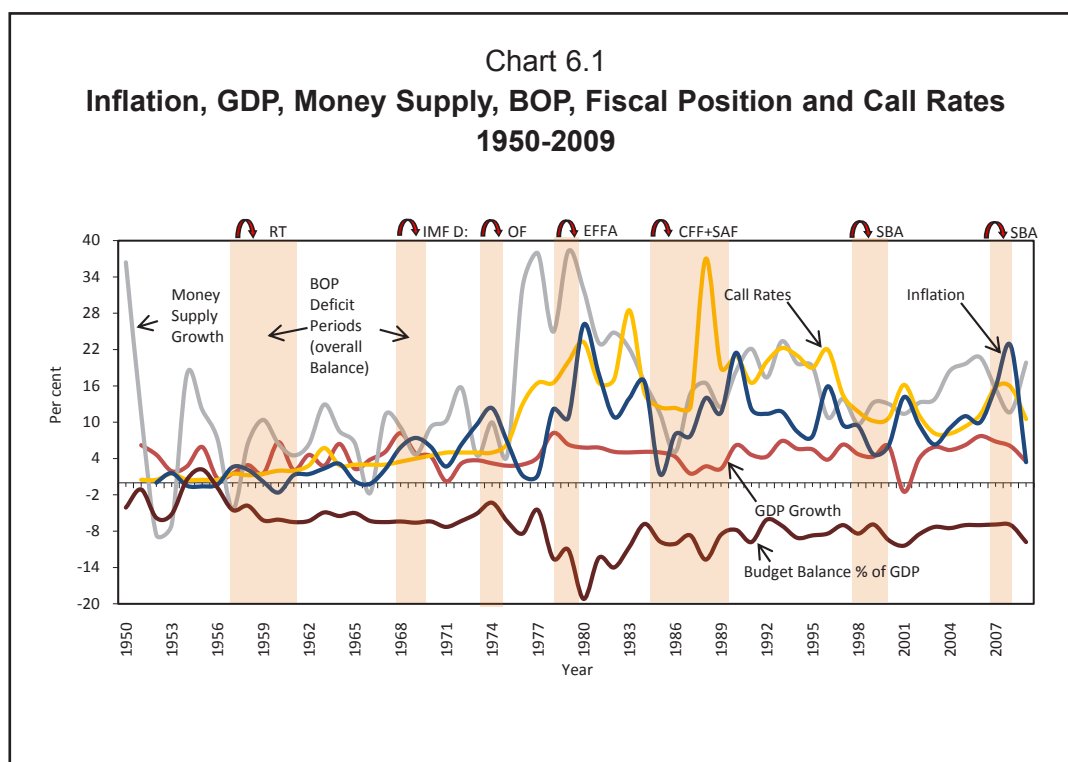
The bomb blast at the CBSL in 1996, though it caused substantial physical damage, did not create any instability in the financial market. Introduction of Reverse Repurchase transactions (together with repurchase transactions introduced in 1993), activation of interest rate corridor and streamlining primary dealer system were instrumental in increasing the orderliness and stability of the market interest rates. Higher interest rates and SRR were required to address the increasing threat of credit growth and inflation.

Introduction of commercial paper (a short term corporate borrowing instrument) and long term government bonds were helpful in filling market gaps and bringing flexibility to the financial markets. The period witnessed several significant changes in the operating environment including, shifting to an independently floating exchange rate regime, linking net open position of commercial banks to prudential limits by basing it on capital and reserves of banks and permitting

22 Suspension and restructuring of the operations of the local branch of Bank of Credit and Commerce International (BCCI) by the CBSL, following the collapse of its worldwide operations without any significant impact on domestic financial system in 1991 while instantaneous transactions and settlements were made possible by the country joining the Society for Interbank Financial Telecommunication (SWIFT) in 1993.

23 Introduction of Share Investment External Rupee Accounts (SIERA) to facilitate nonresident investments in shares of domestically listed companies, establishment of Securities and Exchange Commission (SEC) for regulation and direction of capital market activities, creation of Central Depository System (CDS) to facilitate speedy and secure transaction settlement and facilitation of Unit Trusts to enhance participation of small investors in securities markets had contributed significantly in creating appropriate infrastructure.

non-residents to invest in US dollar denominated government securities. The establishment of a clearing institution (Lankaclear), Real time Gross Settlement System (RTGS) and Scripless Securities Settlement (SSS) system enhanced the operating ease, reliability and stability of the transactions, payments and, settlement functions. The operations of the CBSL were restructured and streamlined to suit the changing economic environment by concentrating more on overall focus. Creation of several dedicated departments and two important internal committees namely Monetary Policy Committee (MPC) and Financial System Stability Committee (FSSC) on the lines of international best practices were important milestones of strategic refocus of the CBSL activities on stability.



Despite these positive developments, weak fiscal discipline and external vulnerability remained the main causes of instability in the financial market that required external assistance (Chart 6.1). Efforts of the CBSL kept the financial market volatility in check, though in intermittent periods with limited consistency. As in the past, the period following the external shock, domestic financial markets as well as the economy reflected movement towards relative stability. However, reversal to monetary expansion preceded lasting stability in most instances refilling threat of inflation and volatility in market interest rates keeping economic growth range bound.

The period prior to the global economic crisis witnessed very high commodity prices including petroleum and crude oil. The civil conflict had also created an unprecedented demand on the country's external resources for its requirement on import of implements for counter terrorism

activities. Consequently, the country was facing a very large trade deficit. On top of this, the intensification of global economic slowdown with liquidity crisis in 2007/8 resulted in reversal of external financial flows meant mainly for investment in rupee denominated government securities and other portfolio investments. Interventions by the CBSL prevented faster depreciation of the exchange rate of the rupee, but with drastic reduction in external assets. Global credit crisis prevented further lending by overseas banks and dried down almost all the foreign currency credit lines available to domestic banks. In the domestic market interbank money market almost dried down on concerns on viability of some smaller/weaker domestic banks. The CBSL responded by addressing concerns in the rupee market through a multitude of measures to strengthen the banking system, collateral values and market liquidity directly and indirectly. Reduction of SRR and purchase of Treasury bills by the CBSL released substantial amount of liquidity to the banking system. Removal of restrictions on Reverse Repurchase facility improved the access of the banking system to liquidity. In the foreign exchange front, the CBSL provided liquidity support for needy banks by way of placing foreign currency deposits domestically and lending in foreign currency on other acceptable collateral, even going beyond the conventions.

Decline in property prices created a dent in the asset and collateral valuations hitting hard on property linked investments and loan portfolios. At the same time, few registered businesses were illicitly accepting deposits in disguise offering very high interest rates. Businesses of realtor services and financing were affected. Delinquencies and non performing components on the loan portfolios of banks were on the increase. These developments encouraged investors to shift from yield to quality. The first casualty was those illicit deposit takers and finance company deposit takers. However, the shock was manageable except in a few cases where a domestic bank and a few other financial institutions related to a business conglomerate having significant exposures in such sectors were involved.

Concerns about the related business conglomerate that was in a highly leveraged²⁴ operating environment and stressed finance companies in the group, on to which the bank in the group had substantial exposure triggered a run on its deposits though the financial position of the bank in general remained sound. The CBSL intervened and exercised its powers vested under the Monetary Law Act and removed the directorate immediately and vested the operations with the largest state commercial bank with a new directorate with vast banking related experience. A host of other related exercises initiated by the new board involving its employees under the guidance of the CBSL prevented further downturn and re-established the depositor confidence. Involvement of a large state commercial bank was helpful in reducing credit concerns of the bank involved. The CBSL provided the necessary temporary liquidity on extended collaterals during the period until market doubts cleared off.

24 High debt financing compared to substantially small equity (ownership) financing facilitated due to highly exaggerated cross holding (inter-company holding) structure.

Further the interventions by the CBSL in introducing financing facility to establish a floor price for real estate assets/securities and other liquidity support prevented a broader calamity in the financial market and restored public confidence. Interbank market fell short of liquidity and extreme risk aversiveness with visible reluctance to lend, both in foreign exchange and rupee. The CBSL provided liquidity in both the markets until normalcy was restored. However, all these measures were taken amidst a worsening BOP position aggravated by an expanding current account deficit and world liquidity and credit crunch forced borrowing difficulty. The CBSL ventured out of convention and established a few foreign currency swap lines with friendly central banks in the region and regional financial clubs. To avert an impending BOP crisis, the country resorted to the IMF for a facility under a Stand-By Arrangement. By then, the world had shown signs of recovery from the deepest slowdown since the Great Depression.

Almost simultaneous cessation of civil conflict created new foreign investor demand for Sri Lanka government securities on relatively high domestic interest rates, resulting in an unprecedented excess liquidity in the market. Stand-By Arrangement with the IMF was unprecedented in terms of size (US dollars 2.6 billion) and was instrumental in re-establishing much needed investor confidence and was instrumental in alleviating concerns on future payment capability and disciplined economic management. Tight monetary policy pursued by the CBSL together with freed up domestic production, decline in external trade and low international commodity prices helped in reducing domestic inflation to mid single digit level resulting in a significant decline in market interest rates. Yields of government securities reflected a speedier adjustment. Challenged with the excess liquidity and low demand for credit by the private sector, the CBSL employed all conventional tools at its disposal for liquidity absorption. OMO were intensified with increased frequency and volume. Instrument cluster was increased by introduction of new instruments such as foreign exchange swaps to supplement OMO. Operational environment was further relaxed by lowering official interest rates, SRR and by removing a host of exchange control restrictions. Although the daily liquidity in the interbank market was brought down to a manageable level, the CBSL is saddled with continued cost of sterilisation not months but years ahead. Market seems to have convinced that stability in the economic environment will be maintained from here as reflected in the falling yields (already in single digit) of longer dated government securities (five and ten years).

Domestic foreign exchange market is showing regained stability after long years of depreciation with rupee appreciation over two per cent during the year upto September 2010. Although the corporate bond market is yet to emerge, the share market has shown a significant and continuous growth in the past few months. Money market rates are already below or around official rates and bank lending rates were on a declining trend. Assets of the financial institutions almost equalled the GDP compared to just around four per cent in 1948, showing decades of maturity and growth. Still the budget deficit remains high with continued financing though at a lower scale by the CBSL. Stabilising financial markets in the past six decades resembles manoeuvring in roaring white waters, but the journey is not finished yet; the future could at times

be more tiresome and challenging, but courage, commitment and correct application would draw success. From here, the challenge for the country would be to move out of cyclical instability by moving onto a high growth path with proper regard to the potential capacity and stability of the economy. Stable financial markets would provide impetus for such an end and beyond.

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Determining the Exchange Rate – Exchange Rate Regimes in Sri Lanka

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The Monetary Law Act (MLA), under which the Central Bank of Ceylon was established in 1950, placed with the Bank the responsibility of the preservation of the par value of the Ceylon rupee and the free use of the rupee for current international transactions. Following the collapse of the fixed exchange rate arrangements under the Bretton Woods system globally, an amendment to the MLA placed with the Bank the responsibility of maintaining the par value or when no determination of such par value has been made, maintaining such exchange arrangements as consistent with the underlying trends in the country and relate its exchange with other currencies, as to assure its free use for current international transactions. The MLA also requires the Bank to maintain international reserves adequately to meet any foreseeable deficit in the BOP to maintain the international stability of the rupee and to assure the greatest possible freedom of its use in the current international transactions.

Accordingly, it is a responsibility of the Central Bank to maintain a suitable exchange rate arrangement for the country in line with the underlying macroeconomic conditions and maintain international stability of the currency. This paper outlines the way in which the Bank discharged this responsibility by maintaining an appropriate exchange system and effecting changes to the system promptly to deal with emerging challenges and thereby endeavoured to maintain the international stability of the currency over the last 60 years.

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Fixed Exchange Rate Regime

At the time of independence, Sri Lanka had a fixed exchange rate system pegged to the pound sterling under the Bretton Woods System. The linking of the rupee with the pound sterling was influenced mainly by Sri Lanka's trade links with the Sterling Area, which had been established during the pre-independence colonial era. According to the Ceylon Currency Ordinance No.2 of 1949, there had been an automatic link of the Sri Lankan rupee with pound sterling via Indian rupee. Hence, even though the Pound Sterling was devalued in 1949, according to this law it was not possible to change the rupee exchange rate against the pound sterling as long as the sterling-Indian rupee exchange rate remained unchanged. The Currency Law was amended by the Currency Amendment Act No.4 of September 1949 to abandon this automatic sterling-Indian rupee link with the Sri Lankan rupee. Accordingly, the exchange rate of the Sri Lankan rupee was linked directly to gold instead of the Indian rupee or the pound sterling. This amendment of the Law gave the flexibility to Sri Lanka to determine its own exchange rate in relation to any currency. The parity was fixed at one Sri Lankan rupee to 2.88 grams of gold, preserving the then existing parity of the Sri Lankan rupee with the pound sterling at 1 shilling and six pence. Thus, the value of the pound sterling in terms of the rupee was Rs. 13.3336.

The US dollar-rupee rate was determined by the US dollar-sterling rate in the London market. As mentioned above, even though the Sri Lankan rupee was not devalued when the pound sterling was devalued in 1949, the Sri Lankan rupee was devalued against the US dollar by 30 per cent to Rs. 4.77. The devaluation coupled with the Korean War boom, brought about a massive surplus in the balance of payments. When Sri Lanka accepted membership of the IMF in 1950, this parity was used as the par value of the rupee. During the 1948-1966 period, the parity between the rupee and the pound sterling remained unchanged at Rs. 13.3336, while the rupee-dollar exchange rate remained unchanged at Rs. 4.77 during 1949 – 1966.

The continued pressure on external assets in Sri Lanka due to imports growing at a faster rate than exports, made it imperative that the Sri Lankan rupee be devalued. Accordingly, it was devalued by 20 per cent on 22 November 1967. Though this was intended to improve export competitiveness in Sri Lanka while discouraging imports, it proved to be an unsuccessful attempt as it was effected with a considerable time lag in relation to the developments in external trade.

Multiple Exchange Rate Regime (1968-1977)

The fixed exchange rate system came under tremendous pressure towards late 1950s but was continued despite balance of payments problems and a rapid depletion of international reserves with the support of progressively stringent controls imposed on external trade and payments. In 1968, an attempt was made at partial liberalisation by introducing a system of Foreign Exchange Entitlement Certificates (FEECs). The FEECs was a system of dual exchange rates with one "official" exchange rate applicable to essential imports and traditional exports, and the other much

depreciated rate applicable to all other exports and imports. This had the twin objectives of export diversification with an additional incentive for non-traditional exports and import compression by allowing the market mechanism to regulate “non-essential” imports, and thereby addressing the balance of payments problem in the country. Initially, the FEECs rate for the pound sterling was fixed at Rs. 20.5714, which was 44 per cent above the official rate of Rs. 14.2857 per pound sterling. This rate was increased to 55 per cent in 1969 and to 65 per cent in 1972. However, the BOP deficit was continued, requiring further tightening of controls particularly with the oil price crisis in 1973. The FEECs system was continued with such stringent controls till 1977.

The convertibility of the US dollar into gold was suspended in August 1971 by the United States. With this, the rupee was linked to the US dollar at the prevailing parity of Rs. 5.9524 per US dollar, allowing the parities against other currencies to be determined on the basis of their cross rates to the US dollar in international foreign exchange markets. As the Bretton Woods fixed exchange rate system began to collapse globally, in June 1972, the pound sterling was floated. With this, the rupee, which had been linked to the US dollar from November 1971 was re-linked to the pound sterling in July 1972 at the existing parity of Rs. 14.94. The parities with other currencies were fixed from time to time on the basis of their cross rates with the pound sterling in the international foreign exchange markets. Though this practice of fixing the exchange rate from time to time could have created arbitrage opportunities, it may have not been possible to make use of such opportunities due to exchange control regulations.

Sri Lanka moved from a hard peg to a single currency, to a basket peg in May 1976 in determining the exchange rate by relating it to an appropriately weighted basket of currencies. This step was necessitated by the need to insulate the rupee from random events abroad, which under the previous regime, tended to be transmitted to Sri Lanka, via the link between the rupee and the pound sterling. With the use of a basket of currencies in the determination of the exchange rate, there was a greater scope for underlying trends in the Sri Lankan economy to be represented in Sri Lanka’s exchange rates vis-a-vis other currencies. The exchange rate was gradually re-adjusted under a crawling peg system between August and mid November 1977 with the intention of finding a more realistic rate of exchange for the rupee.

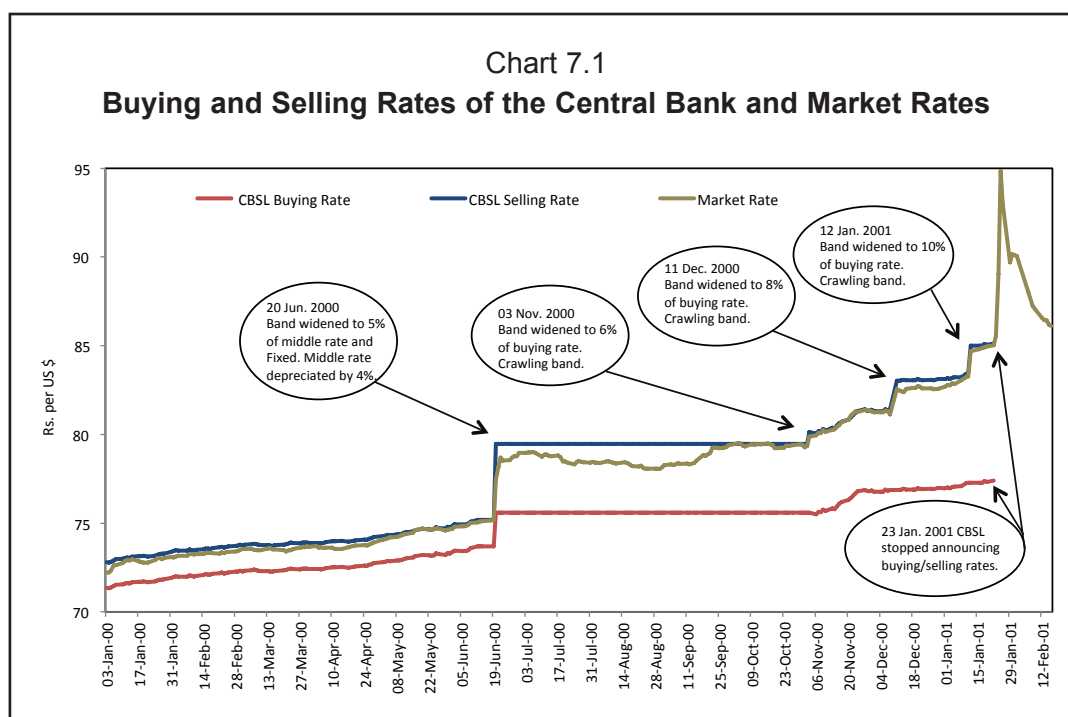
Managed Floating Exchange Rate Regime (1977 – 2001)

In November 1977, Sri Lanka made a major shift from restrictive policies towards a liberal policy regime by removing most of the restrictions on transactions on external trade and payments. The dual exchange rate system was abolished by introducing a unified exchange rate, while the rupee was initially depreciated by 46 per cent. With the unification, the exchange rate was allowed to float, providing scope for the exchange rate to be determined largely on the basis of demand and supply conditions in the market. The new system marked a radical shift in Sri Lanka’s exchange rate policy by moving from a fixed exchange rate regime to a managed floating exchange rate system based on a basket of currencies. The more market oriented system of managed float was

expected to insulate the domestic currency from unwarranted random events and to maintain a realistic exchange rate closer to the true price to ensure the external competitiveness of domestic goods and services.

Under the managed floating system, the Central Bank initially quoted its fixed daily buying and selling rates for six major currencies. However, after 1982, the Bank limited its quotations only to the intervention currency, the US dollar, allowing the commercial banks to determine the cross rates for other currencies based on market conditions. At the beginning, the band width was set at Rs. 1.50 per US dollars 100. This was revised to Rs. 3.00 per US dollars 100 in March 1987. The margin was gradually raised to 1 per cent by March 1992 and to 2 per cent in 1995. Therefore, this system was better known as a managed floating with a crawling band. With the liberalisation of the exchange rate under the managed float system, the country also liberalised its payments system by removing exchange control regulations. By March 1994, it had completed the removal of all restrictions on current external transactions and accepted Article VIII of the Articles of Agreements of the IMF. Capital account transactions were also largely liberalised, except for restrictions on investment abroad and borrowing abroad by residents, and investment in domestic debt instruments by non-residents.

In 2000, the Sri Lankan economy faced a major challenge of a critical decline in its external reserves due to two main reasons, i.e., a sharp increase in the prices of petroleum products and expenditure on defence related imports with the escalation of war with terrorists. Accordingly, a massive deficit of US dollars 516 million in the balance of payments was recorded in 2000, placing a tremendous pressure on the external reserves and the exchange rate.



In this background, the Central Bank faced a major challenge in managing the exchange rate with the crawling band. There was a continued pressure on the exchange rate to depreciate and the market exchange rate tended to operate around the Central Bank's selling rate most of the time, requiring the Bank to sell foreign exchange to defend the exchange rate. The Central Bank responded to this by widening the spread between its buying rate and the selling rate. As shown in Table 7.1 & Chart 7.1, it was raised progressively to 5 per cent in June 2000, to 6 per cent in November, to 8 per cent in December and to 10 per cent in January 2001, allowing market forces a greater scope to determine the exchange rate.

However, the market exchange rate reached the selling rate of the Bank immediately after the widening of the band, and this proved the fact that maintaining an exchange rate band was no longer sustainable given the market conditions prevailing at the time with rapidly dwindling external reserves. The country's official external reserves fell sharply from US dollars 1,619 million at end 1999 to US dollars 1,386 million by June 2000 and further to US dollar 1,043 million by end December 2000. This level of reserves was not sufficient to finance even two months of imports. The Bank also lost the control over monetary policy as monetary policy had to be used to defend the exchange rate, rather than to achieve its primary objective of price stability. The Bank raised its Repurchase and Reverse Repurchase rates eight times to reach 20 per cent and 23 per cent, respectively, by January 2001, from 9.25 per cent and 13.48 per cent that prevailed in December 1999 (Table 7.2). These increases in interest rates and reserve losses were the cost of maintaining a fixed exchange rate band. This showed that this system of exchange rate determination was not sustainable over the long run and hence it was imperative that the country move to a system of free floating unless it was prepared to give up the achievements in liberalisation so far and move back to introducing restrictions on current account transactions, violating the obligations under the Article VIII of the IMF.

Independent Floating Exchange Rate Regime

Sri Lanka took a major step forward in the liberalisation of foreign exchange transactions on 23 January 2001, by allowing commercial banks to determine the exchange rate freely while abstaining from daily announcement of the buying and selling rates of foreign exchange in advance. It indicated that the Bank would participate actively in buying and selling at or near market prices. The new system permitted freer transactions in the market while stabilising the value of the rupee and helping authorities to build up official foreign reserves. This in fact was a culmination of the process of allowing greater flexibility in the determination of the exchange rate by widening the band with its complete removal. In order to support the system by restraining speculative activities in the market, which were likely in the early stage of floating and to encourage exporters to bring back export proceeds, the Bank also implemented the following precautionary prudential measures.

- Limits were placed on daily working balances maintained by commercial banks in foreign exchange, on the basis of past export-import transactions. This was to prevent banks building up foreign exchange for excessive trading.

- Banks were instructed to ensure settlement of export proceeds within 90 days. Penalty interest rates were to be charged when overdue.
- Forward sales and purchase of foreign exchange were to be backed by a rupee deposit of 50 per cent, to discourage excessive forward contracting.
- Banks were advised not to permit early or prepayment of import bills, in anticipation of depreciation.
- Banks were also instructed to limit their forward market operations only to trade based transactions.

Table 7.1
Exchange Rate Changes

Date	Band width	Exchange Rate of CBSL (Rs./US\$)			Depreciation (%) at CBSL		
		Buying	Middle	Selling	Buying	Middle	Selling
10-Nov-1982	Rs.1.50/= per 100 US\$	21.0225	21.03	21.0375	-		-
6-Mar-1987	Rs.1.50/= per 100 US\$	28.7325	28.74	28.7475			
9-Mar-1987	Rs.3/= per 100 US\$	28.735	28.75	28.765	0.01	0.03	0.06
28-Feb-1992	Rs.3/= per 100 US\$	42.9650	42.9800	42.9950			
23-Mar-1992	1.0 per cent	42.9840	43.2000	43.4160	0.04	0.51	0.97
17-Mar-1995	1.0 per cent	49.6804	49.9300	50.1797			
20-Mar-1995	2.0 per cent	49.4109	49.9100	50.4091	-0.55	-0.04	0.46
19-Jun-2000	2.0 per cent	73.6907	74.4350	75.1794			
20-Jun-2000	5.0 per cent	75.6000	77.5400	79.4700	2.53	4.00	5.40
2-Nov-2000	5.0 per cent	75.6000	77.5400	79.4700			
3-Nov-2000	6.0 per cent	75.6000	77.8700	80.1400	0.00	0.42	0.84
8-Dec-2000	6.0 per cent	76.8700	79.1400	81.4100			
11-Dec-2000	8.0 per cent	76.8700	79.9448	83.0196	0.00	1.01	1.94
11-Jan-2001	8.0 per cent	77.2750	80.3498	83.4246			
12-Jan-2001	10.0 per cent	77.2750	81.1388	85.0025	0.00	0.97	1.86
22-Jan-2001	10.0 per cent	77.4050	81.2688	85.1325			
22-Jan-2001	CBSL stopped announcing its buying and selling rates in advance.						

Note: During 10 November 1982 to 2 November 2000, the band was computed symmetrically about the middle rate.

Since 3 November 2000, it is computed from the buying rate.

Table 7.2
Changes in Central Bank Interest Rates

Date	Repo Rate	Reverse Repo Rate	Bank Rate
31-Dec-99	9.25	13.48	16.00
05-Jan-00	9.00		
21-Jan-00		13.30	
04-Apr-00		13.00	
09-May-00	9.25		
12-May-00		13.25	
19-May-00		14.00	
08-Jun-00	9.50		
26-Jul-00	11.00		
31-Aug-00	11.75		
19-Sep-00		15.50	
29-Sep-00	13.00	16.00	
02-Oct-00			18.00
08-Nov-00	15.00	18.00	20.00
21-Nov-00	17.00	20.00	25.00
18-Jan-01	20.00	23.00	

Source: Central Bank of Sri Lanka

Immediately with the change in the exchange rate regime, an overshooting of the rate was expected and did occur, as experienced in a number of other countries. The rupee depreciated from Rs. 85 to around Rs. 98 per US dollar within the first three days, but stabilised around Rs. 88-90 per US dollar within a week's time. The weighted average exchange rate in the spot market recorded a depreciation of 9.1 per cent by 25 January 2001 compared with the pre-float level, but the rate of depreciation declined to 1 per cent by 7 March 2001. This was a relatively quick stabilisation of the exchange rate compared with the experience of other countries that floated their exchange rates. For example, Brazil's currency depreciated by 21 per cent on the first month of floating in January 1999, while the Indian rupee depreciated by 16 per cent in the first month of floating in March 1993.

Under the independent floating exchange rate system, it is not necessary for the Bank to use monetary policy to defend the exchange rate, as the exchange rate is not considered a nominal anchor. Therefore, the Bank is able to target its monetary policy to achieve the prime objective of price stability. However, the Central Bank can intervene in the market to prevent excessive fluctuations in the exchange rate. The Market Operations Committee (MOC) of the Central Bank daily monitors the current and expected foreign exchange inflows and outflows, movements in the dollar in the international market against SDR basket of currencies (Euro, Yen, UK Pound, US

dollar) and against the real effective exchange rate (REER) computed with a 5-currency basket (euro, yen, pound sterling, US dollar, Indian rupee), indicators such as interest rate differential and forward premium and net open position of the commercial banks etc. in order to identify any risk of large fluctuations in the exchange rate to examine whether there is a need for the Central Bank to intervene. One of the large items of foreign exchange outflows in Sri Lanka has been the settlement of oil bills by the Ceylon Petroleum Corporation (CPC), which destabilises the market when they attempt to purchase a large amount of foreign exchange from the market to settle oil bills. Therefore, the Central Bank allowed CPC to open and maintain foreign currency accounts with two state commercial banks to build up foreign exchange deposits gradually enabling them to settle oil bills.

Under the present system of independent floating where the exchange rate is determined through market forces, the Central Bank intervention in the foreign exchange market by purchasing or selling foreign exchange has been limited only to contain excessive volatility in the exchange rate, and to build up reserves. Table 7.3 shows movements of the rupee against the US dollar and the intervention by the Central Bank since the commencement of the new exchange rate regime. Except for a few exceptions, the general tendency in the exchange rate has been to depreciate though at a varying degree, which reflect largely the higher inflation in Sri Lanka relative to inflation in its trade partner countries. In 2005, the rupee appreciated with the expectation of large scale foreign exchange inflows to assist people and re-build areas affected by the Tsunami. In November 2006, the government Treasury bill market was opened for foreign investors up to a maximum of 5 per cent of the outstanding stock. This ceiling was raised to 10 per cent in December 2007. The government Treasury bond market too was opened up to 10 per cent of outstanding stock for foreign investment in May 2008. Since interest rates in Sri Lanka were quite high relative to international markets, there had been considerable foreign financial inflows to the government securities market, particularly since late 2007, exerting pressure on the rupee to appreciate. The Central Bank as a prudential measure built up its reserves by absorbing most of the inflows and thereby contained the rupee appreciation.

Sri Lanka faced a major challenge of a significant decline in its foreign exchange reserves from the last quarter of 2008 till about mid 2009 with pressure on the exchange rate to depreciate. This was mainly due to the adverse impact of the global financial crisis together with the intensification of the war. There was a heavy demand for foreign exchange during the first few months of 2009, due to repatriation of investments in government securities by foreign investors, in view of their own liquidity constraints due to financial crisis, the settlement of large petroleum and war related import bills, and acute drying up of sources of foreign financing. As there was a severe shortage of foreign exchange in the market, the Central Bank had to fill it by supplying a significant amount of US dollars out of its foreign exchange reserves, as otherwise there would have been a substantial depreciation of the rupee, which could have been rather destabilising and would have had a lasting impact on the confidence of foreign investors, making their return to the country even with the restoration of normalcy in the international financial market rather

unlikely. Accordingly, gross official reserves reached a low level of US dollars 1,082 million by March 2009. The rupee depreciated to its lowest level of Rs. 120.25 against the US dollar by April 2009.

However, with the ending of the war in May 2009, and the approval of the Stand-by Arrangement Facility (SBA) by the IMF in July 2009, investor confidence improved and foreign investments in government securities increased substantially. The Central Bank commenced re-building its reserves by absorbing foreign exchange from the market and thereby containing the

Table 7.3
Movements of the Exchange Rate and the Intervention by the Central Bank

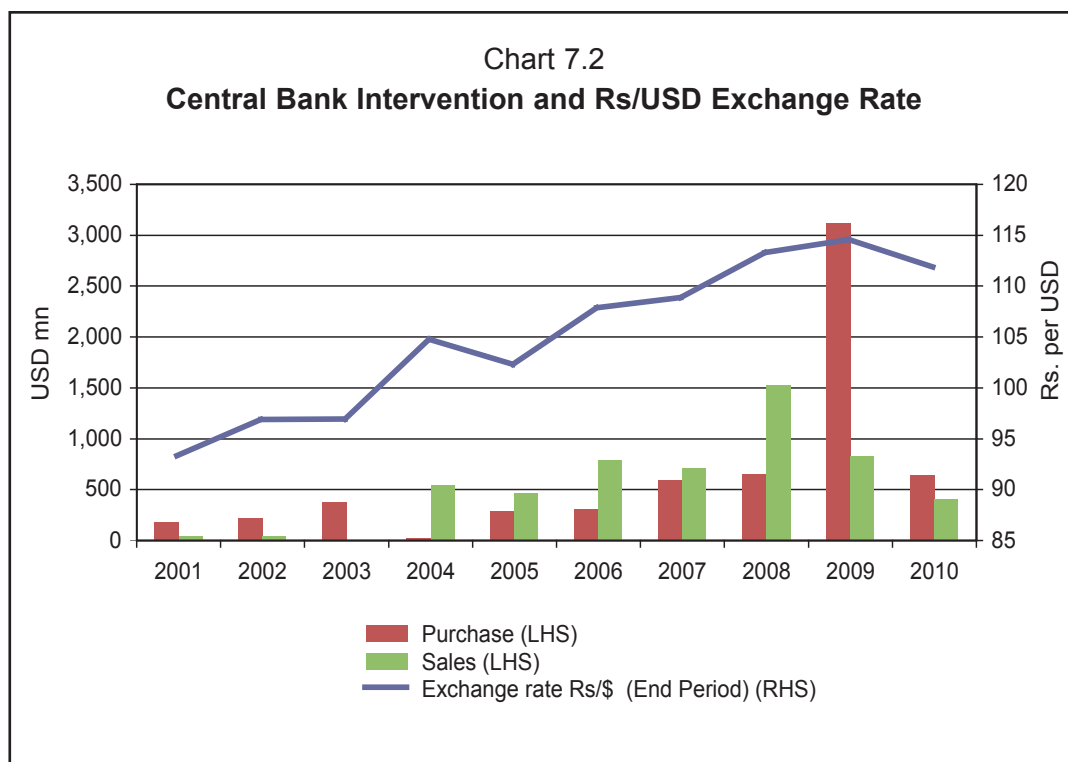
Year	Exchange rate Rs/\$ (End period)	Appr./Depr. %	Purchases US\$ mn	Sales US\$ mn	Net US\$ mn
2001	93.16	-14.06	180.25	45.68	134.58
2002	96.73	-3.69	223.65	46.58	177.08
2003	96.74	-0.01	377.40	2.50	374.90
2004	104.61	-7.52	27.0	541.68	-514.68
2005	102.12	2.44	289.95	463.70	-173.75
2006	107.71	-5.19	306.95	790.98	-484.03
2007	108.72	-0.93	592.63	715.85	-123.23
2008	113.14	-3.91	656.10	1,531.86	-875.76
2009	114.38	-1.08	3122.00	830.09	2,291.92
2010	110.95	3.09	753.20	819.80	-66.60

Source: Central Bank of Sri Lanka

Note: Negative sign denotes depreciation.

pressure on the rupee to appreciate. The receipt of two tranches of IMF facility amounting to US dollars 652 million, and a sovereign bond issue of US dollars 500 million in 2009 further supported to raise foreign reserves. Accordingly, the country's official reserves increased to US dollars 5 billion by end 2009. Other foreign inflows, such as private remittances, tourist earnings and trade related inflows also increased since the end of war. With this, foreign exchange supply in the market improved and accordingly the rupee appreciated during the second half of the year. It reached Rs. 114.38 per dollar by end of the year, resulting only a marginal depreciation of 1.08 per cent for the whole year. However, when compared to Rs. 120.25 per US dollar by April 2009, the exchange rate recorded an appreciation of 5.1 per cent by end of the year.

The inflow of foreign exchange continued into 2010, recording a further appreciation of the rupee by about 3.1 per cent from end December 2009 to December 2010 to reach Rs. 110.95 per dollar. Accordingly there has been a turnaround in the tendency in the rupee from depreciation



to appreciation, posing challenges in managing with continued foreign financial inflows. There is a pressing need to prevent a large appreciation of the rupee to support exporters to maintain competitiveness of their products in the international market. However, continued net purchases of foreign exchange by the Central Bank, though it augmented official foreign reserves and avoided large appreciation of the rupee, it has led to a substantial increase in excess rupee liquidity in the market making the monetary management a difficult task. The Bank has run out of its holdings of Treasury bills and commenced issuing its own securities in absorbing excess liquidity. A new instrument of dollar-rupee SWAP was also introduced for the same. Yet the excess liquidity remains quite high, which will eventually pose a risk of high monetary expansion unless measures were taken to address it. The sterilisation cost in 2010 was Rs. 12 billion. Therefore, in order to avoid any further build up of domestic rupee liquidity, a further liberalisation in capital account transactions with a careful monitoring system could be considered to ensure overall macro-economic stability of the country. In fact, initiatives in this regard have already been made.

8

Payments and Settlements – Evolution of Sri Lanka’s Payment System

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Background

The payment system, which consists of instruments for effecting payments and settlements of transactions, together with necessary infrastructure and legal and regulatory framework for the same is the backbone of a country’s monetary and financial system. A sound, efficient and reliable payment system is a sine qua non for financial system stability without which the central bank of a country could not conduct its monetary policy to achieve its objective of price stability. The Central Bank of Sri Lanka (CBSL) has well recognised the importance of the payment and settlement system and has taken initiatives and leadership in developing and modernising it to be in line with the international best practices and standards.

At the time of establishing the Central Bank, the widely used mode of payment was ‘cash’ comprising currency notes and coins. Over the last 60 years, the relative importance of cash as a mode of payment has declined with the development of the financial system and the introduction of innovative instruments for effecting payments and settling transactions. This is indicated by the decline in currency notes and coins in circulation in the broadly defined money supply from 33 per cent in 1950 to 12 per cent by 2009, a result of gradual movement towards non-cash payment modes such as cheques, credit and debit cards, and internet and other electronic payments. The introduction of such non-cash payment systems however required the development of necessary infrastructure including an efficient interbank payment and settlement system.

‘Cheque’ as an Instrument of Payment and Evolution of the Clearing Process

Cheques drawn against deposits maintained at banks gained popularity as a non cash payment instrument with the development of banking systems of the country, though there are records of use of cheques even as far back as 1820. However, the first mentioning of a clearing process, an essential requirement for effecting payments by cheques in Sri Lanka has been in 1885 by the Colombo branches of the Madras Bank and the Imperial Bank of India. Over the last 60 years, cheques have gained their importance as a mode of payment as indicated by the increase in the size of daily clearing. For example, the value of cheques cleared through the clearing house which stood at around Rs. 31.5 million per day in 1951 has increased to Rs. 370 million per day by 1980 and to around Rs. 21.8 billion per day at end June 2010.

Manual Clearing

As per Section 98(1) of the Monetary Law Act, the Central Bank is required to provide clearing facilities for transactions among commercial banks operating in Sri Lanka. On 29 August 1950, after the establishment of the Central Bank, the Bank took over the clearing functions from the Colombo branch of the Imperial Bank of India, which until then functioned as the clearing bank. The clearing mechanism adopted at that time required all banks to meet at the Central Bank to physically exchange the cheques received from other banks. The banks met at the Central Bank in the morning for the main clearing (to exchange the cheques presented to one bank by a customer for collection of funds from another bank) and for the settlement clearing (to return the invalid cheques back to the presenting bank) at noon each day and computed manually the net clearing balances. The Central Bank settled the net clearing balances by manually passing entries in the accounts of banks held in its books and informed the net account balances to banks by 8.00 a.m. the next business day. This process of clearing created many errors as well as delays as balancing and accounting functions were handled manually.

Establishment of the Sri Lanka Automated Clearing House

With the increasing volumes of cheques for daily clearance, it became imperative that the clearing process be automated. Accordingly, the Sri Lanka Automated Cheque Clearing House (SLACH) was established on 02 March 1988 as a sub-division of the then Data Processing Department of the Bank. The automation required to modify the cheque leaf to include a Magnetic Ink Character Recognition (MICR) band to encode in machine readable form all required information for clearing such as paying bank, cheque number, value, etc. The cheques were sorted electronically according to the recipient bank order through reader/sorter machines. This process considerably reduced the number of days required for realisation of a cheque. However, as the physical cheque still had to travel from the collecting bank to the SLACH, it was not possible to have a uniform realisation time island-wide. In order to reduce the travel time of the cheque, the CBSL introduced

regional clearings at its 3 regional offices located at Matara, Anuradhapura and Matale which eliminated the need for cheques collected in these regions to come to Colombo for the central clearing. In addition, some banks had informal regional clearing arrangements to clear cheques collected in certain areas.

Sri Lanka Interbank Payment System (SLIPS)

The establishment of the SLACH was followed by, and facilitated the introduction of an electronic funds transfer (EFT) system for inter-bank transactions named as the Sri Lanka Interbank Payment System (SLIPS) in August 1993. This enabled the movement of funds from one account to another or to a number of accounts without a piece of paper such as a cheque, pay order or voucher to authorise or prove the transfer, electronically by forwarding the details with adequate data security controls, in a computer diskette. Initially, this system was mainly used for credit payments only, but was extended to accommodate debit payments in February 1995.

The SLIP System reduced the use of cheques and is currently extensively used for small value bulk transactions such as the payment of salaries, utility bills, EPF benefits, etc. Transactions cleared through SLIPS per day has grown to an average of over 40,000 transactions valued at Rs. 1.4 billion in 2010 with a peak level of 380,000 transactions a day during the year. With the implementation of an enhancement to the system on 21 September 2010, transactions can now be cleared on T+0 basis (the payment will be credited to the recipients' account on the same day). It has also enabled the introduction of multiple settlements a day further reducing the settlement risk.

Establishment of LankaClear (Pvt) Ltd.

The Central Bank observed that a number of countries had already implemented independent clearing houses which were found to be more efficient and cost effective. Accordingly, the cheque clearing function was divested to a new company, LankaClear (Pvt) Ltd. (LCPL) incorporated under the Companies Act on 08 February 2002. The participants in the clearing process; the commercial banks and the CBSL became shareholders of the company. The CBSL also decided to be the major individual shareholder by obtaining 19.6 per cent of the issued shares. Since its establishment, LCPL has been operated successfully without any major interruptions and recorded profit continuously. In parallel to this development, a US dollar clearing system was also introduced on 01 October 2002 by LCPL to reduce dollar cheque clearing time.

Implementation of Cheque Imaging and Truncation System

In 2005, Central Bank together with LCPL commenced planning to implement a Cheque Imaging and Truncation System (CITS) to further reduce the cheques realisation time which was in the range of 1 to 10 days depending on the geographical location of the receiving and paying banks.

With this system, the physical cheque is truncated at the collecting bank/branch and only the image will travel to LCPL for sorting. To facilitate this process, LCPL established 10 regional centres island-wide for the bank/branches to hand over the cheques for image capturing until such time the branches developed their own capacities. The cheque had to be further standardised in order to capture legible images as verification of signatures will be done through the image and not through the physical cheque with the implementation of the system. The 10 regional centres transferred the images through dedicated communication lines to LCPL where the images were sorted and directed to the paying bank. The main advantage of embarking on the CITS was to clear cheques island-wide without any geographical boundaries, on T+1 (where T is the day of deposit of the cheque and 1 is the following business day). The CITS System was successfully implemented on the 11 May 2006.

Since the implementation of CITS, all commercial banks have upgraded their technology and almost all bank/branches are now linked to their head office systems through core-banking packages. This has reduced significantly the need to continue with the LCPL's regional offices for collection and imaging of cheques. Accordingly, the regional offices were closed with effect from 01 July 2010 and currently, all banks submit the images to LCPL directly.

Introduction of Payment Cards

Payment card is a payment method that has revolutionised the way the consumers and service providers transact. The cards may come in the form of special purpose cards, credit cards or debit cards. Although local credit cards have been in existence since early 1980s, the first international credit card related products were introduced by Sampath Bank and Bank of Ceylon in 1989. The first debit card 'Maestro Debit' issued by the Sampath Bank in 1997 was the first in South Asia which provided access to international ATMs and transactions at merchant level. Subsequently, the VISA Electron Debit card was issued by Bank of Ceylon. Currently, there are over 24,000 Point of Sale (POS) machines installed at merchant outlets to be used for card payments. To minimise frauds when using the cards for payment purposes, the CHIP enabled cards were introduced in Sri Lanka in 2008 by some banks. The growth of use of credit cards have been slow due to high interest charges that are levied for late payments and other charges such as joining and annual fees levied for different types of cards. Currently there are over 830,000 credit cards issued to customers by banks and the average number of transactions using credit cards is around 1.4 million valued at over Rs. 5.0 billion a month. Similarly, there are over 6.0 million debit cards (including ATM cards) that are used for local as well as international transactions.

In 2009, the payment card industry was brought under the regulation of the CBSL by the Service providers of Payment Cards Regulation, No. 1 of 2009 which became effective from 31 July 2009. The Regulation requires all Service Providers of payment cards to register with the

CBSL. Currently, 17 financial institutions have registered with the CBSL under the Regulation. Further, the CBSL shall be responsible for regulating and monitoring all service providers of payment cards registered under the Regulation. In addition, to ensure safe, secure and efficient use and operation of credit cards, the Credit Card operational guidelines were issued to all credit card issuers on 01 March 2010.

Phone/Mobile/Tele-banking/Internet Banking

Electronic payment methods using devices such as phone, mobile or Internet are increasing in popularity with the adoption of modern technology by the general customer. These methods of payments have been in operation for the past 4 – 5 years but have recorded a significant growth in recent times. The Central Bank, as the regulator, preparing for the growth in electronic payments, is in the process of issuing guidelines on mobile payments and internet banking which are expected to be released early 2011.

Implementation of the Real Time Gross Settlement System

Cash payments have finality in settlement and are generally accepted as a medium of exchange. However, non-cash payment systems where the transaction is between two banks impose a settlement risk for the Central Bank as the settlement of each bank's obligation towards another are made on a net-basis at the end of the day. Each bank maintains an account with the CBSL and such obligations are settled through the funds available in these accounts. However, as the settlement happened at the end of the day, the CBSL was faced with the risk of not being able to settle the balances even if one bank was short of funds. Accordingly, there is a risk that the manual end of day settlement of banks' liabilities would lead to instability of the entire financial system. Considering this risk as well as to maintain the system more efficiently, the CBSL introduced a Real Time Gross Settlement System (RTGS) on 08 September 2003 to facilitate settlement of high value and time critical transactions on a real time basis. This implementation enabled the country's banking system to effect interbank payments and complete settlements among themselves on a real time basis, settling through the accounts maintained at the CBSL, eliminating undue settlement risk that was prevalent with manual end of day settlement system which exposed the CBSL to credit, liquidity and insolvency risks of the commercial banks. Sri Lanka was the first country in South Asia to introduce an RTGS System.

RTGS system is considered as a systemically important payment system which requires adherence to international standard such as the 10 core principles put forward by the Bank for International Settlement (BIS) for operation of such systems. Currently the RTGS is operated with over 99.6 per cent system availability and in full compliance with the BIS standards.

With the enactment of the Payment and Settlement Systems Act in 2005, the Central Bank was empowered to be the authority responsible for the national payment system. Implementation of the RTGS for high value payments has brought about financial discipline among all users as adequate reserves have to be maintained in the respective bank accounts for real time settlement. The Central Bank provides intraday liquidity (ILF) at no cost to the participants to bridge the shortage of funds during the day provided that the banks returned the dues before the close of the system. The RTGS transactions are made through SWIFT (Society for Worldwide Interbank Financial Telecommunication) which ensures high security of transactions while on transmission. Currently 96.2 per cent of the value of all electronic transactions (excluding cheques) are routed through RTGS ensuring minimum settlement risk. The rest of the transactions are made using Internet and phone banking, SLIPS and other card based systems.

Implementation of the Scripless Securities Settlement System

With an objective of further developing the government securities market, the Scripless Securities Settlement System (SSSS) together with the Central Depository System (CDS) named 'LankaSecure' was implemented on 02 February 2004. It provided for the dematerialisation of government Treasury bills and bonds that were in scrip form to scripless or electronic form, new issues in scripless form and maintaining securities accounts of customers and movement of securities among all accounts. The LankaSecure is linked to RTGS to form LankaSettle, an integrated system for real time settlement of transactions including securities transactions. Under this system, all settlements relating to securities trading take place on DvP (Delivery Vs Payment) basis, completely eliminating the risk of delivery of securities without receiving the payment relating to the trade. The CDS records movements of securities or changes of their legal ownership on a real time basis. LankaSecure has greatly reduced the cost, manpower needs involved in issuance of government securities and provided enhanced security to investors. This implementation has completely eliminated the hassle of physically moving the scrip securities from one to another and expanded the securities trading in the secondary market as the system provides for the transfer of securities among customer accounts instantly and settlement arising from the trading on DvP basis on real time.

Legal & Regulatory Framework

The Payment and Settlement Systems Act No.28 of 2005 (PSSA) provides among other things, a comprehensive legislation to govern payment, clearing and settlement systems and provides the CBSL with oversight and regulatory powers over payment and settlement systems. The Act also provides for electronic presentment of cheques and authority for the CBSL to maintain securities accounts for participants as well as customers which were required for the implementation of the CIT and SSS systems respectively.

The National Payments Council (NPC), the highest decision making body with regard to payment systems comprising of representatives from all stakeholders in the payments area was set up in 2007. The NPC is chaired by a Deputy Governor of the CBSL and represented by members from state, local private and foreign banks, LCPL, Stock Exchange and Ministry of Finance. Considering the responsibilities of developing the payment and settlement infrastructure, NPC in collaboration with all stakeholders, have prepared a road map defining milestones to be achieved in the country's payment systems with target dates for completion.

As the regulator of PSS, the CBSL ensures that all participating institutions of systemically important payment systems have established proper business continuity plans and disaster recovery sites to ensure continuity of operations. Furthermore, the CBSL has commenced on-site as well as off-site surveillance of all payment system related activities of the stakeholders.

Establishment of Financial Sector Certificate Authority

With the popularisation of card based payments, internet based payments and other means of electronic payments, the need to establish proper information security for such transactions became evident. The 'LankaSign', the Certificate Authority for the financial sector was established on 22 May 2009 by LCPL which became the first Certificate Service Provider under the Electronic Transactions Act No. 19 of 2006. The use of Digital Certificates issued by LankaSign by financial institutions would ensure greater authenticity, integrity and reliability to electronic payment transactions. The Digital Certificates issued by LankaSign are currently used in the SLIPS enhancement for transmitting the SLIPS files securely to LCPL by the participating banks.

Cross Border Transactions

Payment systems relating to cross border transactions are very limited in Sri Lanka. However, the Asian Clearing Union (ACU) of which Sri Lanka is a founder member was established in 1974 with the objective of facilitating international transactions on a multilateral basis among member countries to promote monetary cooperation among them and thereby to promote trade and economic activities among member countries. The other members of the ACU are Bangladesh, Bhutan, India, Iran, Maldives, Myanmar, Nepal and Pakistan. The ACU Secretariat is located in Tehran, Iran. Under this payment mechanism, payments relating to trade among member countries made through Letters of Credit are routed through the respective central banks/ monetary authorities. The transacting currencies of the system are the US dollar and the Euro. The transactions among members are settled by the respective central banks on a net basis at the end of the two month period. Another advantage of this mechanism is the availability of a swap facility which provides temporary credit to any member country in distress to settle the net

positions. Significant changes are required to the ACU clearing mechanism to meet modern day requirements as the current semi- manual system is time consuming and involves a lot of paper work.

SWIFT, the Society for Worldwide Inter-bank Financial Telecommunication is used for exchange of cross border payments between banks and other financial institutions. However, SWIFT is not considered as a payment system as it does not perform any form of clearing or settlement. SWIFT provides a secure way of transmitting messages from one place to another electronically. Although the RTGS is restricted to local payments, the transport mechanism used in RTGS is SWIFT to ensure security of high value payments.

In addition to the financial institutions, financial services and communications companies such as Western Union and Money Gram are actively involved in person-to-person money transfers in Sri Lanka. These companies have large agent networks globally, which facilitate money transfers from any part of the world. In Sri Lanka, the services of both these providers are used to receive inward remittances.

Regional Cooperation and Knowledge Sharing

The CBSL assumed leadership in establishing the SAARC Payments Council in 2008 with a view to strengthen the payment systems of the region by guiding the member countries to modernise their payment systems and to bring their payment systems to standards compatible with international standards and best practices. The SAARC Payments Council (SPC) is currently chaired by a Deputy Governor of the CBSL and the secretariat is located at the CBSL. The SPC meets every 6 months in a member country on a rotational basis.

The CBSL, since the implementation of the RTGS prepares a ‘Payments Bulletin’, which is issued on a quarterly basis. This provides a comprehensive coverage of all payment systems/ mechanisms available in the country for domestic as well as international payments, and related statistics. The bulletin could be accessed through the Central Bank’s website ‘www.cbsl.gov.lk.’

Future Trends

It is envisaged that there will be a tremendous demand for further modernisation of payment systems in the near future. The CBSL identifying the need to cater to the new payment instruments and payment channels that would evolve have already initiated the establishment of legal and regulatory systems for anticipated growth areas. Furthermore, to accommodate the growth in retail payments, LCPL with the CBSL have already initiated to set up a common ATM switch and a card switch in 2011 which will be expanded as a common payment switch.

The common ATM switch will provide convenience and accessibility for facilities such as cash withdrawals and balance inquiry from any ATM irrespective of the bank, at an affordable price. This will also provide benefits for customers of banks that do not have their own ATMs to use ATM facilities of other banks at a nominal cost. Furthermore, in preparation for fast track growth trends, the CBSL has already initiated to upgrade the RTGS system to accommodate high volumes of transactions.

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Currency issued by the Central Bank of Sri Lanka

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Currency notes and coins issued and in circulation form an integral component of money in the modern economy. It is a widely used instrument in the payment system, which is a part of the financial system of a country. Therefore, it is necessary to ensure that there is uninterrupted availability of currency in the required quality and that it preserves its integrity and public confidence. This will contribute to the smooth functioning of the payments and settlement system and thereby add to the stability of the financial system. Hence, the functions of issuing currency and management of currency in Sri Lanka is entrusted to the same authority which is responsible for maintaining economic and price stability and financial system stability.

Authority granted to the Central Bank

The Central Bank of Sri Lanka (CBSL) was empowered by the Monetary Law Act No. 58 of 1949 (MLA)¹ with the sole right and authority to issue currency and for the management of currency. Currency issued by the CBSL is the sole legal tender for the payment of any amount in Sri Lanka, (i.e. the currency that can be officially used in the country). Currency facilitates payments for goods and services and settlement of debt, while it also acts as a store of value.

¹ MLA Chapter III, Part I A, Sections 48 to 58.

When the CBSL commenced operations in August 1950, it was authorised to issue any currency notes or “Ceylon” coins printed or minted under the authority of the Board of Commissioners of Currency (BCC) of the British colonial regime and remaining un-issued on 28 August 1950. Further, the MLA provided for all currency notes and Ceylon coins issued under the provisions of the Currency Ordinance No. 21 of 1941, and in circulation, to become liabilities of the CBSL.² Therefore, the CBSL in 1950 inherited a well-organised currency system from the British, which had evolved over a period of nearly 150 years.³ It was in this period that the decimal coinage had also been introduced, on 17 March 1872, where the decimal unit was expressed at 100 cents (Ceylon copper coins) to a rupee.⁴ Further, during this period, comparatively high value currency notes in the denominations of Rs. 500 and Rs. 1000 had been issued into circulation but had been demonetised in early 1946 to prevent hoarding, black-market activities and income tax evasion.⁵ The highest denomination to be issued had been in the denomination of Rs. 10,000 for inter-bank transactions and for transactions between banks and the Currency Board. The date on the note was 15 October 1947 with the signatures in facsimile of C.E.Jones and T.D.Perera, Commissioners of Currency.



According to the MLA, all characteristics of currency such as denominations, dimensions, designs, inscriptions on currency notes and the metals, fineness, weight, size, design, denominations in relation to coins issued by the CBSL have to be prescribed by the Monetary Board of the CBSL and approved by the Minister in charge of the subject of Finance. Further, every currency note should bear the signatures in facsimile of the Minister in charge of the subject of Finance and of the Governor of the CBSL. On the face of a currency note a legend should state that the note is being issued on behalf of the Government of Sri Lanka indicating its legal tender status.

2 MLA Section 129 (2)

3 De Silva, G.P.S.H. History of Coins and Currency in Sri Lanka, the Central Bank of Sri Lanka, August 2000.

4 Salley, T.M.U. Sri Lanka Currency of Recent Times 1938-1985, the Central Bank of Sri Lanka 1986

5 MLA Chapter III, Part I A, Section 48 to 58

As it is with other countries, currency, both notes and coins (including commemorative notes and coins) issued by the CBSL reflect the historical and cultural heritage of Sri Lanka as well as the economic, political and social changes and developments that have taken place over the years in the country.

Currency Notes issued by the CBSL

Until the CBSL commenced printing its own currency, it issued the currency stock it had inherited from the BCC, and printed by the India Government Security Press. It is also mentioned that, a supplementary order at least for the smaller denominations was placed in 1950 by the BCC to meet the CBSL requirements, until the CBSL was in a position to issue its own notes into circulation. Although the CBSL was able to print and issue into circulation its first currency notes in 1952, it was only by mid July 1955 that the CBSL had the desired denominations of its own currency in circulation, replacing the notes issued by the BCC, with the exception of Rs. 100 and Rs. 50. Therefore, nearly 5 years after its establishment, the CBSL was in a position to recall by Gazette Notification dated 26 August 1955, all old-pattern currency notes of the denominations of Rs.10 and below, including the subsidiary notes of the denominations of cents 50, cents 25 and cents 10 bearing a date prior to 31 December 1950 with the signatures of the Commissioners of Currency. This is recorded as the first demonetisation exercise the CBSL carried out since its establishment.⁶

Table 9.1
Currency Notes issued by the Central Bank of Sri Lanka up to 2011

Series	Theme	Denominations (Rs.)	Year
01	King George VI series	1, 10	1951
02	Queen Elizabeth II series	1, 2, 5, 10, 50, 100	1952
03	Armorial Ensign of Ceylon series	1, 2, 5, 10, 50, 100	1956
04	S W R D Bandaranaike Portrait series	2, 5, 10, 50, 100	1962
05	King Parakramabahu Series	2, 5, 10, 50, 100	1965
06	Armorial Ensign of Sri Lanka series	50, 100	1975
07	Fauna and Flora Series	2, 5, 10, 20, 50, 100	1979
08	Historical and Archaeological series	5, 10, 20, 50, 100, 500, 1000	1981
09	Historical and Development series	500, 1000	1987
10	Sri Lanka Heritage series	10, 20, 50, 100, 500, 1000 2000	1991 2005
11	Development, Prosperity and Sri Lanka Dancers	20, 50, 100, 500, 1000, 5000	2010

⁶ Salley, T.M.U.

Since its establishment, the CBSL has issued eleven series of currency notes in different years up to 2011. Generally, when a new series of currency notes is issued by the CBSL, the notes of previous series continue to be legal tender and circulate alongside the new notes. The exception to this status quo was the event of the second demonetisation exercise of 1970.

Table 9.1 gives the theme of the note series, denominations issued and the year of first issue as printed on the notes.

King George VI Series

It was customary to display the portrait of the ruling monarch of the British Empire in currency notes and coins issued in British colonies. The portrait may perhaps have reinforced confidence of people in the currency note conveying it is issued under the authority of the monarchy. This was evident in the currency issued by the BCC in British Ceylon, which carried the portrait of the British Monarch. It also carried two signatures of the Commissioners of Currency. After regaining independence from British colonial rule in 1948, the CBSL continued with the practice of having the portrait of His Majesty King George VI on the first currency notes issued for circulation. The first note issued was on 04 January 1952 in the denomination of Rs. 10 with the date 20 January 1951 and with the signatures in facsimile of J.R. Jayawardene, the Minister of Finance and of John Exter, the first Governor of the CBSL. The Re. 1 note was issued subsequently. While the other denominations of Rs. 2, Rs. 5, Rs. 50 and Rs. 100 were still in proof stage, H.M. King George VI died on 06 February 1952 and the printing process of these notes ceased.⁷

Queen Elizabeth II Series

Subsequent series issued with the year 1952, in six denominations of Re.1, Rs. 2, Rs. 5, Rs. 10, Rs. 50 and Rs. 100 had the portrait of H.M. Queen Elizabeth II who became the ruling monarch of the United Kingdom in February 1952 upon the death of her father King George VI. Although the front of the currency notes in series I and II carried portraits of British rulers, it had been the decision of the Monetary Board and Hon. J.R. Jayawardene, the Minister of Finance at that time, that the rest of the designs on the notes should be typically national in character and with column forming at any border of the notes representing ancient Sri Lankan



⁷ These proof notes can be viewed at the Money Museum of the CBSL at Rajagiriya.

architecture. In the first two series the portraits had been on the front left side of the notes in keeping with the currency notes issued earlier by the BCC. The main security feature was the watermark of the Heraldic Lion of Ceylon (or “Sinhalese lion” as mentioned in some records) which was initially used in currency notes issued by the BCC and this appeared on the right side of the front of the note. The higher denomination notes of Rs. 5 and above contained intaglio printing from steel engraved plates.

Armorial Ensign of Ceylon Series

The year 1956 was a turning point in the political history of the country when Hon. S.W.R.D. Bandaranaike became Prime Minister after winning the general elections that year. Sinhala was made the official language in Sri Lanka and emphasis was on nationalistic policies. These changes also came to be reflected in the 3rd series of currency notes, where the main text on the note (e.g. Central Bank of Ceylon, the legend for legal tender, face value of the note) were changed from English to Sinhala and only the denomination of the note was mentioned in Tamil and English, in addition to Sinhala. This series was also the first series to reflect the independent status of Sri Lanka from British colonial rule. The portrait of the British monarch on the currency notes was replaced with the Armorial Ensign of Ceylon on the face of the note.



S W R D Bandaranaike Portrait Series

The Monetary Board in 1961 had been of the view that the use of a steel engraved portrait (use of intaglio printing that gives a raised print effect) would provide the greatest measure of security against counterfeiting. Portraits were considered difficult to reproduce, as small variations are readily noticeable by the public when they acquire familiarity with the genuine presentation. This practice had been adopted by several countries in the world, where they had the portrait of the



Head of the State on the face of their currency notes. Therefore, the next series issued in 1962 was the first note to have a portrait of a Prime Minister of Sri Lanka, the Late Mr. S W R D Bandaranaike who was assassinated in September 1959. During the period 1960 –1965, the Late Mrs. Sirimavo R.D. Bandaranaike was the Prime Minister of the country. To facilitate the scrutiny of notes during counting and to distinguish new notes from old notes, the portrait appeared on the right hand side of the notes and the water mark on the left hand side. Even up to this period, a few notes in the denomination of Rs. 50 and Rs. 100 with the portrait of Queen Elizabeth II had been in circulation.

King Parakramabahu Series

In 1965, on Government directives the CBSL issued a new series with the statue of King Parakramabahu I (1153-1186 AD), replacing the portraits on all currency notes. Other than these changes the main features in the series remained somewhat the same. However, in the notes printed and issued from 1969, the words “Central Bank of Ceylon” which, in the earlier series, was only in Sinhala, was also printed in Tamil and English.

Second Demonetisation Exercise

By the Avoidance of Tax Act No. 26 of 1970, the 2nd demonetisation exercise of the CBSL took effect not for the purposes of currency management but to prevent tax evasion as the name of the Act indicates. Accordingly, currency notes in the denomination of Rs. 100 and Rs. 50 bearing a date prior to 26 October 1970, ceased to be legal tender from 03 November 1970. Further, currency notes with the date 26 October 1970 were printed by Thomas De La Rue and Co. England in the denominations of Rs. 50 and Rs. 100 with the signatures in facsimile of Late Dr. N.M.Perera, Minister of Finance, and Late Mr.W.Tennakoon, Governor of the Central Bank, to replace the currency notes affected by the demonetisation exercise. These notes carried the portrait of the Late Mr. S.W.R.D.Bandaranaike with a raised hand replacing the vignette of the statue of King Parakramabahu the Great with changes in the designs. This issue is not considered as a separate series but as part of the S.W.R.D.Bandaranaike Portrait series.

Armorial Ensign of Sri Lanka Series

In 1975, the portrait of the Late Prime Minister S.W.R.D.Bandaranaike was replaced with the Armorial Ensign of Sri Lanka, which became the official emblem of the Government when the country was renamed the Republic of Sri Lanka under a new constitution promulgated on 22 May 1972. This change appeared only in the currency notes of the denominations of Rs. 50 and Rs. 100, while there was no change in design in the other denominations of Rs. 2, Rs. 5 and Rs. 10 notes.

Fauna and Flora Series

It was considered desirable by the CBSL to change the designs of the currency notes and the Bank made a major shift in the design format of the 7th series of currency notes issued in 1979. However, the Fauna and Flora series was short-lived and had only one order with the date 26 March 1979. For the first time a vertical format was used on the back of notes. A new denomination of Rs. 20 was introduced in this series to reduce the strain on the Rs. 10 and Rs. 5 notes, which were soiling fast and becoming unfit for circulation. The designs were drawn by a leading Sri Lankan artist specially commissioned by Bradbury Wilkinson & Co. Ltd. England and the designs in all denominations were changed to depict fauna, flora, birds, butterflies and fish of Sri Lanka in their natural environment.



Historical and Archaeological Series

In 1980 the Government required currency notes to carry designs depicting the ancient history and culture of the country. Accordingly, the 8th issue of the CBSL note series carried historical and archaeological features in the designs of all denomination of notes except the Rs. 1000 note, which featured images of the Bowetenna Reservoir of the Mahaweli Scheme on the front of the note and the Kantalai reservoir on the back.

The note designs had reversed once again to the earlier format of previous series. It was in this series that the CBSL for the first time issued two high value currency notes in the denominations of Rs. 500 and Rs. 1000 to relieve the pressure on the Rs. 50 and Rs. 100 denominations, which were increasing in use.

The Historical and Development Series

This series issued in 1987, comprised only the redesigned Rs. 500 and Rs. 1000 notes with advanced security features. These notes for the first time carried the words “Central Bank of Sri Lanka” in English replacing the words “Central Bank of Ceylon”. The main feature on the front of the Rs.500 note was a figure of an elephant sculptured in stone from the Temple of the Tooth Relic, Kandy and on the back a vignette of the Abhayagiri Stupa at Anuradhapura when viewed vertically. The front of the Rs.1000 note features the Victoria Dam of the Mahaweli Project and on the back are featured the University of Ruhuna and a peacock in the foreground.



Sri Lanka Heritage Series

The series, which was first introduced in 1991 and which has been the longest in circulation, were redesigned (all denominations) to depict Sri Lanka's heritage and the notes included highly advanced security features. Reprints in subsequent issues have included improved security features in the higher denomination notes such as changes in the security thread, the watermark with Electrotone feature (the highlighted sword of the Heraldic Lion), additional intaglio printing (raised print effect) and fluorescent features, to deter counterfeiting and ensure public confidence in the currency. In 2005, the CBSL issued into circulation, the high value Rs. 2000 note with advanced features such as the Starchrome® colour shifting security thread and Cornerstone® watermark, which were later introduced to the Rs. 1000 and Rs. 500 notes. The tactile bars with intaglio printing on both sides of the front of the Rs. 2000 notes, while providing the visually impaired easy recognition of the denomination also acted as a security feature.

Development, Prosperity and Sri Lanka Dancers

During a span of nearly 20 years since the issue of the last series in 1991, many changes had taken place internationally and in all aspects of Sri Lankan society, particularly in the Sri Lankan economy. With high expectations of seeing an end to terrorist activities that was impeding development activities in the country, the Central Bank took on the challenge to drive towards prosperity. One of the steps the Bank took to inspire the nation to work diligently, with unity, to achieve development and prosperity was through a new series of currency notes. The concept was initiated in 2007, and in 2008 the Central Bank for the first time conducted a country wide competition to select winning designs and artists for the new series. This also provided an occasion to obtain public opinion on currency note designs and opened the opportunity to Sri Lankan artists to express their creativity and aspirations. The front of the notes was designed by one winning artist and the back of the notes by the other winning artist on the theme of Development, Prosperity and Sri Lanka Dancers. These designs were converted to currency note designs by the note printer and from the security paper production stage, through Lithographic, Intaglio and Letter Press printing stages to its final state for issue took over 100 weeks. Considering the large scale development ambitions of the economy, the denomination structure and dimensions of the new series were determined to facilitate payments and settlements in the new era of emerging economic activities and to address concerns of the public.

This 11th series of currency notes consisting of 06 denominations, was issued on 04 February 2011 coinciding with Independence Day celebrations and the year of the Diamond Jubilee of the CBSL. The main design on the front of each note depicts images relating to the passage of development and prosperity in Sri Lanka, endemic birds and butterflies seen in the country. The back of each note depicts diverse dancers in the country alongside drummers typical to the dance form, except in the case of the Rs.5000 note. The back of the notes also depict features of archeological and cultural significance such as guard stones and floral designs. A map of Sri Lanka appears in the background on the back of all the notes. The CBSL for the first time introduced a Rs.5000 note, the highest value to have been issued since its establishment in 1950. Previous circulation notes of Rs.10 and Rs.2000 were not issued in this series. A coin in the denomination of Rs.10 was issued in April 2010 to take on the demand for Rs.10 notes which have a short life span. The Rs.1000 and Rs.5000 notes are expected to meet the demand for high value denominations with the gradual phasing out of the Rs.2000 note. Some of the distinctive features in the series are that the dimensions of the notes were reduced with the width (short end) of the note being similar in all notes and the length increasing by 5 millimeters from the lowest denomination to the highest. In addition the notes have a predominant colour for ease of recognition and advanced security features to ensure confidence in the legal tender.



Furthermore, for the first time a limited number of Uncut Currency Sheets with a unique serial number and with 40 notes to a sheet were issued by CBSL as a numismatic item in addition to note folders issued in this series.

Coins Issued by the CBSL

The circulation coins issued by the CBSL after its establishment, in the denomination of cents 50, cents 25, cents 10, cents 05, cents 02 and cents 01, continued to have the portraits of the British monarchs, even in the case of a re-mint in 1951, until 1963.



During this period, standard circulation type commemorative coins in the denomination of Re. 1 and Rs. 5 to mark the 2500th Anniversary of Buddhism and the Birth of the Nation (Buddha Jayanthi Coins) were minted by The Royal Mint U.K. and issued by the CBSL in 1957. In 1963, the coins minted reflected the independent status of Sri Lanka, which had the Armorial Ensign of Ceylon on the face of the coin that displayed the lion in the National Flag and a crown. The denominations issued were Re.1, cents 50, cents 25, cents 10, cents 5, cents 2 and cents 1.



The next major change in coin design came in 1972, when the Armorial Ensign of Sri Lanka (in which the Dharma Chakra had replaced the crown) was depicted on the obverse of the coin in place of the Armorial Ensign of Ceylon. The word “Lanka” to identify the country, used on the reverse of the coin of the 1963 coinage, was replaced with the words “Sri Lanka” in 1972. Coins of higher denominations of Rs. 2 (copper nickel) and Rs. 5 (nickel brass) were minted for general circulation in 1984 in place of the Rs. 2 and Rs. 5 notes.



A new coinage was introduced with a change in the dimensions, weight, metals and colour of coins by the CBSL in 2005. The coins in the denominations of Rs. 5, Rs. 2, Re. 1, cents 50, and cents 25 were in various alloys on plated steel. For the first time an eleven lobed nickel plated steel coin in the denomination of Rs. 10 (with the year 2009) was issued into general circulation in April 2010, and this coin will replace the Rs. 10 note that has a considerably short life span when compared to the other notes in circulation.

Commemorative Currency Notes and Coins Issued by the CBSL

Commemorative coins and notes are issued to mark events of international and national importance as well as to honour personages. These are one-time limited issues, with specific designs and legends unlike circulation currency. The rarity increases its intrinsic value, especially to collectors and numismatists. Commemorative coins have been minted in varying sizes, in high value metals such as gold and silver, as well as in other alloys. Some of these coins are minted as frosted proof (FP) type coins specially struck as collectors’ pieces not designed for circulation.

These are produced using highly polished dies and blanks to bring out a mirror like finish when struck and are individually handled. Some commemorative coins are in Brilliant Uncirculated (BU) condition which possesses the original mint lustre on the surface. However, if exposed to the atmosphere or handled, the lustre would disappear. Commemorative coins are also minted as standard circulation type coins which are meant for general circulation that creates greater awareness among the public of the event or personage commemorated.



Since there is no record of the issue of commemorative currency in either the pre-colonial or the colonial period in Sri Lanka, it can be concluded that the first commemorative coin to be issued on record, was in 1957 by the CBSL. This was to mark the 2500th Anniversary of Buddhism and the Birth of the Nation (Buddha Jayanthi Coins). Since then, the CBSL had issued 56 commemorative coins and 02 commemorative notes to mark various events and personalities. The CBSL issued a Frosted Proof crown size silver commemorative coin in the denomination of Rs.5000 to mark its 60th Anniversary in December 2010. The obverse of the coin is multi-coloured and it is the first multi-coloured coin to have been issued by the CBSL. The details of commemorative coins and notes already issued up to August 2011 by the CBSL are listed in Table 9.2.

Initially, commemorative coins were issued/sold at face value. However, the necessity arose for legal provisions to sell the coins at a reasonable price when the metal value was higher than the face value of the coins. It was also necessary to recover the cost of production of the commemorative coins/notes and all related expenses, including the cost of encasing the coins/notes in attractive presentation boxes/folders. Accordingly, the MLA was amended in 1998, and this enabled the CBSL, with the approval of the Minister in charge of the subject of Finance, to issue commemorative currency notes and coins and sell them at a price higher than the denomination specified in such note or coin.⁸

⁸ Monetary Law Act (Amendment) Act No.6 of 1998, Section 52A



Commemorative Notes

In 1998, the CBSL, to commemorate 50 years of Independence of Sri Lanka, issued into circulation, for the first time, a polymer banknote in the denomination of Rs. 200 which was printed by Note Printing, Australia. The main feature of the note on the front is the Independence Square and pictorial themes depicting the economic development of Sri Lanka since Independence. The back of the note depicts pictorial themes in sequence of the history of the country from the visit of Prince Vijaya to Sri Lanka up to the British period.



The second commemorative bank note was issued after 11 years, in November 2009, in the denomination of Rs. 1000, following the end of the nearly 30 year war against terrorism, on the theme “Ushering of Peace and Prosperity to Sri Lanka”. The theme on the front of the note is one country and one nation in harmony, progressing towards prosperity, under the leadership of His Excellency the President, Mahinda Rajapaksa. The reverse of the note depicts pictorial themes of the turning points of the humanitarian operations and the valiant contributions of the security forces and the police in accomplishing their target. This note was printed by De La Rue Lanka Currency and Security Print (Private) Ltd.



Table 9.2

Commemorative Coins and Notes Issued by the Central Bank of Sri Lanka up to August 2011

No.	Description	Year on Coin	Face Value (Rs.)	Metal/ Substrate
1	2500th Anniversary of Buddhism and Birth of the Nation (2500 Buddha Jayanthi) – (C)	1957	5	Silver
2	2500th Anniversary of Buddhism and birth of the nation (2500 Buddha Jayanthi) – (C)	1957	1	Cu/Ni
3	Special Coin Issue of the Food and Agriculture Organisation (FAO) – (C)	1968	2	Cu/Ni
4	5th Non - Aligned Summit – (C)	1976	5	Ni
5	5th Non - Aligned Summit – (C)	1976	2	Cu/Ni
6	1st Executive Presidency (J R Jayawardene) – (C)	1978	1	Cu/Ni
7	1st Executive Presidency (J R Jayawardene) – (FP)	1978	1	Gold 22 k
8	50 Years of Universal Adult Franchise – (C)	1981	5	Cu/Ni
9	The Mahaweli Development Scheme – (C)	1981	2	Cu/Ni
10	International Year of Shelter for the Homeless – (C)	1987	10	Cu/Ni
11	International Year of Shelter for the Homeless – (FP)	1987	10	Cu/Ni
12	40th Anniversary of the Central Bank of Sri Lanka – (BU)	1990	500	Silver
13	40th Anniversary of the Central Bank of Sri Lanka – (FP)	1990	500	Silver
14	5th South Asian Federation Games - Colombo – (FP)	1991	500	Gold 12k
15	5th South Asian Federation Games - Colombo – (FP)	1991	100	Silver
16	3rd Anniversary of Induction of Executive Presidency (R Premadasa) – (C)	1992	1	Cu/Ni
17	3rd Anniversary of Induction of Executive Presidency (R Premadasa) – (FP)	1992	1	Cu/Ni
18	3rd Anniversary of Induction of Executive Presidency (R Premadasa) – (FP)	1992	1	Silver
19	3rd Anniversary of Induction of Executive Presidency (R Premadasa) – (FP)	1992	1	Gold 22k
20	2300 Anubudu Mihindu Jayanthi – (FP)	1993	500	Silver
21	50th Anniversary of the Food and Agricultural Organisation (FAO) – (C)	1995	2	Cu/Ni
22	50th Anniversary of the United Nations Organisation – (C)	1995	5	Ni/Br
23	50th Anniversary of the United Nations Organisation – (FP)	1995	5	Ni/Br
24	50th Anniversary of the UNICEF – (C)	1996	1	Cu/Ni
25	50th Anniversary of Sri Lanka regaining Independence – (FP)	1998	5000	Gold 22k
26	50th Anniversary of Sri Lanka regaining Independence – (FP)	1998	1000	Silver
27	50th Anniversary of Sri Lanka regaining Independence – (C)	1998	10	Ni/Br, Cu/ Ni, Bi-metal

28	50th Anniversary of Sri Lanka regaining Independence (Banknote) – (C)	1998	200	Polymer
29	Winning of the 1996 Cricket World Cup – (FP)	1999	1000	Silver
30	Winning of the 1996 Cricket World Cup – (C)	1999	5	Ni/Br
31	50th Anniversary of Sri Lanka Army – (FP)	1999	1	NPS
32	50th Anniversary of Sri Lanka Army – (BU)	1999	1	NPS
33	50th Anniversary of the Central Bank of Sri Lanka – (FP)	2000	1000	Silver
34	50th Anniversary of Sri Lanka Navy – (FP)	2000	1	Cu/Ni
35	50th Anniversary of Sri Lanka Navy – (BU)	2000	1	NPS
36	50th Anniversary of Sri Lanka Air Force – (FP)	2001	1	Cu/Ni
37	50th Anniversary of the Colombo Plan – (C)	2001	2	Cu/Ni
38	250th Anniversary of Syamopasampadawa (Portrait of Welivita Sri Saranankara Mahimi) – (C)	2003	5	Ni/Br
39	250th Anniversary of Syamopasampadawa (Portrait of Phrvara Upali Nahimi) – (C)	2003	5	Ni/Br
40	2550th Anniversary of the passing away of Buddha (2550 Buddha Jayanthi) – (FP)	2006	1500	Silver
41	2550th Anniversary of the passing away of Buddha (2550 Buddha Jayanthi) – (FP)	2006	2000	Silver/ selective Gold plated
42	2550th Anniversary of the passing away of Buddha(2550 Buddha Jayanthi)-(C)	2006	5	BPS
43	Cricket World Cup (Runners – up) – (BU)	2007	1000	NPS
44	Cricket World Cup (Runners – up) – (C)	2007	5	BPS
45	50th Anniversary of Employees’ Provident Fund – (BU)	2008	1000	NPS
46	50th Anniversary of Employees’ Provident Fund – (FP)	2008	1000	NPS
47	50th Anniversary of Employees’ Provident Fund – (C)	2008	2	NPS
48	Bicentennial Celebrations of Sri Lanka Customs – (FP)	2009	200	Silver
49	60th Anniversary of the Sri Lanka Army – (BU)	2009	1000	Silver
50	60th Anniversary of the Sri Lanka Army – (BU)	2009	1000	Cu/Ni
51	Ushering of Peace and Prosperity to Sri Lanka- (Banknote) – (C)	2009	1000	Cotton
52	60th Anniversary of the Central Bank of Sri Lanka – (FP)	2010	5000	Silver
53	60th Anniversary of Sri Lanka Air Force – (C)	2011	2	NPS
54	2600th Sambuddhathwa Jayanthi - (FP)	2011	1000	Silver
55	2600th Sambuddhathwa Jayanthi - (C)	2011	10	NPS
56	50th Anniversary of People’s Bank - (FP)	2011	1000	Silver/ selective Gold plated

Notes:

C = Circulation, FP=Frosted Proof, BU= Brilliant Uncirculated, Cu/Ni= Copper Nickel, Ni=Nickel, Ni/Br= Nickel Brass, NPS= Nickel Plated Steel, BPS= Brass Plated Steel

Printing of Currency Notes and Minting of Coins for the CBSL

Prior to the establishment of the CBSL, currency notes had been printed for the Board of Commissioners of Currency by Thomas De La Rue & Co. England and with the commencement of World War II, at the India Government Security Press. The Ceylon Government Press too had printed emergency subsidiary notes during the War period. The first series of currency notes for the CBSL had been printed by Bradbury Wilkinson & Co. of the United Kingdom and the company continued to be selected from among other competitive currency suppliers for a considerable period of time to print CBSL currency notes. In 1983, a joint venture for security printing was established between Bradbury Wilkinson (PLC) of U.K. and the Government of Sri Lanka, which was incorporated as Bradbury, Wilkinson Lanka (Private) Ltd. (BWLP). In 1987, BWLP commenced operations at the Export Processing Zone in Biyagama and since 1988 had printed and supplied the currency notes of the CBSL commencing with the Historical and Development series of currency notes. Meanwhile, Thomas De La Rue England (TDLR) had changed its name to The De La Rue Company Ltd in 1958 and had by 1986 acquired Bradbury Wilkinson and Co. Ltd. England. The name BWLP was subsequently renamed Thomas De La Rue Lanka (Private) Ltd., in December 1990 and (since 1998) presently functions as De La Rue Lanka Currency and Security Print (Private) Ltd., under the parent company De La Rue plc in the U.K. which has a history of nearly 150 years in currency note printing.

The CBSL had obtained its circulation coin requirements up to 1957 from the Indian Government Mints in Bombay and Calcutta and The Royal Mint, United Kingdom, as was done by the Board of Commissioners of Currency. Since 1957, the CBSL had obtained its coin supplies from The Royal Mint, with the exception of the supply of cents 50 coin order of 1996, which was minted by the Royal Canadian Mint. The Commemorative coins issued by the CBSL also had been minted by The Royal Mint with the exception of the coin to commemorate the 50th Anniversary of the Sri Lanka Navy in 2000, which was minted by Monnaie de Paris. The Royal Mint which has a history of over 1000 years of minting coins was initially located at the Tower of London and then at Tower Hill London. It moved to its present location at Llantrisant, South Wales, in 1968. It functioned as a department of Her Majesty's Treasury in the U.K., until December 2009 and changed its status to a wholly government owned company, The Royal Mint Ltd., in January 2010.

Money Museums of the CBSL

With a view to contributing to knowledge in the field of money, for education, study, and pleasure, the CBSL has established 03 Money museums since its establishment. These museums trace the historical evolution of money and display currency that was in use in Sri Lanka (since the 3rd Century BC up to the present day), currencies in other countries and provide information on the minting and printing process of currency. These museums also disseminate information

on counterfeit note detection and the importance of efficient use of currency. The first museum was initially opened at the CBSL Head Office in Colombo Fort on 20 April 1982. It was moved to the premises of the Centre for Banking Studies of the CBSL at Rajagiriya in 1989 and was modernised in 2009. The second museum was opened on 05 September 2008 at the premises of the Provincial Office of the CBSL at Anuradhapura in the North Central Province and the 3rd museum was opened on 06 May 2010 at the Provincial Office of the CBSL at Matara in the Southern Province. While this service of the CBSL is provided free of charge, the museums have grown to be centres of education frequently visited by students, researchers and numismatists.

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Foreign Exchange Transactions: From Controls to Relaxation

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Introduction

Exchange controls, i.e., controls on specific foreign exchange transactions or case-by-case basis approvals for certain international financial transactions have generally been imposed to restrict the use of foreign exchange for international financial transactions. Many countries have resorted to exchange controls with the outbreak of the World War II as an attempt to preserve the foreign exchange resources in the face of the devastation caused by the war. Hence, in the late 1930s, widespread trade restrictions and capital controls were introduced as emergency measures to arrest the depletion of international reserves and allow for the import of much needed goods. As economies recovered after ending the war, a number of advanced countries removed exchange controls although exchange controls survived in many developing countries. The general belief in the 1960s and 1970s was that controls were needed to ensure necessary protection against adverse external shocks and preserve the independence of national policies.

In Sri Lanka too, the initial exchange controls were introduced under the Defence (Finance) Regulations that were passed in 1939. However, there has been a gradual and focused relaxation of exchange controls since 1977, which was an integral component of overall liberalised economic

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policy pursued, to achieve a greater efficiency in the conduct of international financial transactions and to enhance overall competitiveness of the economy to sustain a high rate of economic growth. At present, all international transactions of current nature are free of exchange controls while many of the capital transactions too are largely free of exchange controls. The authorities have, however, taken a gradual approach in relaxing exchange controls on capital transactions given the macroeconomic risks that could arise from the adverse effects of abrupt movement of large capital inflows and outflows and the necessity of safeguarding monetary and financial stability.

A series of further relaxations are to be introduced, having in place the prudential regulations and a market surveillance mechanism on foreign exchange transactions to promote investor confidence, market discipline and stability.

Early Measures of Exchange Control

After the establishment of the CBSL, the administration of Exchange Control function was entrusted to the Monetary Board with effect from 01 September 1950. The Exchange Control Act was enacted on 16 August 1953 empowering the CBSL to administer exchange controls. At present, the provisions of the Exchange Control Act and the Monetary Law Act together provide the CBSL with a wide spectrum of discretionary powers to regulate the country's foreign exchange operations in the country.

The high commodity prices associated with the Korean boom in 1950 made possible Sri Lanka to raise the external assets recording a favourable balance of payment situation in the country. However, this situation had changed subsequently and with the continuing decline in external assets along with rising imports, exchange controls had been tightened in 1952. The regulations that permitted remittances without prior approval of the Exchange Control authorities on account of maintenance, travel, charity and other current purposes were withdrawn in September 1952, and lower exemption limits were fixed. Subsequently the limits were progressively revised downward and by the end of that year exchange controls were considerably restricted.

The balance of payments situation had aggravated further from late 1950. The net outflow of capital on account of sale of British investments had grown steadily in the decade after independence adding further complication to the BOP situation. While official capital flows became significant after the 50's, this was not sufficient to offset the large outflow of private long term capital. In 1961, number of items, which were previously under Open General Licence were brought under import control. Further, several items were banned, by using the simple expedient of not issuing any licences for them. Further, import restrictions were imposed in February, July and September 1962. By this time all items of import, other than foodstuffs, fuel, fertiliser, petroleum products and drugs were under import control. Import controls underwent a radical change in October 1962 when a scheme of individual licensing applicable to nearly the whole range of imports was introduced. In 1964 and 1965, in the face of a deteriorating foreign exchange situation, import controls were tightened further.

A significant departure from the control regime followed thus far was the introduction of the Foreign Exchange Entitlement Certificate (FEECs) scheme in May 1968. This scheme had two main objectives – one was to promote and diversify exports, the other was to liberalise imports and to move away from the system of quotas and stringent controls. All foreign transactions (exports, imports and invisible transactions) were classified under two categories. The FEECs scheme was designed to provide a cash incentive to selected exports and invisible transactions, and to impose an additional rupee cost on selected imports and invisible payments. All other foreign receipts and payments were to be transacted at the official exchange rate. Under this scheme FEECs were issued to exporters who surrendered foreign exchange to commercial banks against non traditional exports. Exports of tea, rubber, coconut and coconut products were, therefore, not eligible, under this scheme.

Further liberalisation was seen in 1972, when a certain percentage of the gross earnings of the exporters of certain minor and non-traditional exports was allowed to be retained as an incentive in the form of Convertible Rupee Accounts (CRA) to be used towards the importation of specified goods and payments for specified services. The oil crisis in 1973 and the resulting balance of payments difficulties compelled a significant tightening of exchange controls and controls for both current and capital transactions were introduced and prevailed until 1977. During this period transactions relating to both exports and imports, as well as other foreign exchange payments, required the permission of the Controller of Exchange.

Although the BOP difficulties and resulting pressure on external reserve position required governments to impose controls, severe control clearly had several disadvantages. The exchange control involves extra costs of administration and may delay or interfere unduly with trade and other productive activities in the economy. These inevitably give rise to attempted evasion, which may, if unchecked, lead to concealed losses of exchange, black market exchange rates and other undesirable features. Further, because some could always seek to exploit legal as well as illegal loopholes, there could be a tendency for controls to breed further controls. The removal of restrictions on current international transactions and certain capital account transactions beginning 1977 reflected the recognition of the merits of international trade and benefits of capital flows on the domestic economy and the need to create a conducive environment to facilitate private sector led economic activity.

Gradual Liberalisation since End 1977

A significant relaxation of exchange controls had been implemented in late 1977 as a part of the substantial policy initiative to free the economy from administrative controls. At the same time, the exchange entitlements for travel, business, medical treatment, education and emigration, were increased and the authority to grant exchange for selected current account transactions was delegated to commercial banks. Accordingly, foreign exchange for passage and exchange

in respect of travel on holiday, business, official duty, payment for subscriptions, remittances on account of export commissions, payment of profits and dividends were delegated to commercial banks. Meanwhile, the determination of exchange rate has gradually been based on the market forces by moving to a managed floating exchange rate system since November 1977.

A series of further measures had been taken to improve the institutional mechanism to facilitate trade financing, promote foreign private investment and encourage inward remittances. Accordingly, commercial banks were allowed to operate Foreign Currency Banking Units (FCBUs) from 1979 with the objective of developing the off-shore market in Sri Lanka and to provide financing facilities in foreign currency to industries in the Export Processing Zones. Commercial banks were also permitted to open accounts for non-resident Sri Lankans, who had foreign exchange earnings from a period of residency abroad, and for foreign nationals. Exporters were permitted to borrow from Foreign Currency Banking Units (FCBUs) for financing inputs to execute export orders. The Resident Non-national Foreign Currency (RNNFC) Account Scheme, which permitted non-nationals resident in Sri Lanka to maintain foreign currency accounts, was introduced.

Exchange controls were further liberalised beginning 1990 simplifying the procedures and delegating more exchange control functions to commercial banks. The outflows associated with these inflows, such as interest, profits, sale proceeds and dividends were made completely free of any restriction. All current earnings of NRIs in the form of dividends, rent, etc have been made fully repatriable. Permission was granted in 1990 to approved country funds, regional funds and non-resident individuals to invest in shares in listed companies up to 40 per cent of the issued share capital. The 100 per cent Transfer Tax on such purchases was abolished at the same time. With this, a scheme of Share Investment External Rupee Accounts (SIERA) was introduced through Authorised Dealers, to facilitate and monitor such investments enabling Sri Lankan residents who received foreign currency, to maintain foreign currency accounts, and commercial banks were permitted to open Resident Foreign Currency (RFC) accounts, in 1991.

In 1992, approved country funds, regional funds, non-resident individuals, and corporate bodies incorporated outside Sri Lanka were permitted to increase their investment in shares in listed companies from 40 per cent of the issued share capital up to 100 per cent, subject to exclusions, limitations and conditions set out by the Controller of Exchange. The repatriation and surrender requirements in respect of export proceeds were abolished in 1993. Export proceeds were permitted to be retained in foreign currency accounts either in Sri Lanka or abroad. The remaining restrictions on payments in respect of travel, education expenses overseas and remittances for miscellaneous purposes were removed.

A major departure in the exchange control regime had been the acceptance of the Article VIII of the IMF Articles of Agreement under which all remaining restrictions on current international transactions were removed in March 1994 and a series of capital account liberalisation measures

were introduced thereafter. In 1995, commercial banks were permitted to obtain foreign loans up to 5 per cent of their capital and reserves, introducing some relaxation on the capital account. This was raised to 15 per cent with the introduction of foreign currency loans to non-BOI exporters in 1997. Permission was also granted more freely to private sector firms on a case by case basis to undertake investments in foreign countries in 1996. In 1997, commercial banks were permitted to provide foreign currency loans to non-BOI exporters, from either their domestic units or from their FCBUs, subject to some safeguards. In 2000, limitations for investment by non residents in the banking (up to 60 per cent), insurance (up to 90 per cent) and stock brokering (up to 100 per cent) were further relaxed.

A series of further relaxations have been undertaken during the last decade to grant greater flexibility for residents and non-resident Sri Lankans to maintain their earnings abroad in foreign currency and to promote investments including investments in government securities. Some measures to grant greater flexibility for Sri Lankan resident individuals, corporate and unincorporated bodies to maintain their earnings abroad in foreign currency, invest in equity of overseas companies include:

- RANSI Accounts for non-resident Sri Lankans introduced in 2001 to promote investment in real and financial assets.
- Permission granted in 2003 for Sri Lankans employed abroad to obtain foreign currency loans, against the security of their NRFC Accounts balances and repayment to be made in foreign currency.
- Permission for Shipping/Airline agents to maintain foreign currency accounts on behalf of their principals.
- Promotion for exporters to pay sea/air freight in foreign currency from funds in their foreign currency accounts.
- Introduction of a Indirect Exporters Foreign Currency Accounts (IEFCA) scheme to allow indirect exporters to receive payments in foreign currency from direct exporters in 2005.
- Introduction of a Foreign Currency Account for Gem and Jewellery Exporters to facilitate foreign exchange requirements of the Gem and Jewellery Export sector.
- Introduction of a Special Foreign Investment Deposit Account to facilitate permitted non resident parties to open and maintain Time/Savings deposits (in DBU) in designated foreign currency and Sri Lanka rupees.
- Permission was granted to amalgamate funds in NRFC, RFC, SFIDA, Investments in T/ Bonds and Foreign Currency Fixed Deposit for Dual Citizenship applicants.

- Granting permission for authorised dealers to release total balance to the credit of existing non-resident block accounts as at 01 July 2008 and outward remittance of US dollars 20,000 per annum from block accounts operative after 01 July 2008.
- Permission to Sri Lankan resident individuals, corporate and unincorporated bodies to invest in equity of overseas companies.
- Permission to insurance companies to invest a part of their assets abroad; and
- Permission for Sri Lankan companies to open and maintain overseas offices.

Steps taken to promote investments including investments in government securities include:

- Issue of Sri Lanka Development Bonds (SLDB) denominated in US dollars by government.
- Introduction of Treasury Bond Investment External Rupee Account (TIERA) in 2006, to facilitate approved non resident parties to invest in rupee denominated Treasury Bonds up to 5 per cent of outstanding Treasury Bonds at any given time and this Permitted limit for non-resident investment in Treasury Bonds was increased up to 10 per cent of outstanding Treasury Bonds at any given time.
- Permission for Authorised dealers to accept third party foreign currency deposits subject to a limit of US dollars 1,000 (or its equivalent) per transaction in 2007.
- Introduction of Treasury bill Investment External Rupee Account - Deshabhimani (TIERA – 2), in 2008, to facilitate permitted foreign parties to invest in rupee denominated Treasury bills up to 10 per cent of outstanding Treasury bills at any given time.
- Permission for migrants up to a maximum of US dollars 150,000 (including personal effects) at the time of their departure from Sri Lanka; and
- Introduction of “Treasury bill/bond Investment External Rupee Account - Deshabhimani (TIERA – D)”, to facilitate Sri Lankans living abroad to invest in rupee denominated Treasury Bonds up to 10 per cent of outstanding Treasury bills and Treasury bonds at any given time.

Under general permission to further facilitate investments by non-residents, the steps have been taken to grant:

- Permission for foreigners to invest in Rupee Denominated Debentures issued by local companies with effect from November 2010.
- Permission for foreign companies to open places of business in Sri Lanka.
- Permission to foreigners on tour or business in Sri Lanka to open accounts in foreign currency.

Benefits and Risks of Capital Account Convertibility

Sri Lanka has been following a gradual approach in relaxing the capital account transactions. In view of the decline in external financing the particularly from official sources, i.e., bilateral and multilateral agencies, the need to finance gap in savings-investment, and increasing sophistication of investors making it much easier to move capital around under different guises, capital-account liberalisation was considered as an important and inevitable step to benefit from increasing globalisation and increased movement of capital flows. But, the premature full convertibility of the capital account is considered to be dangerous without adequate safeguards. Accordingly, a series of sequential measures were taken to promote different forms of capital flows across the country's borders, i.e., foreign direct investment (FDI), portfolio flows (including investment in equities), and bank borrowing.

In fact, there are numerous benefits as well as risks in liberalising the capital account. In a developing country like Sri Lanka, the savings-investment gap is usually a common phenomenon and is generally reflected in the continued current account deficits. The flow of capital would then reduce the cost of capital, increase investment, and also facilitate domestic liquidity management, which will bolster domestic economic activity by reducing the cost of raising capital for investment and raising the output.

An increasing number of countries have encouraged foreign direct investments (FDIs), which could facilitate the transfer of foreign technological and managerial know-how and encourage competition and financial development, thereby promoting growth. Countries also favour FDI, as they are relatively long term and not subject to rapid reversals associated with changes in investor sentiment. Moreover, business cycles, in general, are not synchronised across countries, and the capital flows can offset volatility, which could otherwise have arisen in countries' own national incomes. Hence, inflows stemming from liberal capital flows should contribute to contain output volatility.

The fluctuations in international capital flows, particularly reversal of short-term capital inflows can have adverse macroeconomic shocks. International investors may tend to pull back in bad times, thereby amplifying the swings in the domestic macroeconomy. It has been found that the premature opening of the capital account also poses serious risks on the smooth functioning of the financial intermediation. The high levels of short-term liabilities intermediated by the financial system also create risks of bank runs and systemic financial crises when the financial sector is weakly regulated.

Conclusion

Having liberalised all the current international transactions in March 1994, Sri Lanka has been following a gradual liberalisation of capital account transactions, considering the risks associated with full convertibility without adequate safeguards. Sri Lanka has already benefitted in a number

of different ways following the measures taken to increase capital flows by way of partially liberalising the capital account. Increased inflows have contributed to expand and strengthen the efficiency and reduce volatility in the foreign exchange and money markets. At the same time, the careful mix of external sector and financial sector reforms have contributed to the sustained rise in foreign exchange reserves and improved the confidence of investors in the Sri Lankan economy.

The country's improved economic fundamentals, strong and resilient domestic financial sector as well as the effective and comprehensive surveillance framework, have provided necessary space for further liberalisation of the capital account. Moreover, the country's strong trade and financial inter-linkages with the regional and global economies and the need to accelerate growth taking into account the new regional and global challenges, makes it necessary to review the remaining controls in order to continue to attract capital flows.

At the same time, necessary checks and balances that facilitate legitimate business should be in place while making effective due diligence possible. For instance, with a view to addressing macroeconomic consequences of large capital flows, some countries have recently used selective capital controls. An implicit tax on capital inflows, which are reversed within less than a year has been imposed to induce a shift from shorter- to longer-term inflows. Therefore, Sri Lanka will also continue to pursue a strategy of further liberalising the capital account to harness the full potential of the Sri Lankan economy while promoting a sound and stable financial system as well as a resilient and competitive economy. This comprehensive approach will be the key towards achieving a balanced and sustainable growth with greater stability.

Managing Sri Lanka's Foreign Reserves

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Introduction

During the last 60 years, the size of foreign reserves of the country, reserves management techniques adopted as well as the knowledge base have expanded significantly. Foreign reserves of the country have surged to an unprecedented level during the past one and a half years with the improved investor confidence after the end of the 30-year long conflict and stable economic and political conditions of the country. These reserves should be properly managed in order to facilitate the country to meet its foreign obligations and be invested prudently to generate income. The maintenance of adequate reserves is also crucial to preserve the external value and the stability of the Sri Lankan currency.

What are Foreign Exchange Reserves?

Foreign reserves are assets or claims that a country holds in a foreign soil. These assets fall into a wide variety of instruments ranging from short-term claims in money markets to long-term investments. Foreign assets are mainly held and managed by the monetary authority or a central bank. In certain countries such as Singapore, the responsibility of managing foreign reserves lies with institutions specially designed for that purpose. Accordingly, foreign reserves are jointly managed by the Monetary Authority of Singapore and the Government Investment Corporation in Singapore. In Sri Lanka, the Central Bank of Sri Lanka (CBSL) is the sole authority empowered by law to manage the international reserves of the country.

Legal Framework of Reserves Management

The Monetary Law Act (MLA), the Act under which the bank was established, provides the framework for deployment of the foreign currency assets and gold, defining the broad parameters in respect of currencies, instruments, issuers and counter parties in its Section 67. In brief, MLA permits the following assets categories to be maintained in its foreign assets.

- (i) Gold;
- (ii) Assets in foreign currencies in the form of –
 - a. Documents and instruments of types customarily employed for the international transfer of funds; or
 - b. Demand and time deposits in central banks, treasuries, and commercial banks abroad; or
 - c. Securities of foreign Governments; or
 - d. Foreign notes and coins; and
- (iii) Special Drawing Rights in the International Monetary Fund.

The Monetary Board, the governing body responsible for making all policy decisions related to the management, operation and administration of the CBSL, may direct to hold international reserves in gold or currencies freely convertible into gold particularly considering the prospects of stability and convertibility of the currencies as well as the anticipated demand for such currencies. It may also direct to further widen the scope of reserves management activities to enhance the safety, liquidity and return objectives of reserves management. Accordingly, with a view to further streamline the portfolio management activities, the CBSL has framed appropriate guidelines stipulating stringent criteria for issuers, counterparty investments, maturity profile and risk monitoring, which have been approved by the Monetary Board.

Objectives of Foreign Reserves Management

Since independence, primary goals of reserves management continue to be safety and liquidity while a significant focus has been placed on return objectives.

Safety, Liquidity and Return

Safety of the investments and the capital preservation are the most important aspects of any investment that cannot be compromised. This is simply to say whether the funds invested are available as and when required without depleting its value. Central banks in general invest funds in highly credible instruments and countries, even though they generate a low return with

a view to ensure the safety of its investments. Liquidity is also a major concern as it is important to avoid any default or reputational risk, which is the essence of banking. This is the ability to obtain funds as and when they required at short notice without incurring an undue cost. Return is required to service the reserves and to earn an income in order to maintain the value of the investments.

Why Reserves should be Managed

Managing reserves is paramount as to:

- Support and maintain confidence in the policies for monetary and exchange rate management including the capacity to intervene in support of the national currency, i.e., demonstrate the backing of domestic currency by external assets,
- Limit external vulnerability by maintaining foreign currency liquidity to absorb shocks during times of crisis,
- Support for the country's external transactions i.e. exports and imports of goods, services and financial capital as well as financial transfers,
- Provide a level of confidence to markets that the country can meet its external obligations,
- Assist the government in meeting its foreign exchange needs and external debt obligations and maintain a reserve for national disasters or emergencies,
- The accumulation of reserves may involve a financial cost, hence the effective utilisation of the reserves is crucial and it has heightened the need of managing reserves prudently.

Sources and Uses of Reserves

Accumulation of reserves in the recent past occurred mainly on account of purchases of Dollars in the local foreign exchange market. Continuous inflow of funds to the government securities due to increased investor confidence also made a significant contribution. Furthermore, remittances from Sri Lankan Diaspora, migrant worker remittances, Stand-By Arrangement Facility received from the International Monetary Fund (IMF) and proceeds from the sovereign bond issues and foreign loans and grants were the other significant contributors to the enhanced reserves. Income generated from the investments of the enhanced foreign reserves has also increased remarkably in the recent past due to active reserves management policies employed by the CBSL.

The major outflows that decreased the reserves were debt service payments and repayment of foreign borrowings and foreign exchange sales to the domestic market to meet demand for import of goods and services.

Evolution of Reserve Management

(a) Reserve Adequacy

Sri Lanka's approach to reserves management in the early days was essentially based on the traditional approach, i.e., to maintain an appropriate level of import cover defined in terms of reserves equivalent to a number of months of imports. Thus, the emphasis on import cover constituted the primary concern, until the economy was liberalised in 1977.

Subsequently, there were several changes to the external sector policy with a large number of international transactions and payment liabilities arising in areas other than import of commodities. The liabilities included discharging short-term debt obligations and servicing of medium-term debt. In addition exchange rate management was also encompassed within the purview of reserves management. These changes necessitated a major shift in the approach to reserves management.

The focus in deciding on the level of reserves was in fact shifted to ensuring a reasonable level of confidence in the international financial and trading communities about the capacity of the country to honour its obligations and maintain trade and financial flows; the amount of foreign currency reserves required to counter speculative tendencies or anticipatory actions amongst players in the foreign exchange market, and the capacity to maintain the reserves so that the cost of carrying liquidity is minimal.

In 1977, with the introduction of the managed floating exchange rate regime, a further change in the approach to reserves management was warranted and the emphasis on import cover was supplemented by the objective of smoothing out the volatility in the exchange rate through market intervention.

In this context, the traditional approach of assessing adequacy of reserves in terms of import cover has been broadened to include a number of parameters that take into account the size, composition, and risk profiles of various types of capital flows, as well as external shocks to which the economy is vulnerable. In the meantime the prevalent bullish economic environment in Sri Lanka with strong investor interests and prospects for an acceleration in economic activity further underscores the need for strong reserves.

(b) Reserve Management

The Sterling Area began in early 1930's when a group of countries of the British empire (except Canada, Hong Kong and Newfoundland which joined Canada in 1949 to become Canada's tenth province) and few others decided in favour of a stable exchange rate in Sterling since it was the most widely used currency in international trade. Ceylon was a member of the Sterling Area and

as a result it was bound to follow some of the Sterling Area's common practices in maintaining reserves such as maintaining a greater portion of reserves in Sterling and pooling earnings in Gold and US Dollars to a central pool.

During the early years of 1950, Sri Lanka had a large amount of foreign reserves accumulated due to the rubber and tea price boom with the Korean War. This caused an enormous liquidity in the system and the government had to discourage inflows to the country. In 1954, after a series of discussions between Ceylon and Britain, Ceylon was allowed to maintain its reserves independently in Dollars and gold in addition to Sterling, subject to an upper limit. The excess Dollar earnings above the upper limit were subjected to transfer into the central Dollar pool, which was a significant feature of the Sterling Area. Under the Sterling Dollar pool arrangement, member countries were required to contribute to the pool using their excess Dollar earnings and allowed to draw from the pool for their requirements. Due to the subsequent negotiations, Britain agreed to increase the upper limit of Dollar holdings at frequent intervals.

The strong external reserves position gradually evaporated due to expansive fiscal policies of successive governments that led to a continuous expansion in imports. It declined from US Dollars 233 million in 1956 to US Dollars 90 million by 1960. Reserves declined further to US Dollars 42 million in 1970, which were sufficient to finance 2.1 months of imports. Payments for imports of goods and services were controlled by a variety of exchange control measures during this period to protect the depleting reserves. A system of dual exchange rate was introduced in 1968 and continued with an 'official' rate for traditional exports and 'essential' imports and a much depreciated rate for other exports and imports to encourage export diversification and discourage non essential imports. In 1974, the Asian Clearing Union (ACU) was formed to further economise the use of foreign exchange by a group of six countries including Sri Lanka. In 1975 reserves stood at US Dollars 57 million, which were sufficient to finance imports by 1.7 months. Reserves position of the country improved by 1976 to a level sufficient to cover 3 months of imports with the receipt of IMF assistance and a reduction in imports through further restrictions. These reserves were mainly invested in US T-Bills, fixed deposits, call accounts and Sterling securities.

In 1977, Sri Lanka unified its exchange rate with a currency depreciation and moved to a system of managed floating with a partial liberalisation of external trade and payments. In this environment during the post 1977 era, there has been a substantial expansion and diversification in the country's external transactions. Sri Lanka diversified the currency basket of the reserves to include French Franc, Japanese Yen and Deutsche Mark. Further, it managed to increase its foreign reserves from US Dollars 278 million in 1977 to US Dollars 2,029 million by end 1997, which was sufficient to finance 6.4 months of imports. Reserves management activities and techniques were expanded during this period deviating from traditional money market products into more meaningful portfolio management and trading strategies.

However, external reserves declined continuously from 1997 to reach US Dollars 1,049 million by end 2000 largely owing to the escalation of war requiring higher expenditure on imports, higher petroleum prices and slowing down in export earnings. In this environment the country completed the liberalisation of exchange rate arrangements by introducing a system of independently floating exchange rate on 23rd January 2001, allowing commercial banks to freely determine the exchange rate. Reserves position gradually began to improve since then along with the recovery from negative GDP growth in 2001. Reserves reached US Dollars 3,500 million in 2007 and the Bank commenced assessing alternative investment opportunities such as repurchase and bond lending programmes to enhance return while maintaining liquidity and safety of reserves. With the emergence of sub-prime concern, the Bank moved its reserves as a prudential measure to more safe institutions such as reputed central banks. However, reserves declined sharply to US Dollars 1,300 million by early 2009 as foreign investors in sovereign securities withdrew their investments due to their own liquidity concerns at the peak of global financial crisis and the Bank sought alternative measures to augment reserves including SWAP arrangements with friendly nations. However with the ending of war and Stand-By Arrangement (SBA) facility with IMF, reserves improved sharply and by October 2010 it stood at an unprecedented level of US Dollars 7 billion. At present reserves are managed by a team of experts in multi currency and multi product environment targeting to achieve a higher rate of return.

Current Reserves Management Framework

Reserves management functions had been initially vested with the former Banking Department, which was one of the key departments of the Bank since its inception. After reallocating the functions of the Banking Department into four separate new departments in 2002, reserves management function was assigned to the International Operations Department (IOD). The required internal arrangements such as segregation of duties by creating a Front Office and Middle Office and enhancing technical and academic skills of the employees have been met over the time to match with the international standards required in reserves management. Front Office is the place where the transactions in foreign currencies take place and is often called as the ‘Dealing Room’. Middle Office performs the key function of risk monitoring and acts as an independent unit, which evaluates and analyses the risk faced by the Front office. Back Office functions are required to effect and settle the transactions originated by the Front Office. This involves the maintenance of foreign currency accounts and sending payment instructions among others. At present, Back Office functions are carried out by the Payments and Settlement Department, which was also a section of the former Banking Department. In addition, policy recommendations relating to reserves management are made by the Foreign Reserves Management Committee (FRMC) at its monthly meetings and implemented with the approval of the Monetary Board. The FRMC is chaired by the Assistant Governor in-charge of the price stability cluster, and is comprised of Director of Economic Research, Director of International Operations, Chief Accountant as members and Director of Management Audit as an observer. It provides guidance for reserves management activities while reviewing the progress at its regular meetings.

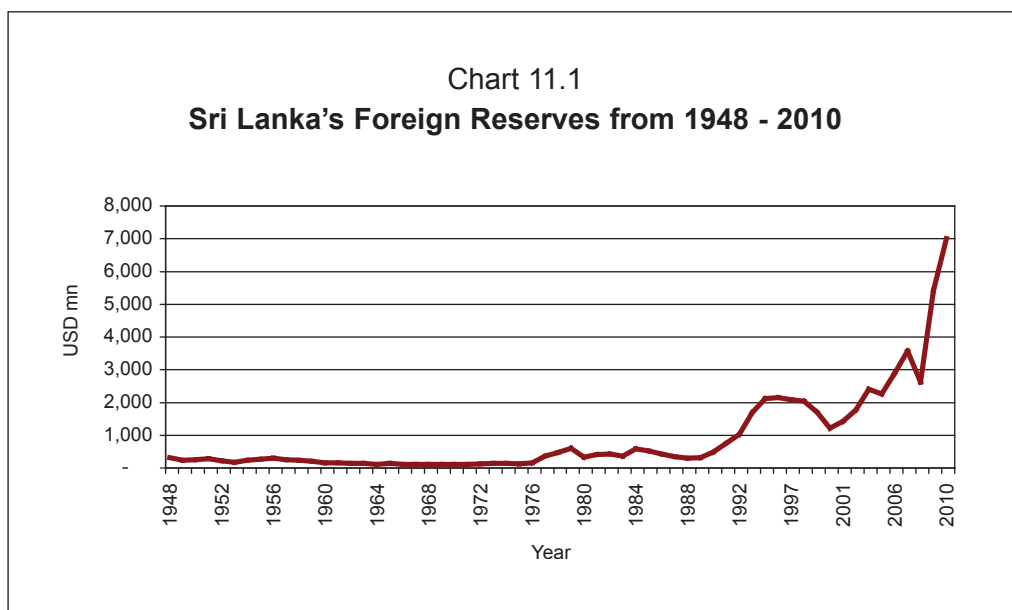
Reserves management activity is a commercial activity whether it is carried out by a central bank or any other entity. Sri Lanka similar to many other countries in the region did not pursue active reserves management policies until mid 1980's. Reserves management activities were limited mainly to placing money market deposits as it was considered adequate since our reserve requirements were limited and the markets were not complex at that time. Service providers were limited and the knowledge pool was scant and communication was confined to cable messages. The CBSL used to send cable messages to the Bank of England and the Federal Reserve Bank of New York in its early days requesting to make payments in other currencies or to place money market deposits since there were no market quotes available. Until the acknowledgment is received, there was no confirmation on the exchange rate or the deposit rate applied. In 1977, in addition to Sterling Pound, US Dollars, Indian Rupee, Japanese Yen, Deutsch Mark and French Franc were used for market transactions in Sri Lanka. Activities in the foreign exchange markets gradually picked up along with the technical developments such as Reuters market information screens and development of Asian financial centres such as Tokyo, Hong Kong and Singapore. With these developments, CBSL commenced investing a part of its reserves in fixed income securities more methodically in early 1980s to enhance the return of the portfolio. These activities have now been further expanded to a number of government and non-government investments including US, UK, Japan, Europe, Australia and New Zealand governments with active diversified portfolio strategies.

Growth of Reserves

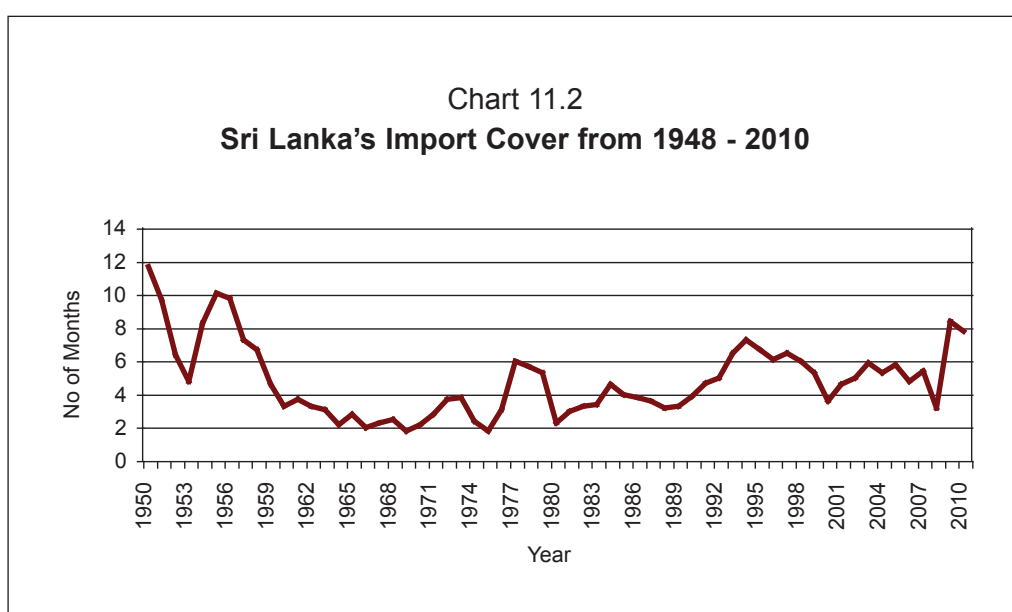
In Sri Lanka, the pace of increasing reserves was not quite prominent until 2009. From there onwards, the reserves picked up at an accelerated rate with the end of the conflict leading to an enhanced investor confidence, resulting in a favourable outlook on the country. Prior to 1977, particularly since early 1960s, the country managed with a limited value of reserves supported by a set of stringent controls and regulations. With the liberalisation of the economy, coupled with the introduction of a managed floating exchange rate regime in 1977, the need to maintain a comfortable level of reserves was widely felt especially to minimise the excessive fluctuations of the exchange rate. Thereafter, the level of reserves gradually increased, until it dropped to a bare minimum due to economic and political uncertainties experienced in the 1988-89 period. Since mid 2009, with the enhanced political and economic stability of Sri Lanka, foreign exchange reserves have grown significantly.

Chart 11.1 shows the movements of foreign exchange reserves of the country beginning from 1948.

The reserves, which stood at US Dollars 1.4 billion in May 2009, increased gradually to US Dollars 5.3 billion at end November 2009. This momentum in the reserves continued in the second half of 2010, reaching a healthy position of US Dollars 7 billion in early October 2010. The current level of reserves indicates the ability of the country to maintain an import cover of 6.2 months.



Source: Annual Report (2010), CBSL



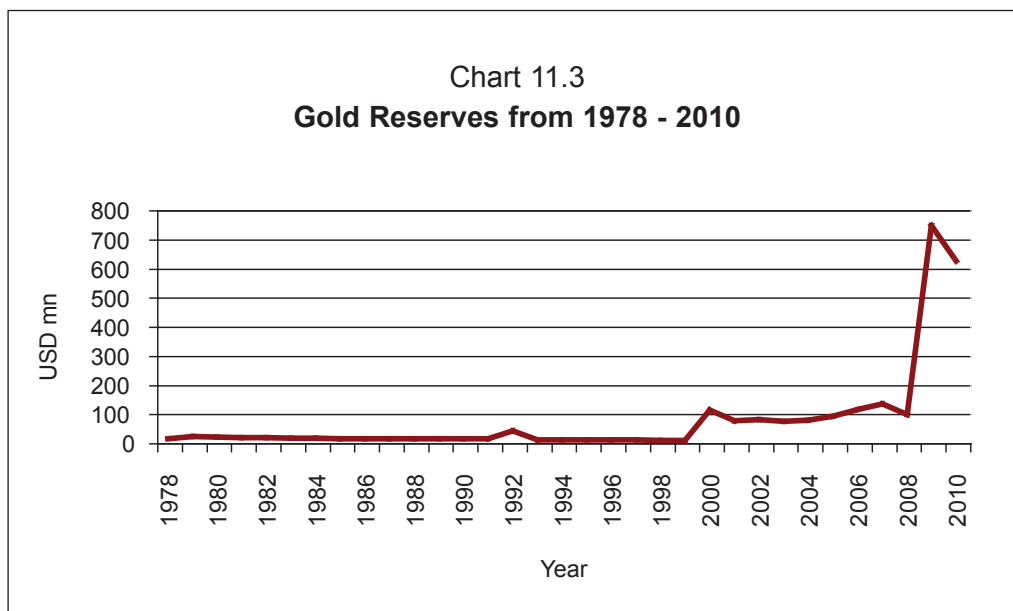
Source: Annual Report (2010), CBSL

Management of Gold Reserves

Investments in Gold reserves were not prominent until CBSL received a quantum of gold from IMF in 1977-78 at the rate of US Dollars 35 per troy ounce. During 1980s and 1990s gold reserves had been accumulated through trading and investments in the gold market. Gold reserves have been extremely useful as a safe haven asset for the country when it faced crisis situations especially in 1988-89 where CBSL had obtained much sought US Dollars by exchanging gold holdings with the agreement to take them back (on a SWAP arrangement) proving its multi facet usage. The CBSL has entered into a more diversified portfolio management with the increased emphasis on gold holdings by purchasing ten metric tons of gold from IMF in November 2009. The active management of gold holdings by CBSL and trading opportunities had created a renewed hope of a good income stream. In order to safeguard physical gold holdings, CBSL maintains its gold reserves at the custody of the Bank of England, London. Chart 11.3 exhibits the movements of gold reserves since 1978.

Reserves Management Strategy

In line with the enhanced reserves position, new investment opportunities will be looked into in search of higher returns. Accordingly, investments will be further expanded to high yielding securities, bond lending activities and repurchase market strategies in international bond markets.



Source: International Financial Statistics, IMF and Economic Research Department, CBSL

With the current boom in emerging market economies particularly in Asia, Latin America and the Eastern European region, the worldwide investors speculate a higher demand for emerging market sovereigns as well as corporate bonds. Therefore, Sri Lanka intends to move into these markets with the aim of diversifying its fixed income securities further.

Risk Management in Reserves Management

Sound risk management is an essential element in effective reserves management. Risk management functions aimed at ensuring sound governance based on best international practices that have been adopted by CBSL to promote the safety, liquidity and return objectives. Good governance framework of the Bank identifies and assesses the risks of reserves management operations and it allows the management of risks within the acceptable parameters and levels. Risk exposure of the bank is monitored continuously to determine whether exposures have been extended beyond acceptable limits. Over the past 60 years, these practices have evolved and at present, Middle Office, which is the risk management division of IOD, uses a number of indicators to measure and mitigate the risk involved. These indicators primarily include Duration, Convexity and Stress Testing to measure the interest rate sensitivity. The risks relating to deployment of reserves, namely, market risk, credit risk, operational risk and liquidity risk are detailed below:

Market Risk

Market risk comprises currency risk and interest rate risk

- (a) Interest rate risk: The key aspect of the management of interest rate risk for CBSL is to protect the value of the investments from the adverse impact of interest rate movements. The interest rate sensitivity of CBSL portfolio is measured and managed in terms of duration. The emphasis is to keep the duration or the interest rate sensitivity of the portfolio within a manageable level. Interest rate exposure is further managed by placing restrictions on the tenor of investments.
- (b) Currency risk: Currency risk arises due to the uncertainty in exchange rate fluctuations. The CBSL foreign currency reserves are invested in multi currency, multi market portfolios to minimise the risk arising from exchange rate movements. Currency movements are managed against the approved benchmark composition, which may be revised from time to time by the management.

Credit Risk

Credit risk refers to risk arising out of defaults or delays in payment obligations. This is mitigated by assigning trading limits for counterparties or the trading partners of CBSL, which includes central banks, large and sound commercial banks and investment houses. Counterparty Credit

Risk Management System (CCRMS), which is a unique system developed by CBSL facilitates a comprehensive evaluation of the counterparties using financial indicators, ratings and products. Total exposure to all the counterparties are maintained within the assigned levels with the aim of minimising risk exposure and to enhance product availability to suit the investment requirements of CBSL.

Operational Risk

Operational risk is addressed through segregation of duties and placing required internal controls and processes. Internally there is a total separation of the front and back office functions in CBSL reserves management activities, overseeing of activities, dual controls and business continuity plan. Treasury Dealing Room Management System (TDRMS), which facilitates the trading, processing of transactions and recording also ensures several checks at the stages of deal capture, deal processing and authorisation. The authorising powers are delegated to officers at various levels of hierarchy to ensure the integrity.

The middle office is responsible for risk measurement and monitoring, performance evaluation and concurrent audit. However, CBSL intends to move towards an advanced and a sophisticated internal control system in view of the expansion of reserves.

Liquidity Risk

Liquidity risk arises due to the inability to sell an instrument at short notice and without incurring a significant cost. This risk has been addressed by maintaining adequate reserves in liquid money market and capital market instruments. The CBSL has invested a significant component of its reserves in liquid and highly rated assets, which could be converted into cash at short notice.

Challenges Faced in Managing Reserves

The main challenge in managing the reserves in its early days of 1950s was the rapid accumulation of reserves and resulting liquidity surplus. However, this situation soon changed with foreign exchange outflows and the country moved into a more exchange controlled regime with limited foreign reserves. Investment instruments were limited to money market deposits and selected securities, which were kept until their respective maturities during 1950-1977. Currency diversification was confined to Sterling, Gold and US Dollars, which were considered as low risk assets.

The country faced a severe shortage of foreign exchange in 1989 in the midst of political uncertainty of the country. CBSL had to convert its gold holdings into US Dollars through a swap arrangement in order to meet its foreign currency commitments. During this period gold reserves were held at the Federal Reserve Bank New York, and for the purpose of this swap transaction gold was dispatched to Mase Wespac Australia. Later when CBSL received Gold with

the unwinding of the swap, the Bank of England was chosen as the custodian for gold in early 1990s'. Subsequently in late 1990s' and early 2000, the market value of the invested funds of the reserves was at much lower levels and funding for oil requirements was a severe burden. However, with prudent portfolio management activities and techniques, CBSL was able to meet the import demand while generating a reasonable income at that time.

The recent international financial crisis did not significantly affect the reserves portfolio of the country due to timely actions taken and the adoption of prudent risk management techniques. The exposure to Lehman Brothers, which was the first turn down in the 2008 recession, was mitigated due to the timely withdrawal of investments. Further when the sub prime crisis emerged, CBSL was not affected, as it had no exposure towards those markets or instruments.

The euro crisis, which started in the latter part of 2009 with the highest budget deficit of Greece, did not make a significant impact on CBSL exposure to the European region due to the timely risk mitigating actions effected on the investments in volatile markets. Since the sovereign debt crisis in the euro area is continuing CBSL is closely monitoring the investments in the region to further mitigate the risk.

Managing a high volume of reserves has become a challenge since it is required to maintain liquidity and safety of investments with a reasonable rate of return in a low interest rate environment globally.

Conclusion

Reserve management techniques and risk management have changed rapidly over the past 60 years along with the advancement of technology and knowledge. Primitive money market investment strategies have converted into more complex and advanced instruments in search of a higher return from reserves. The CBSL in its endeavour to meet the challenges of managing its reserves in complex financial markets has embarked on a modernisation programme where state of the art technology of electronic records, analysing, monitoring and reporting of reserve management activities will be introduced to enhance the return of the reserve portfolio. Further, it is intended to move into a broad array of asset classes, further expansion of geographical coverage of markets and extension of dealing hours to cover the global financial markets in different time zones. However, challenges still lie ahead since it is required to maintain the safety and liquidity of investments without hampering the country's reputation while attempting to earn a higher rate of return on the reserves in order to maintain and preserve the value of reserves.

Changing Lanes - Pursuing a Liberalised Economic Policy

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Economic liberalisation is largely accompanied by reduced government intervention and ensuring greater private sector participation in the overall economic activity. The liberalisation attempts pursued by the country have brought about a mixed performance in economic transition. When other Asian economies, which were on par with Sri Lanka at the time of independence, secured very rapid growth, Sri Lanka was able to achieve middle income status only after about 60 years since independence. The prevalence of factors such as variations in balance of payments, government's commitment to social welfare programmes, democratic political system, political strengths of successive governments and some structural deviations in the international market prevented Sri Lanka from establishing its standing among the emerging economies. In the context of the theme, this article reviews circumstances under which the country changed its liberalisation policy from time to time since independence.

At the time of independence, Sri Lanka was largely an agricultural economy with full currency convertibility in all transactions with a fixed exchange rate system and also with relatively more favourable socio-economic conditions compared to most other Asian countries. The country was quite liberal and the private sector could engage in economic activity quite freely. However, certain factors that were to make macroeconomic management subsequently more difficult were already built into the socio-economic system, leading to a change in the

path of economic policies. Among such factors were expansionary fiscal policies including the provision of free health and education, subsidised food, the presence of vast income disparities, democratic political system and neglected domestic agriculture.

At this time, a greater part of the population lived in rural areas and depended on agriculture. The agricultural sector was segmented into two: widely as an advanced modern plantation sector producing three major export crops; tea, rubber and coconut, and a backward traditional sector producing mainly subsistence crops, which provided livelihood for a larger part of the population. A relatively high per capita income compared to most other Asian countries with a large subsistence rural population itself shows the income disparity that persisted at the time.

In the early period of independence, foreign trade played a dominant role in the economy making the country one of the most open economies in Asia. Foreign trade accounted for about 70 per cent of the GDP with a share of nearly half a per cent of the total trade in the world market. The country relied predominantly on primary plantation products for its export earnings while increasingly depending on imports for its basic food requirements. The postwar developments in the international sphere also called for a more liberal economic environment with free trade marked by full currency convertibility. International trade was greatly hampered by unfair economic competition led by high tariff, trade barriers and competitive devaluation. Therefore, developed nations accepted the necessity of maintaining a stable international monetary environment backed by fixed exchange rates. As a result, the Bretton Woods Conference led to the establishment of a monetary arrangement based on a system of fixed exchange rates anchored by the convertibility of the US dollar into all other currencies. Accordingly, the value of the Sri Lankan rupee stood at around Rs. 4.77 per US dollar under the fixed exchange rate introduced under the Bretton Woods System. Subsequently, the economic agenda of the successive governments was determined by the need for maintaining the fixed exchange rate regime while dealing with the developments in the balance of payments (BOP).

The economic structure driven by the three commercial crops did not provide a satisfactory framework for the sustainable development of the economy. The rural masses, who had limited access to basic needs of nutrition, education, shelter, medical care, sanitation, etc., were unable to enjoy the economic benefits generated by plantation crops exports. The highly organised plantation sector was complemented by the economic mechanism orchestrated by the colonial administration dominating the activities in the services sector such as trade, commerce, banking, insurance and transport.

The thrust of the government's economic development initiatives was aimed at ensuring an equitable welfare distribution among all segments of the economy and attaining sustainable economic growth. Therefore, the government was committed to strengthening social welfare measures through direct intervention in the economy. In the meantime, to reach out to the masses,

domestic agriculture sector, particularly paddy, was given the first priority by the government. In the midst of high expenditure on food imports, particularly rice, the overriding objective of the government's development policy was centred on achieving self-sufficiency in rice.

The country was able to maintain the liberal policy regime in the early period supported by two commodity booms. External trade, the main driver of the economy, raised the country's foreign reserves. It also increased government revenue through taxes on both exports and imports and facilitated the continuation of the welfare programme. However, fluctuations in the prices of agricultural commodities in the world market, while causing a sharp decline in external reserves, induced a change of lanes of economic policies towards the end of the decade. Highly vulnerable exports and steady demand for imports tended to impact the BOP resulting in a rapid drying up of foreign reserves while excessive expenditures on welfare measures brought about a heavy burden on the government budget.

In addition to large scale public expenditure on welfare, initiatives were taken for industrial sector development through government intervention. Controls on foreign exchange transactions and foreign trade as well as the nationalisation efforts were also given the highest priority in government intervention in the economy. Growing BOP difficulties led to the introduction of further restrictions such as tightening foreign exchange controls by establishing the Foreign Exchange Budget Committee, import licensing, imposition of cash margins on the opening of letters of credit, trade controls with higher import duties and ceilings on advances for importing certain types of goods and restrictions on hire purchase finance. Greater emphasis was placed on import substitution industries by providing incentives and protections. In the context of international experience too, particularly in East Asian countries, import substitution has emerged as one of the development strategies available in a fixed exchange rate regime. Subsequently, although Sri Lanka could not reap the due results, East Asian countries were able to transform their economies into export led industrialisation once they got into export promotion. Some major services were nationalised in order to service a large segment of the population. During this period of time, nationalisation and an expansionary public sector were not new to the region. India also followed a heavily centralised economic model with the nationalisation of heavy industries such as steel, shipping, aviation, mining, etc., while receiving a large inflow of foreign aid, mainly in the form of official development assistance.

By mid 1960s, the economy was highly regulated with protectionist measures in response to a deteriorating BOP position, largely an outcome of expansionary policies with fixed exchange rates. In order to arrest the continued decline in foreign reserves, export promotion strategies were implemented in mid sixties within a framework of import substitution. Export promotion strategies were aimed at the diversification of exports while import substitution was aimed at reducing expenditure on imports. Also, there was an attempt towards partial liberalisation. To promote minor export crops, a Bonus Voucher Scheme was introduced in 1966. The rupee was devalued by 14 per cent in 1967. To diversify exports by promoting non-traditional exports

and to discourage non essential imports, a dual exchange rate system was introduced in 1968 under the Foreign Exchange Entitlement Certificate (FEEC) mechanism. In order to boost minor exports sector, such exporters were granted a share of their export earnings in foreign currency by introducing a convertible rupee account. However, as a whole, the external position weakened considerably during 1960s despite external assistance from institutions such as the International Monetary Fund (IMF) in the form of stand-by arrangements and compensatory financing for export commodity price fluctuations.

The deterioration in external reserves continued. The food crisis began in 1971 and an unprecedented oil price hike in 1973 worsened the situation, creating severe problems for the government in its economic management. Exchange control measures were further tightened to preserve foreign exchange. New state enterprises were established and the existing ones were strengthened, ensuring greater state involvement in market activities. The Co-operative movement including Co-operative Wholesale Establishment (CWE), Salu Sala, Building Materials Corporation, State Trading Corporation, Paddy Marketing Board, Ceylon Fisheries Corporation, etc., were assigned a greater role in the management of internal trade. Amidst severe shortages during the economic crisis, price controls and drastic rationing were introduced to ensure fair distribution.

In the international front too, certain economic developments began to surface despite regulated capital movements under the fixed exchange rate regime. Structural deficiencies in the US economy, stemming from the oil crisis, the Vietnam War, accelerated inflation, huge trade deficit and draw down of reserves threatened international monetary management, which was primarily held by the fixed exchange rate system. With growing difficulties, the continuation of the US commitment to the fixed exchange rate system and its obligation to convert dollars into gold on demand, became extremely difficult despite the devaluation of the dollar on several occasions. Eventually the convertibility was withdrawn in 1971 and the Bretton Woods system of exchange rates collapsed in 1973. Changing value of the rupee in relation to the US dollar with the collapse of the Bretton Woods system and growing BOP difficulties compelled the Sri Lankan government to further tighten exchange controls. During this period, transactions relating to both exports and imports as well as other foreign exchange payments required the permission of the Controller of Exchange. These highly restrictive exchange controls for both current and capital transactions prevailed until 1977.

The year 1977 marked a turning point in economic policies of Sri Lanka with the introduction of far reaching liberalisation measures. Sri Lanka was the first country in the South Asian region to liberalise substantially like this. The inward looking restrictive policies, which constrained economic activities, were reversed by implementing policies geared towards liberalising the economy with greater private sector participation in production and investment. The remarkable success of some Asian economies, which transformed themselves into emerging markets and reached developed country status through export-oriented economic policies,

provided the basis for this change. The market oriented economic structure was adopted in two main fronts: the external sector was strengthened by promoting trade and investment through a series of liberalisation measures, while direct state involvement in economic activities was phased out to improve quality, productivity and competitiveness.

The dual exchange rate system was replaced by a managed float allowing the exchange rate to be determined largely on the basis of market conditions and a series of exchange control relaxation measures was implemented, displaying a major shift from the restrictive policies. The removal of restrictions on current international transactions, the elimination of quantitative restrictions on imports, the provision of wider authority to commercial banks to deal with foreign exchange, the enhancement of exchange entitlements for travel, business and medical treatment, the promotion share market investment, the removal of price controls and licensing requirements, and the facilitation of foreign employment and worker remittances were among the relaxation measures.

Similarly, among the measures introduced to reduce the fiscal burden arisen from an expanded public sector included restructuring food subsidies, rationalising and simplifying of the tariff structure to reduce state intervention, privatising government enterprises, and promoting private sector led growth in place of import substitution. The degree of tariff protection offered to import substitution industries were gradually scaled down. Export industries were encouraged through the adoption of incentives to encourage foreign direct investments (FDI) and the establishment of export processing zones with attractive tax incentives, unlimited access to foreign currency credit, better infrastructure, minimum government intervention, etc. By 1994, all restrictions on current account transactions were removed and Sri Lanka accepted obligations under Article VIII of the IMF's Articles of Agreement.

Foreign capital inflows, which were almost non-existent during the pre-1977 period except for some foreign loans to the government, increased gradually. Capital account transactions increased initially with the implementation of the privatisation programmes, backed by early liberalisation efforts and thereafter, in line with economic development, inducing a significant volume of private foreign capital flows in addition to official flows. Except for a few strategic areas, foreign exchange restrictions were removed, thereby permitting greater inflow of foreign capital. Accordingly, free movement of inward foreign investment in shares and inward FDI except for a few restricted areas, were allowed and the repatriation and the surrender requirement for export proceeds were abolished, enabling exporters to retain these proceeds abroad, if they wished to do so. Meanwhile, commercial banks were permitted to borrow up to 15 per cent of their capital reserves from abroad and the private sector was allowed to make overseas investments with permission being on a case by case basis.

External trade liberalisation was further strengthened with the expansion of bilateral, regional and multilateral trade agreements. Sri Lanka remained firmly committed to the multilateral trading system, being a founder member of the World Trade

Organisation (WTO). Sri Lanka has also made commitments under General Agreement on Trade in Services (GATS) on telecommunication, tourism, and financial services. Initiatives have already been taken to broaden the services and investment sector liberalisation through existing trade agreements.

International experience shows that a liberalisation process complemented with right policies would result in rapid economic growth. However, the liberalisation attempts pursued in Sri Lanka have not yielded the expected results due to a number of factors. During the period since independence up to 1977, the democratic political process changed the governments a few times, imposing different political ideological approaches in terms of liberalisation. However, the development approach during this period mainly centred on promoting domestic agriculture with rising public expenditure on maintaining social welfare measures. At a time, one administration pursued a relatively liberal approach favourable to the private sector, but following a political change the other pursued an inward looking approach with nationalisation and an expanded government creating uncertainty in the minds of investors. As a result, when the East Asian countries attracted a large quantum of FDI and moved away from import substitution industry to an export led industrialisation, Sri Lanka continued to struggle with import substitution framework without much needed FDIs.

Alternatively, in the post-1977 era, although the successive governments demonstrated their commitment to liberalisation policies, Sri Lanka could not achieve the expected rapid growth experienced in the emerging market economies owing to certain other factors. In particular, there had not been strong investor confidence in the economy due to the three decade long ethnic conflict, intermittent civil insurrections, persistent macroeconomic imbalances and reluctance of the governments to pursue some necessary adjustments on account of political pressures.

However, under the present administrative regime, which came into power in 2005, there have been vast developments which are conducive for prosperity. The end of the war changed the underlying economic preferences of the country in numerous fronts. It effectively altered the socio-economic structure of the country and continued to follow the liberalisation path, further strengthening the other complimentary factors to achieve a more meaningful liberalisation. It does not follow a privatisation programme, but restructured loss making state entities with Public-Private Partnership arrangements while facilitating the participation of the private sector across all economic sectors. The government revitalised some state institutions such as CWE, Paddy Marketing Board, Transport Board, etc. to operate parallel to the private sector, establishing relevant benchmarks to shield consumers from unfair competition. Unlike the pre 1977 regime, the government took over the management of SriLankan Air, Sri Lanka Telecom and Shell Gas, which were under the private sector, in a transparent manner without creating negative perceptions within the investor community. The ethnic conflict which hovered in the investors' mind for nearly three decades was completely eradicated. The macroeconomic environment was strengthened with a stable exchange rate, higher growth rates, lower and predictable inflation,

lower interest rates, higher level of foreign reserves, etc. Some effective policy decisions such as implementation of Norochcholai Coal Power Plant, the Upper Kotmale Hydro Power Project, removal of the fuel subsidy and tax reforms, continuation of fertiliser subsidy which were not characterised earlier due to political risk, were implemented reflecting political boldness and confidence. Implementation of mega infrastructure projects such as power projects (Uma Oya, Moragahakanda), road development (Southern Highway, Colombo Outer Circular, Colombo-Katunayake Airport Expressway), port development (Colombo South Harbour, Hambantota Port Development), aviation (Mattala International Airport, Katunayake Expansion), sports complexes (International Sports Stadium in Diyagama, International Cricket Stadiums in Suriyawewa, Pallekele) and many other projects fulfilled the long-felt needs of the country and also laid the foundation for subsequent investments.

Capitalising the excellence in macroeconomic, political and social spheres, Sri Lanka penetrated the international capital market for required funds to finance various infrastructure projects. Successful completion of sovereign bond issues became truly a hallmark achievement in establishing Sri Lanka's presence in international capital market. It effectively established the benchmark for the corporate sector to raise debt capital from foreign sources.

In addition, the comparatively controversial segment of the liberalisation process, the capital account liberalisation was also further strengthened during this period exploiting the sound macroeconomic stability, efficient financial system and political stability. Accordingly, among other things, investments by foreigners in Rupee denominated debentures and unit trusts, foreign borrowings by companies and students, opening of places of business in Sri Lanka by foreign companies, opening of foreign currency accounts by foreigners on tour or business, payments to non-residents in respect of purchase of real estate properties in Sri Lanka and engage in money changing business by selected super markets were permitted. With the further liberalisation of the capital account, which is considered the logical conclusion to the liberalisation process, is expected to attract a steady and continuous flow of FDIs which were remote in the past.

A retrospective review into the liberalisation attempts in the past and the host of strengths rooted in the current socio-economic structure show the true resurgence of the decade-long liberalisation attempts. Against this background, the country is now in a better position to take a decisive leap while making up for opportunities missed in the last few decades.

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Sri Lanka's External Trade Relations

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Introduction

Sri Lanka's central location in the Indian Ocean, straddling trade routes from the East to the West, made it a popular trading hub in ancient times, where spices, gems and elephants were exchanged for fabrics, metals and other goods. Even today, over 200 vessels navigate along this path daily, as the government tries to reclaim Sri Lanka's hub status in the Indian Ocean, amidst a shift in the center of economic gravity from the West to the East, as India and China show signs of re-emerging as major propellers of global economic growth.

Sri Lanka's external trade relations during the last 6 decades have changed considerably. In general, it is a story about embracing an outward-oriented trade regime, in order to expand overseas market access for its products and services at the bilateral, regional and multilateral fronts, interspersed with brief periods when it looked inwards. The outward looking policies encompassed an inclination for the use of price based measures such as tariffs rather than quantitative measures and preference for private enterprise over public enterprise. The reduced intervention in trade allowed the country to allocate resources in line with its comparative advantages which in turn enabled Sri Lanka to prosper. Those policies that looked inwards comprised preference for quantity based measures rather than tariffs, excessive government intervention in economic activities, ranging from stringent import controls to heavy protection of domestic industries, which shrunk Sri Lanka's share in world trade, particularly since East

Asian countries began to dominate world trade due to the liberalisation of their trade regimes starting in the mid-1960s. Given its small size, Sri Lanka was also vulnerable to fluctuations in the international commodity markets. It was also susceptible to a range of internal and external shocks during the last 6 decades, which helped shape Sri Lanka's trade structure to what it is today.

Trade at the time of Independence

Sri Lanka was an open economy at the time of regaining independence in 1948, but with a tariff based preference to products of the British Empire. Having inherited a well-organised plantation economy from the British raj, Sri Lanka continued to rely heavily on exports of tea, rubber and coconuts and imports of rice, sugar, fertiliser and investment goods. Aided by fertile land, supportive infrastructure and foreign entrepreneurship, the plantation sector performed well and the agricultural commodities accounted for 90 per cent of total exports. The main export destinations were the United Kingdom (UK), India and the United States of America (USA), all of which had made significant investments in support of the plantation sector, including energy, transport, banking and insurance services. Manufacturing turned out to be unattractive given its small domestic market and the increased competition in potential export markets from established suppliers elsewhere. (Rajapatirana, 1988) Incentivised by a system of tariff preference for products of the British Empire, the UK and India were the primary source of Sri Lanka's imports. The trade account registered a surplus for eight consecutive years after independence, led by high rubber prices during the Korean War (1950-52) and high tea prices triggered by a shortfall of tea in the international market during 1954-55.

Move towards the Socialist Bloc

In an effort to diversify trade with the rest of the world, Sri Lanka entered into an agreement with China in 1952 to exchange rubber for rice. This was followed by a series of trade and payments agreements with a range of other countries amidst concerns about over-specialisation and over-dependence on the traditional exports.¹ Politics also appeared to play a role here, since the Government at the time wanted to develop close relations with the Soviet Bloc. However, Sri Lanka lost valuable ground for two reasons. First, some countries exchanged their industrial products for tea and then sold the tea to other countries which in turn, re-sold it to yet other countries, thereby depriving Sri Lanka direct foreign exchange earning opportunities. Second, the industrial goods Sri Lanka imported under the payment agreements were reported to be not up to the standards of similar products imported from the West. Nevertheless, Sri Lanka remained committed to the neutral trade regime until 1957, when it displayed a tendency towards the use of

¹ Trade and payment agreements entered into with the Union of Soviet Socialist Republic (USSR), Bulgaria, Czechoslovakia, Hungary, Ireland, Italy, Poland, Romania, Yugoslavia and Spain between 1956 and 1960 lapsed in 1977.

import duties as “a tool of promoting import substitution by way of imposing protective tariffs for some infant industries and raw materials.” (Athukorala, 1980) Thus began Sri Lanka's first bout of import substituting industrialisation policy.² Nevertheless, GDP growth averaged 5 per cent per annum during the period from 1948 to 1960, which has been attributed to the strong performance of the agricultural export sector. Export duties were a major source of government revenue during this time.

Sri Lanka's economy changed its course in the 1960s by adopting a restrictive trade regime in response to balance of payments difficulties, at a time when other countries such as Hong Kong, Singapore, South Korea and Taiwan, pursued liberal trade regimes to attain their development goals. In general, the tariff structure and quantitative restrictions adopted by Sri Lanka during this time tended to discriminate in favor of final goods and against intermediate goods. “By 1962, all imports except foodstuffs, petroleum, fuel, fertilizer and pharmaceuticals were subject to licenses” (Rajapatirana, 1988). Tariff rates on imports ranged from 10 per cent to 500 per cent, based on the level of competition with domestic import substitutes. Agricultural goods, in particular, were affected by price controls and centralised distribution mechanisms. It has been surmised that it was Sri Lanka's commitment to consumer welfare during this time, through government intervention in the health, education and food sectors, which prevented it from embarking on an outward oriented development approach (Rajapatirana, 1988). The Government's decision to nationalise the oil companies led to a rift in Sri Lanka's relations with the West, which however, improved temporarily from 1965-70 as the UK and the USA re-emerged as Sri Lanka's major trading partner countries accounting for over 45 per cent of exports and more than 40 per cent of imports.

Brief Attempt at Trade Liberalisation

An attempt at trade liberalisation was made in 1965 with the devaluation of the currency by 20 per cent, which followed British and Indian devaluations. A dual exchange rate system was adopted in 1968 to discourage the so called “non-essential” imports by charging a premium of Rs. 44 per Rs. 100 over the official exchange rate on the c.i.f. value. The premium was subsequently raised to Rs. 55 per Rs. 100 in July 1969. “Non-essential” imports were brought under an Open General Licenses system while “essential” imports were tax exempt. Some items such as liquor, tobacco and luxury vehicles were subjected to a tax of 300 per cent. The two tier exchange rate system that promoted non-traditional exports and implicitly taxed traditional exports distorted the prices of a larger proportion of exports. Thus, the benefits of trade liberalisation did not bear fruit as the balance of payments did not improve and the Sri Lankan economy slipped back to a rigid control system.

2 Import substituting industrialisation policy included Government owned steel, tyre, hardware, sugar, salt, cotton yarn, brick and tile, chlorine and ilmenite factories, some of which were inaugurated during the Second World War to meet domestic shortages.

Back to Controls amidst External Shocks

Sri Lanka's trade relations with the West oscillated in response to a series of shocks that rocked the economy in the 1970s. The first oil price shock in 1973 led to higher expenditures on petroleum and fertilizer imports. The commodity price boom around the same time resulted in higher expenditures on rice, wheat and sugar imports, which were only partially offset by the earnings generated from higher export prices of tea, rubber and coconuts. However, ties with the West ebbed to the lowest levels in the 1970s with the nationalisation of the oil and plantation companies in 1971 and the government takeover of trading and agency houses in 1975. By then, China and Pakistan had emerged as the major buyers of Sri Lankan exports. Together, they accounted for about 20 per cent of export earnings. In the meantime, Iraq and other Middle Eastern countries were treading their way up as significant trading partners as importers of Ceylon tea. Saudi Arabia accounted for 12 per cent of total imports, followed by Japan, Australia, France and Thailand, which together accounted for about 30 per cent of total imports.

The restrictive policies that followed were supported by an overvalued exchange rate, differential interest rates which favored domestic industries, state entry into commerce through selective nationalisation and various forms of interventions in the labor market.³ However, these inward looking policies failed as government bureaucracy could not reap the desired profits or maintain the expected standards. A general shortage of foreign exchange during this time led to foreign exchange budgeting to allocate limited resources on priority basis. As a result, there were frequent bouts of excess capacity in industry as capacity utilisation became dependent on the availability of foreign exchange required to import intermediate goods and raw materials (Rajapathirana, 1988). There was also a switch in imports from consumer goods to intermediate goods, giving rise to severe shortages of basic requirements such as food and medicine. These protectionist measures, which became increasingly complex over time, distorted prices which in turn impacted trade and investment, as a result of which, Sri Lanka's exports suffered, as the economy stagnated.

Renewed Attempt at Trade Liberalisation

The failure of the rigidly regulated economy, the hope of international support and the impressive performance of the Newly Industrialised Countries (NICs) since the mid 1960s provided the basis for a renewed attempt at trade liberalisation in 1977. Not only was it supported by a strong political and public commitment for reform but it was also supported by tangible benefits in terms of immediate availability of durable consumer goods made possible by large aid flows. The trade liberalisation package included placing bulk of import trade under general licensing, unifying the dual exchange rates, adopting a floating exchange rate regime, relaxing exchange controls, removing many of the price controls, rationalising the tariff structure, encouraging

3 Interventions in the Labour Market comprised of minimum wage laws, restrictions on firing and social security legislation.

foreign investment and permitting the repatriation of profits. The removal of price controls and trade licensing were instrumental in resurrecting private sector participation in economic activity. The exchange rate became a key instrument that determined trade performance. These policies which helped generate a more competitive economic environment, sparked off the revival of the manufacturing sector led by the private sector, as operations of state monopolies were gradually scaled down. Industrial policy aimed at export oriented industrialisation and foreign investment was encouraged. The first Export Processing Zone (EPZ) was set up in Katunayake in 1978 and the Export Development Board was established in 1979 to support the promotion and development of exports. Trade relations with the west regained importance. With the rapid expansion in industrial activities and the diversification of the export structure, USA became the single largest buyer of Sri Lanka's exports by 1979. Japan also became one of Sri Lanka's major trading partners by 1979.⁴

Trade Liberalisation amidst Industrialisation

The 1980s were characterised by the second oil price hike, which led the international economy into recession. Nevertheless, the massive private and public capital inflows that accompanied trade liberalisation led the nominal exchange rate to appreciate, reflecting a phenomenon commonly referred to as the Dutch Disease. It also led to a considerable increase in imports of investment goods. However, the large public investments led to burgeoning budget deficits, which fuelled inflation. Together, they eroded Sri Lanka's export competitiveness, achieved through trade liberalisation supported by generous tax concessions. Liberalising the trade regime while increasing public expenditures turned out to be inconsistent. Meanwhile, the adverse terms of trade reduced the volume of exports and affected Sri Lanka's trade balance. However, the Government continued to encourage export orientation of industries by gradually eliminating export licensing requirements and export duties over the period 1988 - 1994 and ensuring free current account convertibility since 1994. It set up more EPZs, offered financial assistance and duty rebates to small and large scale exporters and developed capacity in an effort to diversify exports. It also encouraged "decentralisation" of garment factories that helped change the composition of Sri Lanka's exports. Industrial exports accounted for 71 per cent of total exports by 2010, over half of which comprised of apparel exports. Trade liberalisation helped attract quota-hopping East Asian garment exporters to invest in Sri Lanka's rudimentary garment industry, capturing incentives offered by export quotas, despite the lack of cloth and accessories manufacturing bases to facilitate backward integration (Kelegama, 2005). Notwithstanding the elimination of the textile quota system in 2001, the apparel industry grew rapidly, harnessing increasingly higher levels of value addition. Although the share of agricultural exports declined over the years to 27 per cent in 2010, earnings from tea exports, which accounted for 17 per cent of total exports, continued to play a dominant role in the economy as it acquired a reputation for its superior quality. With respect to imports, while the relative share of consumer and investment goods declined over the years, the share of intermediate goods imports increased, driven by petroleum.

4 Japan remained Sri Lanka's major trading partner from 1979-1995.

External and Internal Shocks

Shocks to the economy thereafter ranged from commodity price booms and busts, terrorism, natural disasters, and economic crises. Sri Lanka's economy weathered prolonged droughts (el nino), the tsunami disaster, frequent flash flooding and a series of insurgencies, including 3 decades of terrorism which heightened into war status, a number of times. The impact of the oil price increases during the Gulf crisis on the trade balance was off-set to some extent by the higher earnings from exports, particularly tea.⁵ The impact of the Asian financial crisis on Sri Lanka's economy was minimal, largely due to the lower trade exposure to the region, flexibility of currency and the relatively closed capital and financial accounts compared to those of some East Asian economies. Trade with the rest of the world became expensive in 2001, in view of the higher premium charged on freight insurance, due to an increase in perceived risk brought about by the terrorist attack on the country's only international airport. The setback caused by the September Attack on the USA also contributed towards the decline in trade in 2001. Later, the global economic recession triggered by the "Sub-prime" crisis had a significant impact on Sri Lanka's external trade, as both, exports and imports dropped. This may be attributed to the increased exposure to the USA and the European Union (EU), which accounted for 22.2 per cent and 38.5 per cent of Sri Lanka's exports, respectively, in 2009. Industrial exports in particular, were severely affected, as earnings declined by 13.8 per cent, year-on-year, reflecting contractions in all sub-sectors. However, these trends reversed quickly with the global economy gradually recovering in 2010, led by agricultural exports which fetched better prices in the international market.

Trade in Services

Trade in services was in deficit at the time of independence owing to the significant foreign participation in the economy. Outflows comprised mainly those related to transport services on account of charges imposed by foreign shipping companies. In an effort to manage the foreign exchange outflows to contain the burgeoning balance of payments deficit arising from the sluggish export volumes and adverse terms of trade, services such as public transport, port and insurance were nationalized in the 1960s. The Ceylon Tourist Board was established in 1966 to reap higher earnings from travel. Exchange control regulations imposed in the 1970s included restrictions on outbound travel, which were subsequently relaxed in the 1980s. Earnings during this time comprised mainly of tourism and bunkering services, both of which performed well and helped generate a surplus in the services account of the balance of payments from 1973 to 1981. However, earnings from tourism remained subdued thereafter, due to various disturbances including ethnic strife. All remaining restrictions on payments and settlements pertaining to services were relaxed when current account transactions were made freely convertible in 1994. With the expansion in international trade in goods, the services sector also developed. More recently, transportation, information technology and travel services have become important sources of foreign exchange earnings.

5 The period after liberalisation has been interspersed with tea booms (1979-82, 1983-84, 1990, 1996, 2008, 2010)

Trade Cooperation

Sri Lanka entered the multilateral level trade forum in 1948 as one of the 23 founding members of the General Agreement on Tariff and Trade (GATT). As trade in services and international investment expanded over the years, new issues arose which led to a series of multilateral trade negotiations that culminated in the Uruguay Round and set the stage for GATT to be replaced by the World Trade Organization (WTO) agreement in 1995, ratified by the bulk of the world's trading nations as the sole provider of legal ground-rules for international commerce.

Although trade policy changed from time to time, since the trade liberalisation in 1977, successive governments have pursued market oriented trade policies and measures aimed at developing more balanced, global partnerships. In 1975, Sri Lanka entered into its first regional trade agreement, the Bangkok Agreement, (subsequently renamed as the Asia Pacific Trade Agreement (APTA) in 2005), which links Sri Lanka to China and South Korea among other countries in the Asia Pacific region. Meanwhile, Sri Lanka pursued the South Asian Preferential Trading Arrangement (SAPTA) in 1995 intended to promote preferential trade and the South Asian Free Trade Agreement (SAFTA) in 2006 to enhance economic integration in South Asia by fostering regional trade. Trade with India and Pakistan increased significantly with the implementation of the India-Sri Lanka Free Trade Agreement (ISLFTA) in March 2000 and the Pakistan Sri Lanka Free Trade Agreement (PSLFTA) in June 2005. A Comprehensive Economic Partnership Agreement (CEPA) with India, which is in the process of being negotiated, aims at further economic integration by incorporating trade in services and investment and accommodating the movement of people.

Sri Lanka benefited from tariff concessions offered under the Generalised System of Preferences (GSP) schemes of the EU and the USA since 1971 and 1976, respectively. Access to the Special Incentive Arrangement (GSP+) concessions from the EU since 2005 helped expand market share in the EU as it surpassed the USA as Sri Lanka's prime export destination by 2006. This facility which was withdrawn in 2009, helped develop Sri Lanka's exports considerably.⁶ Taken separately, however, the USA and the UK, remained the foremost export destinations, while imports were dominated by India, Singapore, China and Iran.⁷

Conclusion

Sri Lanka, being a small economy, was strongly susceptible to external shocks. It was also subjected to a range of internal shocks over the last six decades. External trade remained an important instrument that promoted economic growth as the country alternated between inward and outward orientation. The periods of stringent controls reduced heavy dependence of the

6 Apart from apparel, the GSP+ Arrangement helped foster the growth in exports of fisheries products, ornamental fish, fruits and vegetables, ceramic products, bicycle components, rubber products, etc.

7 Imports from India and Singapore comprised mainly of refined petroleum products while Iran was the main supplier of crude oil. The major import from China was cotton.

economy on external trade. However, state commitment to large scale consumer welfare programs reduced the availability of resources to support commerce. Interventions in the economy may have been costly and counterproductive, as they misallocated resources from their optimum uses. Interventions have also been time consuming to turn around, perhaps depriving the country of opportunities to stride forward. The trade structure also changed over the years. The post 1977 liberalisation efforts, in particular, marked greater dependence on intermediate goods and reduced the importance of finished goods imports. The direction of trade also swung between the East and the West. Despite these vacillations, Sri Lanka remained resilient amidst the numerous internal and external shocks. Although, trade with the West exceeds that with Asia by far, more recently, trade with Asia has taken on an increasing trend. Perhaps, the pendulum is beginning to swing again, as Sri Lanka seeks to diversify external trade, in terms of goods as well as markets, to become a trading hub of the Indian Ocean.

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Expanding Horizons – Integration with the World Economy

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By virtue of location, Sri Lanka being in the middle of an extensive network of interconnected trade routes, the country has inherited a long history of international linkages. As such, Sri Lanka's integration with the world economy is hardly a new phenomenon. Yet, the recent decades have experienced some remarkable changes in economic integration across the globe. According to a prominent economist, "[t]he pace of global economic change in recent decades has been breathtaking indeed, and the full implication of these developments for all aspects of our lives will not be known for many years" (Ben Bernanke, 2006).¹ Undoubtedly, the world economy has moved towards closer integration during the recent decades. International trade flows have increased substantially, financial markets in developed and emerging economies have become increasingly integrated, significant parts of the world economy that were relatively insulated until recently, opened up to free trade and capital flows, and continental European countries adopted a single currency. In light of these global economic changes, a worthwhile question to raise would be how Sri Lanka's integration with the global economy has evolved over time. This article reviews the last sixty years of integration of the Sri Lankan economy with the world, in light of obvious expansions of international trade, labour, and financial flows. For example,

The author wishes to thank Dr. D. S. Wijesinghe and Dr. Koshy Mathai for helpful comments and suggestions; and Ms. K. K. Subasinghe for compilation of data series obtained from various Annual Reports of the Central Bank of Sri Lanka.

1 Bernanke, B.S. (2006): "Global Economic Integration: What's New and What's Not New?" Annual Economic Symposium, Federal Reserve Bank of Kansas.

Sri Lanka's merchandise imports have more than doubled during the recent decades relative to the gross domestic product (GDP), i.e., from 17.1 per cent in 1970 to 36.1 per cent by 2008²; while merchandise exports have risen from 14.8 per cent of GDP in 1970 to 20.8 per cent by 2008, less impressive though. Overall, merchandise trade, including both exports and imports, has increased dramatically over the same period, i.e., from 31.9 per cent of GDP in 1970 to 56.9 per cent by 2008. Further, trade in services as a percentage of GDP has also doubled, and stood at 10 per cent in 2007, compared to 4.2 per cent in 1970. Meanwhile, Sri Lanka has experienced a dramatic increase in remittances over the years, which has brought about significant macroeconomic consequences for the economy. For example, during 2009, private inflows amounted to US dollars 2.9 billion (which is about 6.9 per cent of GDP), while during 1970, total remittances were just about US dollars 107 million. Moreover, Sri Lankan economy has seen increased participation of international business establishments over time. As of 2010, eleven foreign banks are in operation in Sri Lanka, while several leading multinational companies continue to expand their businesses, and this trend is expected to continue to a larger extent, owing to greater liberalisation of economic policy being introduced on a regular basis. Moreover, Sri Lanka's bond portfolios have become more international, attracting more foreign investor confidence on the post-war economy. Sri Lanka's ability to benefit from the remarkable developments in information and communication technology and the payments and settlements system facilitated enhancing the economic integration.

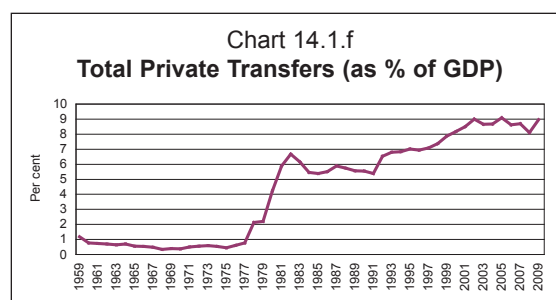
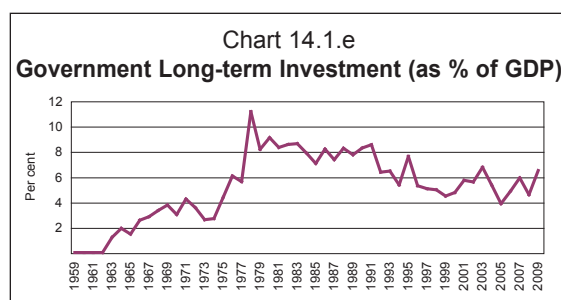
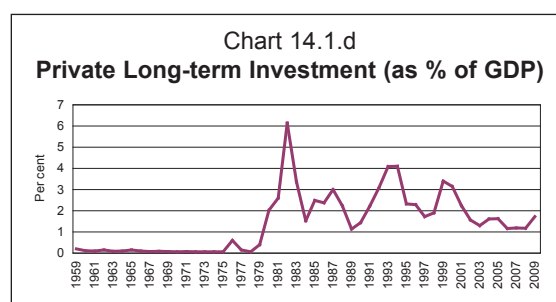
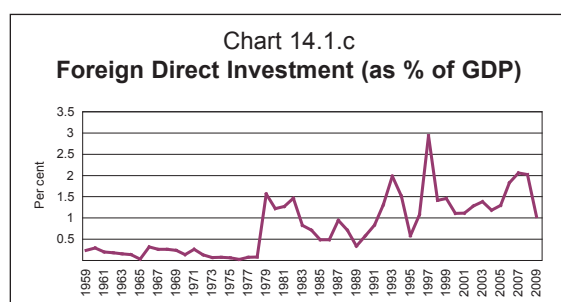
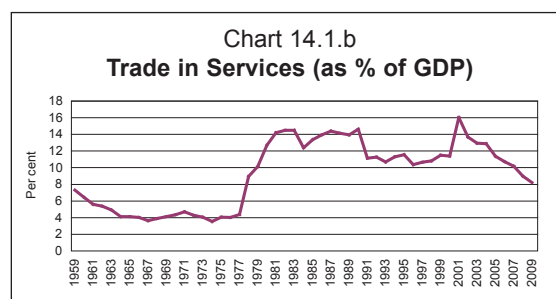
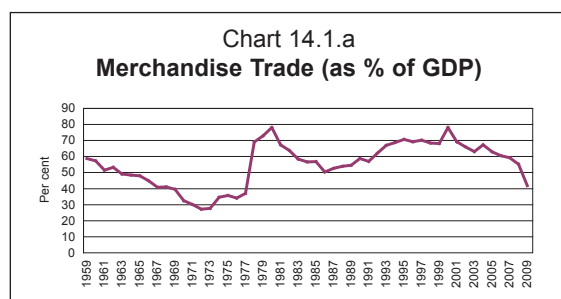
In general, economic integration refers to a process of removing cross-border discriminations which may affect the flow of goods and services, and the movement of factors of production. Thus, arguably, a country can benefit a lot through increased participation in the world economy. Such benefits may include efficient allocation of resources due to changing production patterns, gaining international standards of efficiency through domestic competition, access to larger markets, and the ability to participate in international capital markets in the event of country-specific shocks, and more importantly, the exposure to new ideas, technologies and products.³ However, one should not lose focus on some negative aspects attached to greater economic integration, which may mainly include the possibility that the infant or less effective industries may find it hard to withstand open market competition and be forced to exit the market, consequently. Nonetheless, in a rapidly changing economic environment in which national borders and regional differences are becoming less and less relevant, increased economic integration may seem to be inevitable, the challenge remaining for any country, especially, a small open economy like ours, would be to making use of economic integration as a means of achieving accelerated economic growth.

2 Of course, the last couple of years mark a decline in imports due to the impact of adverse macroeconomic consequences (see, for example, the IMF's World Economic Outlook, Oct 2010).

3 See the report by Nepal Rastra Bank (2005): "The Process of Economic Integration in South Asia", International Finance Division, Research Department.

Chart 14.1

Some Indicators on the Integration with Global Economy



Notes:

1. Merchandise trade is the sum of merchandise exports and imports divided by the value of GDP, all in U.S. dollars.
2. Trade in services is the sum of services exports and imports divided by the value of GDP, all in U.S. dollars.
3. Foreign direct investment is the sum of equity capital, reinvestment of earnings, and other short- and long-term capital, as shown in the balance of payments. This series shows the sum of net inflows and outflows and is divided by the value of GDP.
4. Gross private capital flows are the sum of the absolute values of direct investment inflows and outflows recorded in the balance of payments financial account, excluding portfolio investment, and other changes in the assets and liabilities of monetary authorities and general government. The indicator is calculated as a ratio to GDP in U.S. dollars.
5. Private Transfers are the sum of the absolute values of direct inflows and outflows recorded in the balance of payments financial account.

Sri Lanka's economic integration with global economy has met with some drastic changes over time, mainly because of changes in the development policy framework adopted by successive governments from time to time. These policies range from inward-looking import substitution industrialisation to outward-looking export oriented industrialisation, although they are not mutually exclusive. Accordingly, the extent to which Sri Lankan economy has been involved in the world economy has changed significantly. For example, Chart 14.1 shows some indicators on Sri Lanka's integration with global economy over the period from 1959 to 2009.⁴ A noticeable feature is that most of the indicators show a significant upward shift around 1977, during which economic liberalisation policies were introduced in Sri Lanka by relaxing strict exchange and import control measures and moving away from inward-looking policies with a greater emphasis on import substitution industries. As shown in Chart 14.1.a merchandise trade jumped to over 77 per cent (as a share of GDP) by 1980, from just over 30 per cent in 1976. Similarly, Chart 14.1.b shows that trade in services increased to about 16 per cent (as a share of GDP) by 1980 from about 4 per cent in 1976. However, mobilising of foreign resources, in terms of foreign direct investments has not been subject to dramatic changes (see Chart 14.1.c). This may be due to various reasons, such as, existence of some stringent capital controls during that time, the time taken to build up the market sentiment etc. However, private and government long term investments showed some substantial improvement (see Charts 14.1.d and e). Also, total private transfers have increased markedly since 1977 (see Chart 14.1.f). Given this significant policy change that occurred in 1977, it would be useful to look at Sri Lanka's economic integration with the world economy in two sub-periods, i.e., pre-1977 and post-1977 periods, as described below.

Pre-1977 Period

The first decade following independence (1948-1959), in which the Central Bank of Sri Lanka was established⁵, marked some significant steps towards promoting economic activities, other than merely focusing on the plantation crops sector, which had been given prominence under the colonial administration. These activities included several development programmes aimed at developing transportation, power, health, education etc., as well as irrigation and land development programmes. However, during 1960s, Sri Lanka had to confront with several economic problems, particularly, on the external front. For example, the balance of payments deteriorated, mainly due to faster growth of imports over exports (Charts 14.1.a and b depict a declining trend of both merchandise trade and trade in services, during late-1950s and 1960s). Consequently, the promotion of export trade was considered essential, and more importantly, perhaps, import restrictions were viewed as the most appropriate measure at the time. However, by late 1960s, adverse impact of the quantitative restrictions became more apparent, import substitution policy deemed to be less effective, and orientation towards economic liberalisation and the greater

4 The data sample begins from 1959 due to data availability.

5 The Central Bank was established by the Monetary Law Act No.58 of 1949 and commenced operations in August 1950, thus ending the Currency Board System which was set up under the Paper Currency Ordinance No.32 of 1884. The Bank was called the Central Bank of Ceylon until it was renamed as the Central Bank of Sri Lanka in December 1985.

reliance of private sector development were viewed as appropriate. In order to overcome the economic hardships, a significant inflow of capital and intermediate goods was necessary. Since export earnings were not adequate to meet this demand, mobilisation of foreign aid was considered to be inevitable. By late 1960s, on the recommendation of the Central Bank, several policy measures were introduced to promote exports, including devaluation of exchange rate by 20 per cent in 1967, introduction of dual exchange rate under Foreign Exchange Entitlement Certificate (FEEC) scheme, which provided a depreciated exchange rate system for non-traditional exports and non-essential imports. Further, in 1972, the Convertible Rupee Account (CRA) Scheme was introduced to boost the minor export sector by granting exporters a share of export earnings in foreign currency.⁶

Post-1977 Period

According to the Central Bank Annual Report (1995), “Sri Lanka had a highly distorted trade policy regime prior to 1977, consistent with the inward-oriented development strategy followed at that time. Both tariff and non-tariff barriers were extensively used to control imports, for balance of payment reasons, as well as to protect domestic activities and industrial enterprises, which were mostly state run, against import competition” (p.108). It was realised by 1977 that restrictive policies adopted during the earlier period constrained economic activity, resulting in a shortfall in both import substitution and export oriented production sectors. Economic activity was further hampered due to limited imports of intermediate and investment goods, and overall, the level of saving and investment has remained low prior to 1977. Subsequently, a policy package was prepared to liberalise and simplify exchange and trade system, with the view to allowing price mechanisms to determine economic activities and to eliminate the adverse effects of import and exchange controls (see Table 14.1 for a summary of the key financial reforms and capital account liberalisation measures implemented since 1977). To this end, the involvement of the Central Bank has been significant. For example, the introduction of managed floating exchange rate system in 1977 by abandoning the dual exchange rate system, helped to maintain export competitiveness. Further, rationalisation of the tariff structure by establishing the Tariff Review Committee and a Presidential Tariff Commission helped improving the efficiency of the price mechanism and reducing distortions. Also, the Central Bank played a key role in mobilising financial resources from both domestic and foreign sources, in order to match the investment requirements that the country was in great need at the time. Implementation of several monetary and fiscal policy measures helped promoting private investments. These included interest rate reforms, extending credit facilities to the private sector, development of the share market, and in particular, allowing internationally reputed foreign banks to open branches, and introducing off-shore banking since 1979 with a view to attracting foreign investors and promote the export sector. Among the measures adopted by Sri Lanka in recent years in relation to expanding economic integration, the participation in regional economic co-operation is one of the most significant.

⁶ See for more details, 40th Anniversary Commemorative Volume of the Central Bank of Sri Lanka 1950-1990.

Table 14.1
Financial Reforms and Capital Account Liberalisation

Date	Major Changes
1977	Delegation of authority to commercial banks with regard to selected current account transactions. Enhanced exchange entitlements for travel, business, medical treatment, education, and emigration.
1978	Inward FDI and portfolio investments were freely permitted, subject to existing regulations. Exchange allowance for business travel and education increased. Commercial banks permitted to open NRFC accounts for Sri Lankans and foreign nationals. Procedure simplified and more exchange control functions delegated to commercial banks.
1980	Introduction of Resident Non-National Foreign Currency Accounts (RNNFC) Scheme.
1981	Commercial Banks permitted to encash inward remittances and travellers' cheques and foreign currency notes up to US\$ 500 without obtaining details on source or purpose of receipt.
1986	Exchange entitlements for education abroad further enhanced. Requirement to obtain exchange control approval for encashment of traveller's cheques exceeding Rs.100,000 per day withdrawn.
1990	Permission granted to approved country funds, regional funds, and non-resident individuals to invest in shares in listed companies up to 40 per cent of issued share capital. With this, a scheme of Share Investment External Rupee Accounts (SIERA) introduced through authorised dealers to facilitate and monitor such investments.
1991	Exporters permitted to borrow from Foreign Currency Banking Units (FCBUs) for financing imports of inputs to execute export orders.
1992	Permission granted to approved country funds, regional funds, non-resident individuals, and corporate bodies incorporated outside Sri Lanka to invest in shares in listed companies up to 100 per cent of issued share capital, subject to exclusions, limitations and conditions set out by Controller of Exchange.
1993	Repatriation and surrender requirements in respect of export proceeds abolished. Export proceeds permitted to be retained in foreign currency accounts either in Sri Lanka or abroad.
1994	All remaining restrictions on current international transactions removed. Sri Lanka accepts obligations under the Article VIII of IMF Charter.
2006	Further opening up the capital account has been suggested, as being a means to facilitate economic growth further through promoting higher investment by minimising cost of equity capital and debt and improving the efficiency of the financial system. Thus, measures have been taken to liberalise the capital account further, including, the granting permission to foreign country funds, regional funds and the mutual funds, approved by the Securities and Exchange Commission in Sri Lanka, corporate bodies incorporated outside Sri Lanka and citizens of foreign countries to purchase and hold up to 5 per cent of the total outstanding value of Rupee Denominated Treasury bonds, at any given point of time.

- 2009 Permission was given to hold and sell rupee account named “Treasury bonds/bills Investment External Rupee Account–Deshabhimani (TIERA-D)” provided that all such investments in aggregate do not exceed 10 per cent of the total value of T-bonds/ T-bills outstanding at any given point in time.
-
- 2010 Recently, the Central Bank of Sri Lanka announced some arrangements made in relaxing foreign exchange regulations relating to investment abroad by Sri Lankans, foreign borrowings by resident companies and investments by non-residents in the domestic market. Some of these key measures include permitting foreigners to invest in Rupee Denominated Debentures issued by local companies, permission to foreigners on tour or business in Sri Lanka to open accounts in foreign currency, permission to open Foreign Currency Accounts for Gem and Jewellery Industry etc.
-
- 2011 Further relaxations were announced such as permission to Sri Lankan resident individuals, corporate and unincorporated bodies to invest in equity of overseas companies (effective from 1 January, 2011,) and permission to Sri Lankan resident individuals, permission to insurance companies to invest a part of their assets abroad. In addition to the relaxations introduced in 2010, more relaxations were introduced with effect from January 1, 2011, which include granting permission to any person resident in Sri Lanka or any company or partnership registered in Sri Lanka to acquire, hold, and transfer shares of companies incorporated outside Sri Lanka and the sovereign bonds issued by foreign governments and governmental organisations subject to the directions specified by the Government. Particularly, the following limitations will operate of any permission granted to the above: (a) in respect of a company listed at the Colombo Stock Exchange, US dollars 500,000 or an equivalent amount in any designated foreign currency per annum; (b) in respect of a company which is not listed at the Colombo Stock Exchange, US dollars 100,000 or an equivalent amount in any designated foreign currency per annum; (c) in respect of a partnership registered in Sri Lanka, US dollars 100,000 or an equivalent amount in any designated foreign currency per annum; and (d) in respect of any individual resident in Sri Lanka, US dollars 100,000 or an equivalent amount in any designated foreign currency per annum.
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Source: Central Bank of Sri Lanka- Annual Reports

Regional Integration

During recent decades, the world has seen global trends towards open regionalism which refers to a gradual movement towards continent-based integration. For example, North American Free Trade Agreement (NAFTA), the European Union (EU), Association of South East Asian Nations (ASEAN), Asia Pacific Economic Cooperation (APEC), are to name a few. Further, Sri Lanka has played a key role in moving towards regional integration in the South Asian region, for example, the formation of South Asian Association of Regional Cooperation (SAARC), participation in the South Asian Preferential Trading Arrangement (SAPTA), which came in to effect in 1995, and in the treaty regime on the South Asian Free Trade Area (SAFTA) in 2001 are some noteworthy

developments. However, in order to make maximum use of the full potential in the region, an integrated development strategy for South Asia may need to be formulated, while overcoming some inherent contradictions and territorial disputes among the member countries. It is worthwhile to mention two key bilateral trade agreements that Sri Lanka has been involved with. First, the India-Sri Lanka Free Trade Agreement (ISFTA), which was signed in 1998 and implemented tariff concessions from 2000, resulted in removing tariffs on some goods immediately, while partial concessions are granted on selected goods. Second, the Pakistan-Sri Lanka Free Trade Agreement (PSLFTA) which was signed in 2002, and became operational from 2005, under which Sri Lanka has been able to enjoy duty free market access on 206 products in the Pakistani market, while Pakistan, in return, has gained duty free access on 102 products in the Sri Lankan market. Also, with a view to strengthening the trade links further in the region, Sri Lanka is in the process of negotiating Comprehensive Economic Partnership Agreements (CEPA) with India and Pakistan. While the increased economic integration may deliver its intended results, the conventional wisdom, however, suggests that increased trade linkages would lead to the effects of negative demand shocks to spillover intensely across international markets.

Economic Integration and Spillover Effects

During the recent global economic downturn, many advanced economies experienced some spillover effects due to the sharp slowdown of the housing sector of the United States and the subsequent turmoil that erupted in the international financial markets. For example, as reported in recent IMF World Economic Outlook (Oct 2010) the collapse of the world trade during the last year was sudden, severe, and synchronised, and accordingly referred to as “the great trade collapse”. Further, the Report describes that “[f]or economies that rely heavily on external demand for their growth, [their] findings highlight the urgency of reorienting growth by strengthening domestic demand” (p.125), even if countries like ours may still need to look for ways and means to boost export earnings through appropriate measures. Subsequently, a different theme has emerged in international macroeconomics, namely “decoupling” which refers to “apparent divergences in economic performance among different regions of the world economy” (Kohn, 2008).⁷ These divergences mainly relate to the perception that the business cycles of the United States and other advanced economies are becoming less synchronised (arguably though, given the way in which the recent financial crisis did spread across the globe); and also to the fact that economic growth in emerging market economies is fairly sustainable relative to the substantially slower growth in the advanced economies.

Where does the Sri Lankan economy stand in this context, given that it is a small open economy? So far, this article has described how Sri Lanka has been expanding its economic integration with the world economy, throughout the last sixty years or so. As such, one would reasonably expect a greater impact on the economy of the turmoil in the global financial markets

⁷ Khon D.L. (2008): “Global Economic Integration and Decoupling”, International Research Forum on Monetary Policy, Frankfurt, Germany.

and subsequent decline in economic activity. However, Sri Lankan economy has been able to hold up its trend economic growth relatively successfully, despite the magnitude and severity of the recent economic meltdown. Simultaneously, the economy had to confront with another wave of negative shocks due to the escalation of counter-terrorism efforts, which brought about direct and indirect adverse effects, such as deterioration of tourism industry, risk premium on the financial market in the context of substantially downgraded sovereign ratings of the country, and overall deterioration of terms of trade etc. In explaining how Sri Lanka could be able to do so, the findings of a recent study by Artis et al. (2010) may be useful.⁸ This study examines the behavior of the international business cycle across 25 advanced, emerging, and developing economies (including Sri Lanka) for a period of 125 years. The importance of international sources of fluctuations, either common shocks or spillovers, is measured relative to the share of the forecast error variance attributed to domestic shocks. Thus, a small domestic share corresponds to a relatively larger role for international rather than domestic disturbances. In this context, the finding relating to developing country block (to which Sri Lanka is a part of) is rather interesting, because it suggests that country-specific shocks still play a dominant role in business cycle dynamics, relative to international shocks.⁹ For example, at longer horizons, international sources of fluctuations typically account for only about 40 per cent of business cycle variance, while country-specific shocks account for 60 per cent of business cycle variance during post-1973 period. Note, however, that this evidence may need to be evaluated carefully, because, it applies to the developing country-block in general, and not solely to Sri Lanka. As such, drawing firm conclusions on any signs of decoupling of individual countries may require further studies.

Concluding Remarks

Sri Lanka's economic integration with the world economy has met with some significant changes over time, i.e., from a lower degree of integration into a higher degree of integration. Over the last sixty years, Sri Lanka has made significant improvements in uplifting the living standards of its citizens, and in that, increased economic integration may have played a significant role. Note, however, that disagreements still exist on whether or not global integration benefits developing countries to alleviate poverty to a greater extent. Yet, as a rapidly emerging economy in the South Asian region, Sri Lanka has a lot to improve in order to catch up with the pace of development that some emerging market economies in the East and South East Asian region experienced over the recent decades. In this context, it seems worthwhile noting some observations made on the Sri Lankan economy in the very first annual report of the Central Bank in 1950, (p.13).

8 Artis, M., Chouliarakis, G., and Harischandra, PKG. (2011): "Business Cycle Synchronisation Since 1880", The Manchester School, Vol. 79(2) pp.173-207.

9 The key finding of Artis et al. (2011) is that there is compelling evidence in favour of a secular increase in international business cycle synchronisation within a group of European and a group of English-speaking economies that started off during 1950-1973 and accelerated since 1973. Further, since the 1960s, the gradual trade integration within a group of European countries diminished the relative significance of idiosyncratic (or country-specific) shocks, and resulting in the formation of the European Monetary Union. However, this observed secular rise in business cycle synchronisation in advanced economies does not extend to the emerging market and developing economies.

“The achievement of a rapid increase in production in Ceylon is, of course, the core of the economic problem. It is most disconcerting, for example, to find that even on the crest of the present boom there is still some unemployment and a very considerable amount of underemployment. Such a situation should not be, for economic conditions could scarcely be more favourable for using labour to expand production than they are today. Purchasing power is more than adequate; demand is brisk. Money capital, labour, and land are available. The answer lies partly at least in adequacy of enterprise. Or, if the enterprise is present, the ways and means of linking it with money capital are absent. It is common knowledge that many of those with money are using their resources to increase their holdings of existing estates or what is worse, to speculate, rather than to replant, to open up new land, or to start new enterprises. Such activity contributes little to the country’s development.”

Of course, the macroeconomic structure of the Sri Lankan economy at present, may be distinctly different to what it was in 1950, yet it seems that some of the inherent characteristics are still apparent in the economy today. So, the Sri Lankan economy has to implement some structural changes, in the areas of mobilising and utilising of resources in a much more productive way that incentivises aggregate saving and investment in the economy. This may not be achieved through openness per se, but we may need to enhance our capacity to adapt to changes in the outside world. In this respect, Sri Lanka may need to re-examine the effectiveness of policy measures adopted in a range of important areas over the course of its post-independence history. One such more obvious area is the development of human capital, through an education policy based on research and development, which may deliver professionals and skilled manpower to be matched with the needs of the world economy in the 21st Century.

Managing the Public Debt

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The stock of public debt is the total sum outstanding in respect of liabilities incurred by the government over successive years to finance its budgetary operations when government expenditure typically exceeds its total revenue. The Central Bank of Sri Lanka, in its capacity as the agent of the government, is vested with the responsibility of the management of the public debt, in terms of Section 113 of the Monetary Law Act (MLA). For this purpose, the Public Debt Department (PDD) was set up in 1950 when the Central Bank commenced its operations.

The key objectives of public debt management are to (i) manage the public debt to ensure that the government's financial needs are met at the lowest possible cost, consistent with a prudent degree of risk; (ii) service government debt on time with 100 per cent accuracy preserving the default free nature of government debt; and (iii) broaden and deepen the government securities market. Within the context of these three objectives, operations of public debt management cover the issuance of government securities including international sovereign bonds, making maturity and interest payments, recording of ownership of securities, maintenance of the debt databases, assessment and management of the risks associated with the debt portfolio, appointing and supervision of primary dealers, development of the domestic government securities market and activities related to obtaining the sovereign rating of the country.

In managing the public debt, the PDD maintains a close coordination with the activities of the Ministry of Finance, particularly with the Treasury Operations, External Resources and Fiscal Policy Departments, in a strong institutional framework where the Ministry is responsible

for mobilisation and management of external concessionary funds, coordination with donors, maintenance of external debt database, treasury cashflow management, provision of funds for debt service and providing advice on borrowings and borrowing limits.

All borrowings for the government are made under the authority granted under section 2(1) (b) of the Appropriation Act in respect of the financial year and such borrowings should not exceed the amount specified in that section. As a part of public debt management, an annual borrowing programme is formulated at the beginning of each year, taking into account a number of considerations such as the maturity structure, currency distribution, domestic and foreign debt composition of the existing portfolio and estimated resource availability of the economy for that year. This annual programme is operationalised through monthly borrowing programmes formulated by the Domestic Debt Management Committee (DDMC), which is represented by Superintendent of Public Debt, Directors of Economic Research, Statistics, and Domestic Operations of the Central Bank and Director General of Treasury Operations of the Ministry of Finance, at its monthly meetings.

During the past 60 years, Sri Lanka's total public debt stock has shown a steep increase with debt to GDP ratio recording an increase from 17 per cent in 1950 to 82 per cent in 2010. Public debt can be divided into two components, domestic debt and foreign debt. After 1977, the government's dependence on borrowings from foreign sources increased rapidly, driving the foreign debt to GDP ratio to remain above 30 per cent, compared to the average foreign debt to GDP ratio of 10 per cent during the period, 1950-1976. However, this foreign debt was largely received as development assistance in the form of project and commodity aid from bilateral and multilateral sources on highly concessional terms. During the past 60 years, the Central Bank has taken several initiatives to improve the management of public debt, both domestic and foreign.

Domestic Debt

The government raises funds from domestic sources mainly by issuing Treasury bills and Treasury bonds. In addition, Rupee securities/loans have been issued to the domestic market to raise medium and long term funds since 1937, from time to time. All those debt instruments are Sri Lanka Rupee (LKR) denominated securities with fixed interest rates. At the initial stage, funds required for the government were raised through issuing Treasury bills for which an active market did not exist and almost the entire stock was absorbed by the Central Bank.

Treasury Bills

Treasury bills have been the main instrument for raising short term funds for meeting budgetary expenditure. The Treasury bills are issued under the provisions of the Local Treasury Bills Ordinance and the maximum limit on the issue of Treasury bills is fixed by the Parliament, under the authority of resolutions of Parliament passed under Section 2(1) of the Ordinance. This

ceiling, which was Rs. 25 million in 1948, has been raised from time to time to adequately meet funding requirements of the government, and at present it stands at Rs. 850,000 million, reflecting the enhanced need for short term funds in absolute terms.

The Central Bank was first authorised to issue Treasury bills in 1953. However, there was no active primary or secondary market for Treasury bills in the 1950s to 1970s and about 98 per cent of the bill issuance was held by the Central Bank. Central Bank is authorised by Section 112 of MLA to subscribe to any unsubscribed amount of Treasury bills issues. With the introduction of measures to liberalise the economy, together with the liberalisation of interest rates allowing them to be determined through market forces, Central Bank initiated measures to develop the Treasury bills market in 1980, both to improve debt management and monetary management of the country.

Accordingly, a secondary market for Treasury bills was introduced in 1981 by opening discount and rediscount windows for Treasury bills by the Central Bank and the Central Bank commenced selling Treasury bills in 1981 to divest its holdings. As rediscounting window was available to raise cash, if required, investors became quite willing to hold Treasury bills in their portfolios. As a result, the Central Bank holdings in total Treasury bills outstanding were gradually brought down to 16 per cent in 1996 from 93 per cent in 1985. The practice thereafter has been for the Central Bank to hold Treasury bills largely to the extent it is required for the Bank to conduct monetary policy.

In 1986, weekly primary auctions for the sale of Treasury bills commenced to reissue the maturing Treasury bills, taking into consideration the funding requirement of the government and to keep the market active by ensuring an uninterrupted flow of Treasury bills to meet investor demand. Furthermore, in 1981 the Bank commenced issuing Treasury bills of relatively longer maturities of 182 days and 364 days to better manage funding requirements and suit investor appetite. This process improved the attractiveness of Treasury bills among all investor groups, including the non-bank private sector.

The weekly auctioning process of Treasury bills was automated in 1998, enabling primary dealers to submit their bids online. These developments made yield rates of Treasury bills benchmark market interest rates in the domestic financial market. The share of Treasury bill holdings in the total domestic debt portfolio was 20 per cent at end 2010, compared with 6 per cent in 1948.

Treasury Bonds

In 1997, Treasury bonds were introduced to the market under the provisions of the Registered Stock and Securities Ordinance (RSSO) as a market based instrument to raise funds to meet medium to long term financial needs of the government. The Treasury bonds issued to the market

from 1997/1998 were of maturities of 2, 3 and 4 years. In the subsequent years, 5 and 6 year maturities were also issued to the market, providing investors with a range of instruments to manage their portfolios. However, until 2002 the Treasury bonds with longer term maturities did not have significant demand from investors. In 2003, the Central Bank issued Treasury bonds with maturities of 10, 13, 15 and 20 years, further extending the yield curve of government securities as a means of reducing the rollover risk, and to provide the market with a benchmark for pricing long-term debt securities. However, in the recent past only the Treasury bonds with maturities up to 6 years received a significant investor demand. As of end 2010, outstanding Treasury bonds totalled to 64 per cent of the domestic debt portfolio, primarily consisting of bonds with maturities up to 10 years, making Treasury bonds an important debt instrument in mobilising long term funds from domestic sources. The Treasury bond market is expected to remain the main domestic funding source for the government in future too.

In 2006, the Central Bank issued index-linked Treasury bonds of 3 and 4 year maturities with coupon rates for the years after the first year based on average annual inflation rate during the immediate previous six months plus a margin of one per cent.

Rupee Securities/ loans

Rupee securities/loans are the oldest instrument used to raise funds for the government. Being a medium and long term non-tradable debt instrument, ownership of Rupee securities/loans has been almost entirely with the public sector institutions and public statutory funds. With the introduction of more attractive other tradable debt instruments like Treasury bills and Treasury bonds, the share of Rupee securities/loans in the domestic debt portfolio decreased rapidly in the recent past to a level of less than 5 per cent, compared to a peak level of 96 per cent in 1949. Rupee securities/loans are now issued mainly to meet the requirement of long term institutional investors at a pre-determined rate. In contrast to the Treasury bills and Treasury bonds, Rupee securities/loans are still issued in scrip form.

Sri Lanka Development Bonds (SLDBs)

In view of the diminishing opportunities for obtaining funds from international donor agencies due to competition from other developing countries coupled with difficulties in raising additional funds from domestic Rupee markets without causing an excessive pressure on domestic interest rates, the government introduced Sri Lanka Development Bonds (SLDBs) in 2001 to raise funds in foreign currency terms, mainly aiming funds held in Non-Resident Foreign Currency (NRFC) accounts of commercial banks. Issued with the maturities of 2 and 3 years and the interest rate linked to the London Interbank Offered Rate (LIBOR), SLDBs has been attractive among investors in recent years. Investors of SLDBs have been primarily the domestic commercial banks and in the recent past some banks have marketed SLDBs among foreign investors. The current share of SLDBs in the domestic debt portfolio remains around 7 per cent.

Foreign Debt

As a developing country, Sri Lanka had to seek the assistance of its development partners as domestic resources have not been sufficient to meet the public investment requirement. Borrowing from foreign sources first appeared in 1955 when the government borrowed from the International Bank for Reconstruction and Development (IBRD) for capital projects. Since then the contribution of project loans to finance the budget deficit continuously increased. This increasing trend has been rapid after 1977 with large inflows of foreign capital being received for economic and social infrastructure development projects.

The project based financial assistance was received from various countries and bilateral sources. Countries such as Japan, Germany and China and the multilateral organisations like the Asian Development Bank and International Development Association were the dominant contributors of the foreign project and programme loans in the recent past. Japan has become the largest development partner of the country, contributing 23.7 per cent of total outstanding government foreign debt as at end 2010. After 2007, China has also emerged as a major development partner to the country with its share of total government foreign debt at 5.1 per cent as at end 2010.

Sri Lanka's total foreign debt stock has shown a significant increase during the past 60 years, with foreign debt to GDP ratio recording an increase from 3 per cent in 1950 to 36 per cent in 2010. As at end 2010, there were 703 active foreign loans in the foreign debt portfolio with the total outstanding balance of Rs. 2,025 million or 44 per cent of the total government debt portfolio. However, 63 per cent of this total foreign debt portfolio is on concessional terms and 69 per cent is from bi-lateral and multi-lateral donors with grace periods of 2 to 20 years and long pay back periods of 5 to 50 years. This nature of the foreign debt portfolio together with the current average interest rate of about 1.9 per cent per annum have eased the burden of the foreign debt service payments of the country. In addition to the net borrowings from foreign sources, the depreciation of the LKR against major currencies also added a substantial amount to the expansion of the foreign debt stock in LKR terms.

Domestic Treasury bonds and bills market was opened to the foreign investors in 2006 and 2008, respectively. In 2009, these markets were opened to Sri Lankan diaspora and migrant workers abroad. However, those foreign investments were limited to a ceiling of 10 per cent of the total outstanding amount of Treasury bills and Treasury bonds. This initiative was not necessarily to raise foreign funds, but to make both Treasury bills and Treasury bonds market more competitive. The Bank has recognised the potential risk of a sudden withdrawal of foreign investors from Treasury bills and bonds markets as experienced in 2008 as an outcome of global financial crisis and hence holds a buffer stock of foreign reserves to meet such contingencies.

Tapping International Capital Markets

Sri Lanka issued its first Floating Rate Notes of US dollars 50 million in the international capital markets in 1997. During the period 1977-2008, the country raised funds several times through the international capital markets via various types of loan arrangements. In view of the declining access by Sri Lanka to concessional financing from the World Bank and ADB with its achievement of middle income status and the urgent need to implement several development partner-funded infrastructure projects in a timely manner, the government issued its debut international sovereign bond in 2007 to mobilise US dollars 500 million from international investors with a maturity of 5 years. With the improved investor confidence in the country after the end of the internal conflict and favourable growth prospects in the post-war period, the government successfully issued its second international sovereign bonds in 2009, amounting to US dollars 500 million with 5 year maturity. This bond offering attracted an orderbook that was over-subscribed by more than thirteen times, one of the highest level of over-subscription of any sovereign US dollar bond offering during 2009. The government issued its third international sovereign bond in 2010, amounting to US dollars 1,000 million with 10 year maturity at the coupon rate of 6.25 per cent, which was significantly lower than the cost of borrowing of 8.25 per cent and 7.40 per cent on the international bonds issued in 2007 and 2009, respectively.

The bond issues have established benchmark reference rates, which would enable the private sector to mobilise funds in the international market at competitive rates. Also these issues placed Sri Lanka ‘on the map’ as most of the portfolio investors who will become familiar with Sri Lanka’s credit record are likely look for other investment opportunities in the country. The proceeds of these sovereign bonds were used to part finance the capital expenditure programme of the government and restructuring of the debt portfolio to reduce the interest burden and improve debt profile. With Sri Lanka’s limited access to concessionary foreign financing in the future, international capital market funding is expected to remain a significant component of Sri Lanka’s borrowing programme.

Debt Service and Interest Cost

Sri Lanka has an unblemished record of debt service for the past 60 years as it has never defaulted, suspended, rescheduled any of its debt service obligations.¹ This has attracted the confidence of foreign investors on Sri Lanka government debt. In terms of Section 113 of the MLA, the Central Bank has taken the responsibility of servicing of all debt taken by the government with close coordination with the Ministry of Finance, which maintains the Commonwealth Secretariat-Debt Recording and Management System (CS-DRMS) debt database.

1 After the 2004 Tsunami disaster, Sri Lanka has been given a one to three year debt moratorium by the Paris Club creditors, India and Korea with a view to allowing Sri Lanka to allocate more resources to address humanitarian and reconstruction needs. In addition, outstanding debt to Italy was fully written off and that of China was partly written off. The government of UK agreed to refinance 10 per cent of debt service payments made to the World Bank.

Despite the initiatives of the Bank to develop the debt securities market and minimise interest cost, a sharp increase of the debt profile together with high interest rates owing to higher borrowing requirements and directions of monetary policy to maintain price stability, which will eventually stabilise interest rate, have made the interest cost a significant expenditure item in the current budget. In 2010, interest cost accounted for about 41 per cent of the total government revenue and 26 per cent of the total government expenditure. Compared to the levels of 0.6 per cent of GDP that prevailed at the time of independence, interest cost on public debt rose significantly to 6.1 per cent of GDP in 2010. In terms of total current government expenditure, interest cost increased to 36 per cent in 2010 from 4 per cent in 1948.

Total public debt service payments, which remained around 1 per cent of GDP during the first two decades after independence, remained around 11 per cent during the 1990s. This ratio has gradually increased to 14.6 per cent of GDP in 2010, mainly due to the expansion of the outstanding debt portfolio. The external debt service ratio which is defined as the percentage of total external debt service payments to exports of goods and non factor services including workers' remittances and compensation of employees, recorded 7.9 per cent in 2010.

Market Developments

Primary dealer system and supervision

With a view to developing an active and efficient secondary market, an accredited Primary Dealer (PD) system was established in 1992 restricting the participation at primary market auctions to PDs. This system was replaced by the dedicated PD system in 2000 and PDs were given specific privileges and responsibilities such as rights to deal with the Central Bank as a counterparty in the primary market and engage in any secondary market transactions relating to Treasury bills and Treasury bonds for the PDs own account and for the account of any customer. In 2009, the PDs were allowed to diversify their activities within certain parameters defined by the CBSL. The activities of PDs are supervised by the Public Debt Department through on-site examinations and continuous off-site surveillance.

Transparency, predictability and price discovery

Transparency and predictability were given much attention in the recent years in managing public debt as it helps domestic debt market developments, indirectly helping to lower the cost of raising funds from the market. Towards this target, the publication of the annual public debt management report, regular update of the Central Bank website, issuance of press releases and regular dialogue with CEOs of PDs have been carried out. Further, towards this objective, an efficient real time price discovery process in the secondary market for Treasury bills, Treasury bonds and SLDBs will be implemented in the near future. As a prerequisite, a benchmark yield curve of Treasury bills and Treasury bonds has already been established.

Ownership Recording

In order to improve the efficiency of the payment and settlement system, the Central Bank introduced a Scripless Securities Settlement System (SSSS) and Central Depository System (CDS) in 2004, enabling real time settlement of securities trading on Delivery Vs Payment (DvP) basis. Under the SSSS, settlement and recording of Treasury bills and Treasury bonds are carried out on an electronic system. The CDS (LankaSecure) maintains all information on trades and ownership of scripless government securities. Introduction of these systems significantly improved the efficiency of the government debt securities market by enhancing secondary market trading and eliminating risks associated with paper based securities. A record of ownership of external debt is maintained at CS-DRMS.

Risk Management of the Debt Portfolio

Management of risks associated with the public debt portfolio is a key aspect in relation to meeting the overall objective of debt management. Therefore, the Central Bank mitigates risks associated with its debt management activities by adhering to prudent risk management policies and targets. In the recent past, the Central Bank strengthened this aspect by establishing a sound risk management framework using a spreadsheet based risk scenario model, assessing a matrix of risk indicators in line with the best international practices and undertaking annual debt sustainability analysis. This risk model is heavily used in formulating the annual borrowing programme. Further, the Central Bank has identified a set of medium term targets for risk indicators to bring refinancing, interest rate and foreign exchange risks to prudent levels. Necessary measures to achieve these medium term targets have been taken through suitable actions such as extension of the maturity structure of the debt portfolio.

Sri Lanka Steps into International Capital Markets

C.J.P. Siriwardena
Assistant Governor

Since independence, the Sri Lankan government has invested heavily to develop the socio-economic infrastructure in the country. Being a developing country with its savings not sufficient to meet the development aspirations of the country, the government had to seek foreign financial assistance to finance such investments. During the first four decades, foreign financial assistance was in fact available in the form of multilateral and bilateral concessional loans. However, with the development of the country towards middle income emerging market status, the availability of such concessional financing has been shrinking gradually requiring the country to look for alternate sources of external financing to finance the public investment programme.

Accordingly, while implementing measures to attract foreign direct investment, a source of non-debt creating finance, the government decided to reap the benefits of the international capital market. Unlike the funds received through multilateral and bilateral sources, the receipts and use of which are subject to certain conditionalities, the government has the complete freedom in the use of funds raised in the international capital market. However, the government is disciplined by the dictates of the market forces and the terms of the funds raised in the capital market reflect the perception of the investors on the strength of the economy, particularly in honouring its obligations.

The Sri Lankan government's first step into the international capital market was in 1997 by issuing a Floating Rate Note of US dollars 50 million. Although it had a good response from the international investors, for nearly a decade the country could not raise funds through

a similar issue in the international capital market at a reasonable price due to the aggravation of the internal conflict and weak macroeconomic environment that prevailed in the country. In this backdrop several attempts were made to mobilise funds from international market through loan arrangements. These include three “Syndicate Loans” during 2000-2005 and a “Club Loan” in 2008. Since the funds mobilised through the international loan market are relatively short term and the investors’ appetite for the size of the issue is also small for a country like Sri Lanka, such funding arrangements would not match with the long term funding requirement of the capital investment as well as key objectives of the prudent public debt management, i.e., extending maturity structure and yield curve, improving liquidity and broadening the investor base.

In this context, the government of Sri Lanka decided to enter into the international capital market by issuing sovereign bonds and commenced preparatory work for the issue in early 2000’s. Accordingly, two international rating agencies, namely, Fitch Rating and Standard and Poors’ (S & P) were appointed in 2005 to obtain sovereign ratings for the country by each of them. In addition, a sovereign rating advisor was also appointed to advice on sovereign rating upgrades and to develop a strategy to enter into the international capital market. In line with these arrangements, necessary steps were taken to improve the macroeconomic environment of the country. With the completion of the preparatory work, the government was ready to issue its debut international sovereign bond in 2007.

First Sovereign Bond Issue - 2007

The Central Bank, which has been entrusted with the responsibility of managing the public debt as an agent of the government, played a major role with the concurrence of the government Treasury in issuing the sovereign bond into the international market. The process involved from selecting international Lead Managers and working with them to fulfill the legal requirements, including keeping the documents ready to the listing of issued bonds at an international exchange for the secondary market operations. The work involved in the issue was handled by a Steering Committee comprising senior officials of the Central Bank and the government Treasury. On completion of an evaluation of proposals made by the selected leading international banks and investment houses, three international banks/investment houses; JP Morgan, Hong Kong and Shanghai Banking Corporation Limited (HSBC) and Barclays Capital were selected to act as Joint lead managers, Book Runners and Underwriters of the bond issue while Bank of Ceylon was appointed as a Co-manager. The bond was issued in October 2007, just after the Road Shows held in Singapore, Hong Kong, London, New York, Boston and Los Angeles.

The bond issue was of the benchmark size of US dollars 500 million with a maturity period of five years and a fixed coupon rate of 8.25 per cent per annum. The issue was oversubscribed with total subscriptions amounting to 3.2 times the offer, attracting US dollars 1.6 billion from 136 investors across Asia, Europe and U.S. comprising asset managers, banks, insurance and pension funds, retail and private banks and other funds.

The bond issue was a success, especially as it was floated amidst multiple challenges both in the external and internal market. At the time the bond was to be launched, the international markets were affected by the emerging sub-prime crisis, which had not been envisaged initially, forcing investors eventually away from the market, posing a great challenge for emerging market debut sovereign bond issuers. Internally, the country was fighting a war against a terrorist group and at the same time, the main opposition political party opposed the sovereign bond issue strongly with a threat that they would not honour under their government, obligations arising from the bond issue.

Despite all these issues, investors placed their confidence on the Sri Lankan bond taking into account macroeconomic fundamentals, future growth potentials and especially the unblemished record of debt service payments by the country in the past. Finally, the Sri Lankan bond issue was adjudged the Best Sovereign Bond Issue of the year by three international financial magazines, namely, Asia Money, Finance Asia and The Asset.

Sri Lanka Entering a New Era

With the end of the civil war in May 2009, Sri Lanka has entered to a new era with more prospects for accelerating growth and development with the liberation of the Northern and Eastern provinces, integrating them with the rest of the country. It opened up resources in a vast area of the North and the East for development activities which are fully integrated with the mainstream economic activities in the country. It also removed the fear of any interruptions destructive to the economy and boost the investor confidence on the country. There was a further boost to the investor confidence with the approval of the Stand-By Arrangement (SBA) facility by the IMF and official recognition by them of Sri Lanka as a country which has graduated to the status of a middle income country of the emerging world.

The international investor confidence is reflected in investment in the capital market and the real sector including investments of US dollars 1.5 billion in government rupee securities by USA funds, the highest investment by a single country and heavy investments made by some Asian countries such as India, China and Malaysia in Sri Lanka. This behaviour of foreign investors showed their confidence on the future growth prospects of the economy. In order to gauge the appetite of global investors in Sri Lankan sovereign bonds, a global non deal road show was conducted in June 2009. It revealed that global investors have a significant positive sentiment on the new status of the Sri Lankan economy.

Second Sovereign Bond Issue - 2009

Sri Lanka entered into the international capital market with her second sovereign bond issue in October 2009. Once again the bond issue was for US dollars 500 million with a maturity period of five years and three months (five year long bond), but with a much lower coupon rate of 7.40

per cent per annum compared with 8.25 per cent coupon rate in the previous bond issue. The second sovereign bond issue repositioned the credit story of Sri Lanka among the international investors and attracted 269 investors based in the US (45 per cent), Europe (31 per cent) and Asia (24 per cent). A major part of the issue, i.e., 78 per cent was allocated to fund managers while the balance 22 per cent was distributed among banks, retail investors, insurance/pension funds and other investors. As in the first sovereign bond issue, three leading international investment banks and investment houses, namely, the Hong Kong and Shanghai Banking Corporation Limited (HSBC), JP Morgan and the Royal Bank of Scotland (RBS) functioned as Joint Lead Managers, Book Runners and Underwriters for this bond issue while Bank of Ceylon acted as a Co-manager.

The second sovereign bond issue was launched at a time the capital markets globally, were recovering from the global financial crises following the sub-prime issue. However, it was a huge success with subscriptions amounting to over 13 times the offer, the highest level of over subscription to any sovereign US Dollar bond offer during 2009. The strong response by the investors signified their heightened confidence on Sri Lanka and the country's enhanced growth prospects following the end of the civil war. This bond issue was also adjudged the Best Deal of the Year 2009 in Asia-Pacific Region by The Banker Magazine.

Third Sovereign Bond Issue - 2010

With two success stories of sovereign bond issues to its records, Sri Lanka once again entered the international capital market in September 2010. The third sovereign bond issue was for US dollars 1 billion with a maturity period of 10 years. The coupon rate of the bond was fixed at a

Table 16.1
Sovereign Bond Issues

	2007	2009	2010	2011
Issue Size (US\$ mn)	500.0	500.0	1000.0	1000.0
Maturity (yrs)	5.0	5.25	10.0	10.0
Coupon (per cent)*	8.25 fixed/par	7.40 fixed/par	6.25 fixed/par	6.25 fixed/par
Issue rating	B+ (Stable) - S& P BB-(Negative)- Fitch	B(Positive)- S& P B+(Stable) - Fitch	B+ (Stable) - S& P B+ (Positive) - Fitch B+ (Stable)-Moody's	B+ (Positive) - S& P BB- (Stable) - Fitch B+(Positive)- Moodys'
Format	144A/RegS	144A/RegS	144A/RegS	144A/RegS
Lead Managers/ Book Runners	HSBC, JP Morgan, Barclays Capital	HSBC, JP Morgan, RBS	HSBC, RBS, BAML	HSBC, RBS, BAML Barclays Capital
Listing	Singapore Stock Exchange	Singapore Stock Exchange	Singapore Stock Exchange	Singapore Stock Exchange

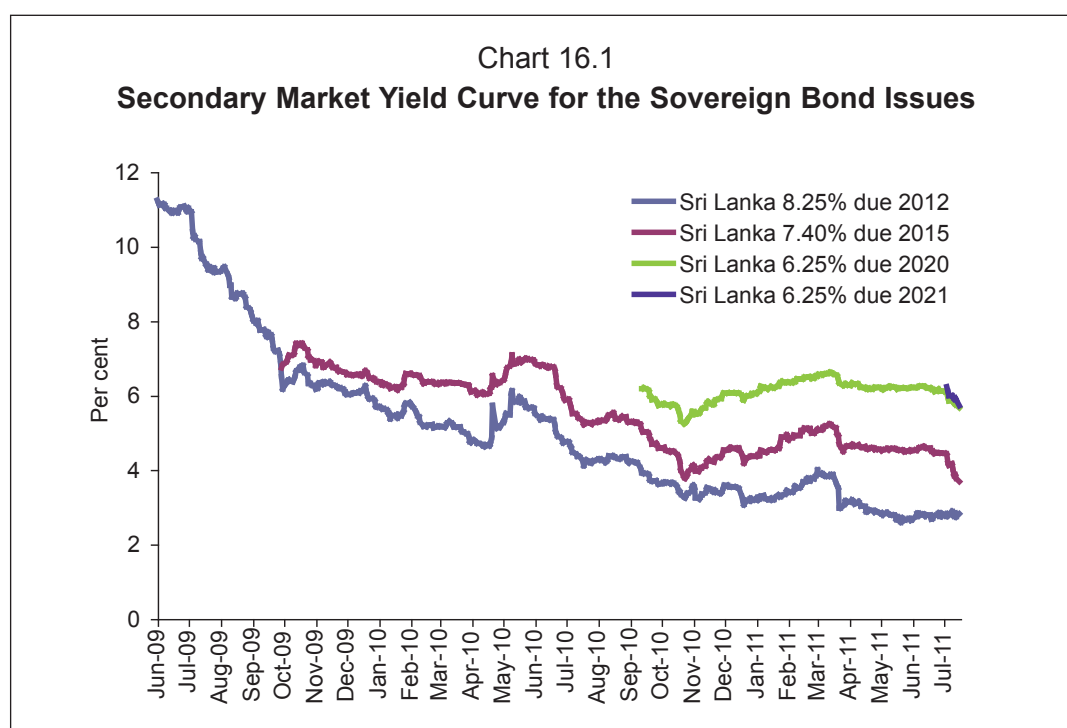
*All were issued at par.

Source: Central Bank of Sri Lanka

lower level of 6.25 per cent per annum. Bank of America Merrill Lynch (BAML), Royal Bank of Scotland (RBS) and Hong Kong and Shanghai Banking Corporation Limited (HSBC) were appointed as the Joint Lead Managers and Book Runners for the bond issue while Bank of Ceylon was appointed as a co-manager. The main objective of this third bond issue was to extend the Sri Lankan sovereign yield curve in the international capital market up to 10 years, and develop a liquid benchmark yield curve for private sector investors in the economy. Even though the global capital market has not fully recovered from the international financial turmoil, the bond issue was oversubscribed by 6.3 times. Orders were received from 362 investors globally. By geographic distribution, 52.5 per cent of the bonds were allocated to investors in the United States, 25 per cent to investors in Europe and 22.5 per cent to investors in Asia. By investor type, 85 per cent was fund and asset managers and the balance was to pension funds, insurance companies and banks. The proceeds of the bond were used for infrastructure development activities of the government and to restructure the government debt portfolio by retiring high cost domestic debt and short term debt. This bond issue was supported by the positive image of the country with enhanced credit ratings given by rating agencies.

Fourth Sovereign Bond Issue - 2011

The government of Sri Lanka decided to issue its fourth sovereign bonds in the international capital markets in July 2011. In order to maintain the long term yield curve, the tenure of the issue was again fixed at 10 years. The bond issue was for US 1,000 million and the coupon rate of the bond was fixed at 6.25 per cent per annum. This was a reduction of the spread by 41 bps to 332 bps compared to the previous bond issue in 2010, which was issued at a spread of



373 bps. The role of lead managers and book runners was assigned to four international banks/investment houses; Bank of America Merrill Lynch (BAML), Barclays Capital (BARCAP), Hong Kong and Shanghai Banking Corporation (HSBC) and Royal Bank of Scotland (RBS). As in the last three occasions, Bank of Ceylon was appointed as co-lead manager of the bond issue. The main objective of this bond issue was to maintain the liquid long term sovereign yield curve in the international capital market in order to guide the corporate sector in the economy. Despite the volatile international capital market due to sovereign debt related issues in EU and USA, the Sri Lankan bond issue was oversubscribed by 7.5 times. The heavy oversubscription was supported by the upgrade of country's sovereign rating by all three international rating agencies; Fitch, Moody's and S&P prior to the issue of bonds. Orders were received from investors globally. By geographical distribution, 43 per cent of the bonds were allocated to investors in the United States, 30 per cent to investors in Europe and 27 per cent to investors in Asia. By investor type, 86 per cent was fund and asset management and the balance was to corporates, insurance companies and banks. Out of the total proceeds, US Dollar 500 million was reserved as a special deposit under the Ministry of Finance to match the payment obligation of the first sovereign bond to be matured in October 2012. The balance available funds will be used for infrastructure development projects operating under the government budget 2011. The success of this bond issue with overwhelming demand shows the level of confidence of global investors on the improved economic fundamentals and credit story in the Sri Lankan economy.

Concluding Remarks

The main features of the bonds issued are summarised in Table 16.1 for easy reference while performances of the bond prices in the secondary market are depicted in Chart 16.1. These features, mainly the developments in prices, reflect the improving confidence of investors in the country's prospects in the future.

Since the issuance of the debut sovereign bond, the international community continuously watches the developments in the Sri Lankan economy, which are reflected in the movements of prices of bonds issued in the international market. Accordingly, the country is disciplined by the market forces and its accountability towards investors would have a positive influence on the economy and a positive impact on the sovereign rating in the future. Further, the Sri Lankan economy is growing at a rapid pace and the corporate sector too started to move into international markets to raise necessary long term funding. The sovereign bond issues have well established the benchmark to facilitate their entry to the international markets.

Sri Lanka is determined to continue with marking its presence in the international capital market, which has enabled the country to raise funds at competitive rates to finance infrastructure projects and restructure some of the debt accumulated by financing development projects. It has also provided an added incentive for the authorities to be more prudent and implement policies with a long term perspective as the country is now subject to further attention of market forces, which while blessing "good behaviour" punish severely any "wrong-doing".

Consumer Finances Surveys Conducted Since 1953 – What the Data Reveal

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Director, Statistics Department

Introduction

Since its inception in 1950, the Central Bank of Sri Lanka has conducted a large number of statistical surveys on diverse subjects. The data collected in these surveys contributed not only to fill the lacunae of economic statistics during the early decades of the Bank's history but also served in establishing a benchmark database for better understanding of the structure, characteristics and performance of the economy. The Consumer Finances Surveys (CFSs) are unique among them as they provide a spectrum of comparable and comprehensive data to assess over fifty years of development in social and economic conditions of the household sector, the largest sector in the nation's economy.

The Central Bank of Sri Lanka (then Ceylon) conducted the first ever All Island Household Consumer Finances Survey in 1953¹, and since then seven surveys have been conducted in 1963, 1973, 1978/79, 1981/82, 1986/87, 1996/97 and 2003/04. Of the eight surveys, the first three were known as Consumer Finances Surveys and the duration of the field work varied from 5 weeks in 1953 to 2 months in 1973. The questionnaires were relatively simple and the field investigation

1 This survey was planned and conducted by the Economic Research Department under the guidance of Dr. B B Das Gupta, Director of Economic Research (DER), who was also instrumental in conducting nine rural surveys and one urban survey in the country during the 1937-1948 period. He served as DER from 1951-1956.

Table 17.1
Key Features of the Consumer Finances Survey Series 1953-2003/04

	1953	1963	1973	1978/79	1981/82	1986/87	1996/97	2003/04
1. Sample Size (Households)	1,100	5,184	5,088	8,000	8,000	7,104	8,880	11,768
2. Sample Design and Stratification	Uni stage stratified random sample design. Population divided into 2 Strata: Non-Estate and Estate sectors	Stratified 2 stage sample design. Population divided into 12 Strata. Stratification by 3 sectors and 4 zones	Stratified 2 stage sample design. Population divided into 13 Strata. Stratification by 3 sectors and 5 zones	Stratified 3 stage sample design. Population divided into 13 Strata. Stratification by 3 sectors and 5 zones	Stratified 2 stage sample design. Population divided into 13 Strata. Stratification by 3 sectors and 5 zones	Stratified 2 stage sample design. Population divided into 13 Strata. Stratification by 3 sectors and 5 zones	Stratified 3 stage sample design. Population divided into 61 Strata. Stratification by 25 Districts and 3 sectors	Stratified 2 stage sample design. Population divided into 61 Strata. Stratification by 25 Districts and 3 sectors
3. Sampling Frame	List of households maintained by the Food Controller's Department	List of households maintained by the Food Commissioner	Census Blocks prepared for the 1971 Population Census by Department of Census and Statistics (DCS)	Census Blocks prepared for the 1971 Population Census by DCS	Census Blocks prepared for the 1981 Population Census by DCS	Census Blocks prepared for the 1981 Population Census by DCS	List of households in towns and villages prepared by DCS	Census Blocks prepared for the 2001 Population Census by DCS
4. Geographical Coverage	All Island	All Island	All Island	All Island	All Island	All Provinces excluding the Northern and Eastern Provinces	All Provinces excluding the Northern and Eastern Provinces	All Provinces excluding 3 districts Killinochchi, Mannar and Mullaitivu in the Northern Province
5. Data Processing	The survey schedules were sent to Madras for the preparation of punched cards and electronic tabulation	Tabulation was done by the DCS, while coding was done by the CBSL	Conducted by the CBSL	Conducted by the CBSL	Conducted by the CBSL	Conducted by the CBSL	Conducted by the CBSL	Conducted by the CBSL
6. Duration of the Survey	5 Weeks	5 Weeks	2 Months	One Year	One Year	One Year	15 Months (a)	One Year

(a) The survey was initially planned to complete in 12 months. Due to unanticipated reasons the survey period had to be extended to 15 months.

Source: CFS 2003/04 – Part 1 & CFS 1953

was mostly outsourced. With the survey of 1978/79, the scope of the survey was expanded to cover a wider spectrum of socio-economic data to reflect the expansion of household economic activity parallel to the macroeconomic changes that took place in response to the introduction of the 1977 economic liberalisation policy package. Accordingly, the survey series was renamed as Consumer Finances and Socio-Economic Surveys (CFS). The field enumeration was extended to 12 months in order to capture seasonal variations in full and was conducted by permanent employees of the Central Bank of Sri Lanka. However, following the voluntary retirement scheme of the Central Bank at end 2001, field investigation was once again outsourced in the 2003/04 CFS.

The first three surveys, 1953, 1963 and 1973, were conducted at intervals of 10 years. The rapid economic and social transformation in the country with the introduction of the 1977 policy package, persuaded policy makers to conduct the CFS at shorter time intervals of once every 5 years. However, this plan could not be implemented consistently due to specific requirements and constraints during different periods. In fact, a survey was conducted within a shorter interval to assess the socio-economic development in Sri Lanka after the economic liberalisation of 1977. Later, owing to the security situation, the survey could not be conducted as planned in 1991/92. Consequently, the last four surveys were conducted at intervals ranging from 3 to 10 years.

The geographical coverage of the respective surveys varied. The first five surveys up to 1981/82 covered the entire country. Due to civil disturbances in the country, the next two surveys could not cover the eight districts of Jaffna, Mannar, Vavuniya, Mullaitivu, Killinochchi, Trincomalee, Batticaloa and Ampara in the Northern and Eastern provinces. However, the CFS 2003/04 was able to include most of these two provinces due to two key factors. First, the Census of Population and Housing (Census) 2001 conducted by the Department of Census and Statistics (DCS), after a lapse of 20 years since the previous Census of 1981, provided the required sampling frame and second, the ceasefire between the government and the LTTE since February 2002 provided the opportunity to conduct the survey in these two provinces. Only three districts of Killinochchi, Mannar and Mullaitivu in the Northern Province could not be included in this survey due to the non-availability of a sampling frame.

In previous surveys, a zonal structure of five homogeneous socio-economic zones was used for sample allocation and comparative analysis. This zonal structure was replaced by a provincial structure in the CFS 2003/2004.

Trends in Living Standards

The household surveys are the only source of data on the distribution of living standards in a country. The data gathered in these surveys provide information to study the trends in the living standards of the population in relation to key socio-economic characteristics such as household size, housing conditions, income, expenditure, labour force participation, employment and unemployment status of the household members, their level of education and health status.

Demographic Features

Over the past 40 year period, the average household size² had continuously declined from 5.75 in 1963 to 5.62 in 1973 to 5.10 in 1986/87 and 4.31 in 2003/04. This declining trend has been observed in all three sectors (urban, rural and estate) in the country. In general, the deceleration of population growth following the family planning programmes in the 1960s and the shift in social attitudes towards smaller families would have mainly contributed to the long term declining trend in the household size.

The gender composition, which is measured by the Male/Female sex ratio (number of males per 100 females) has shifted over the 40 years from 103/100 in 1963 to 91/100 in 2003/04. This was 113/100 in 1943 according to the Census of Population and Housing of DCS.

Table 17.2
Average Household Size and Gender Composition 1963 to 2003/04

	1963	1973	1978/79	1981/82	1986/87	1996/97	2003/04
Average Household Size							
Urban Sector	5.97	5.78	5.67	5.50	5.17	4.89	4.44
Rural Sector	5.70	5.63	5.49	5.20	5.09	4.56	4.28
Estate Sector	5.80	5.24	4.73	4.80	4.78	4.74	4.56
All Sectors	5.75	5.62	5.46	5.20	5.10	4.61	4.31
Sex Ratio(a)	103	101	96	96	94	94	91

Source: CFS 2003/04 - Part I

(a) Number of males per 100 females

The household population is gradually aging. The proportion of population aged 55 or over, the elderly population, has doubled from 7.2 in 1963 to 13.8 in 2003/04. Also, it had surpassed that of the 14-18 age group in 1996/97. The median age, the age at which 50 per cent of the population is older and 50 per cent younger, is another indicator of population aging. The median age has increased from 17 years in 1963, to 22 years in 1986/87, to 27 years in 1996/97, and to 28 years in 2003/04.

Housing Conditions and Amenities

The quality of building materials used for housing construction have noticeably improved shifting housing structures from “semi permanent” type to “more permanent” type. In 2003/04 bricks or cement blocks were used in wall construction in 76 per cent of houses while in 1953 wattle and

2 A household refers to either a person living together in a housing unit and sharing common cooking arrangements. Such persons are treated as the members of that household.

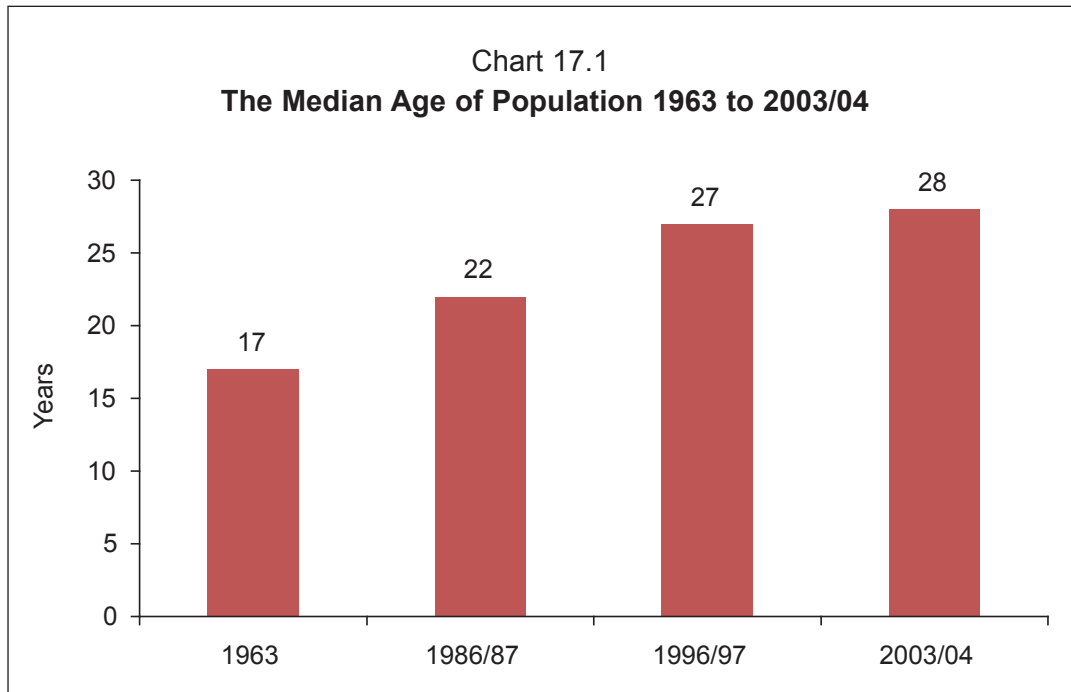
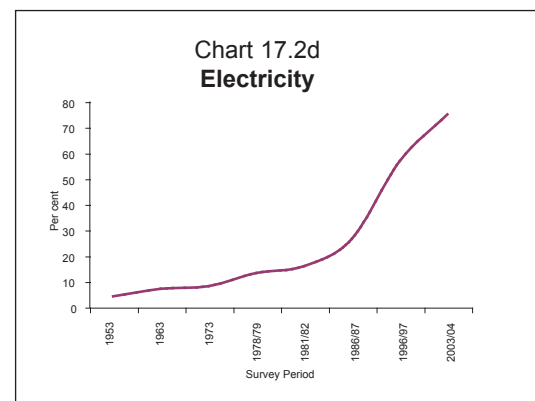
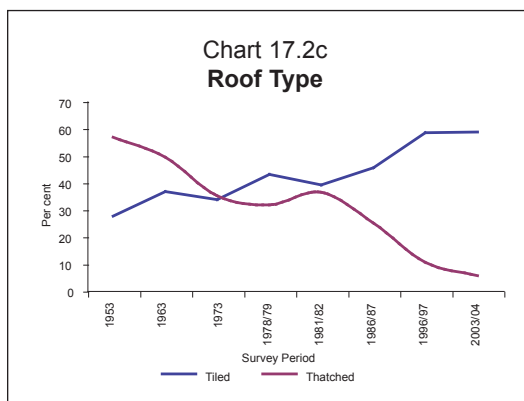
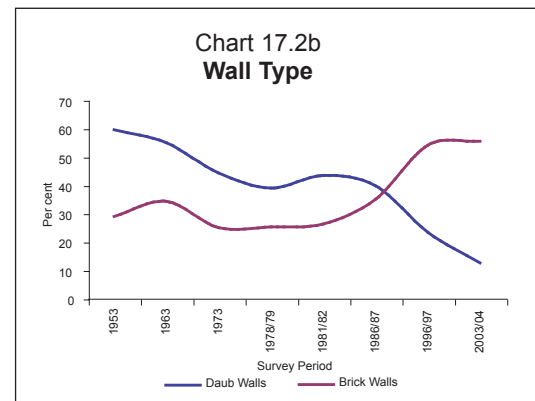
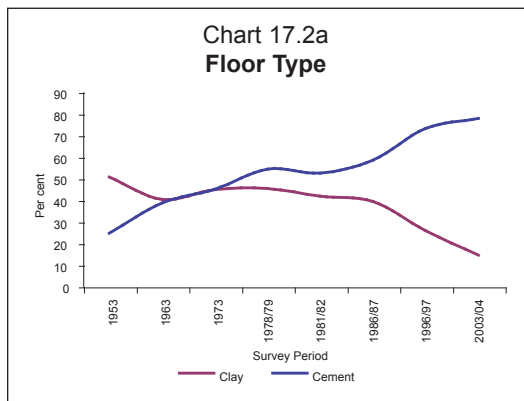


Chart 17.2
Types of Construction (as a percentage of households) 1953 – 2003/2004



daub were used in 60 per cent of the houses. In 2003/04 cemented floors were available in 78 per cent of houses while 51 per cent of houses in 1953 had clay floors. Also, 57 per cent of houses had thatched roofs in 1953. In 2003/04, however, tiles or asbestos roofing were available in 79 per cent of houses.

Availability of electricity has shown a spectacular improvement over the years with the increase in generating capacity and commissioning of a large number of rural electrification programmes. Consequently, households with access to electricity had increased from 4 per cent in 1953 to 75 per cent in 2003/04. A similar trend could be observed in all three sectors (urban, rural and estate) in the country.

The expansion in availability of electricity and the liberalisation of the economy led to a rapid growth in the possession of amenities and consumer durables in households. The proportion of households with a television increased from 4 per cent in 1981/82 to 71 per cent in 2003/04.

Table 17.3
Housing and Household Amenities (as a percentage of households)
1953-2003/04

Item	1953	1963	1973	1978/79	1981/82	1986/87	1996/97	2003/04
Housing Conditions								
Wattle & Daub Walls	59.5	54.9	44.2	38.9	43.4	39.7	23.3	12.5
Brick Walls	28.9	34.3	25.0	25.2	26.2	35.0	54.0	55.4
Clay Floors	50.7	40.3	44.9	45.4	41.9	39.3	25.9	14.5
Cement Floors	24.7	38.6	45.0	54.4	52.5	58.5	73.2	77.9
Thatched Roof	56.7	49.3	35.1	31.7	36.3	25.0	10.5	5.6
Tiled Roof	27.6	36.6	33.6	42.9	39.1	45.4	58.3	58.6
Availability of Electricity	4.1	7.0	8.0	13.1	15.8	26.5	56.8	74.9
Availability of Equipment								
Radio	n.a.	20.0	25.4	49.9	60.7	67.1	73.6	78.3
TV	n.a.	n.a.	n.a.	n.a.	3.8	19.6	50.6	70.8
Refrigerator	0.9	1.0	1.3	2.3	2.9	8.1	16.8	29.7
Washing Machine	n.a.	n.a.	n.a.	n.a.	n.a.	0.8	2.9	7.6
Sewing Machine	n.a.	22.0	26.2	31.3	30.7	37.2	41.5	43.6
Bicycle	n.a.	n.a.	n.a.	21.5	31.5	34.0	40.5	46.6
Personal Computer	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	0.4	4.1
Motor Bicycle	n.a.	n.a.	n.a.	0.9	2.4	5.3	12.0	16.3
Motor Car	n.a.	n.a.	n.a.	1.9	2.3	3.0	3.4	5.8

n.a – not available

Source: CFS 2003/04 - Part I

Refrigerators were available in 30 per cent of the households, and 8 per cent of the households had washing machines in 2003/04. The personal computer is a recent addition to Sri Lankan households. Between 1996/97 and 2003/04, the percentage of households with a personal computer had shown a tenfold increase from 0.4 per cent to 4 per cent.

Between 1978/79 and 2003/04 the availability of bicycles grew from 22 per cent to 47 per cent, while the availability of motor cycles increased more spectacularly by sixteen fold from 1 per cent to 16.3 per cent. The availability of motor cars increased threefold. Radios and sewing machines are most common and longest serving consumer durables in households. In 2003/04, radios and sewing machines were available in 78 per cent and 44 per cent of the households, respectively, while in 1963 only 20 per cent and 22 per cent, respectively, of the households had enjoyed these facilities.

The health related indicators of the households have considerably improved. The percentage of households without latrine facilities have declined from 18.5 per cent in 1953 to 5.6 per cent in 2003/04, and the percentage of households with pipe borne water has increased from 11.3 per cent in 1953 to 38.9 per cent in 2003/04.

Education

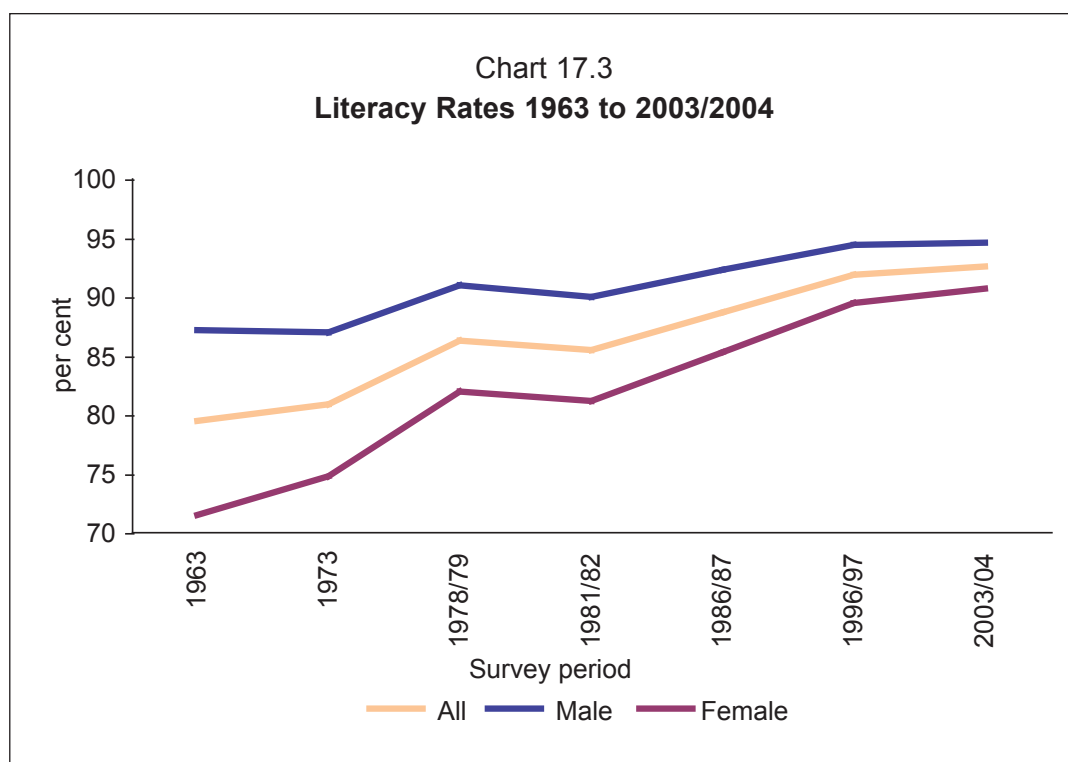
There has been a remarkable progress in literacy with overall literacy rate increasing from 79.4 per cent in 1963 to 85.4 per cent in 1981/82 and to 92.5 per cent in 2003/04. This has been observed for both males and females. From 1963 to 2003/04, literacy rates of males and females have increased by 8.5 per cent and 27 per cent, respectively, narrowing the literacy gap between males and females from 15.7 per cent in 1963 to 4 per cent in 2003/04.

Educational attainment of the population has significantly improved over time. In 2003/04, only 8 per cent of the population was without any education compared to 42 per cent in 1953. Also, the proportion of persons with only primary education had decreased significantly from 47 per cent in 1953 to 35 per cent in 1996/97 and to 30 per cent in 2003/04, while those with secondary and post secondary education have noticeably increased from 12 per cent in 1953 to 61 per cent in 2003/04.

Table 17.4
Educational Attainment
(As a percentage of population aged 5 years and above)

Level of Education	1953	1963	1973	1978/79	1981/82	1986/87	1996/97	2003/04
No schooling	41.8	26.8	22.9	14.9	15.1	11.8	8.6	7.9
Primary	46.8	45.5	43.2	43.8	42.9	41.1	35.2	29.9
Secondary	9.8	22.7	27.3	29.8	29.2	35.5	35.5	41.0
Post secondary	1.8	5.0	6.6	11.5	12.8	20.7	20.7	21.2

Source: CFS 2003/04 - Part I

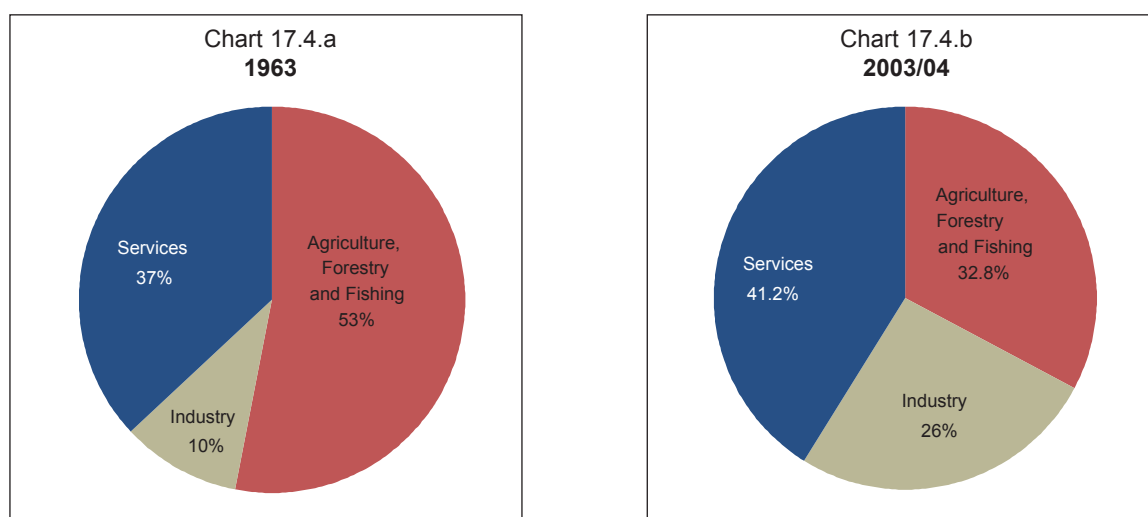


Labour Force, Employment and Unemployment

The Labour Force is the sum of all employed and unemployed persons. The Labour Force Participation Rate (LFPR), the ratio of the Labour Force to the total population, was not stable over the years and varied from 40 per cent in 1953, 31.7 per cent in 1963, 33.9 per cent in 1973, 38.0 per cent in 1978/79, 34.3 per cent in 1981/82, 39.7 in 1996/97 and 38.9 per cent in 2003/04. This may be partly due to slight differences in the definitions of both employment and unemployment and the different reference periods used in these various surveys. Similar trends could be observed in the LFPRs of both males and females. However, throughout the period, the male LFPR continued to remain around twice the female LFPR.

There has been a significant shift in the employment structure. The relative share of employment in the agriculture sector had declined from 53 per cent in 1963 to 33 per cent in 2003/04. The share of the manufacturing sector employment increased from 10 per cent in 1963 to 26 per cent in 2003/04 while that of services sector employment increased from 37 per cent in 1963 to 41 per cent in 2003/04. This is in line with the structural change observed in Gross Domestic Product (GDP) and also those noted in developed countries in the process of their development.

Chart 17.4
Employment Structure
1963 and 2003/2004



The unemployment rate had declined from 16.6 per cent in 1953 to 9 per cent in 2003/04. The highest unemployment rate of 24 per cent was recorded in 1973. Except in 1953, the unemployment rate among females was more than double that of males.

Table 17.5
Labour Force, Employment and Unemployment
1953 – 2003/2004

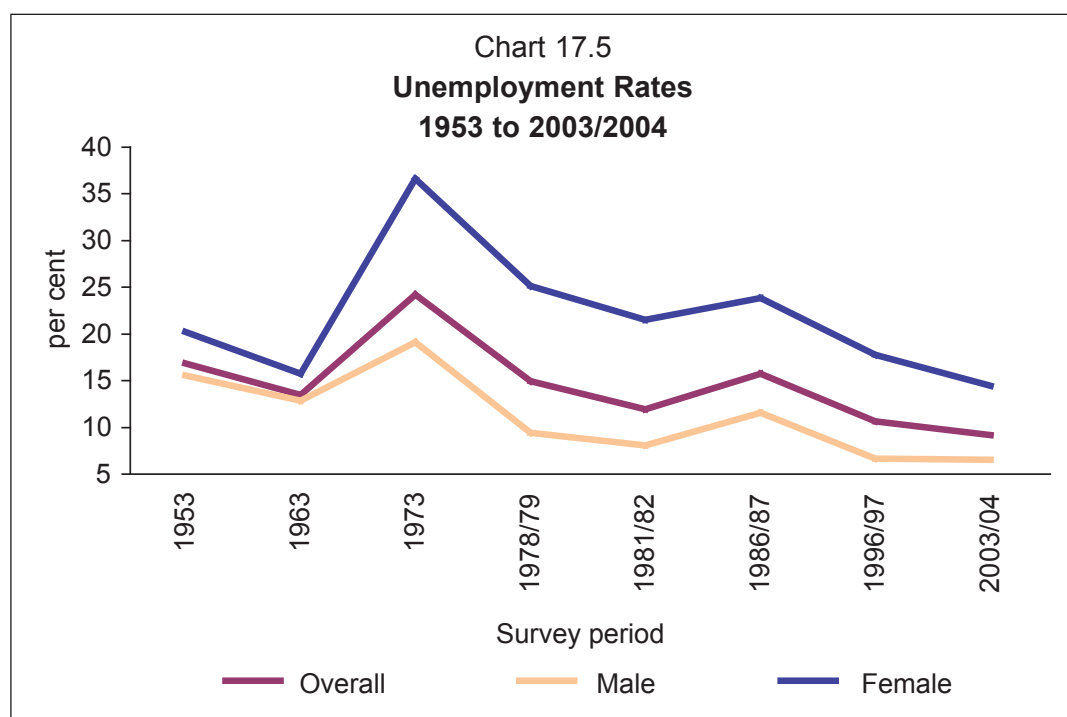
	1953	1963	1973	1978/79	1981/82	1986/87	1996/97	2003/04
Labour Force (a)	40.0	31.7	33.9	38.0	34.3	38.1	39.7	38.9
Male	56.0	n.a.	48.0	50.1	49.7	51.7	53.0	54.3
Female	22.9	n.a.	19.8	26.0	19.4	25.4	27.3	24.9
Employment (b)								
Agriculture, Forestry and Fishing	n.a.	53.0	54.5	48.3	51.2	47.7	37.7	32.8
Industry	n.a.	10.0	11.7	20.9	19.5	21.6	25.6	26.0
Services	n.a.	37.0	33.8	30.8	29.3	30.7	36.7	41.2
Unemployment rate (c)	16.6	13.6	24.0	14.7	11.7	15.5	10.4	8.9
Male	15.3	n.a.	18.9	9.2	7.8	11.3	6.4	6.3
Female	20.0	n.a.	36.4	24.9	21.3	23.6	17.5	14.2

(a) as a % of population

(b) as a % of employed by industrial sector

(c) as a % of labour force aged 14 and above

Source: CFS 2003/04 - Part I



In general, the unemployment rate is lowest among those with no schooling and with only primary level education, while the rate increases with the level of education. From 1953 to 2003/04, although the unemployment rate had fallen at every level of education, rate among the educated has remained comparatively high with double digits. This in turn, may imply the necessity for introducing appropriate reforms both to the educational system and to the labour market to ease the problem of educated unemployment in the country.

Income and Income Distribution

The monthly average income per spending unit³ and per income receivers⁴ stood at Rs. 15,400 and Rs. 10,754, respectively, in 2003/04 compared to Rs. 169 and Rs. 108, respectively, in 1953. When 2003/04 income is computed based on 1953 prices, a 2 per cent per year increase in real terms is registered for both groups.

3 A spending unit consists of one or more persons who are members of the same household, but who take independent decisions individually or with their own dependents in respect of spending their income.

4 A person who received an income from any source whatsoever during the six months immediately prior to the date of the first visit to a household. Different surveys, however, have specified different minimum income levels for the person to be qualified as the income receiver (IR) as follows:

CFS 2003/04 : One month income Rs. 250 or six months income Rs. 1500

CFS 1996/97 : One month income Rs. 125 or six months income Rs. 750

CFS 1986/87 : One month income Rs. 50 or six months income Rs. 300

CFS 1981/82 : One month income Rs. 30 or six months income Rs. 200

CFS 1978/79 : Six months income of Rs. 180

CFS 1973 : IR is defined without specific minimum income

CFS 1963 : IR is not defined

CFS 1953 : IR is not defined

In 1953, there was a considerable degree of inequality in the income distribution. The poorest 40 per cent of the spending units received only 14.5 per cent of the total income, whereas the richest 20 per cent received 53.8 per cent of the income. Consequently, 80 per cent of all spending units received 46.2 per cent of the total income. During the next three decades, income distribution improved in favour of the lower income spending units.

Table 17.6
Income Distribution
(Percentage of Income Received by Spending Units)

Income Group	1953	1963	1973	1978/79	1981/82	1986/87	1996/97	2003/04
Poorest 40%	14.5	14.65	19.29	16.64	15.25	14.14	15.73	14.10
Middle 40%	31.7	34.03	37.76	34.28	32.75	33.47	34.89	34.10
Richest 20%	53.8	52.31	42.95	49.08	52.00	52.39	49.38	51.70
Gini Ratio	0.46	0.45	0.35	0.43	0.45	0.46	0.43	0.46

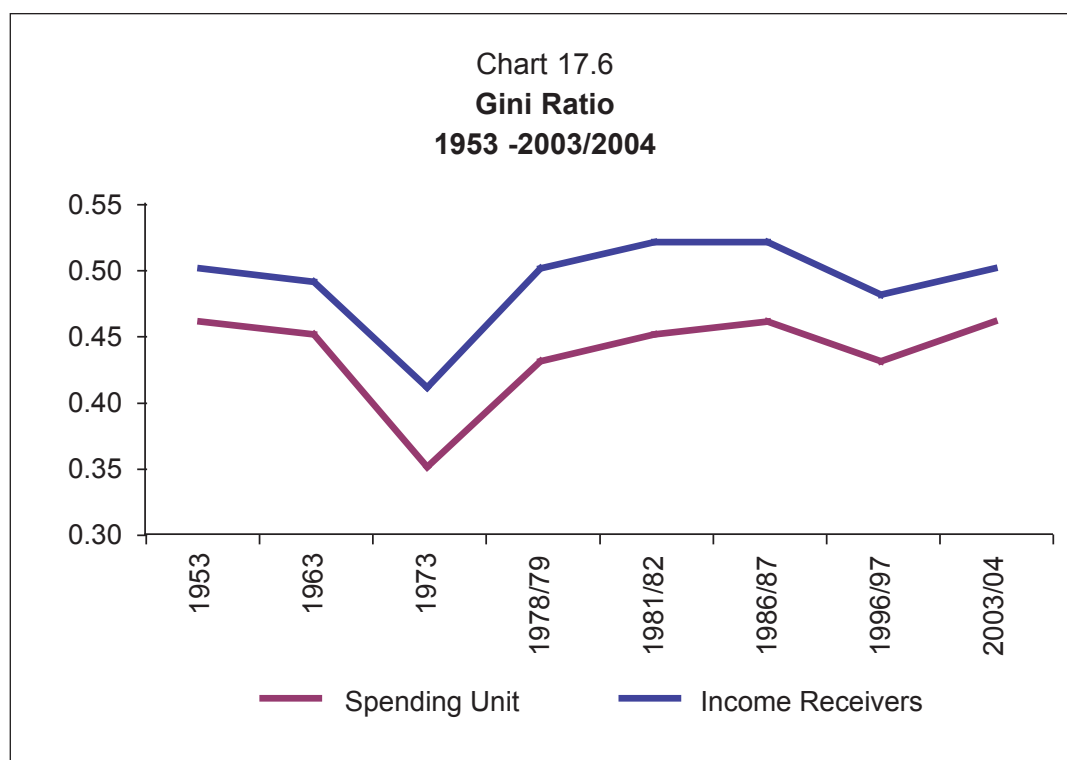
Source: (i) Economic Progress of Independent Sri Lanka
(ii) CFS 2003/04 – Part I

By 1973, the share of total income received by the poorest 40 per cent of spending units increased to 19.3 per cent and that of the richest 20 per cent had declined to 43 per cent. The Gini Ratio, which indicates the overall income distribution position, improved from 0.46 in 1953 to 0.35 in 1973.

During the post 1977 period, the economic liberalisation policies generated a wide range of new economic activities, resulting in an accumulation of profits in the upper income deciles in the early years of liberalisation. Consequently, the overall income distribution started to worsen in 1978/79 and continued until 1986/87. The share of income in the richest 20 per cent increased from 43 per cent in 1973 to 49 per cent in 1978/79, and further to 52.4 per cent in 1986/87. However, the share enjoyed by the poorest 40 per cent continuously decreased from 19.3 per cent in 1973 to 16.6 per cent in 1978/79 and to 14.1 per cent in 1986/87.

The trend of worsening income inequality reversed somewhat during 1990s, redistributing the overall income towards the middle and the poor income groups. The income share of the middle income group, increased from 33.5 in 1986/87 to 34.9 per cent in 1996/97 while that of poorest group, income share increased from 14.1 per cent to 15.7 per cent. During this period, the share of the richest 20 per cent declined from 52.4 per cent to 49.4 per cent.

However, from 1996/97 to 2003/04 the income distribution worsened again skewing towards the richest. The overall Gini Ratio increased from 0.43 in 1996/97 to 0.46 in 2003/04. The income share of the poorest 40 per cent decreased from 15.7 per cent in 1996/97 to 14.1 per cent in 2003/04 while that of the richest 20 per cent income increased from 49.4 per cent to 51.7 per cent during this period.



Consumption Expenditure

With the increase in income levels, the composition of the household expenditure pattern significantly changed. The expenditure share of consumption has shifted from food to housing, communication, consumer durables and medical services. The food share has declined from 60 per cent in 1953 to 38 per cent in 2003/04. During the period, the share of housing increased from 3.6 per cent to 10.7 per cent, communication from 2.6 per cent to 8.8 per cent, consumer durables from 3.2 per cent to 8.9 per cent and medical services from 1.3 per cent to 3.4 per cent, respectively.

Consumption of key food items had not changed dramatically. Per capita consumption of rice and coconut had remained the same, while that of wheat flour, bread and sugar had declined. From 1996/97 to 2003/04 per capita consumption of wheat flour, bread and sugar declined by 6.1 per cent, 34 per cent, and 2.7 per cent, respectively.

Table 17.7
Expenditure Shares 1953 to 2003/04

	1953	1963	1973	1978/79	1981/82	1986/87	1996/97	2003/04
Expenditure								
Rs. Per month								
Per Spending Unit	162	191	310	877	1,570	2,175	8,592	15,278
Per Person	34	36	58	179	318	534	2,012	3,936
Expenditure Shares, %								
Food	59.9	56.3	55.4	56.7	56.5	52.2	48.4	37.9
Clothing and Apparel	7.9	9.6	7.6	10.6	7.7	7.6	6.3	8.3
Housing	3.6	7.3	6.8	5.8	5.9	7.8	10.8	10.7
Medical	1.3	2.8	1.6	1.7	1.6	2.2	2.4	3.4
Education	2.0	1.8	2.2	1.6	1.6	2.1	2.3	3.0
Transport and Communication	2.6	2.3	3.4	4.5	3.9	4.9	5.3	8.8
Fuel and Light	2.0	4.4	4.2	3.9	5.2	4.6	3.9	4.4
Consumer Durables	3.2	0.4	6.0	4.6	6.4	5.2	6.7	8.9
Interest on Debt	0.7	0.8	0.1	0.4	0.5	0.9	2.1	1.5
Other	16.8	14.3	12.7	10.2	10.7	12.5	11.8	13.1

Source: CFS 2003/04-Part I

Conclusion

The Consumer Finances Survey series confirm that the living standard of the household sector in the country has significantly improved during the fifty year period from 1953 to 2003. The findings of the surveys also revealed that aging population, rising income inequality, relatively low female labour force participation and their high unemployment rate were some of the key issues faced by the sector during the period.

Providing Social Security through Employees' Provident Fund

Mrs. R. Dheerasinghe
Superintendent, Employees' Provident Fund Department

The Employees' Provident Fund (EPF) is the largest superannuation fund in Sri Lanka. It covers nearly 60 per cent of the workforce in the private and semi-government sectors. The total assets of the Fund stood at around Rs. 900 billion as of end December 2010. It accounts for nearly 13.4 per cent of the country's total financial sector assets. Its size is 16 per cent in terms of the Gross Domestic Product of Sri Lanka. EPF is being built up by the mandatory monthly contributions made by both the employer and employee to the EPF Department and the income generated through investing such funds. All members are ensured the receipt of a positive real rate of return on the balance lying in their accounts as at the end of each year. Over the last five decades, EPF has consistently strived to pay maximum retirement benefits to its members or their legal heirs through prudent investment of the Fund while ensuring its safety and the sustainability.

Evolution

The concept of EPF traces back to 1947, when the Report of the Commission on Social Services headed by Sir Ivor Jennings recommended the establishment of a national provident fund, on a contributory basis. Though the necessity of a superannuation fund to provide security at the old age for non-pensionable workers was widely accepted, it took eleven years to materialise this concept. The Employees' Provident Fund Bill presented by Hon. T. B. Ilangaratne, the then Minister of Labour, Housing and Social Services on 12 February 1958 was passed in the

House of Representatives¹ and assented by the Governor General on 09 May 1958. Accordingly, the Employees' Provident Fund was established on 01 December 1958, under the Employees' Provident Fund Act No 15 of 1958. Hon. T B Ilangaratne noted in his speech while presenting the Bill "the scheme has been conceived primarily as a means of providing retirement benefits to the employee at the time when due to advanced age, they are unable to work."

Prior to the establishment of EPF, there existed a few private provident funds or pension schemes established by some employers for their employees, of which the terms were more favourable than those provided by EPF, and in some they were similar. However, all such schemes were confined to limited groups of employees and none of them covered the employed at large, particularly those in the plantation sector. Hon. Peter Keuneman at the second reading of the Bill specifically mentioned that the major improvement in the Bill over the exiting schemes is "that instead of trying to discriminate among different sections of workers on racial grounds or any other grounds, this Bill brings in all categories of workers and employees without discrimination." Accordingly, EPF was created to cover all private and semi-government employees who were not entitled to other forms of retirement benefit schemes such as pensions, approved provident funds and approved contributory pension funds. It also covers those who are employed on casual and temporary basis and the estate workers.

At the inception, the contribution to the Fund was at 4 per cent by the employee and 6 per cent by the employer of the salary of the employee. These rates were increased to 6 per cent and 9 per cent in February 1971 and further to current rates of 8 per cent and 12 per cent, respectively in 1981. Currently, it is mandatory for all semi-government institutions and private sector companies even with one person employed to pay contributions to EPF.² Though initially, the law had exempted male and female employees who have passed the age limit of 55 and 50, respectively from payment of contributions, this upper age limit was removed in 1985.

Administrative Framework

In terms of the EPF Act, the Monetary Board of the Central Bank of Sri Lanka is entrusted with the responsibility of managing the Fund as its custodian, while the general administration of the Fund is vested with the Commissioner of Labour (CL). As the operational arm of the Monetary Board, the EPF Department was set up at the Central Bank. This department is assigned with several functions, such as the collection of member contributions and surcharges, the maintenance of individual accounts for each and every member of the Fund, investment of funds in a prudent and professional manner while safeguarding the wealth of the Fund, crediting annual interest

1 Hon R.E. Jayathilaka, Hon I.M.R.A. Iriyagolla and Hon Mrs. Kusuma Rajaratna voted against the bill since they believed that the inclusion of estate workers who are non citizens of the country under the EPF Act is unacceptable.

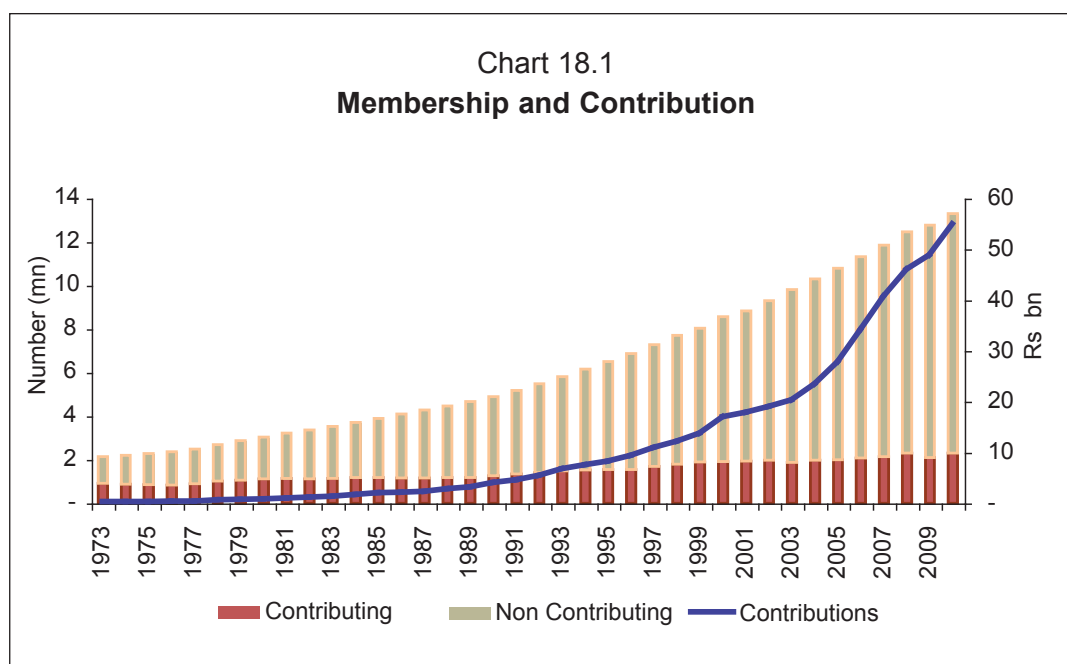
2 The Government employees and members of any private Pension/Provident Fund approved by the Commissioner of Labour are exempted from paying contributions to EPF. However, if a member of an Approved Provident Fund leaves employment and joins an institution liable to pay EPF, the balance in credit of his account shall transfer to EPF.

to member accounts calculated on the year end balances of individual accounts, refunding of member balances to eligible members as per the instructions issued by CL, preparation of annual accounts and issue of semi- annual statements of accounts to the members.

As the administrator of the Fund, the Department of Labour (DL) is entrusted with several functions such as the registration of employers and members with the Fund, carrying out of inspections to ensure the compliance with the EPF Act and taking legal actions against non-payment of member contributions, the recovery of surcharges on late contributions from employers, the authorisation of the amalgamation of previous accounts of a member enabling the legitimate member to obtain the benefits and the approval of housing loans enabling members to obtain housing loans from approved lending institutions by pledging their member balances.

Membership

The Fund, which was first inaugurated with specifically named 54 establishments covering public corporations and large private companies now cover more than 62,000 semi-government and private establishments. Number of members of the Fund increased substantially over the last 50 years from about 6,000 members at the end of 1959 to 13.3 million as at end 2010, of which 2.3 million are active members.³ Though number of inactive accounts is as high as 11.0 million, most of these accounts belong to the active members who have previously worked in other institutions under different identification numbers.



³ Active members are the employees whose contributions are currently sent to the EPF Department by their employers. Inactive member accounts do not receive current contributions but hold a balance to the credit of the respective account of members.

Member Contributions

Other than a few institutions that make contributions at higher rates at their discretion, at present majority contribute to the Fund at rates of 8 per cent and 12 per cent, respectively, by employee and employer of the total monthly earnings of the employee. The employers who have failed to send the contributions of a particular month to the EPF Department on or before the last working day of the following month are liable to a surcharge up to the maximum of 50 per cent of the due amount based on the length of the delay. The annual collection, which was Rs. 12 million in 1959, has increased gradually to Rs. 54.8 billion in 2010 with the increase in the number of member accounts and the rise in wages of employees. This also includes the surcharges collected from employers who have failed to fulfill the obligations under the EPF Act.

Fund Management

The overall objective of the Fund in investing its money is to provide a reasonable return to the members, while safeguarding and enhancing the value of the Fund. In terms of Section 5(e) of the EPF Act, the Monetary Board has the power to invest the moneys of the Fund in such securities as the Monetary Board may consider fit and sell such securities as and when it is necessary.

Since the inception of the Fund, almost 98 per cent of its moneys were invested in government securities while the balance was in corporate debt instruments. For the first time in the history, EPF invested Rs. 33.4 million⁴ of its funds in the equity market by purchasing shares of Ceylon Grain Elevators and Lanka Lubricants on 24 April 1998. Total investment in the equity market stood at Rs. 384 million by end 1998. Though investments in equity market increased to Rs. 9.8 billion in 2009 and 43.7 billion in 2010, 94 per cent of the EPF investments are still invested in government securities.

The investment climate in the country changed drastically with the end of decades-long war in 2009 and the improvements in the economy. Sri Lanka's stock exchange today is considered to be one of the best performing exchanges in the world reflecting the massive peace dividend that has been generated. At the same time, the government is also committed to reduce its fiscal deficit, over the next few years resulting in a reduced borrowing requirement. The government's target is to reduce the budget deficit to GDP ratio from 8 per cent in 2010 to 6.8 per cent in 2011. Currently, a one percentage point reduction in budget deficit will lower the government borrowing requirement by about Rs.60 billion. Since the budget deficit is expected to decline further in the medium to long-term resulting in reduced borrowing by the government, shifting a part of the EPF funds to other profitable investment avenues such as listed and unlisted equities, debentures and mortgage backed securities, is considered as a prudent investment strategy for managing EPF Funds. In this backdrop, EPF decided to make a strategic move towards other instruments, which provide good yields while securing the safety of the Fund.

⁴ This amount consisted of investment of Rs. 3.1 mn. in Ceylon Grain Elevators and Rs. 30.3 mn. in Lanka Lubricants.

The banking and financial sector is the largest sector in the Sri Lankan equity market with more than 22 per cent of the total market capitalisation. This sector has always been performing exceptionally well and therefore, since 2005, the EPF had invested in the sector with the intention of creating more wealth for the millions of EPF members in the long-term. Presently, the EPF's exposure to the banking sector is around two per cent of its total portfolio. In addition to the banking sector, EPF has also invested in other sectors including construction and engineering, manufacturing, hotel and travel, telecommunication, and diversified holdings in the Colombo Stock Exchange, and in other instruments such as debentures, mortgage backed securities and selected private equities. With a long term focus, currently EPF has invested more than Rs. 100 million each in fundamentally sound stocks of 51 companies and amounts less than Rs.100 million in 38 more companies.⁵ EPF's investments in the share market have enabled millions of its members to indirectly own a stake in some financially stable, fast growing companies and to reap the benefits of the stock market boom. At the same time, EPF will continue to be able to pay interest at a high rate to its members on their balance. Currently, EPF has no exposure to the foreign exchange market or foreign assets.

During 2010, equity investments by EPF have been able to generate an income of Rs. 1.7 billion, which included both capital gains and dividends. In addition, EPF also recorded Rs. 16 billion of unrealised gains from its equity portfolio. Furthermore, EPF earned Rs. 118.2 billion from interest and amortisation gain securing total income of Rs. 121 billion in 2010.

Benefits

Interest Income

Statutorily, all the members of the Fund are eligible to receive an interest at a rate not less than two and a half per cent per annum, approved by the Monetary Board with the concurrence of the Ministers in charge of Labour and Finance. As seen in Chart 18.2, the Fund has provided returns at equal or at a higher rate than the statutorily stipulated rate of nominal interest to its members in the past. It also maintained a positive real rates of return over the last 25 years⁶ and also expects to maintain an average real rate of return of over 1.5 per cent to its members in the next 5 year period.

Preserved Benefits

The members are eligible for withdrawing the benefits by (1) reaching retirement age of 55 years for males and 50 years for females, (2) retiring in the case of female members within three months before marriage or within 5 years after marriage, (3) joining pensionable employment, (4)

⁵ As at 31 March 2011.

⁶ Over the past 25 year period, EPF has paid an average real interest rate of 1.25 per cent to its members.

Chart 18.2
Growth of the Fund and Rate of Return

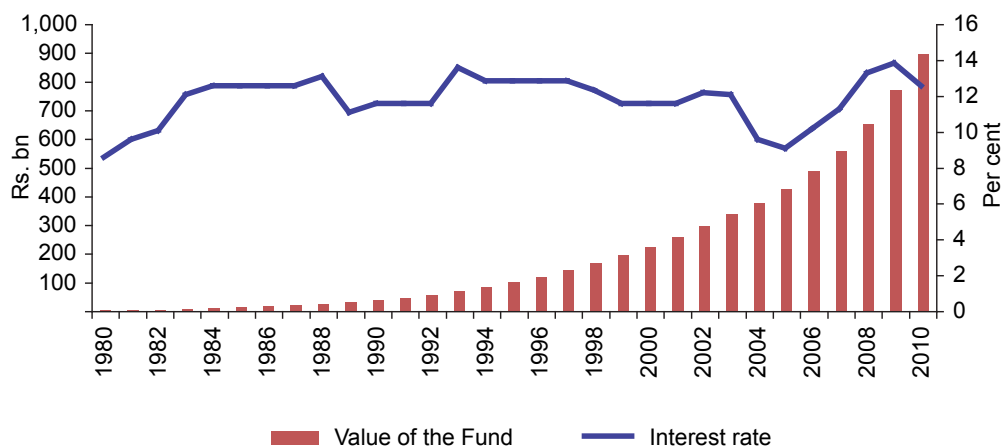
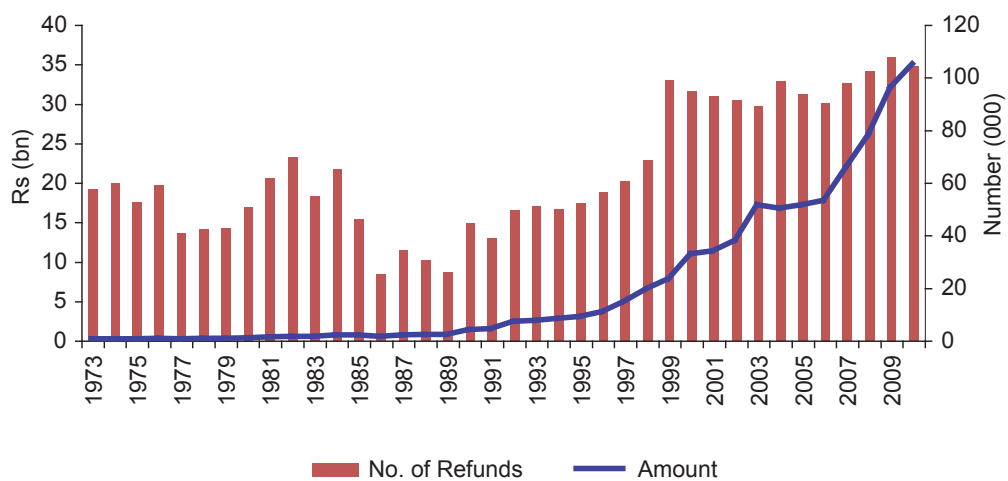


Chart 18.3
Refund Payments



migration, or (5) ceasing employment for the reason of permanent and total incapacity to work. In the case of death of a member, his/her nominees or heirs are eligible to receive the benefits. As shown in Chart 18.3, every year, EPF makes a considerable amount of refunds to its members. Currently, total amount of funds paid out as benefits range around 30-35 billion per annum. However, average amount of a refund paid per member is still around Rs. 200,000. This raises the question whether such a small amount of savings could provide a comfortable retirement life to a person at his old age after 20-30 years of service.

Other Benefits

Under the EPF Amendment Act No 42 of 1988, members of EPF are permitted to pledge the funds to obtain a loan of up to 75 per cent of the balance to the credit of the account in the case of active members and 50 per cent for inactive members for housing purposes.⁷ The objective of this scheme is to assist members to own a house, which is also a kind of social security for old age, while securing the retirement benefits. However, 30 - 40 per cent of the loans granted under this scheme are being defaulted every year. The Fund is annually transferring a considerable amount of funds in member accounts to lending institutions to cover the defaulted balances, which include interest at a penal rate plus various other bank charges. Members who default the loan payments suffer due to diminution of the retirement benefits, which otherwise they would have enjoyed. The objective of the Fund is to provide a contented retirement life to its members but this purpose is lost due to heavy defaults. EPF together with the DL has initiated a programme in co-ordination with banks to reduce defaults while enhancing the awareness of the members on the importance of repaying the loans as scheduled.

Other Existing Superannuation Schemes

Government Pension Fund

Over 1.2 million public sector employees are eligible for getting government pension at their retirement age. Persons who are eligible for government pension is entitled to a monthly pension based on the last drawn salary and service period. A minimum of 120 months of gross government service is required to be eligible for a pension. In addition, death gratuity, special compensation to officers who sustain injuries or die while on duty and compensatory pension for dependent are some of the benefits of government pension.

The Employees' Trust Fund

The Employee's Trust Fund established under Act No 46 of 1980 provides superannuation benefits as well as a series of other social and economic benefits such as financial assistance for heart surgeries and kidney transplant, education scholarships for children of members, low

⁷ Currently 5 lending institutions namely, State Mortgage and Investment Bank (SMIB), Housing Development Financial Corporation (HDFC) Bank, Bank of Ceylon, People's Bank and Co-operative Rural Banks provide loans under this facility.

interest housing loan schemes etc. to its members. All public sector employees who are not entitled to the Govt. Pension Scheme and all private sector employees are members of this Fund while their employers are required to send 3 per cent of the gross earnings of their employees to the Fund on monthly basis. This is a non-contributory benefit to the member as only the employer makes a contribution on behalf of the member to the Fund. In addition, self employed persons have also been made eligible to obtain membership of this Fund in terms of section 18 of the Employees' Trust Fund Act. No 46 of 1980. Self employed abroad were also made eligible under the Employees' Trust Fund (Amendment) Act No.47 of 1988. Total wealth of the Fund was about Rs 103 billion by end of December 2010. The Fund serves for about 2.1 million members.

Private Provident/Pension Funds

At the time when the EPF was established there were several private pension/ provident funds managed by private institutions. Currently 171 such funds approved by the Department of Labour serving 157,494 members are operating in Sri Lanka. Members of these funds are eligible for more or equal benefits enjoyed by the members of EPF. The EPF (Amended) Act No 6 of 1975 prohibits creation of such new funds and makes it compulsory for all private sector employers and employees to contribute to EPF. However, an amendment to the EPF Act in 2009 allows such existing approved provident funds to create pension funds if desired.

Proposed Benefit Schemes

Early Withdrawals for Housing and Medical Purposes

The cabinet has recently granted approval enabling the refund of up to 30 per cent of the balance of individual accounts for housing and medical purposes. Even though, such a facility may improve the welfare of the members, and eliminate some weaknesses in the existing housing loan scheme, this proposal too dilutes the original objective of the Fund. Therefore, implementation procedures and guidelines of this scheme have to be laid down carefully to preserve the objective of the Fund.

Pension Fund

Most of the EPF beneficiaries who withdraw money from the Fund use them for one time investment such as construction or development of a house or meeting social obligations such as dowries, weddings or education of children. Some lose their funds by investing in inappropriate ventures. Only a few beneficiaries who receive large sums of money as benefits invest their funds wisely and secure their retirement life. Therefore, in view of providing monthly remuneration at the retirement age, a proposal to establish a contributory pension fund for the semi-government and private sector employees is now in the process of being approved by the Parliament. It has

been proposed to establish two pension funds to cover Sri Lankans working abroad and self-employed persons who are not eligible for any form of superannuation benefits under existing pension or provident fund schemes.

Enhanced Social Security through Repositioning EPF for the New Era

EPF is committed to be the most caring superannuation fund in the region, enabling its members to have a contented retirement life. In line with the strategic objectives of the Central Bank of Sri Lanka, which celebrates its 60th anniversary in 2010, EPF is in the process of re-engineering its functions to provide a more efficient service to its members.

EPF Department which was a victim of the terrorist attack on the Central Bank in January 1996 suffered due to the interruption to the computerised database and destruction of bulk of its documents. Details of the payments made were gathered from preserved archives of the then banking department to ensure the refund payments. The archives of the EPF Department containing the original files relating to information about member contributions and the master files carrying member details were saved and transferred to the new office and resumed operations immediately on manual basis. Gradually the EPF administration took initiatives to computerise its rebuilt database and major operational functions under a modernisation programme commenced in 1996. Initially, internal operations of the Fund were computerised with software developed in-house by the Central Bank's staff. An AS-400 type platform of high capacity was introduced to operate all functions through a computer based system in 1998. Furthermore, the accounting, material management and fund management functions were automated from manual to a computer based system through software called "SAP" in 2006. Though, these systems have enabled the improvement of accuracy and efficiency of the work processes, the re-engineering process has been initiated with assistance of the IT Department of the Central Bank to meet the needs of an emerging economy and to cater to a larger number of members with greater efficiency. The re-engineering process will convert the current system to a double entry based ledger system which will lay the foundation for EPF to move to a fully IT based Banking Model by 2012. The new AS-400 System has commenced its live operations with effect from 01 January 2011.

Parallel to the computer system for re-engineering, EPF launched a new project called "Re-registration" in collaboration with DL to register all existing EPF members based on the details in their National Identity Card (NIC). Under this system, existing employer centric identification system will be transformed into a member centric identification system. The first phase of the project was concluded on 30 October 2010. Under this project NIC information of nearly 800,000 members were collected and the Fund is now in the process of registering them under the New Member Registry maintained in the EPF database.

Learning through experience, the Phase 2 was redefined to eliminate the weaknesses and the high cost involved in the data collection process. Under the new phase of the project, a new member registration form namely "Form RR6" has been introduced to register all new

recruits on real time basis with effect from 1 November 2010. All registered employers and all new employers who will commence business in future are required to furnish NIC details of new employees recruited after 1 November 2010 through “Form RR6” along with the member details (Form C/C3) when their first EPF contribution is sent to the EPF Department of the Central Bank, in addition to the “Forms A, B and H”, which should be submitted to the labour office within 14 days of recruitment. Further, employers having employees who have not yet submitted their NIC details under Re-registration Project are also requested to submit their NIC information through “Form RR6”. Duly completed “Form RR6” should accompany a photocopy of the NIC of the employee, certified by the employer with his signature and the company stamp. With the successful completion of this project, EPF is expected to register almost all active members of the Fund under the New Member Register and assign their NIC number as their unique identification number. This system will enable EPF to manage its database more systematically and also to amalgamate the numerous accounts of an individual member under the unique identification number. The re-engineering programme once completed would reduce the time involved in the refund process considerably, enabling EPF to provide a more efficient service to its members.

Currently, the establishments that have 150 or less are required to send details of members such as name, EPF member number and NIC number, if available, by filling a form called “Form C” together with contributions (the amount to be credited to the particular member) while the establishments with more than 150 employees should send such information by completing a form named “Form C3” every 6 months i.e., June and December of the year. This procedure involves a heavy cost to the Fund and delays of crediting the member balances to the individual accounts as EPF has to wait till member details are received, enter this information to its computer system and check the accuracy. Therefore, the existing system of collecting information in printed form is expected to be replaced with an electronic data collection system soon. The electronic data collection and funds transfer mechanisms called ‘e-collection’ and “direct debit” systems, which expect to collect all details of members through electronic means such as e-mail, CD, Web, etc., and transfer their member contribution electronically are now in progress. Once these projects are completed, EPF would be able to credit at least 80 per cent of its member accounts within 1-3 days of receiving money and relevant member information. These systems will also reduce the cost involved in processing data substantially while assuring the accuracy of the data. Currently, more than 1,000 employers covering more than 13 per cent of the total membership use electronic means of data transmission (either e-mail, or CD) to send the member information. An awareness programme is now underway to educate the remaining employers on the new system and to bring them into the process.

EPF is also required to preserve the member details until they reach the retirement age to ensure that each legitimate beneficiary receives entitled benefits accurately. The Image Scanning Project, which expects to scan all the archival documents while scanning the current documents

on real time basis will commence in June 2011. Under this project all scanned documents will be stored electronically enabling retrieval of data for easy reference. This project will reduce the cost of storing, handling and securing printed information and the time consumed for retrieving the files.

Success of the EPF re-engineering process depends mainly on the awareness of both employers and the members on the work that EPF is doing for their benefit. Therefore, it is important to ensure that all four parties, i.e., staff of EPF, labour officers, members and employers join hands collectively to achieve the objectives of these projects. An aggressive awareness campaign is now in progress to involve all four parties together to work as a team. Furthermore, EPF is to launch a campaign to expedite the issuance of NIC to EPF members with assistance of the Registrar of Persons. In addition to awareness programmes mobile services are organised to cover all three sectors, i.e., urban, rural, estate and print and electronic media are widely used to get the message across the people. The entire effort of re-positioning EPF to best suit the needs of the new era will reduce the cost of managing the Fund while ensuring higher benefits to the members.

Summary

EPF was created as a social security scheme for securing superannuation benefits at the old age of the employees who are not eligible to receive any other form of superannuation benefits. In keeping with its statutory obligations, EPF, as the largest superannuation fund in Sri Lanka, has provided retirement benefits worth more than Rs. 258 billion to 2.6 million members during the last four decades. Honouring the trust that the government had placed in the Central Bank, the Fund has been managed prudently while enhancing and safeguarding the wealth of the Fund.

With the changes in the investment climate of the country and the government's commitment to reduce its budget deficit, the Fund is facing a new challenge to look for alternative investment opportunities. The Fund should be ready with its manpower and skills to face this challenge probably to look for investment opportunities in the international markets. Addressing the issue of inadequacy of the retirement entitlement of the beneficiaries to have a safe and contented retired life and to provide a suitable scheme for self employed people and Sri Lankans employed abroad who are not covered by EPF or any other superannuation scheme are other major challenges faced by the Fund. However, EPF has planned to face these challenges in the new era with its dedicated and committed staff.

EPF has given attractive returns to its 13.3 million members in the past. In 2009, EPF gave benefits at 13.75 per cent on member balances, which is by far the highest ever rate of return declared by the Fund. It would also ensure giving out a better positive real rate of return to all its members in the future. Several strategic measures have been put in place to minimise the cost

and improve efficiency of EPF operations. EPF being the largest single fund, which guarantees maximum possible social security to its members at their retirement, will continue to discharge its responsibilities and duties within its legal framework in a professional and prudent manner, providing an efficient and caring service to its members.

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Special Attention to Special Needs – Central Bank Focuses on Regional Development

W.M. Karunaratne
Assistant Governor

Central banks are not supposed to engage in economic activities directly in view of unfavourable monetary implications of such interventions. However, due to practical reasons, in many emerging economies, central banks have undertaken a pivotal role in the developmental activities at different degrees in order to meet the requirements arisen at different stages of the economic development process. The Central Bank of Sri Lanka (CBSL) has also adopted a similar policy by paying special attention to ensure a regular flow of financial facilities towards regional development activities under different programmes and credit lines that are exclusively designed for meeting the development needs of different sectors and regions. Such attempts substantially promoted financial deepening in the country on the one hand while contributing to the growth of the regions on the other. “In the conceptual framework of financial deepening, it has been accepted that financial deepening promotes economic growth.”¹

The Author acknowledges the valuable comments and suggestions made by Dr. D.S. Wijesinghe, former Deputy Governor of the Central bank of Sri Lanka and Dr. Koshy Mathai, IMF Resident Representative to Sri Lanka. However, they are not responsible for the writer's views on the subject.

1 W.M. Hemachandra (2005), Page 1.

Delivery of Development Credit

Given the preponderance of the agriculture sector in the economy, the CBSL since its inception has provided leadership and direction in evaluating the problems and enhancing the availability of credit to this sector.²

The CBSL was requested to enter into the development credit disbursement process subsequent to the withdrawal of government Departments from credit delivery scenario in the rural sector in late 1960s. During the first two decades of the post independence era, a viable rural credit system was not in existence in the country, and in the absence of such a rural banking network, government departments were requested to undertake the credit disbursement function in the rural sector. Accordingly, since independence, credit disbursement in the regions was carried out by the Departments of Food and Agriculture, and Agrarian Services in collaboration with the cooperative movement in the country. Due to improper delivery systems and inherent weaknesses of the programmes, recovery of loans became a serious issue during this period.

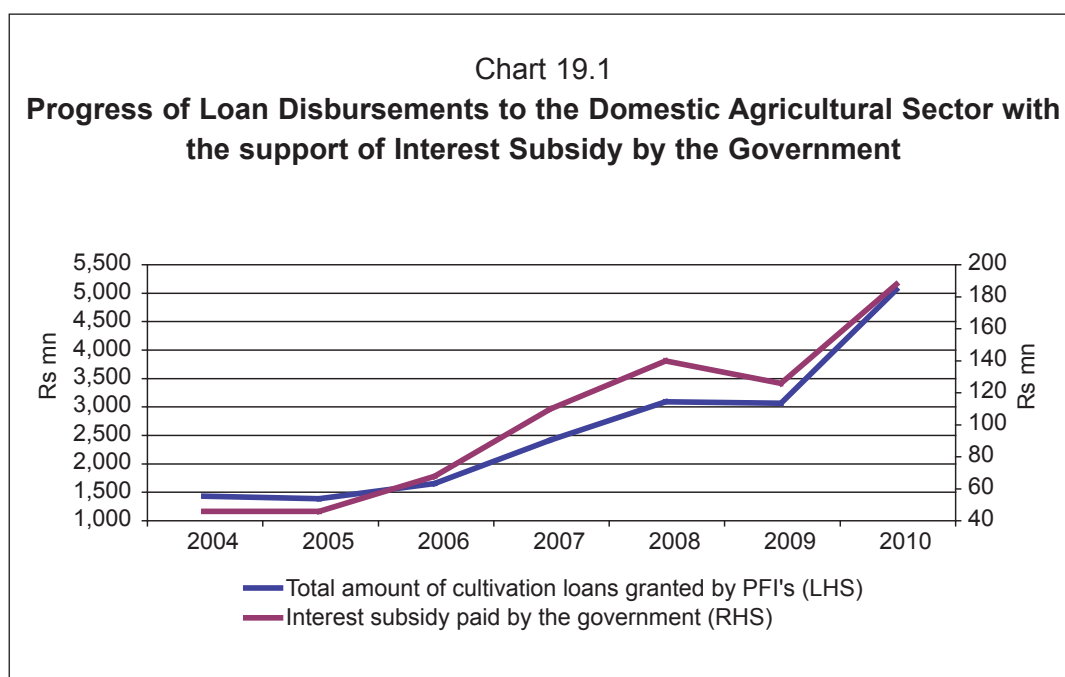
In response to the high rates of loan defaults by the borrowers, a new scheme known as the New Agricultural Credit Scheme (NACS) was introduced in 1967. “This was a pioneering effort to transfer rural credit operations from government departments to the banking sector.”³ NACS was introduced by the CBSL in collaboration with the government with a view to granting production credit for the farmers through People’s Bank which was established in 1961 for the sole purpose of expansion of banking facilities to the regions. The new credit scheme was supported by 100 per cent refinance from the CBSL and a 75 per cent Credit Guarantee from the government, under which the government agreed to compensate up to 75 per cent of any losses incurred by the bank under NACS. Initially loans were granted mainly for cultivation of paddy, but later in 1973, the scope of the scheme was extended further to cover paddy and other field crops (OFCs) and also implemented through broader participation of financial institutions, admitting Bank of Ceylon (BOC) and Hatton National Bank (HNB) as Participating Credit Institutions (PCIs) under the scheme. Subsequently in 1986, the scheme was further modified, introducing innovative features to ensure smooth and cost effective operations for mutual benefits to both lenders and borrowers.

Interest Subsidy Mechanism

In view of adverse monetary implications, the CBSL terminated the provision of refinance out of the CBSL funds in 1994, and the government has undertaken the liability in respect of concessionary lending to agriculture to be met out of the budget. Accordingly, the scheme was modified to continue with the government interest subsidy. The Participating Financial Institutions (PFIs) were requested to grant loans at concessionary terms out of their own resources and the interest loss to the PFI has been compensated by paying an interest subsidy out of the government

2 Central Bank of Sri Lanka (1986), Page 189.

3 Central Bank of Sri Lanka (1986), Page 194.



budget. As shown in Chart 19.1, this has been proved a very successful mechanism to ensure flow of bank credit to the domestic agriculture sector. This shows that a small amount of less than Rs.3/- spent on interest by the government is enough to motivate the PFIs to release Rs. 100 out of their own resources to the domestic agricultural sector, which was earlier considered as one of the most risky areas for financing.

Building a Viable Rural Credit Structure

At the inception, the CBSL had five main objectives as specified in Section 5 of the Monetary Law Act (MLA) No.58 of 1949. Among the five, two objectives were directly related to development purposes specified as the promotion and maintenance of a high level of production, employment and real income and the encouragement and promotion of the full development of the productive resources of Sri Lanka. Accordingly, the Bank established two separate departments namely (a) Development Finance Department in 1976 for the evaluation and facilitation of medium and long term development projects in the tourism industry and export sector and (b) Rural Credit Department in 1980 for promoting agricultural finance in the country.

However, in the initial period, the CBSL involvement was confined only to facilitate the delivery of rural credit mainly for cultivation purposes as the government policy was also directed towards achieving self sufficiency in food, particularly in rice. However, with the emerging demand for credit from different segments of the rural population, the CBSL has also been requested to play a vital role in delivery of diversified financial facilities for a wider range of regional based economic activities since early 1970s. In a developing economy, a sound rural

credit system has a definite role to play in the area of economic and social upliftment of the people in the regions. When drafting the MLA, John Exter also believed that a country could not be fully developed without a flow of uninterrupted credit.⁴ Similar to other neighbouring countries, Sri Lanka too has identified multiple benefits of a sound rural credit system to be operative in the regions.

Primarily, the government is responsible for development of such a viable rural credit system for regional development in a country. In Sri Lanka, the CBSL, as the apex institution in the banking sector, has gradually undertaken this responsibility on behalf of the government. Since early 1970s, the CBSL has been playing a proactive role as a promoter of development oriented credit schemes on the one hand and a principal credit disbursement agency for the regions on the other. The objective of the CBSL involvement in credit disbursement in the regions is, therefore, basically to facilitate the government policy towards development in the regions more effectively.

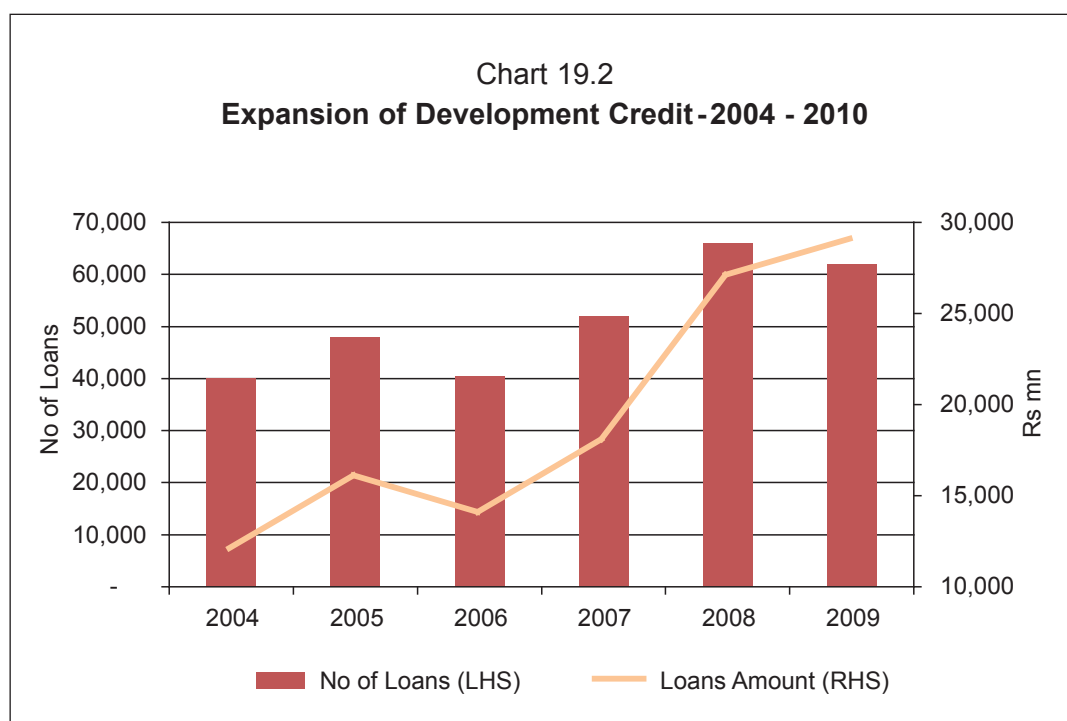
The CBSL has been engaged continuously in credit disbursement through PFIs for a wider range of regional specific economic activities covering cultivation of short term food crops, perennial crops, farm power machinery, pre and post cultivation requirements, marketing of agricultural produce, promotion of agro based rural industries, fisheries, animal husbandry activities, self employment, small trade, and also promotion of income generating activities among low income people for poverty reduction.

Formal Sector Credit Expansion

With the successful and effective participation of the CBSL in the delivery of development credit in the regions, it has been observed that a remarkable improvement has taken place in the formal sector credit expansion in the rural sector. According to consumer finance surveys, the share of formal sector credit has increased from 25 per cent in late 1960s to 40 per cent of the total credit requirement in mid 1980s. The corresponding figure reported in the latest consumer finances survey conducted in 2003/04 was 64 per cent. As the agent of the government to promote government policy objectives towards rural finance, the CBSL has been able to guide the formal institutional sources effectively in the regions as key suppliers of a variety of financial services to the regions. Due to direct intervention of the CBSL, the financial sector capability in respect of development financing has also been improved remarkably. Chart 19.2 shows the expansion of development credit in the regions under the programmes implemented by the CBSL.

As observed by the CBSL, state banks play a much involved role in expanding access to finance in the regions. “Evidence suggests that if state banks are made to operate in an economically viable way, there are opportunities to increase outreach and expand financial access particularly in rural and agricultural areas where private sector penetration might be

4 D.S. Wijesinghe (2009), Page 46.



limited.”⁵ In this sector, the government policy objective is also very clear under which the government recognises that the agriculture sector contributes to regionally equitable economic growth, rural livelihood improvement and food security through efficient production of commodities for consumption, for agro based industries, and for exporting competitively to the world market.⁶

Medium and Long Term Credit Fund (MLTCF)

In the context of the overall success in the expansion of rural finance over the years, a common understanding has been established among the stakeholders that the Central Bank should promote further economic activities by taking the leading role among the formal financial institutions in the delivery of development credit and other financial services through PFIs into the regions. In recognition of the need for intervention in the area of regional development, the CBSL has taken measures to create the appropriate environment within the Bank. Accordingly, the MLA was amended in 1963 to introduce “Part IIIA – Medium and Long Term Credit Operations with Credit Institutions” under which the Medium and Long Term Credit Fund (MLTCF), a special fund for provision of refinance facilities to PFIs, was established in 1964. Though many development projects in the agriculture and industry sectors usually require a long gestation period for success,

⁵ Alliance for Financial Inclusiveness (2009), Page 16.

⁶ Mahinda Chinthana Vision for a New Sri Lanka (2006), Page 3.

banking institutions are somewhat reluctant to grant medium and long term loans out of their own resources, since the bulk of their funds is mobilised through short term deposits and demand deposits. With the establishment of the MLTCF, the CBSL was in a position to provide long term financial facilities of up to 15 years to PFIs with respect to the loans granted by them for any productive purpose in agriculture, industry, tourism, trade and commerce as defined by the Monetary Board for the purpose of MLTCF. It has been observed that with the availability of refinance support from the CBSL, PFIs have also changed their stand towards granting facilities for development projects that require longer gestation/repayment period.

Credit Guarantee System

Although Small and Medium Scale Enterprises (SMEs) play a vital role in the economic development process, they continue to experience constraints when accessing formal sector finance. The four factors that cause market failure in the credit market for SMEs are high administrative costs for small scale lending, asymmetric information, high risk perception on small firms and lack of collateral. This market failure justifies government intervention.⁷

The CBSL intervention was also sought to provide a solution to the collateral issue as commercial banks mainly depend on collateral in making their credit decisions. Due to the inability to provide bankable security, many talented new entrepreneurs who possessed viable project proposals, particularly in the regions, were deprived of obtaining facilities from the formal banking sector even under the refinance schemes. Under these circumstances, the CBSL has taken significant efforts to change the attitudes of bankers, i.e. reorientation of traditional practices by introducing the concept of project based lending in which the lenders were requested to consider the cash flow and the viability of the project as collateral. In order to strengthen the efforts of the CBSL further in this area, the MLA was amended in 1974 to introduce the Credit Guarantee mechanism under Section 108(A) by which the CBSL was empowered to issue guarantees to PFIs on account of loans and advances granted by them for development oriented economic activities in the country.

Training of Rural Bankers

Further, in order to enhance the capacity and effectiveness of rural bankers in the field of development credit, the CBSL established the Rural Banking and Staff Training College (RB & STC) in 1979, for conducting training programmes mainly on techniques relating to project oriented lending. The objective of such training programmes was to develop a set of bank personnel within the system equipped with innovative methods, appraisal techniques and delivery

⁷ A.S. de Alwis (2009).

systems to undertake the challenging task of disbursement of development credit in the regions. Subsequently, the name of the College was changed as Centre for Banking Studies (CBS) with the expansion of its scope for training.

Further, the CBSL has taken steps to strengthen its developmental role by establishing its own Provincial Offices in Matara (1980), Anuradhapura (1982), Matale (1985) and recently in Jaffna (2010), and Trincomalee (2010) to coordinate, promote and implement development activities in the respective provinces. Provincial Offices are continuously engaged in training of bankers in rural finance.

Development of Financial Institutions

In addition to the above, from the early period, the CBSL has been engaged in a wider range of activities relating to institutional building and system development appropriate for the promotion of development credit in the regions.

In recognising the need for provisioning long term capital for development projects undertaken by the private sector in the fields of agriculture, industry and commerce, the CBSL assisted the government to establish the Development Finance Corporation of Ceylon (DFCC) in 1955.

On a proposal made by the CBSL to promote agricultural credit in the regions, the People's Bank was established by the government in 1961 under the People's Bank Act No.29 of 1961.

Later, in 1979, the CBSL contributed to the capital in the formation of the National Development Bank (NDB) which was established under the National Development Bank of Sri Lanka Act No.2 of 1979, for the sole purpose of provisioning medium and long term finance for development activities, particularly in the regions.⁸

The CBSL, going deeper into the regional development objective, has taken initiative to establish district based Regional Rural Development Banks (RRDBs) in 1985 with 100 per cent capital ownership. The RRDBs were encouraged to deviate from centuries old lending policies and practices of commercial banks and to adopt innovative methods as much as possible in credit delivery for development activities in the regions. The CBSL established 17 such RRDBs in 17 districts of the country, and subsequently they were merged on provincial basis to set up 6 Regional Development Banks (RDBs) under the Regional Development Banks Act in 1997. Later, the share ownership held by the CBSL in RDBs was divested to the government. Subsequently, the government restructured the RDBs by amalgamating them into one national bank under the name of Regional Development Bank (RDB) in 2010.

8 Central Bank of Sri Lanka (1990).

Promotion of Microfinance among Low Income Segment of the Population

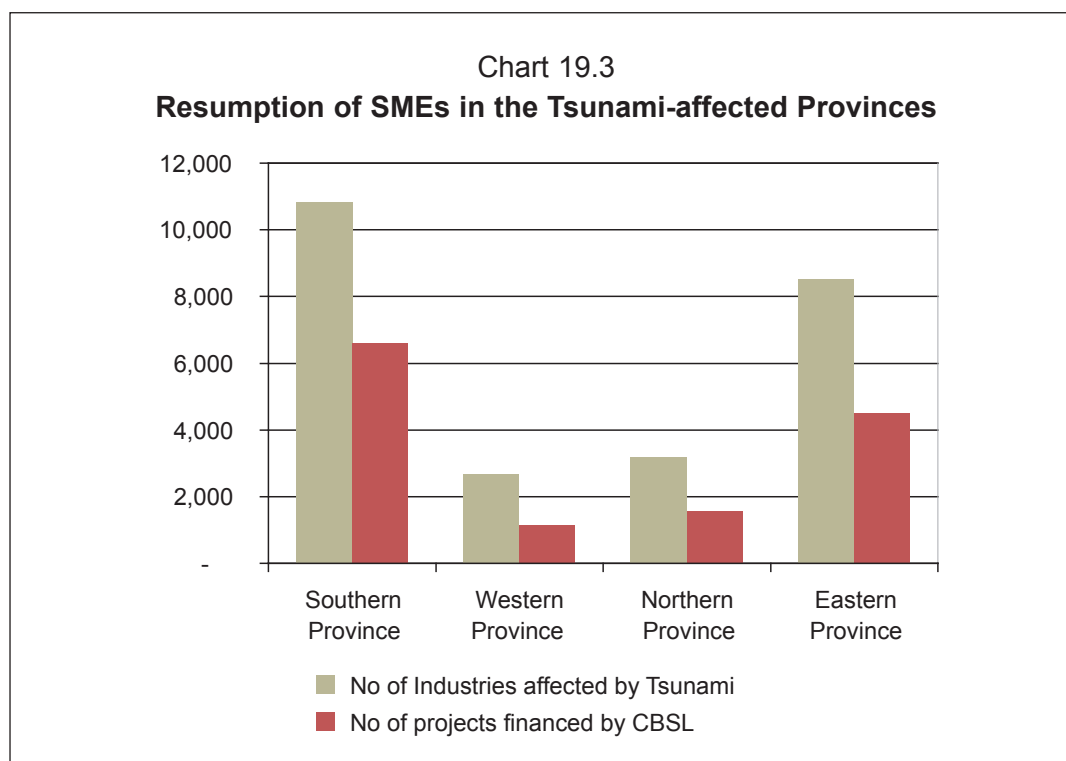
Central banks in emerging economies are in a position to play a key role in the development of microfinance through appropriate policies, systems and tools that enable the financial system to penetrate the microfinance markets. However, the general tendency is that in the absence of a conducive environment, the formal financial system is somewhat reluctant to reach the low income households. Under similar circumstances, the CBSL adopted a supportive policy for promoting financial systems to reach the microfinance market on a sustainable basis. As a supportive and supplementary measure, the CBSL has undertaken the responsibility of implementation of microfinance programmes through PFIs on behalf of the Government of Sri Lanka (GOSL). Small Farmers and Landless Credit Project (SFLCP), the first microfinance project of this nature implemented by the CBSL, was introduced in four districts in the country with the support of the International Fund for Agriculture Development (IFAD) and the GOSL in 1989. The project was titled as 'ISURU' and the CBSL adopted credit plus approach in the implementation of the project in association with Regional Rural Development Banks (RRDBs). The project was instrumental to make the rural bankers aware of many low cost innovative approaches developed in line with Grameen model (Bangladesh) Self Help Group (SHG) methodology. ISURU has become a popular rural finance programme of the relevant RRDBs during 1990s and was able to provide financial assistance to over 250,000 beneficiaries in the 4 districts.

In late 1990s, the government entered into a Loan agreement with Japan Bank for International Cooperation (JBIC) to receive funds for implementation of similar microfinance project in other six districts and authorised the CBSL, as an executing agency, for the implementation of the project. Accordingly, Poverty Alleviation Microfinance Project (PAMP) commenced operations in 2000. PAMP I assisted approximately 200,000 low income families to obtain financial facilities from RDBs for improvement of their income generating activities (IGAs) in the six districts. Subsequent to the conclusion of PAMP Phase I, JBIC and the GOSL entered into an agreement for expansion of microfinance in the conflict affected Northern and Eastern regions in particular. Accordingly, PAMP Phase II has been commenced operations in 14 districts including all 8 districts in the North and East in 2009. At the same time, the CBSL, as an executing agency of several other projects, supported by IFAD, has engaged in promotion of microfinance through formal financial sector institutions in different parts of the country. In microfinance delivery under the projects, target beneficiaries were organised under SHG methodology and they were provided with credit for commencement of Income Generating Activities (IGAs) along with a package of necessary services including training/awareness on financial literacy, entrepreneurship development and required skills. Further, provision of market linkages for their produce has also been arranged where necessary. The CBSL was able to bring approximately 600,000 low income families into the formal financial sector under the

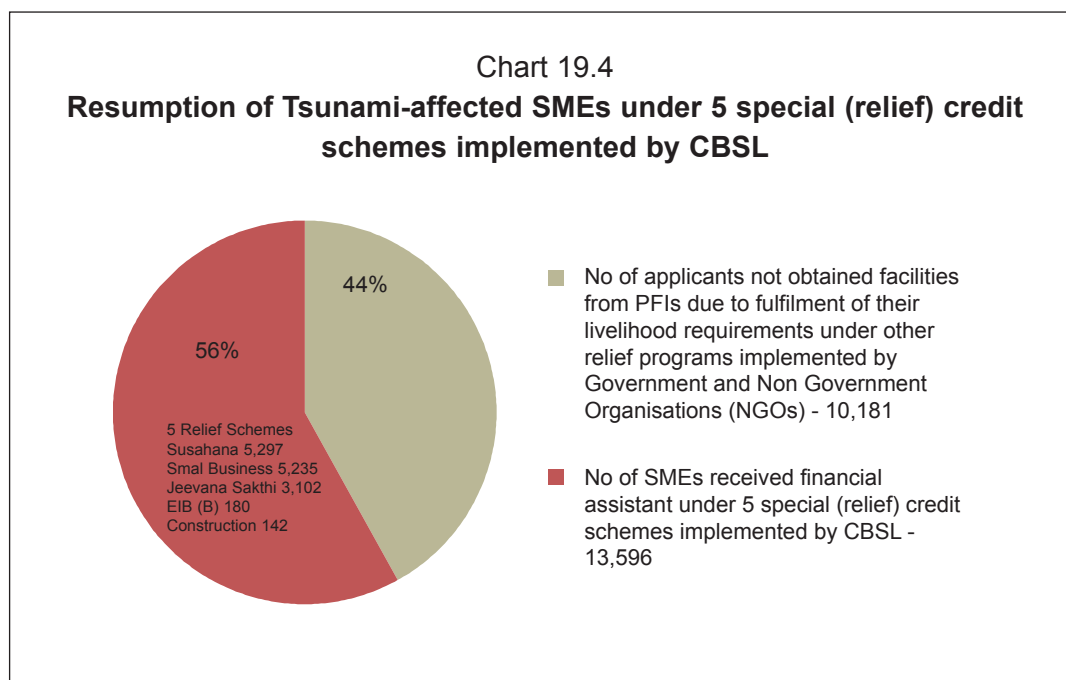
microfinance poverty alleviation programmes, during last two decades, and impact evaluation studies have confirmed that 65 percent of beneficiaries under microfinance programmes were able to cross the poverty line within 3–5 year period.⁹

Special Programmes to Meet Urgent Requirements

As the apex financial institution in the country, the CBSL has clearly demonstrated its commitment towards the development of regional economic activities by introducing a concessionary credit line with 100 per cent refinance support from the CBSL to facilitate the affected enterprises by the Tsunami disaster which destroyed the entire coastal economy in 2004. The CBSL announced its own relief credit package under the name of 'SUSAHANA' within two weeks of the disaster, allocating Rs.3,000 million for refinance to PFIs that grant facilities to directly affected SMEs in the coastal areas. Thereafter, in association with the Ministry of Finance and Planning, carried out a series of negotiations with the Japan Bank for International Cooperation (JBIC), United Nations Development Fund (UNDP), French Development Association (AFD) and European Investment Bank (EIB) for borrowing funds for utilisation under refinance loan schemes. Accordingly the Regional Development Department of the CBSL was able to disburse a total amount of Rs.8,500 million among 13,596 SMEs under 5 special credit lines during 2005-2007 (Chart 19.3). Over 56 per cent of affected SMEs have been financed by PFIs, facilitating them for resumption of their business activities under the above programmes (Chart 19.4).



⁹ Impact Assessment Survey of the Small Farmers and the Landless Credit Project - 2005

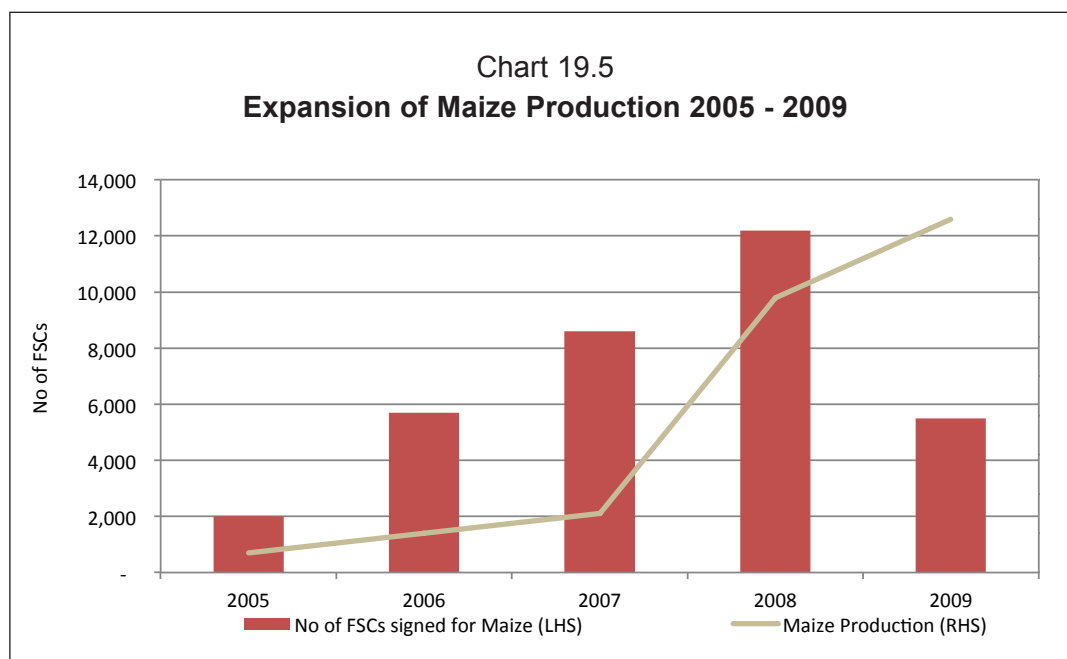


Further, just after the end of the conflict in the North and East, the CBSL has introduced two loan schemes with 100 per cent refinance from the CBSL, i.e. special credit line for the development of the East (2007) and “The Awakening North” for the resumption of economic activities in the North in 2009. This shows the timely involvement of the Bank at the time of disasters to rebuild the economy in the affected regions.

Balanced Regional Development

Despite the efforts made by successive governments to enhance the regional economic conditions during the past, regional economic disparities still remain to be balanced in favour of the 70 per cent of the total population living in the regions outside the Western Province of the country. In terms of the composition of GDP, Western Province has emerged as the principal contributor representing over 45 per cent of the GDP while other 8 provinces are sharing the balance. This indicates the disparities prevailing in the distribution of benefits of economic growth among the regions. The ultimate objective of all national development programmes would be the enhancement of the quality of life of all citizens living in the country.

This policy objective is clearly visible and emphasised in the ‘Mahinda Chinthana’ policy statement of the government. In order to achieve its regional development objectives, the government has accelerated the public investments in infrastructure development, undertaking several mega projects to be completed in the regions by 2016. Further, development in the agriculture sector has been given utmost priority in the policy agenda to ensure food security for all



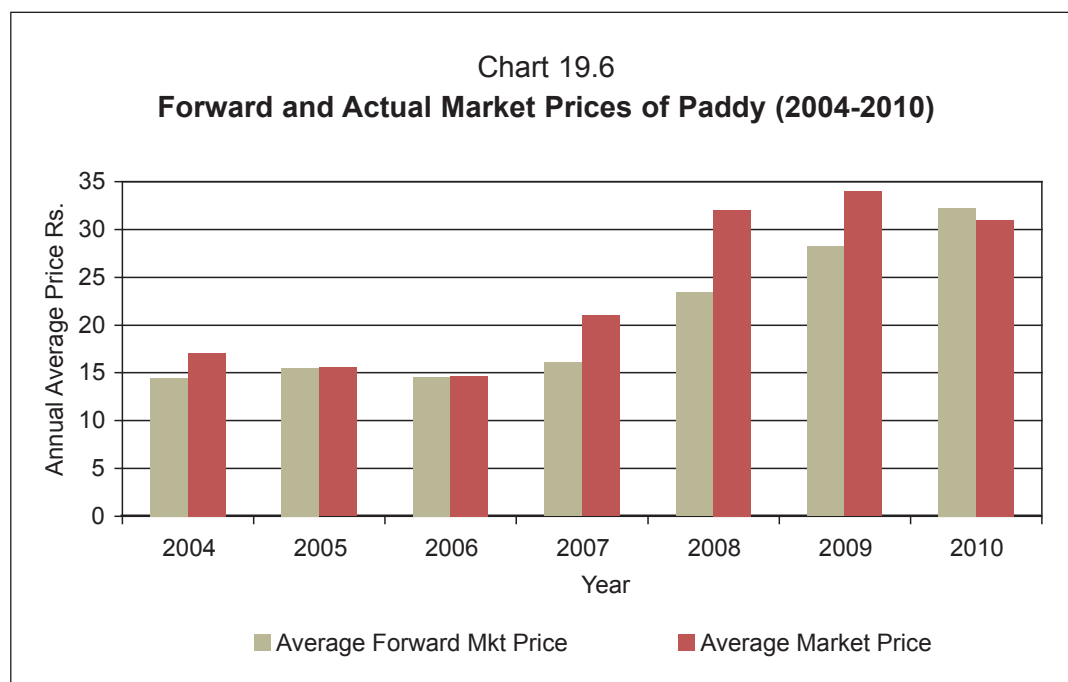
while contributing to rural poverty reduction. At the same time, rebuilding of economic and social life of the people in the conflict affected Northern and Eastern provinces has also become another priority area in the government's development policy agenda.

In line with the government's policy objectives, the CBSL has launched several special programmes complementary to the government development initiatives in the regions. Accordingly, credit delivery in the agriculture sector was intensified in order to attain self sufficiency in several food crops and liquid milk production in the country by 2016. In this effort, the government has extended the facilities already available for the farming community under the New Comprehensive Rural Credit Scheme (NCRCS) to cover more crops and activities related to agriculture.¹⁰ The CBSL stepped in 1998 to introduce a Forward Sales Contract (FSC) system to ensure an agreed price for the major agricultural crops produced by the farmer community.¹¹ The CBSL promoted the FSC system among the farmers and commodity buyers in the country. Since FSC assures price and market for several food crops, PFIs were able to disburse more credit to the farming community with confidence of loan recoveries. Chart 19.5 shows that even a single crop could also be promoted under FSC coupled with disbursement of credit for cultivation.

One of the objectives of the promotion of FSCs among the farming community was to stabilise the market prices of agricultural commodities in the market. Chart 19.6 shows that current market prices of paddy have mostly been determined around Forward price decided at the beginning of each cultivation season.

¹⁰ Mahinda Chinthana Vision for a New Sri Lanka (2006), Page 7.

¹¹ W.A. Wijewardena, (2009), Page 10.



Recent Developments

Regional Development Department continues to implement the schemes discussed above, providing PFIs with 100 per cent refinance from the CBSL for the resumption of economic activities in agriculture, industry and commerce in the conflict affected Northern and Eastern regions. In addition, another credit line (Saubagya) supported by refinance from the CBSL has also been introduced recently for the benefit of new entrepreneurs and affected enterprises in the Small and Medium Scale Enterprises (SME) sector in the country. Concurrently, a new Credit Guarantee Scheme has also been introduced to encourage the PFIs, particularly in the SME sector lending facilitating the demand from such new economic activities expected to be generated through public investments programmes in the regions. At the same time, the CBSL has been engaged in a massive programme to eradicate poverty by adopting Self Help Group (SHG) mechanism in 14 selected districts including all 8 districts in the Northern and Eastern provinces on behalf of the government. “Expansion of microfinance programmes under SHG mechanism could help to alleviate the problem with regard to collateral to a certain extent as beneficiaries could then make use of inter se guarantee.”¹² The SHG mechanism has been adopted by the CBSL under the ongoing poverty eradication programmes with a view to promoting financial inclusiveness and thereby reduce the incidence of poverty below 5 per cent by 2016. In addition, the CBSL has designed a special programme to conduct a series of training programmes to facilitate bankers and the entrepreneurs to meet the emerging challenges of SMEs and the middle level business community in the country.

¹² A.S. de Alwis (2009), Page 65.

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Renaissance of the North and the East

Dr. (Mrs.) R. Jayamaha

Former Deputy Governor of the Central Bank of Sri Lanka

Introduction

A new era of peace and prosperity has dawned on Sri Lanka since mid 2009. The Government has initiated a series of actions to fast track the development in the North and the East (N&E) and to support reconciliation, national unity and shared growth among all communities. Although N&E together account for 29 per cent of the country's land area and 14.5 per cent of the total population, during 2006 – 2009 period, their contribution to GDP by industrial origin has been significantly low at 8.4 per cent due to adverse impacts of long years of terrorism on economic development, poverty levels and social indicators.

Historical Backdrop: Early Development Plans

Since independence, the successive governments have attempted to achieve equitable growth and distribution of wealth in N&E through development of infrastructure. Way back in 1952, the Government prepared a Multi-Purpose Development Plan, of which the conversion of the Elephant Pass Lagoon into a fresh water reservoir and development of Trincomalee and Kankesanthurai harbours were two key projects. The Lagoon project was justified on account of the expansion of a large extent of cultivable land in the Jaffna Peninsula; the increase of the fresh water table in and around the lagoon; benefits from the construction of a 800 ft roadway connecting the Eastern end of the lagoon; the water storage capacity of 72,000 acre ft and irrigation for cultivable land.

The Trincomalee port was to be expanded as a commercial harbour and serve both the N&E, while the Cod Bay fisheries harbour was to be developed to facilitate the fisheries industry. The Valachchenai fisheries harbour, which was commissioned in 1981 stopped its operations in 1991 due to terrorist activities, while the Achchuvveli industrial area operations were also abandoned due to similar reasons.

Nearly three decades of conflict has resulted in the destruction of infrastructure, under-utilisation of productive capacity and severe human suffering, thereby hindering the implementation of numerous development plans. In-between and during short spells of temporary periods of “peace”, civilians in N&E have engaged in livelihood activities.

Table 20.1
Provincial GDP by Industrial Origin at Current Prices (2006-2010)

Year/Province	Eastern	Northern
GDP (Rs Mn)		
2006	143,523	81,978
2007	185,474	104,224
2008	246,436	139,001
2009 (a)	279,363	155,828
2010 (b)	331,603	191,559
GDP share (%)		
2006	4.9	2.8
2007	5.2	2.9
2008	5.6	3.2
2009 (a)	5.8	3.2
2010 (b)	5.9	3.4
GDP by Sector (Rs Mn)		
2006 Agriculture	25,542	16,453
Industry	49,753	5,232
Services	68,228	60,292
GDP	143,523	81,978
2010 Agriculture	74,038	30,622
Industry	97,202	27,151
Services	160,364	133,786
GDP	331,603	191,559

(a) Revised
(b) Provisional

Source: Central Bank of Sri Lanka Annual Report 2011

As indicated in Table 20.1, GDP by sector was reflective of the under-utilisation of land areas of 15.2 per cent (East) and 13.8 per cent (North) for agriculture or productive activities. GDP in the Northern Province (NP) has been the lowest for a long period and remained around 2.8 – 3.4 per cent during 2006-2010 period, while GDP of the Eastern Province (EP) has been at a much higher range than that of the NP, perhaps due to early liberation of EP and its ability to use land for mass scale production of paddy, maize and fisheries.

The liberation of EP in 2007 and NP in 2009 has provided an unprecedented opportunity to revive economic activities and restore normalcy in these two provinces. During 2009-2010, NP and EP accounted for a provincial GDP share (average) of 3.3 per cent and 5.8 per cent, respectively, accompanied by per capita GDP of 23 per cent (NP) and 19 per cent (EP).

Negenahira Navodaya (Eastern Reawakening) Programme

The Negenahira Navodaya Programme (NNP), launched in 2007, incorporated some of the core elements of the Mahinda Chinthana. Particular attention was paid on the restoration of law and order, civil administration, equitable resource allocation among all communities, speedy implementation of the de-mining program, re-commencement of livelihood operations, reconstruction of damaged social and economic infrastructure and the re-establishment of industrial development with private sector participation.

The Government has invested approximately Rs. 75 billion in various sector developments during 2007 – 2009 and a further Rs. 121 billion during 2010/2011 for the reconstruction of fisheries harbours, road networks, bridges and canals in EP. The increase of 4.1 per cent in paddy and 10 per cent in fish production and an increase of 17,655 metric tons of maize and fruits by 26 metric tons in 2007/8 witness the agriculture resurgence in EP and its growth potential. In 2009, paddy production in EP has doubled at 916,000 MT, indicating EP's vast potential for productivity enhancement. Similarly, post-tsunami infrastructure and housing reconstruction led to a sharp increase in industrial sector, while providing electricity to a large number of households. More than 3,000 km of roads and 30 bridges have been constructed linking EP with the other regions. The severe floods in January 2011 have damaged some parts of the road network and bridges, resulting in significant losses to cultivation, while requiring reconstruction and restoration within a short time span.

During 2007 - June 2011, part of the livelihood operations have been financed by the widely spread banking outlets in EP, which commenced operations immediately after liberation of the province. As shown in Table 20.2 below, the total number of operating banking outlets in EP rose to 211 at the end of June 2011, which included new banking outlets as well as the re-opened old branches and extension offices.

Table 20.2
Bank Branch Expansion in the Eastern Province

	Before 2007	During 31/5/2007 – 30/6/2011	
Branches opened	84	49	
Extension Offices opened	34	44	
Total	118	93	211

Source: Bank Supervision Department, Central Bank of Sri Lanka

Several hotels and tourist resorts are planned to be constructed in Trincomalee, Nilaweli, Arugambay and Pasikudda and other localities. Transportation, travel agencies and tourism information centres are being built to provide ancillary services.

The jointly-funded Government of Sri Lanka, the Netherlands and ADB's North-East Coastal Community Development Project (NECCDP) has spent US dollars 28.4 million to develop coastal areas in the East. In 130 Grama Niladhari divisions, projects on construction of minor roads, community buildings, pre-schools, drinking water wells, drainage systems, fisheries harbours, livelihood-related infrastructure facilities, skills training and micro credit facilities have been completed. Under the recently agreed World Bank US dollars 57.4 million facility for small enterprises, 8 financial institutions have agreed to support the Government's effort to improve access to finance for Small and Medium Enterprises (SMEs) affected by the global crisis. SMEs in the N&E would also benefit from this facility. It is also planned to set up a saltern, covering 1,800 acres and that would provide approximately 2,300 direct and indirect employment opportunities.

It is notable that women are in the forefront of milk production and women's organisations have funded a milk chilling centre valued at Rs. 6.8 million. Women are also involved in the preparation of rice-based products, which has raised the average income of a woman to around Rs. 350 – 400 per day. The reconstruction of the Valachchenai, the Cod Bay Fishery harbour in Trincomalee and the construction of Oluvil harbour are expected to bring in multifaceted benefits to approximately 12,255 people. According to ADB estimates, agriculture, fisheries, SME and cottage industries would create about 68 per cent of total employment in the East. The infrastructure, especially the road network has been completed and movement of goods and services has significantly improved during the latter part of 2009 and in 2010. According to the Ministry of Economic Development, a total sum of Rs. 495 billion has been set aside for the reconstruction activities in the N&E and more than 95 per cent of the planned reconstruction activities have been completed.

The Central Bank of Sri Lanka (CBSL) designed a special refinance scheme under the Reawakening of the East to promote small industries, agriculture and manufacturing activities in the province under which a maximum loan amount of Rs. 250,000 was granted at 9 per cent per

annum with a repayment period of 5 years inclusive of a grace period. Due to improvement in access to finance, EP is expected to increase its paddy production by 0.5 million metric tons and the country's maize requirement by 25 per cent with potential for exports.

The Uthuru Wasanthaya Development Programme – UWDP (Vadakkil Vasantham)

NP is one of the biggest provinces in terms of land mass, comprising Jaffna, Kilinochchi, Mannar, Mullaitivu and Vavuniya districts. In the 1980s, NP played an important role in its contribution to GDP in the areas of agriculture, livestock and fisheries. The destruction of growth momentum by terrorists adversely affected prosperity of NP, contributing GDP at low 2.9 per cent in 2007, a significantly lower contribution than its potential.

180 Day Accelerated Development Plan

In May 2009, the Presidential Task Force appointed for Resettlement, Development and Security was assigned to implement the 180 day accelerated development plan in NP. The UWDP aimed at promoting: nation building; living in harmony; grassroot level administrative involvement and organisation; financial inclusion and banking; equitable growth; and investments by Sri Lankan expatriates. A sum of Rs. 295 billion has been allocated for the planned investment and development program for the 2010 – 2012 period.

The immediate tasks of the 180 day plan were to: continue with the provision of humanitarian assistance to the internally displaced persons (IDPs); reconstruct damaged infrastructure; and support livelihood activities of those already settled as well as the newly resettled. At the end of December 2010, approximately 272,000 IDPs have been resettled on their own lands or government lands after the clearance of land mines.

Special projects, such as the reconstruction of the A-9 highway and main roads, Northern railway line, Mannar bridge (at a cost of Rs. 2 billion), Kokavil transmission tower (completed), Jaffna water supply scheme (at a cost of Rs. 12 billion) and Kankesanthurai port development are in progress. The BOI has approved several private sector led projects in NP, covering manufacturing (textile, garments, furniture and concrete tiles) and agriculture to promote exports.

The Government in partnership with India, is expected to commence the development of the Achchuveli industrial park project covering 65 acres, while infrastructure facilities will be developed by the Industrial Development Board and BOI. This project will revive and pool approximately 745 SME industrialists who were active before 1983 and assist them to start up or develop light industries in the area. At the completion of the project, about 4,000 direct employment opportunities would be created.

The Banking Plan under UWDP

A two-phased banking plan, consisting of a 180-day plan (July-December 2009) and the short to medium term (2010-2012) post-resettlement plan was prepared in June 2009. The primary focus of the 180-day plan was to provide banking services to the civilians (numbering approx. 280,000) housed in six welfare villages in the Manik Farm area. Eight commercial banks established temporary banking outlets and served all zones in the welfare camps through mobile banking. The banks opened new accounts and revived old accounts; collected deposits; facilitated inflow of remittances; provided safe custody facilities for jewellery and valuables; opened Trustee and Foster Family Accounts and serviced the university students and public officials who were living in the camps. During July to December 2009, banks collected a total of Rs. 2.1 billion from civilians who resided in welfare centers.

The 2010–2012 Banking Plan (phase II) advocated the identification of viable and bankable projects; provision of finance at affordable rates; promotion of public/private partnerships; diversification of banking services; revival of the Co-operative Movement, SANASA and Samurdhi Societies; and the engagement in capacity building and youth training.

Catalytic Role played by the CBSL

The CBSL has been directly or indirectly involved in the development of N&E through its development finance and refinance schemes, which date back to the 1980s. CBSL has made available lending to the N&E under all its refinance schemes, although people were unable to derive benefits due to terrorism that prevailed over a period of nearly three decades. According to IDPs, their savings have been collected by the 11 Elam banks operated illegally by the LTTE. The civilians claimed that they lost all such savings when they were forcibly used as human shield during the last stages of the conflict.

Since the liberation of N&E, CBSL played a lead role and clearly demonstrated its commitment through effective contribution to the resurgence of N&E. Under the 2010-2012 Banking Plan, CBSL designed new refinance schemes using its own funds and extended existing schemes to cover N&E, thus assisting the already settled and newly resettled people to commence livelihood activities. To facilitate the process, CBSL has quickened the pace of approving bank branches in N&E. At the end of June 2011, 166 banking outlets (both new and re-opened bank branches and extension offices) have commenced operations in NP. Banks have taken the initiative to promote livelihood operations in agriculture, dairy farming, agro processing, fisheries, ice plants, cool rooms, Palmyra farming, palm oil, transport and trade and services. Salt production in Elephant Pass, agriculture products from Jaffna and fisheries products from Mannar and Jaffna have started to move towards the rest of the country. Due to the potential for fast track development, a Jaffna-centered development was pursued during 2009 until the other districts become fully inhabitable.

‘Pibidena Uthura’ - An Exclusive Refinance Scheme for NP

As per the 2007 special census, the population in Jaffna was around 559,619. To encourage demand for credit and promote livelihood activities, CBSL introduced Vadakkil Vasantham – ‘Pibidena Uthura’, an exclusive refinance scheme, under which loans and advances were granted at 9 per cent per annum to both the already settled and re-settled areas. A maximum of Rs. 200,000 per project was available under this scheme and banks were able to claim refinance up to Rs. 2 billion from CBSL. This refinance scheme aimed at providing loans to small industries, agriculture endeavours, light engineering and manufacturing, and micro sector projects with a repayment period of 5 years, inclusive of 6 months grace period subject to project requirements. At the end of July 2011, Rs. 1.7 billion had been claimed by commercial banks under the “Awakening North Special Loan Scheme” in NP by way of refinance (Table 20.3). It is noteworthy that banks have also lent their own funds based on the viability and cash flows of projects. Bank of Ceylon and the People’s Bank have provided mobile and ATM services to the Kilinochchi and Mullaitivu districts with links to their main branches in Vavunia.

Table 20.3
Awakening North Special Loan Scheme in the NP
Progress as at 31st July 2011

Bank	Refinance Claimed	
	No. of loans	Amount (Rs.Mn.)
Bank of Ceylon	4,993	622.31
People’s Bank	5,437	775.63
Hatton National Bank	476	78.23
Sanasa Dev. Bank	2,110	111.99
Commercial Bank	867	146.28
Seylan Bank	177	28.02
Sampath Bank	88	14.25
National Development Bank	0	0.00
Union Bank of Colombo Ltd.	1	0.09
Total	14,149	1,776.80

Source: Regional Development Department, CBSL

In addition, special attention was paid to provide equity and working capital to N&E under the island-wide SME targeted ‘Saubhagya’ Refinance Scheme introduced by CBSL in 2010 with a commitment up to Rs. 2 billion. Loans are available at 10 per cent per annum to new SMEs and 9 per cent per annum to SMEs whose properties/enterprises were damaged due to terrorism. In addition, approximately Rs. 2,700 million and Rs. 52.06 million have been disbursed for agriculture and livestock activities under the New Comprehensive Rural Credit Scheme and Agro Livestock Development Loan Scheme, of which the recovery rates have been satisfactory.

To further facilitate and promote coordination among all stakeholders and to promote banking and financial services in the N&E, CBSL opened its 4th provincial office in Jaffna in July 2010 and its 5th provincial office in Trincomalee in November 2010. CBSL's NP office has been instrumental in the inclusion of multiday boat financing for the Northern fishermen into the "Pibidena Uthura" refinance scheme and in expediting the commissioning of two chilling plants in the Province by Nestle.

The legal validity of land collateral has been a critical issue in Mullaitivu and Kilinochchi districts (Vanni area). CBSL has been instrumental in solving the land tenure problem of farmers in this area by establishing a Guarantee Scheme for land collateral, which enables banks to lend against a land title certificate issued by the Divisional Secretariat or, in special circumstances, by the Grama Niladhari and certified by the Divisional Secretariat/ Government Agent. In case the collateral becomes unrealisable mainly due to title disputes, banks can reclaim the resultant non-performing loan component from the Guarantee Fund maintained by CBSL. This move has enhanced Vanni area borrowers' access to finance not only for livelihood operations, but also for entrepreneurial activities. Credit in the Vanni area, in particular, has picked up rapidly since the introduction of this Fund.

The economic resurgence in Phase II was supported by the provision of essential infrastructure services by the Government. The re-opening of the A-9 road in December 2009 further facilitated transport services and marketing. The rebuilding of the infrastructure and financial services have created a large number of direct and indirect employment opportunities. The banks operating in N&E have employed nearly 1000 Tamil youth at all grades and about 600 as ancillary service providers. Through loans and advances, the banks have generated more than 50,000 self-employment opportunities in the two provinces. Local and foreign tourism and ancillary services have helped speedy resurgence of the N&E with a large number of service-oriented employment opportunities. The re-building of the piers and roadways to Nagadeepa, the Sangupiddy bridge and expansion of the Palaly airport will promote tourism and generate further employment.

Challenges in N&E Renaissance and Long Term Sustainability

N&E's shares of GDP have been 2.9 per cent and 5.5 per cent, respectively, in 2009 but such rates are reflective of the resurgence and further potential. The continuous inflow of remittances helps households to maintain higher disposable and per capita income of a typical N&E household above that of the national average. This has generated an increasing demand for consumer durables. While enabling the people to enjoy peace dividend, their savings need to be diverted towards investment and economic activities. The resurgence, however, is not without challenges. A few of the major, but manageable ones are set out below:

1. **Challenges for development:** The vast disparities between districts in respect of the distribution of population and limitation of land is a concern. Jaffna district has more people than the rest of the districts taken together. In EP, disparities are less conspicuous

except between Ampara and Trincomalee, but the province as a whole is highly populated. This disparity has created an unevenness in the distribution of productive resources such as land and labour. The future developmental plans for N&E need to take cognizant of this geographical and resource disparities in different districts of the two provinces. It is also important to consider whether development plans should be Jaffna or Killinochchi centered as both centers offer diverse cultural, social and economic conditions.

2. **Limited awareness of the objectives of development programs:** Despite the implementation of NNP and UWDP and attempts by Government to enhance awareness of Peace Dividends, the Language Policy, Governance Structure, Economic Development, Human Rights, Democracy, IDP Resettlement, numerous external and internal elements attempt to create unrest among the people in N&E. Protecting people from misguidance and re-building their confidence over time would be a challenge.
3. **Present provincial council structure and devolution of power:** In order to fulfill the above mentioned aspirations, economic development and political reconciliation must go hand in hand. Two important matters have to be considered under the devolution process and in moving towards effective coordination between the central government and the provincial councils / local governments. First, is to build competence of the provincial councils/local governments to handle all functions attributed to them under the 13th Amendment. Second, is to analyse the extent to which the present system obliterates the issues of different districts as a result of overwhelming concentration of power in the hands of the provincial councils.¹ These issues would emerge from time to time and may become obstacles in implementing development plans. Hence is the need to address them as early possible.
4. **Limited number of Tamil speaking officials has been a constraint:** The Government has been trying to resolve this issue through recruitment of a large number of Tamil officers to the public sector and by teaching Tamil to government officials and other service providers. The position has vastly improved compared to the past. The private sector, especially banks, have managed the problem by recruiting Tamil officers from the region itself.
5. **Youth unemployment:** The re-establishment of the fisheries industry in N&E has helped solve satisfactorily the immediate employment problem. Establishment of province specific industries and revival of the old wholesale trading centre in Killinochchi and agriculture and industrial centers (Achchuveli) in the Jaffna district need special attention and they would support livelihood operations as well as employment generation. Setting up of vocational training institutes in Killinochchi, Mullaitivu and Vavuniya, Batticaloa and Ampara to develop entrepreneur capacity in these areas and promoting community-based programs would be important. In addition, the four apparel companies that have agreed to set up factories in the NP, Jaffna in particular, will help reduce unemployment problem of youth; women, in particular.

1 Ministry of Defence and Urban Development: D.A. Rajapakse Memorial Lecture, 24 November 2011.

- 6. Revival of the SME sector:** The limited access of SMEs to land, finance and technology has been a deterrent, although agricultural lending coupled with farmer insurance schemes has helped to sort out problems of crop failure. Banks are attempting to transform agribusiness through a number of initiatives introduced through newer technologies to the Northern farmers. The Government plans to promote public/private partnerships for developmental work in N&E and foreign investment for mega projects, which would create job opportunities and facilitate production and marketing networks based on the use of technology, while the proposed World Bank facility for SMEs would help promote activities of SMEs in both N&E.
- 7. Non-performing loans (NPL)** was a problem for banks as accumulated NPLs prior to 31 May 2009 was moderately high at 4 per cent of total loans. A bulk of NPLs has been on account of agriculture, pawning, manufacturing and trade. As the civilians were unable to repay loans due to dislocation/relocation and loss of livelihood operations, many banks opted to write off part of the unrecoverable loans. The provision of new loans to defaulters was also an issue. Here too, banks have adopted a flexible approach in rescheduling loans in N&E. The land collateral Guarantee Scheme of CBSL has helped to ease the problem in a significant manner in the Vanni area.
- 8. Establishment of backward linkages and value chains:** In order to ensure long term stability, it is important to establish value chain linking the farmer, processor, retailer, wholesaler and exporter. Where possible, supply chains and value addition processes need to be promoted to boost renaissance in N&E. The supermarket chains have shown a keen interest to provide outgrower opportunities in NP and help retain value in the province linking farmers, producers, retailers and marketing groups.
- 9. Destruction due to weather vagaries:** The damage caused by the January 2011 floods has necessitated reconstruction of some parts of the road network and bridges. The Government has started reconstruction in the flood-damaged areas in EP and the provision of livelihood support to the people in the affected areas. Water retention during rainy season is also critical in N&E as they are heavily dependent on monsoonal rains. The provincial councils, under the guidance of relevant central government ministries/departments, should take the initiative to clean and enhance water retention and revive tank irrigation in both provinces.

Recent Trends in the Emerging Economy of Sri Lanka

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The end of the three decade long conflict in mid 2009 bolstering investor confidence in the country in the backdrop of global recovery from the recession brought about greater stability and potential for growth of the economy than any time before in the post liberalisation period in Sri Lanka. Recent trends in macro-economic conditions such as low inflation, low and stable interest rates, strong external reserves, stable exchange rate, improving fiscal outlook are solid indications that the economy is returning to normalcy from the instability it suffered for nearly three decades since the early 1980s. Besides domestic factors, the growth that suffered from adverse global conditions in recent years began to show a fast recovery towards the fourth quarter 2009 itself. This positive trend has continued since then and is evidenced through the sustained improvement in growth.

The Economy in the Post-Independence Period

The post-independence period of Sri Lanka can be clearly distinguished into two periods, the pre-liberalisation period, 1948 to late 1977 and the post liberalisation period, 1978 to date. The former period was characterised by different policy regimes. A laissez-faire policy was in practice during the period 1948 to 1958. The period from 1958 to 1965 is seen as a period of gradual tightening of exchange controls and state intervention and increased public ownership. The five year period,

1965 to 1970 saw a partial relaxation of exchange controls and trade but of course, the state sector continued to expand. The period from 1970 to late 1977 was characterised by stringent state controls and rapid growth of state ownership.

At the time Sri Lanka gained independence from the British in 1948, there existed a primary export commodity producing economy heavily biased towards agriculture. Sri Lanka benefited largely from high commodity prices such as those of tea, rubber and coconut due to the Korean war boom in the early 1950s. The gross domestic product of the country in 1948 was approximately US dollars 850 million as compared to US dollars 50 billion in 2010. The population was 7.0 million then in the country compared to 20.0 million today. The GDP per capita which was US dollars 120 in 1948 was only second to Japan in Asia and compares with US dollars 2400 in 2010, which is many fold higher in absolute terms but falls significantly below that of many countries in Asia. South Korea, one of the poorest countries in Asia and Singapore, a low income country 50 years ago, are today classified as high income advanced economies with high per capita income levels. Malaysia, Indonesia, Thailand and the Philippines, to name a few who trailed behind Sri Lanka in the 1950s, are today recognised as middle or high middle income countries by global standard. Sri Lanka remained a low income country until early 2010 when its position was upgraded to a “low middle income” country (IMF, February 2010).

Sri Lanka remained a welfare state in the post-independence period. Hence human development was considered a priority in the policies that were pursued for a long period of time. In terms of the Human Development Index (HDI) Sri Lanka's ranks 102 today thanks to the policies of the welfare state. A sizeable proportion of government expenditure has been spent on health, education and other welfare oriented activities such as sanitation, nutrition and housing. However, in terms of per capita income level, Sri Lanka has lost its relative position to many other countries over the years due to slower growth of the economy. The annual average of real GDP growth for 60 years since 1948 has been only 3.2 per cent which is by no means sufficient for a developing country to reach a high income status for its population. What is implied by this is that though Sri Lanka's GDP has grown more than 50 times, its population has increased nearly threefold thereby slowing down the growth of average income per head of the population to around 20 times during the last 62 years.

The economy was expected to expand rapidly due to the surge in demand resulted from the liberalised economic policies that came into force in late 1977. The year immediately following the introduction of open economy policies saw a GDP growth of 8.4 per cent in real terms and this growth tapered off gradually in the subsequent years until 1982 when growth rate reduced to 5.1 per cent. With the escalation of terrorist activities and rapid deterioration of the security situation in the country, performance of the economy suffered severely for nearly three decades until mid-2009 when the conflict finally ended and long lasting peace and political stability returned. The July 1983 disturbances are seen by many as an event that had a colossally devastating impact on the economy. As violence escalated in the years to follow, the economy continued to suffer

at a rapid rate of intensity. In the meantime, the armed insurrection by the youth in the South also took a heavy toll on the economy towards the latter part of the 1980s when growth in some years during this period fell below 2.0 per cent. The defeat of the youth revolt in 1989 was a sigh of relief and in 1990, the economy bounced back and registered a growth of 6.2 per cent, the highest growth rate in a decade. However, successful exploitation of opportunities of a curbed insurrection was dampened by the escalation of terrorist activities of the LTTE in the country and the economy continued to suffer due to instability and unsettled domestic conditions.

Since 1991, the economy grew only at a moderate rate of less than 5.0 per cent until 2004 and it must be noted that year 2001 registered a negative growth of 1.5 per cent. The economic growth accelerated since 2005 and for the four year period till 2008, a high rate of growth of over 6.5 per cent was sustained. The economy suffered from adverse global conditions in 2009 and growth dropped to 3.5 per cent. The economy was affected by adverse external conditions firstly, by historically high oil and other import commodity prices, secondly by global financial crisis and thirdly by the global recession, worst ever since the Great Depression in the 1930s. Sri Lanka's growth rate of 3.5 per cent in 2009, though moderate, compares extremely favourably with negative growth rates of almost all advanced economies and the great majority of low income developing countries. A few large emerging market economies were able to weather the crisis due mainly to prudent domestic policies, despite sluggish global market conditions.

Current Performance and Near Term Prospects for the Economy

Since the 1st quarter 2009, the economy has shown a fast recovery as quarterly GDP indicates a rapid improvement. GDP growth during the last quarter of 2009 was appreciably higher at 6.2 per cent compared to 1.5, 2.1 and 4.2 per cent of the first three quarters of 2009, respectively. In the 1st quarter 2010, growth was even higher at 7.1 and growth rates of 2nd, 3rd and 4th at 8.5, 8.0 and 8.6 per cent showed an improving trend and consequently overall annual growth of 2010 rose to a high of 8.0 per cent in comparison to a low of 3.5 per cent in the previous year. The growth is expected to rise further and sustain at a level over 8.0 per cent in 2011 and beyond. Thereby the economy would be moving into a high growth trajectory in the medium to long run.

The Sri Lankan economy had a reasonably high level of growth since 2005 with growth rates of 6.2, 7.7, 6.8 and 6.0 per cent, respectively, for the four year period up to 2008. This provides clear evidence that despite adverse domestic conditions, the country's economy has performed well. The growth that suffered from the global crisis during late 2008 until about end of first half of 2009 has since shown strong signs of a solid recovery. The increasingly high growth performance that is shown by the economy today is bolstered by heavy public investments on a number of large scale infrastructure development projects and large and growing private investments which are clearly evident from rising foreign inflows of capital and growing domestic investment. Though the revival of the economy is more evident in the post conflict period, it must

be noted that the country was prepared for a high and fast tracked growth much before the end of the internal conflict. Public investments on large infrastructure development projects commenced much earlier and the adverse external conditions due to global crisis during late 2008 and 2009 prevented the economy from harnessing the full potential. However, the end of the conflict which plagued the country for nearly three decades, was a turning point in Sri Lanka's economic history as the stable political conditions provided an enormous impetus to growth and stability of the economy. Moreover, the successful implementation of the Stand By Arrangement of the International Monetary Fund since July 2009 has been instrumental in boosting up international investor confidence on Sri Lanka. Today, overall business and investor confidence in Sri Lanka is buoyant and growing fast as evident by well performing stock market, tighter spreads on Sri Lanka's sovereign bonds traded in the international capital market and strong demand for Treasury bills and bonds in the domestic debt market, high and rising foreign remittances and capital inflows.

Unemployment and Incidence of Poverty Continue to be in Secular Improving Trend

Despite gloomy prospects for employment in the world due to slow and protracted recovery from the global recession, unemployment in Sri Lanka continued to drop from 5.8 per cent in 2009 to 4.9 per cent in 2010 and further to 4.3 per cent in the 1st quarter 2011. Since 2004, there was a gradual decline in the unemployment from a high rate of 8.3 per cent to a moderate level of 5.2 per cent in 2008. Though the unemployment rate rose to 5.8 per cent in 2009, in the year as a whole, since the 2nd quarter of the year, the rate has dropped from 6.2 per cent to 5.4 per cent in the 4th quarter and to an even lower level of 4.9 per cent by end 2010. With a third of the country's labour force in agriculture, opening up of new land and fishing territories are providing huge gains in the Eastern and Northern provinces which have been integrated back with the mainstream economy since the dawn of peace in the country in mid 2009. The manufacturing and services sectors are growing fast and as this trend is expected to continue in the future too, more prospects for employment are likely in those sectors thus bringing the current level of unemployment down to an even lower level as evident from the promising prospects of the near term outlook of the economy.

Poverty alleviation has been a main focus of economic policies of successive governments in the past. In the recent history of Sri Lanka the poverty level (poverty head count ratio) was highest at 28.8 per cent in 1995/96. This ratio has dropped gradually to 22.7 per cent in 2002 and to 15.2 per cent in 2006/07. The latest calculation of poverty indices show that poverty level of the country has further declined to 8.9 per cent in 2009/10 (DCS, May 2011).

Decline in poverty is significant mainly in the estate and rural sectors while in the urban sector the trend has been moderate. This is an indication of the success of public policies in leveling social welfare (CBSL, 2010). At present several poverty alleviation programmes are in

place targeting approximately 1.6 million families in the country. Further, reduction in poverty level is expected with gradual growth of household income and more equal distribution of wealth as envisaged in the current policy framework.

Fiscal Reforms and Fiscal Consolidation

Sri Lanka has had deficit budgets since 1948 except in only two years in the 1950s. One salient feature was the increasingly expanding budget deficits during this period, particularly since late 1970s. In some instances, the budget deficit was well over 10.0 per cent of GDP and correspondingly the public debt that was raised to finance the deficit has grown over the years and reached a high of 105.6 per cent of GDP in 2002, but this ratio has since dropped to a low of 81.9 in 2010. High fiscal deficits are naturally due to low revenue generation and high public spending. Fiscal reforms and consolidation efforts therefore, need to focus on enhancing revenue, curtailing expenditure and maintaining public debt at a sustainable level.

Budget deficit has been maintained at a level of 7.0 per cent of GDP or lower since 2005 until 2008. However, in 2009, it expanded to 9.9 per cent and this again was a result of adverse conditions external to the economy responsible for low revenue performance and high public expenditure. Low commodity prices and sluggish demand were the reasons for low revenue from imports and inevitably this affected the main revenue source of the government. Fiscal stimulus was considered to be a panacea for all ills of crisis hit economies all around the world and for this norm, Sri Lanka was by no means an exception. However, the impact of the crisis on Sri Lanka was relatively small and hence the expenditure commitment was at a minimum. Fiscal stimulus in Sri Lanka was also constrained by lack of fiscal space due to already a high fiscal deficit.

Of the 9.9 per cent budget deficit in 2009, 6.4 per cent was on account of capital expenditure and hence the high budget deficit would have been brought down to 3.5 per cent if capital expenditure component was reduced to zero. Similarly, in the 2010 budget which shows a deficit of 8.0 per cent, the capital expenditure component was 6.1 per cent and in a scenario of zero capital expenditure, overall budget deficit would be mere 1.9 per cent. Even though it sounds prudent to have a lower budget deficit compared to a high of 8.0 per cent, a fiscal scenario of zero capital expenditure in an emerging market economy like Sri Lanka would not be justifiable in view of the need to ensure a fast growth of the economy.

As most of the large infrastructure projects now in progress are nearing completion and as more public-private partnerships are expected in the future than before the high level of public expenditure of capital nature currently being experienced is expected to gradually taper off in the long run. The fiscal deficits in the near term are projected to be smaller at around 6.8 per cent in 2011, 6.2 per cent in 2012 and to fall below 5.0 per cent in 2013 and beyond. Recommendations such as revenue enhancement measures are in place through simplification of the tax system, reduction of tax concessions, base broadening of income tax and indirect taxes and improvement

in tax administration among other things proposed by the Presidential Commission of Taxation have been incorporated into the budget 2011 and were implemented during the year.

Monetary Sector Developments and Further Easing of Monetary Policy

The global recession that resulted in sluggish demand and declining economic activity necessitating fiscal stimuli globally across all the countries brought about conditions conducive for relaxing monetary policies that were pursued at the time of the financial crisis. Average inflation in Sri Lanka dropped to its lowest levels during the last 25 year period enabling substantial policy rate reductions since 2009. The last policy rate cut was in January 2011 and currently the policy rate corridor stands between a repo rate of 7.00 per cent and a reverse repo rate of 8.50 per cent.

In line with downward policy rate adjustments, current market interest rates have fallen to low levels. The overnight interbank call money rate is now pitching close to the middle point of the policy rate corridor. The bench mark 91 day Treasury bill rate has fallen to a level below the interbank call money rate suggesting further downward pressure on interest rates. In this environment, it is inevitable that other administratively determined rates such as bank lending rates will fall in line with market determined interest rates of Treasury bills and Treasury bonds. Both bank deposit rates and lending rates have fallen though not in proportion but interestingly the spreads between lending and deposit rates have contracted to some extent.

Sri Lanka's current interest rate structure appears to be more stable and consistent than any time during the post liberalisation period. With inflation remaining low, stable and predictable, some stability in positive real interest rates appears to be sustainable and this would contribute significantly to the stability of the economy at large. However, it may be noted that Sri Lanka's interest rates are still too high and further lowering of interest rates would be desirable in view of integration of the Sri Lankan economy with the global economy.

Inflation at Low Single Digit Levels

Sri Lanka's high inflation was an issue of concern for many years, particularly since the liberalisation of the economy in late 1977 which policy change marks the beginning of an era of high monetary expansion of our time. Judging by the crude measure of Colombo Consumers' Price Index (CCPI), Sri Lanka's inflation was on average around 11.5 per cent for the period 1978 to 2008. This high rate of inflation has now reduced to a mid-single digit level both in terms of year on year basis and moving average basis. Strong growth in the domestic agriculture sector, particularly the expansion of domestic output due to resumption of economic activities in the North and East and stable prices of key food imports, have assisted in maintaining the headline inflation at benign levels. Inflation is expected to remain subdued at this level for the near term. From the demand front money supply is required to be maintained at levels stipulated in the

monetary programme of the Central Bank in order to anchor inflation at desired levels. Credit to the private sector, which contracted on a year on year basis since April 2009 due to the slowdown in economic activity, showed a positive growth since March 2010 and this trend is expected to continue in the ensuing period given the excess capacity of the economy and enhanced prospects for expansion of economic activity. The lending to deposit ratios of banks on average are far too low suggesting that the potential for lending remains high. In view of arresting the demand pressure from monetary expansion, Central Bank of Sri Lanka (CBSL) took a precautionary measure by raising the Statutory Reserve Ratio (SRR) by one percentage point from 7.0 to 8.0 per cent effective from 29 April 2011.

Credit growth (year on year) that peaked at 34.4 in July 2011 has now shown signs of deceleration and is expected to normalise towards the end of 2011 to a sustainable level in the near term. Any realistic estimation of credit needs is hindered by non availability of data on potential demand for credit relating to the private sector activities in the North and East and excess capacity that exists in the economy as a whole. Benign asset prices, low and declining inflation, robust and resilient banking system with low NPL ratios and comfortable levels of capital adequacy of banks suggest that the economy has further capacity for expansion.

External Conditions

Sri Lanka, with its increasing openness, is vulnerable to global conditions and this was evident from the poor external sector performance during the recent global crisis. Both exports and imports dropped to significantly low levels in 2009 compared to those of the previous year. However, the drop in imports was much greater than that of exports and hence the trade balance showed an improvement and the current account deficit which rose to a high of 9.5 per cent of GDP in 2008 dropped to a low of 0.5 per cent of GDP in 2009. However, with the gradual rise in import prices more than in proportion to those of exports as reflected in the terms of trade effect, the current account deficit rose to a higher level of 2.9, nonetheless will remain within a manageable level of around 3.5 per cent in the near term. Sri Lanka's balance of payments was generally in surplus in the last few years but in 2008, due to heavy outflows of capital, the overall balance turned into negative. However, with high capital inflows and improved current account performance, the balance of payments in 2009 showed a significant improvement. The external imbalance of the country has now improved significantly and the risk of capital outflows will further reduce as inflows of short term capital is capped at 10.0 per cent of the amount of Treasury bills and Treasury bonds outstanding. The external sector sustainability appears to be greater now than any time before with the country's official foreign reserves gradually reaching all time high at US dollars 8.0 billion, sufficient to cover nearly 5.8 months of the country's imports.

Measures were deemed necessary to make adjustments to face challenges emanating from growing external reserves. The cost of managing the high level of excess rupee liquidity in the domestic market was an issue of concern to CBSL. The excess rupee liquidity may also

be observed as part of the transition process that the economy is undergoing at present. With the growth of private sector credit and import financing that is observed at present, the pressure caused by excess rupee liquidity in the domestic market resulting from the accumulation of foreign currency reserve would gradually ease. Rapid growth of external reserves also calls for measures to further liberalise capital controls relating to outflows and such measures would also among other things contribute to improved investor confidence and further stability of the economy. Another development would be the stability in the exchange rate which was often subject to high fluctuations in the past necessitating intervention by the central bank on a frequent basis. With greater exchange rate stability, CBSL operations in the domestic foreign exchange market has become an integral part of reserve and liquidity management strategy rather than a matter of intervention in the market. In the meantime the stability of the exchange rate has posed new challenges to forex dealers in the market as they are forced to operate with narrow spreads and reduced forward premia sufficient only to compensate their funding cost. The low domestic inflation has impacted favourably on the real effective exchange rate (REER) which is expected to improve and remain in alignment with currency movements in the market, and ensure competitiveness of the economy.

Conclusions

Sri Lanka's macroeconomic fundamentals today are much stronger than they were ever before. At no stage in the post liberalisation period were macro indicators, on the whole, as sound as what they are at present.

The economic growth is moving towards a high trajectory bolstered by steadily improving private investment and high capital expenditure of the government, particularly on mega infrastructure development programmes, most of which were commenced prior to the end of the conflict. The favourable environment that resulted from the end of the conflict with unprecedented political stability and security situation in the country set the stage for the economy to take off on a rapid growth path. The unemployment and poverty levels have dropped to a historic minimum manifesting a favourable distributional outcome while ensuring fast tracked growth.

Fiscal sector performance shows improvement since 2010 with a more promising outcome in the near term after slipping into a high deficit in 2009. Simplification and base broadening of the current tax system and improved revenue performance are vital to fiscal consolidation. Improved debt sustainability is inevitable as indicated by improving debt to GDP ratio and prudent management of public debt where minimisation of the cost of debt and increased tenure of debt maturity while promoting the debt market development are priorities in the policy framework for the medium to long run.

Inflation has dropped to mid-single digit levels from substantially high levels in 2008 and 2009 and the near term outlook appears to be favourable with low and stable domestic commodity prices even though some upward pressure may come about from likely higher cost of import

commodities and oil prices. Low and stable inflation has provided the comfort for a significant easing of monetary policy and interest rates have moved downward sharply in recent months. The lending rates have also fallen providing an environment conducive to support the growing demand for credit by the private sector. No demand pressure on inflation from credit growth has been observed and CBSL has adjusted SRR upward as a precautionary measure.

The external sector that suffered from the recent global crisis has improved significantly since late 2009 and the overall balance of payments remains comfortably in surplus. The growth in foreign inflows has been phenomenal and the country's external reserves have risen to a historic high. The external sector imbalance that remained earlier has now reduced sharply and the risk associated with short term capital inflows would no longer be significant.

The integration of the Northern and Eastern provinces with the main stream economic activity has added additional resources causing the country's production possibility frontier to expand significantly. Sri Lanka's economy was not performing to its potential for nearly three decades and the favourable macro-economic environment that emerged since the cessation of the conflict supported by strong fundamentals has enabled faster growth with sustained stability in the economy in the medium to long term.

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End Paper 1

To the Case